Bajaj Finance Ltd. (BAJFINANCE)

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Call: Feb 2023

BAJAJ FINANCE LIMITED

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6 February 2023

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 December 2022

Ref: Letter dated 1 February 2023

This is further to our letter dated 1 February 2023, vide which we had informed that the said transcript has been made available on the website of the Company and shared the link of the same .

Now, for ease of reference, we enclose the transcript (pdf) as attachment.

Kindly take the above on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune)

Encl.: As above

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Bajaj Finance Limited Q3 FY23 Earnings Conference

Call Friday, 27 January 2023

Issue 1.0 31/01/2023
0800 138 2636 | conferencingservice@netroadshow.com | www. netroadshow .com

MANAGEMENT MR. RAJEEV JAIN – MANAGING DIRECTOR , BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CFO, BAJAJ FINSERV LIMITED
MR. ATUL JAIN – MANAGING DIRECTOR , BAJAJ HOUSING FINANCE LIMITED
MR. ANUP SAHA – DEPUTY CEO, BAJAJ FINANCE LIMITED
MR. RAKESH BHATT – DEPUTY CEO, BAJAJ FINANCE LIMITED
MR. KURUSH IRANI – BAJAJ FINANCE LIMITED

MODERATOR :MR. SUBRAMANIAN IYER – MORGAN STANLEY

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Operator Ladies and gentlemen, good day and welcome to Bajaj Finance Q3 FY23 earnings conference call hosted by Morgan Stanley. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately. For important d isclosures, please see the Morgan Stanley disclosure website at www.morganstanley.com/researchdisclosures. Please note that this call and your questions will be recorded and may in certain circumstances be distributed to clients and/or made publicly availa ble. By participating in this event you consent to such recording, distribution and publication . All participants' lines will be in listen -only mode and there'll be an opportunity for you to ask questions after the presentation concludes. I'll now hand ove r to our host, Mr Subramanian Iyer from Morgan Stanley, to begin. Thank you and over to you, sir.

Subramanian Iyer Thank you, Charlie. Hello, everyone. This is Subramanian Iyer from Morgan Stanley. Thank you very much for joining us for the Bajaj Finance earnings Q3 FY23 results . To discuss the results, I'm pleased to welcome Mr Rajeev Jain, Managing Director , Mr Sandeep Jain, Chief Financial Officer, and other senior members of the management team. Thanks to Rajeev and Sandeep for giving us the opportunit y to host you. Without further ado, I now invite Rajeev to take us through the key financial highlights for the quarter, post which we'll open the floor for Q&A. With that, over to you, Rajeev.

Rajeev Jain Thank you, Subu, thank you, Morgan Stanley. Goo d even

ing to all of you, or good morning ,
depending on the geography. I, along with Sandeep here, have Atul Jain, who's the Managing Director at BHFL, and Anup Saha, Deputy CEO of BFL, and a few other colleagues from the company. I'll jump right into the i nvestor presentation that is uploaded in the investor section of our website. Jumping on very quickly, I'll try and speak for 20-odd minutes and from there on, then we can take on questions.

Jumping right onto panel number four. Overall a good quarter, I would say, across all financial and portfolio metrics, albeit marginally lower AUM growth. On track overall to deliver 52,000 to 53,000 crores of core AUM growth in FY23 , that leaves only one quarter left. So far, the growth has been around 39,000 -odd crores of core AUM growth. Q3 clearly witnessed highest -ever loans booked and new customer addition, and I'll talk about it in the next panel. In terms of going fully digital, now we have 31 milli on consumers on the app in terms of net installs. Phase two of consumer app has started to now go live in sprints . On track, both on app and web, to fully go digital by March 23.

Some quick stats. AUM grew 27% to just a tad below 2 lakh 31,000 crore . Opex to NII came in at 34.7, and I'll talk about it two panels later. PAT came in just a tad below 3,000 crores at 2,973 year -on-year with a 40% ROE , just a tad below 24% on an annualised basis , and net NPA at 41 basis points. As I said, good quarter on financ ial and portfolio metrics for the company.

Diving deep in on panel number five. Core AUM growth was 12,476 crore s, slightly shorter in the mortgage side of the business due to intense pricing pressures. Predominantly, the growth was slower on account of s lower mortgages and I'll cover that when we talk BHFL. AUM 27% we've talked about. New loans came in at 7.84 million,

last year same time we had booked 7.44 million.
B2B disbursements was 16,026 crore s on a year -on-year basis, up 6%. October was pretty go od for B2B for Euro pe consumer discretionary . November, December the demand slowed down significantly. So far, January, the first 26 days of the month, is looking much better. In terms of new customer addition, first time we've crossed 3 million customers and added 3.14 million customers in a quarter. Overall, we started the year thinking we'll do 9 to 10 million, it looks like we'll cross 11 million new customers in the current year.

Customer franchise 66 million, we're probably end anywhere between 68.5 to 69 million customer franchise ending March. Location, out of 140 -odd crore population, we're currently present in 110 -odd crore coverage, we added 29 locations. We'd forecasted we'll grow, we'll probably at 400 locations. It looks like we'll probably at 250, 300 only in the current year.
Competitive intensity , I've talked about this point for the last three, four quarters, remains highly elevated, everybody seems to want to do retail. Between growth and margin , margin takes precedence . That's our fundamental view at a management philosophy level, so we continue to protect , which is evident in point number nine. Cost of funds went u p, was 7.14, it increased by 23 basis points, but the overall NIM remained flat, it didn't dilute . That's the principal point that we are making, that between growth and margin, choose margin. We, of course, want to grow, we are a growth -oriented business . We want to grow well, but when choosing between the two, the choice is clearly on margin because it creates better sustainability of the business from a long -term standpoint.
Liquidity buffer was strong at just a tad below 13,000 cr

ore s. Given the overal l strong ALM management, as you
can see, the pass -through even in cost of funds is very gradual. Quarter two to three was 23, before that it was another 20 -odd basis point s. In the first nine months of the year , the total increase is 45 basis points. Given that we run our liability maturity longer than the asset maturity, we'll continue to see a lot more gradual pass -through on cost of funds as we move along, even into the next year.
Deposits book slower in the last quarter versus the first two quarter s, we clearly took a lot more aggressive sta nd. In the first two quarters it was the right thing to do, but we have to deploy all the revenue we originate. Our rate increases in Q3 have been slower than what it was in Q1 and Q2. Having said that, deposits on t he balance sheet grew by 3,562 crore s, overall now it's 21% of the balance sheet. On a standalone basis, I think it's 28% of the balance sheet. We are very clear, on a consolidated basis , it will be 25% of the balance sheet sometime in the medium term.
NII grew 24% . Actual growth was 28% last year in Q3, IPO financing was at the peak and the company earned during that period 203 crore s of IPO financing. Which, of course, since then has been discontinued from April 01, due to regulation , so adjusted on a cro re basis, the NII growth is actually 28% versus the real number that you're seeing at 24%. That will become evident as Q4 gets done. Opex to NII improved. We're beginning to see some level of operating leverage emerge, moved down from 35.9 to 34.7 as the c ore balance sheet starts to build up quarter after quarter, with a similar line of product mix , we should start to see some level of operating leverage emerge. It'll still be marginally higher than it was at pre -COVID level, let me just flag that , as well. Q4, we are reasonably comfortable that we'll be able to sustain these metrics. As we go into next year it will be lower than the current year, we're clear about that. We have peaked on building out the operating expenses investments frame and as the balan ce sheet builds out, we should see improvement on that.
Loan loss of 841 crore s, 1.4, 1.5% of average assets. We continue to hold 1,000 crore s of management overlay for uncertainties at this point in time. GNPA and NNPA were lowest. When I say lowest, I t hink we were lower than that only when we were 13,000 crore s of balance sheet in 2013 and it was six months NPA classification, so clearly lowest ever that we've been in the last 16 years. As Sandeep is saying, classification is different, came in at 114 and 41 basis points. Stage two down, stage three marginally up and, as you can see, balance sheet is building out, but it's up by 80 -odd crore s. All portfolios are green, including the AF portfolio now. Product mix was steady across all nine different verticals that we publish, across B2B, B2C and so on and so forth. Consolidated profit after tax we talked about. Capital adequacy remained pretty strong , Tier 1 capital was 23.3%.

Employee h eadcount stood at 40,700. We added, I think, 1,300 employees between Q2 and Q3 across the three companies. You're aware, we've disclosed it to the street, point number 23, that we've taken a 41.5% stake in Snapwork Technologies to strengthen our technology roadmap.
BHFL, where as I said earlier, the quarter was a little slow. Approv als grew 14% at 14,514 crore s. Disbursements were 7,429, just a tad below 8,000 crore s in Q3 last year. It was in the quarter a de-growth but overall, AUM is still up 33% on a n ine-month basis to 66,000 crore. Portfolio composition pretty steady, between 61%

of the balance
sheet is home loan balance sheet, and so on and so forth. Cost of funds increased by 49 basis points, the entire balance sheet is principally variable, so the pass -through has happened equally . To that extent, this balance sheet is protected from interest rate risk. Liquidity buffer was quite strong, as we were expecting stronger divestment.
As you can see, the liquidity buffer remained pretty strong, they're we ll capitalised. Borrowing mixes was steady.
Opex to NII came in at 24.5%, there's improvement because NIM has expanded . Loan losses were down 50% YoY.
BHFL also holds a management overlay of 242 -odd crore s. They are clearly the lowest risk business in Ind ia in terms of mortgages. The growth NPA is at 23 basis points and 10 basis points net NPA , so by far. As the for th at scale, it's not amongst the lowest balance sheet balance sheet in India, with a 61% home loan business. Stage two assets, hardly anything to talk about , given the number. Stage three assets at 135 crore s.
So, other than disbursements, which were slow and, as a result, AUM growth was slow, I would say q uarter four BHFL was also good on all financial metrics, other than the disbursement and corresponding AUM growth , which we are hopeful between Q4 and Q1 should come back to growth as well.
BFSL added 77,000 customers, 24 locations. They've got branches n ow in added six locations in Q3 alone. It'll end the year with 30 -odd locations as BFSL. We did a significant upgrade to the app and the web platform, added 45 new features. We'll be adding another between 15 and 16 new features in Q4 as well, and the asse t should be a lot more solid and strong as we exit Q4, or the current fiscal, to significantly grow BFSL as a business in the next fiscal. MTF book, which is our core proposition we bring to the table , continues to grow. Profit came in at 3 crore s. Last ye ar we also had a similar benefit like the IPO financing benefit on account of IPO allocation, they had a 7 crore one -time profit sitting in there. Their headcount is at 532 people. That's the really the quarter in substance in terms of financials and growt h metrics.
Omnipresence , very quickly, I'll jump right in, just in the interest of time. As I said, we'll fully go live across web and app by March 23, so I'll not cover page number ten and 11, but I'll just cover the metrics that we published. Locations will be a little short, we'll probably do 300 -odd locations in the current year, between 400 and 450, that why you see yellow there. Otherwise , on downloads, net installed, in -app programme, we are looking super green. Top five in financial domain in Playstore, we're right there in the top five. Service requests are growing quarter -on-quarter , 22 to 25%, so significant improvement in service metrics as a result of us going… Of all the service requests raised, of all service requests that a customer mak es, now 22% of them are coming through the app and are migrating to app. We foresee that this number in the medium term could probably go to 40, 45%. Wallet accounts is the only one which is yellow. Otherwise, UPI handles, bill pay transactions we are full y green. 18 million rewards we issued in the quarter.
QR deployment has now started to gather pace. We are now adding 7,500 to 8, 000 merchant QRs on a daily basis . We foresee that in the current quarter we'll probably add just a tad below half a million n ew merchant QRs and because the entire functionality and the infrastructure went live in November, we tested that in December , currently we're adding anywhere between 7,500 to 8,000 merchant QRs on a daily basis. We expect to start becoming visible at the point of sale universally in the next fiscal. What we have done to the app this year, from nowhere we've become top five in terms of downloads. Monthly downloads now are on an average between 5

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million to 6 million, we intend to do that for the payments bu siness from a merchant QR standpoint in the next fiscal.

Let's go to panel… These are all green, as you can see there. Customer franchise metric , this is a panel that we published in the second quarter. Clearly you can see that despite the franchise growing , the profit per customer and AUM per customer continues to grow. That's the acquire and cross -sell strategy, so we remain confident that despite growing franchise, we don't foresee that our AUM per customer will get compromised in any given matter.

This, from now on, fourth quarter with the third quarter results we'll start to publish to the street, in general, a long -range strategy update on a rolling basis. We, as a company, have been doing this for 13 years. We thought the time has come from a maturity standpoint to start to publish that to investors as well. What you see is a very quick, abridged version of what we do. Given that we're talking about it for the first time, this is on panel 16, what do we do as part of what we call long -range stra tegy ?

It's an annual five -year rolling strategy plan with an execution plan of 12 to 24 months. We look at the macro as part of the rolling framework, look at the industry outlook, look at the technology megatrends, look at business megatrends , select a b enchmark company to learn from , and create a bottom -up financial plan. It's a highly institutionalised and rigorous process and involves the top 500 people in the company on an annual basis over a 45 to 50 day period. We've been doing it for the last 13 ye ars, so we thought, given the maturity of the company, the time has come for us to start to update that to the investors as well.

Very quickly, it's weaved around a basic construct. The basic construct of the company is on six key pillars. What is our amb ition as a company? What is our strategy as a company? What is our approach as a company? What is the philosophy around which we have built the business? And what do we expect our market share and profit share to be as a company in this country? If you go to ambition , clearly ambition is to be a leading payments and financial services company. Have 100 million consumers, we'll end this year with 70 million consumers, as I said earlier. 3% of payments GMV, 3 to 4% of total credit and 4 to 5% of retail credit . That's clearly the ambition for us as a company from a long -range standpoint.

Strategy is to build omnipresent financial services company. Wherever the consumer goes, goes to branch, goes to app, goes to web, goes to social, goes for reward , and eventually goes virtual , we want to be omnipresent, offering all our products and services. Approach has remained simple for the last 13 years, acquire and cross -sell across all assets and liabilities and broking products to consumer, small business, commercial and rural consumers in India, across all consumer platforms.

Philosophy, build business with a ten -year view. We're very clear, financials services built with a ten -year view and deliver through the cycle 19 to 21% shareholder returns. Except for COVID, we've done that successfully for the last 12, 13 years and we intend to continue to do that. We think because of our construct , it's helped us deliver that at a design level because we take a longer -term view on building our business, it helps us anchor our business much more strongly.

Market share, clearly among the top five in every respective product that we're in. That's the ambition at the design level. And profit share , to be on the top 20 most profitable companies in India and five to six most profitable financial services companies in

India on a sustainable basis, is really the frame .

That's the construct. Now, i f you take the construct and say what does that cover in the strategy from a rolling standpoint, is really what you see on the n ext panel. We see industry, it grew, the past data is factual, the next

data is our forecast. Like everybody has a right to forecast, we have a right to forecast. Our forecast is that the total credit will grow from 149 lakh crore to 237 lakh crore and grow by 12.5% CAGR over the next five -year period.

The panel that you see, pane l 20, this is overall retail mix of India. Largely steady over the last ten years, we're foreseeing that not to change. When we look at it, we find, and we do know that for a while, that we're not there in 28% of retail categories at a fundamental level, w hich is auto, CVs and agri, which is what you see pencilled in here at 16, eight and four, if you take FY23 estimates. That's really where we see the market headed, where we see the forecast from a retail mix standpoint.

From a megatrend standpoint, what you see in this panel, panel 21, is these are 15 megatrends at a management level we've identified , that we're investing in. Across India stack platforms, products and technology, these are the 15 areas we'll go through. The megatrends don't change, but th ey get versionised over time . Clearly we see in India stack , account aggregator to be one of the big, game -changing moments for regional financial services. On platforms, we see 500 million Indians are on social platforms. We think it's a big game -changer. We think rewards is a big frame when we look at leading companies which are in retail business. We think pre -owned, given where prices of new products have gone to at a design level, from digital products to motorcycles to cars, is thematically a very big change as you move from here. In technology, AR has become consumerised, it's become real. Vernacular and voice is really how the rural consumer is engaging with any of the companies who are in rural, deeper into India.

These are the 15 megatrends that w e've identified. We'll provide an update on this at the end of every third quarter on an annual basis. If we take all these three, the strategic constructs , any retail business are organised as products, geography, platforms, horizontals. This is really where any retail business is organised . I'm not going to get into detail, but clearly, on products we intend to be among the top five players in each product line. On geography, we're already in just a tad below 4,000 cities in India .

So far, our strategy was where there's STP, there's Finserv . We are now saying wherever there's Finserv, all products of Finserv should be there or Bajaj Finance should be there. On platforms, build out social and rewards the way we've built out app and web over the last 2.5 years, build in the foundation of that and build that out as big over the next 18 -odd months, as you build ou t app and web to be. On horizontals, STP across all products as you go fully digital, we need more and more STP on service, FPC , and so on and so forth. As you go larger in size, continue to diversif y liability profile. On subsidiaries, leverage our platfo rms to originate mortgages and broking accounts for subsidiaries . 12 to 15% of that business of retail mortgage and 20 to 25% of broking accounts would or should come from us, as we take a five -year view , and we'll build this out as we deliver this.

What that means from an execution standpoint is we will launch … You see, here I don't have to go through it, it's mentioned in very clear terms, but we took a view tha

t we so far we used to do LAP only in Bajaj Housing Finance,
but as we came to a conclusion that as we build out MSME, it's one of the core products, so BHFL would also do and BFL would also do. When we looked at external market benchmarking, we found that one of the largest players which as a non-bank and a bank, also always did it that way. If we want to grow MSME, then we'll probably have to do LAP in both entities .

Bajaj+, which is so -called finance -plus, in January we already rolled out , launched New Autos. I think after mortgages it's the lowest risk category . Makes less money, but we've invested the last four years in building out used cars. We are now among the top four, five monthly originators of used cars on the back of that. Given t hat of the total outstanding in India of auto loans, 33% sits on our current franchise of 70 million. The experience that we have with 2 -Wheeler open architecture, we launched the business in June , we're already now originating

8,000 to 9,000 open architec ture 2-Wheeler loans, gives us significant confidence that we can build out a business in the new PE loans as well.

MFI, given how deep we've gone into India, is a business that we launched in a phased manner in Q4 and tractor in Q1. On the commercial sid e, emerging corporate business in Q3, B2B on QR and EDC in Q4, and so on and so forth. That's really the eight megatrends out of 15 that I showed you we will do an FY24 and the balance in FY25. That's the sum and substance gist of it.

What that means on a rolling basis, at least our forecast is, that 4.5 years from now we'll have 110 to 120 million consumers franchise. We'll have crossed the franchise of 65 to 70 million. India payments GMV versus our 3% ambition would be between one and 1.25, share of tot al credit would be between 2.5 to 2.75. You can see the numbers there, they're largely self -explanatory . Profit per customer would continue to move in tandem and AUM per customer should continue to grow in line with nominal GDP, and return on equity should continue to sustain.

We thought that's what we'll share with you. As I said on panel 25, we'll start to share along with Q3 results every year from here on , the process for us starts in October every year as a company and ends in December. That's the quar ter.

Last point, as my team is reminding me, panel 59, composition remains steady, six to five, eight to seven, 20, 20, so on and so forth. As I've always said, between 1 and 2% plus -minus, that's really where, as you can see, because mortgages are slower for the quarter, the mix from… Sorry, actually, AUM mortgages on AUM basis went up from 32 to 33.

Last point, and part of it is a point that is important I make, that we originate customers through our B2B business.

Balance sheet stack is now down to 9%. The seasonality that used to exist at a particular point in time in Q3 and Q1 for us, increasingly has gone away. The contribution of B2B as a balance sheet business will keep goin g down. It's possible sitting here next year, the 9% number which looked like 10% last year the same time, might look like 8%. It's very much possible because balance sheet is becoming shorter and shorter , churn is higher and higher. It would continue to g enerate disproportionately high customers to whom we excel in cross -selling. That's really what we do, that's how we've created a business model.

Increasingly, you will not see Q3 or Q1, which is really where B2B at a point in time, this contribution used to be 14, 15%, you would see swings. The swings will not be there. In fact, if I take the reverse point, that the Q2 balance

sheet grew faster . Q2 the balance sheet grew 14,700 -odd crore s, in Q3 it's grown only 12,700 crore s, so that seasonality effect in the balance sheet mix has largely gone away. It's an important point I thought I'll anchor. The rest, I think we are fine on portfolio metrics. Happy to take questions between me and some of my senior colleagues.

Operator Thank you very much. We will n ow begin the Q&A session. If you'd like to ask a question, please press star followed by one on your telephone keypad now. If you change your mind, please press star followed by two to withdraw your question. When preparing to ask your question, please ens ure your phone is unmuted locally. As a reminder, that's star followed by one on your telephone keypad now. Our first question comes from Piran Engineer of CLSA. Piran, your line is open, please go ahead.

Piran Engineer Thank you and congrats on the good set of numbers. Just a couple of questions.

Firstly, earlier this month in Davos , Mr Bajaj said that Bajaj Fin is looking to hire 3,000 to 4,000 engineers. It was a CNBC interview, I don't know whether he was referring to Bajaj Finance of Finserv, but just wanted to get your thoughts on what the strategy is out there ? Because it seems to be a slightly larger number in context of the fintechs that are out there.

Rajeev Jain We have hired already for the current year 650 engineers from colleges, just to give you texture on the freshers that's been hired by us, as BFL. I can talk for BFL, clearly I'm sure that must be happening for other group companies as well. We have hired 650 -odd engineers as freshers, last year we hired 300, the year before we hired 150, so clearly, we do foresee that next year we'll be hiring 1,000 -odd people. That gets decided in June because we go to campuses in August, from an engineering colleges standpoint. We, as BFL, have hired freshers of 650-odd people.

Piran Engineer Okay, that makes sense. Secondly, not related to the quarter, but when I look at insurance, I'm trying to understand what sort of fee income poten tial is out there from insurance cross -sell? When we see the commission income you'll earn from Bajaj Life and Bajaj General, it's only 25, 30 crore s annually. Am I reading this data wrong, is there more in terms of what can be done here? Because it seems to be a very small number.

Sandeep Jain Piran, you're referring to life insurance business, I think there is health insurance business, there's general insurance business, there's extended warrantee, etc. All these products carry different commission structures and they do contribute significantly in terms of overall financial outcome. That's what is the reply.

Rajeev Jain And open architecture.

Sandeep Jain We work with 27 insurance companies,

Rajeev Jain We work with nine.

Sandeep Jain We're working now with nine already. We can do tie-up with 18 more insurance companies.

Piran Engineer But would you be willing to share broadly what sort of fee income you'll earn annually from insurance cross -sell, overall, out of all your tie -ups?

Rajeev Jain Piran, as I said, they do contribute materially to the overall numbers. We ha ve not disclosed it separately. We'll see if there's a possibility for us to disclose separately and then will report.

Piran Engineer Okay, fair enough. Lastly, can you cross -sell a DBS credit card to an RBL customers and vice versa? Or is the contract t hat once you go in, the customer's locked with that?

Maneesh Sharma As a governance principle, we do not cross -sell DBS co-bran d to an RBL and vice versa. However, if the customer h

as closed his card on either side, then [overtalking].
Rajeev Jain After a cooling period.
Maneesh Sharma Then governance after a particular cooling period, it is then allowed to be cross -sold to the other card, but we do not do it while the card is still alive, that's the governance principle that we apply.
Piran Engin eer Got it, that makes sense. Thank you and all the best.
Operator Thank you. Our next question comes from Ashish Sharma of ENAM Asset Management.
Ashish, your line is open, please go ahead.

Ashish Sharma Hi, thanks for the opportunity. Rajeev, a fabu lous update on the LRS. Just one question on LRS. As per the strategy, we would want to do everything organic or is inorganic also part of this whole long -range plan?
Rajeev Jain We build businesses all organic.
Ashish Sharma Perfect. Second question would be on the BHFL, you mentioned about the competitive intensity. Just also wanted to get some perspective on how the demand has panned out, given that there has been a very, very sharp increase in interest rates, the home loan rate. It's only competiti ve intensity or there also has been some impact on the demand because interest rates have moved so rapidly?
Rajeev Jain if I'm not mistaken, this is publish ed, if I take nine -month data, that shows the housing loan s, growth is only 9%. 8.89%, if I'm not mistaken. I think that's really what I saw the number to be, if my memory is correct. Clearly, nine -month view looks like a 9% kind of number at this point, in terms of additions. The rest Atul can add on.
Atul Jain Competitive intensity , that also is fuelled by a lot of rate increase. As of now on the primary sales , because the market has two parts, primary and secondary, which is a balance transfer on the primary . In the primary side in the demand , we have not seen any significant downturn of the rates catching up. On the secondary side, given the rate increases happening at a regular time , there is a bit of a compression. So, not on the primary side, but on the secondary side there is a compressio n.
Rajeev Jain As we said, we will do our best in terms of how we price. Mind you, we only do salaried, we don't do self -employed mortgages, so in fact, in home loans also, it's the most intensely competitive space. Because self -employed home loans are, in our assessment, not priced for risk, so it is the most intense part of home loans that you are competing in or continue to compete in. A quarter here and quarter there really doesn't bother us, but we don't want to lose margin. Whatever little is there in the home loan business, any which way.
Ashish Sharma Lastly, on the performance of operating costs being lower than the revenue, you expect that we can sustain that, given that we've already done our investments? Just want some colour on that, Rajeev .
Rajeev Jain As I said, Q4 we will sustain from a guidance standpoint. Largest part of our Opex lines are salary increases , so on and so forth, new hiring. As we build out, we'll provide an outlook for next year by Q4, Ashish. But we're clearly seeing o perating leverage emerge, that is super clear. Where will it anchor? I think by end of Q4 we'll provide guidance on that as well, for next fiscal .
Ashish Sharma Perfect, Rajeev, thank you. All the best for the next quarter. Thank you.
Rajeev Jain Than k you.
Operator Thank you. Our next question comes from Abhishek Murarka of HSBC. Abhishek, your line is open, please go ahead.
Abhishek Murarka Hi, Rajeev and team. Thanks for taking my question. My first question is on this long -range strategy. A conversion to a bank

is not part of it. How are you thinking about that as part of a long range? Because if you get to 100, 110 million customers, you w ould already be among the largest out there. How are you thinking about the conversion to a bank?

Rajeev Jain I said this in our AGM in July, Abhishek, there's no plan to convert into a bank, in a reasonably uncluttered manner, let me make a point, agai n. That's as uncluttered as I can get, or as clear as I can get, there's no plan to be a bank. We foresee that even these numbers get us to be smaller than the current largest loan bank, just about there at today's level. I'm talking 4.5 years forward. If our gross NPA and net NPA sustained performance over long periods of time does not pose any kind… If we continue to manage the business as well as we've done over the last ten years, it does not create any kind of reason for us to be a bank. These numbers don't assume a bank and we don't plan to be.
Abhishek Murarka Got it, sure. The second one is again in your long -range plan, you said you'll do LAP in both BFL, BHFL, roughly modelled on the business model followed by somebody else. What will be the diffe rence again, will it be a customer profile difference or will it be similar?
Rajeev Jain No, it's similar, except… Let's just step back for a moment. The business loan business of ours, as per bureau data, and when I say market share, I am talking on a run, we only look at verifiable score. That's the aggregate credit data. Otherwise, in product lines the only data that we're relying on is bureau data. If the bureau says how many loans are booked as consumer durable loan over trend line on a long -term sustainable basis . If I take business loans booked in India on a one-quarter lag basis, that shows that 21 to 23% of the loans booked as business loans in India is with us. They're all small businesses or professionals.
When we look at the MSME sector in India, that market is 23 .5 lakh crore. The business loan market of that is only 4%. Now if we want to dominate and we want to be leading there in the MSME space, we came to a conclusion that just BHFL doing that will not be sufficient , and that business of ours is a lot more B2B. We are very, very strong from a B2B geography, distribution is very, very strong. We are sustainably the only two players in India who have done business on for the last 15 years and they were shutting it, and we're one of those. We give this very high credibility with the distribution ecosystem, so I think we already , as I said, started it. I think it's starting to move with all guns blazing already.
Atul is here on the call. In fact, he's a big votary of that fact that the margin is very, very large. That BHFL can continue to gather and we can continue to gather without any kind of compromise or conflict, in any given manner, on the loan against property business. At a price and market basis, adjusted to emerging market priced differently from Tier 2 markets, priced differently from Tier 1 markets, we offer business loans in 2,000 cities in India , plus a level of product differentiation in terms of that.
Abhishek Murarka Perfect. Just a last question, in your fees and commission expensive, now that has declined QoQ, whereas your new loans booked and customer acquisition, sequentially growth in all of those have been pretty strong. How do we think about this, that you're doing something yourselves or thr ough the app and, therefore, you're getting some operating leverage ? Or how should we think about this side?
Unidentified Male Abhishek, we are Ind AS accounting, the origination on Opex side that gets

amortised
along with the income. What you see, a large portion of that is recovery commission. As the portfolio quality continues to improve, the recovery commission has come down, actually. So, that's the reason.
Abhishek Murarka Got it. Thank you so muc h and all the best for the quarter.
Rajeev Jain Thank you.
Operator Thank you. As a reminder, if you wish to submit a question, please press star followed by one on your telephone keypad and please limit yourself to two questions, so we can complete the queue. Our next

question comes from Harshvardhan Agrawal of IDFC Mutual Fund. Harshvardhan, your line is open, please go ahead.
Harshvardhan Agrawal Hi, thanks for the opportunity. Can you please tell us what are the rate hikes that you've taken across products, apart from home loans ? If you've taken that and what's the broad quantum of it?
Rajeev Jain Quantum would be, as you can see, as we've said, that so far we've managed to neutralise the impact of increasing cost of funds and having fees in a staggard manner, pricing as well. In the fixed rate

businesses, we have probably so far passed through, depending on business to business, 50, 60, 70 basis points. It would differ from business to business, differ on dif ferent level of competitiveness in the business, differs on our moat in the business, so quantum would be hard to…

Sandeep Jain The variable price business would've got completely rep riced , in line with market rates. The fixed rate business es would see in cremental repricing, which is as Rajeev said, 50 to 70 basis points, depending on business to business. The impact of it will become visible over a period of time .

Harshvardhan Agrawal Sure, thanks. Another question is what percentage of BFL book is compl iant to that?

Rajeev Jain BFL compl iant. In BHFL we track, also in ALCO . As I said, there's no need to track. But if I tracked it, it would probably be anywhere between , my sense is, across on a consolidated basis, 14 to 16%, if we tracked it. Last we did the exercise in 20, we have not done this exercise since then. We will track it in some of our processes in BHFL, but not in BFL.

Harshvardhan Agrawal One last question is about you mentioned that you will be getting into MFI business and tractor financing. Those are very competitive business, so what kind of right to win we have in those areas?

Rajeev Jain Two things. You can ask the same question even for autos , so that we're on the same page. But autos , as I mentioned, we have a very large existing franchise setting, to be fair. MFI clearly, the core mode that we're looking at is we are very, very deep . We are now in, as I said, 110 -odd crore s penetration. There's still 30 crore coverage left, so we und erstand the stake, understand the market, understand the local district level, having done various businesses. That's point number one. Our plan is to start with two sta tes.

I must flag one thing, none of these are going to grow overnight. As I said, we b uild businesses with a five - to seven -year view, so it will be staggered frame. We launched 2-Wheeler in June, we're only in two states in India. When I launched 2-Wheeler open architecture in June, we've launched only Gujarat and Maharashtra . It's only now we are going into top 15 cities in India, so it will be a staggered frame . Business must find its feet first and then we gro w, so there's no urgency. When we have looked in the past or when we launch a business and when it became materially significant to balance sheet and P&L, it appears that it takes anywhere between 3.5 to 4.5 years by the time it

becomes material, either from a profitable standpoint or from a balance sheet standpoint. I think it's important I flag that.

We launch MFI in UP, Tamilnadu we are looking at two states and over the period of four years build out in ten states in India. When we look at even tractors, we find there are 600,000 of our customers who have a current active tractor loan, just to give you texture. The same thing that applies for PV, applies for tractor as well. MFI, I must also flag, as RBI came out with the new requirements in September, which became effective October. When we looked at those metrics, we found that there are a set of loans that we do o n a monthly basis in personal loans cross -sell, 3 to 4% of them qualify and we'll start to attack them as MFI. When we look at performance, we come to a conclusion that there is merit in us pursuing the business as well . There is some level of experience, even

there, sitting there, based on the new RBI regulation requirement. That's the background on these three, existing customer, and deep knowledge of the geography from an MFI standpoint .

Harshvardhan Agrawal Sure, thanks a lot.

Operator Thank you. Our next question comes from Kuntal Shah of Oaklane Capital. Kuntal, your line is open, please go ahead.

Kuntal Shah Hey Rajeev and team. Thanks for this update on LRS and credibility of leading the distribution ecosystem. My questions are tw o. What is the status of credit card approval by RBI for us and then NBFC in general? Where do you think you stand and what timelines do you expect for us to begin that business? Secondly , this quarter saw addition of only 27 locations , and for 27, also yo u're guiding only 600 -odd additions. Are you slowing down on geographical reach or how do we read this? Those are my two questions. Thank you.

Rajeev Jain For credit card we applied, Kunta l, we are waiting , we are hopeful, is all I can say. We'll go by whatever RBI will do, they will do it for the industry in general, I would like to believe, so for the non -bank pack and based on credentials , is the response on credit card, Kuntal. In terms of geography, the economics must work, principal number one. I don't have to be present in all 140 crore s of population in India.

The economics must work, as I tell people, from the west of India to south of India, every 30 km on the highway we have a branch now, if you stayed on the highway. This is from Gujarat to the large parts of opportunity, resilient part of opportunity from a population coverage and the economics would work, we principally now see only UP and Bihar and some parts of Northeast . That's really one of the frames that you see. We foresee that in a five -year horizon, we'll probably now land up opening only 445 -odd locations. Let me give you a specific number, of that 400 will actually com e in UP Bihar and the Northeast. Only 45 is the gap that we see in rest of India. Other than that, as Anup is correcting me, other than NFI. Urban/rural business, as you know it today, will have an eventual net addition from here from the next five -year st andpoint of 4.5 years for only 445. That to 400 in UP, Bihar and North east and balance 45 are some of the blind spots in the rest of India as you build out MFI , w will see. . That should give us 123, 124 -odd crore coverage at a redesign level.

The b igger frame, Kuntal, from the next five years for us from a strategic standpoint on LRS is, as I said earlier, our areas used to be Jaha TV waha Bajaj Finserv but now it is Jaha Bajaj Finserv waha Bajaj Finserv ke sare products . Let me give you texture. On ly 3% of our locations hav

e 80% plus of our products, we know that. But
those products give us experience, they give us a branch, they give understanding of the market, they give us understanding of the consumer. The next step on geographic infrastructure is about in a templated manner get all our products. That’s really where we’re headed. Sometime in maybe next year, LRS update, or the year after, we'll start to provide an update on how some of these things are going as well , to create greater degree of transparency in the process. But strategy is 445 more locations in 4.5 years, but focus on Jaha Bajaj Finserv waha Bajaj Finserv ke sare products .

Operator Thank you. Our next question comes from Nischint Chawathe of Kotak. Nischint, your line is open, please proceed.

Nischint Chawathe Thanks for taking my question. Again, to the same point about going into the below prime segment of the market. You already focussed on the prime segment and the mass affluent class . I understand that you by now have a reach across the country, across the particularly the highway , but still, this is a very different market, it comes with a very different mindset. Most of the companies who have been successful out here are hyper local companies who are multi -regional regional players. These are largely collection -based

model s, so how are you changing the entire business? Is it something that you're planning to do it on an experimental stage or would you do the completely different medium enterprise within Bajaj that you would follow ?

Rajeev Jain It's a very good point. As the company grows larger, one of the frames of the company, and we've done that, Nischint, good you made this point . We’re coming to a conclusion as we grow larger, a few of the businesses have to be paradised out. Actually, with microfinance we'll have three paradise units in the company. The two existing paradise units in the company are actually payments business, the technology and operations, business development . HR sits as a paradise unit, adjusted for risk, payments has very little risk from the product standpoint otherwise adjusted for risk , sits as a para dise unit.

We have done the same thing, and it's good you raise the point, I forgot, I missed making that point. If you go to our omnipresence update on the panel, you will see that we've actually upgraded our Gold loan branches from 179, full -year estimate was 225, it's at 375. By FY24 we’ve signe d off, FY24 we'll have 650 standalone Gold loan branches. With actually even paradise , we came to a conclusion that we need to paradise Gold loan as well. You now paradise it out, adjust it for risk, as I said . Otherwise, operations , cash, sales, administr ation , HR, all of those units have been paradised out. MFI will also be paradised out.

We understand fully that these businesses have different nuances, they’re to be run differently. What do we bring to the table in MFI? Unfortunately, Nischint, when I l ook at the industry, I still find very poor/relatively poor technology adoption . If they want us to scale these businesses, they must have significantly deeper technology adoption , is what my observer point of view is. As a practicing manager, the view may change as we launch it, but today our view is we can bring lots greater and de eper technology intervention from a last -mile standpoint to the business and will be paradised out.

Nischint Chawathe Just one smaller one, you mentioned that the post -festive demand was sort of weak for the first two month and, despite that, you had a re cord number of client additions. Typically you would have the B2B cu

stomers driving these client additions, so how do we consider these two points ?

Rajeev Jain Two things. As I said, clearly deeper geography continues to add NTB customers, that’s my num ber one. We showed 61 -62% of the customer currently exiting, 38 -39% of the customers on a sustained

basis. And it differs, the number between 65, 35, so continues to be NTB , that has not changed. Plus, if you got to panel 13, you'll see the customers acqui red digitally, EMI card acquired digitally, are already now near 6.5 lakh a quarter . That number of course in Q1 was, as you can see there, 122,664. I have to also still remind people that 60% of these customers pay a fee. If 630,000 came, 60% of them paid an $8 fee and went, got fully underwritten, fully digital. I spent less than ■100 across all kinds of marketing infrastructure and 60% of them pay a fee. 40% become active in a 12 -month rolling basis and balance we continue to stable it . That's how you should reconcile the number.
Just on the demand outlook, 55% of the B2B loans are now digital, meaning mainly phone, by laptops, etc., also our digital products. Take phone, month on month, if you take September, October, November, Decemb er, if you take the IDC shipment data, it continues to trend downward. That's the real data. The shipments in India on a … Sorry? 7% de -growth annualised and last quarter 12, 13%. But it will recover. I think it is also coming in on a high base, 21, 22 ever ybody was online. India could not buy as many laptops as it would've liked, life had to go on, so people bought a lot more phones, so there will be some degree of year -on-year averaging there. That, a lso, one has to take into account before one takes the v iew that is it a structural downturn or a transitory downturn? I think it's transitory, you should start to see a pickup. As I already said, Jan is looking better.

Nischint Chawathe Perfect, thank you very much.
Rajeev Jain Nischint, it's been a long time, me and Sandeep were remembering you .
Operator Thank you. Our next question comes from Krishnan Asv of HDFC Securities. Krishnan, your line is open , please go ahead.
Krishnan Asv Hi, Rajeev and team, thanks for taking my question. This is more a governance query, or an observation. Cleary you have been setting an example in all the right ways on so many financial parameters. It's a little unusual when you see the level of open secu ritisation on the likely transition around KMPs within BFL, especially for a franchise that's been driven so scientifically. It's either reflecting a complete lack of governance controls or it appears to be a deliberate ploy. It's just an observation and provide your feedback, if you may.
Rajeev Jain Krishnan, I don't understand your point. Can you be more specific?
Krishnan Asv In case there is a likely transition within BFL, that you seem to be aware of at a board level, etc., I think this is ideally something that you should bring out in the public domain, instead of letting many pockets of speculation open up. It's just an observation Rajeev .
Rajeev Jain And then when we do, as and when the board decides or such discussions happen, we will of cou rse let the street know. There's no discussion on it at all, so there's nothing for us to disclose.
Krishnan Asv Great. My second question has a little bit to do with the business, it goes back to one of the earlier queries around how do you pivot from b eing a mass affluent franchise to something that becomes a little more mass oriented and what kind of risk controls you have in place in order to prepare the franchise for that ? May

be if you could elaborate a little bit.
Rajeev Jain It's horses for courses , Krishnan. Even in the businesses that we're in, somebody could argue tha t, is Gold loan a mass business or a mass affluent business ? The way we run the business is our average ticket size is 3X of what a non-bank lender loans . We find pockets even within that because we think share of wallet eventually works better than number of customers. Even within, as we get into some of these businesses, we look for pockets. If you take the 2-Wheeler financing business that we've launched in o pen architecture, we're doing this time more Honda than we're doing Hero . It's no secret that that scooter customer is better than another mass agri customer.
We tend to, at a philosophy level, identify pockets where a customer has better behaviour from a consumer standpoint, has a larger wallet for us to cross -sell to. That's the philosophic response to the answer. May there be such opportunity in MFI and the b usiness to go live only in Q3, so as we get deeper into it, we are already in January, we'll take a view there. Otherwise, for CV, industry service transition to super mass affluent . If you see the structure of the industry, the mass cars are now selling o nly affluent and super affluent cars are selling. Gold loan, I gave you an example, 2-Wheeler, I gave an example, so we look for wallet rather than look for balance sheet.
Krishnan Asv Got it, thank you.
Rajeev Jain Thank you.
Operator The final que stion we have time for today comes from Dhaval Gada of DSP. Dhaval, your line is open, please go ahead.

Dhaval Gada Thank you for the opportunity. Congrats on the good set of numbers, Rajeev. Just one question, more a clarification from an understanding perspective. From the slide, it implies around 6.3 lakh crores of AUM by FY27 and about 26,000 crore profit, whi ch is implying the 26, 27% AUM growth and 23, 24% profit growth. The question is you've given us the target of 26, 27% AUM growth and you have a long -term guidance of 130, which again implies similar outcomes . Normally, most companies you see that as you grow in size, in many companies the growth starts tapering off or size comes into the picture . In our case , we seem to be in a zone that will be stea dily compounding for a fairly long period of time. What would you attribute this to? Is it the franchise, is it the product that is driving it? What exactly is the reason for this, in a fairly long period of compounding at a similar pace of growth? Thanks.

Rajeev Jain 10% of the loans booked in India, plus -minus, between 9 and 10% of loans booked in India every month, but only 3% of assets. Let me give you one single metric . If I take long -term Euro data, that means just on the franchise is a gap of 7% sitting there. On e, you need full product coverage, it goes back to the earlier conversation and, two, you need platforms, that’s really where the investment existing in the last 2.5 years in app and web platform and in the next two years in the social and the rewards plat form. Between products and platforms and consumers you already have, and with the long -term orientation that we have, just keep playing along is all we need to do. I don't think we need to reinvent anything. We've got to keep mining and, as I said, product coverage will get completed, platforms you built out over the last three years, and a 70 million franchise with a 40 million customers ending this year, all we just need to do is continue to just mine those clients. That’s what gives us confidence, let m e make a point. That remains a tremendous opportunity. To

do it too quickly ,
it's a problem. Do it too slowly, it's a problem . Just at a cruising altitude, growth oriented , so that we’re all on the same page , don't see this to be a challenge. Mind you, I'm not making a new point. In July we made the point, in AGM, that we'll get to 4 lakh crore. That was three -year plan, this is five-year plan and, i n that, one year is gone. We will add this year, I've said already, 53,000 crores of balance sheet. Doing too much, 52, 53, between 64 to 67 and 75 to 80 . Some of the numbers, as I keep telling people, it took us 15 years to get to 2 lakh crore. It’ll take only 18 years for us to get to 4 lakh crore. That’s compounding and we are very clear, we are not l etting this opportunity go, to build a once in a while opportunity that comes our way in building this business out.

Dhaval Gada Got it, thanks. I wish you all the very best. Thank you.

Operator Thank you. This concludes today’s Q&A session. Therefor e, I hand back over to the management team for any closing remarks.

Rajeev Jain Thank you. Have a good weekend. Thank you for your patience.

Call: Apr 2023

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29 April 2023

Dear Sir/Madam,
Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 March 202 3
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disc losure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations
In furtherance of our letter dated 2 6 April 2023, the transcript of Q 4 FY2023 investors conference call has been uplo aded on the website of the Company at https://www.bajajfinserv.in/finance -investor -presentation .

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take the above on recor d.

Thanking you,

Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in

Encl.: As above
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune)

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"Bajaj Finance Limited
Q4 FY '23 Earnings Conference Call"

MANAGEMENT : MR. RAJEEV JAIN – MANAGING DIRECTOR – BAJAJ
FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF FINANCIAL OFFICER –
BAJAJ FINANCE LIMITED

MODERATOR : MR. SAMEER BHISE – JM FINANCIAL LIMITED

Modera tor: Ladies and gentlemen, good day, and welcome to Bajaj Finance Limited Q4 FY '23 Earnings Conference Call, hosted by JM Financial. As a reminder all participant lines will be in the li sten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note tha t this conference is being recorded.

I now hand the conference over to Mr. Sameer Bhise from JM Financial. Thank you, and over to you, sir.

Sameer Bhise: Thank you, Neerav. Good evening, everyone, and welcome to the 4Q FY '23 Earnings Conference Call of Ba jaj Finance Limited. First of all, I would like to thank the management of Bajaj Finance for giving us the opportunity to host this call. From the management team, we have Mr. Rajeev Jain, Managing Director, Bajaj Finance, Mr. Sandeep Jain, Chief Financial Officer of Bajaj Finance, and the entire senior management team of Bajaj Finance and its subsidiary.

Without much ado, I would want to hand over this floor to Mr. Rajeev Jain for his opening comments. Over to you, sir. Thank you.

Rajeev Jain: Thank you Sa meer. Thank you JM for hosting this. Very good evening to all of you. I have a set of my colleagues here. A good evening from them as well. I'll essentially be taking you through very quickly over the next 15 minutes through the investor deck, which we've uploaded on the Investor section of the website and also filed with BSE and NSE.

So let's just quickly jump over to the investor deck. Let's jump over to Panel number 4 quickly. Quarterly, I would say, excellent quarter across all financial and portfolio m etrics. We delivered INR16,500 crores of core AUM growth. We added a tad below 3.1 million new customers to the franchise in Q4. All products and services are now live on web and app platform, which is really what the work that we've been at over the last 2.5 years.

App platform alone has 35.5 million net users. We had gross installs of 54 -odd million last year. And as of 31 March, the net installs are 35.5 million. We are amongst the largest -- global largest in the finance place on Google Play store among the top 4 organic downloads in the world. So I think that's been the effort that's been made by the company to fully go digital. In terms of financial metrics, core AUM grew 29% to INR2,47,000 crores, opex -to-NIM last quarter came in at 34.1%, very close, again came in at 34.1%. PAT, it's ever high PAT of INR3,158 crores, growth of 30% in Q4.

ROE just a tad below 24% at 23.94%. Gross NPA, it's the lowest ever in the history of the company. I mean, and if you adjust this to 180 days past due and so on and so forth, I think these numbers are ever low numbers. Net NPA came in at 34 basis points en ding March '23. Very quickly on full year, given that it is the fourth quarter, excellent year overall across all financial and portfolio metrics. We delivered core AUM growth of INR55,292 crores. We have guided for INR52,000 crores to INR53,000 crores of AUM growth in the beginning of the year. Now we disbursed 29.6 million loans. We added 11.6 million new customers to the franchise, the highest ever customer addition that we've actually done ever as a company. As earlier mentioned, fully live on app and w eb, 35.5 million consumers on the app platform.

Overall, in general, given the exit momentum of AUM growth, robust portfolio metrics, as you will see, as I take you through and a highly scalable digital stack, we are pretty confident about growth and portf olio metrics for FY '24. In terms of core AUM growth, full year, I talked about 29%, opex -to-NIM full year came in at 35.1%. PAT came in at INR11,508 crores, a growth 64%. ROE full year came in

at 23.46%; and net NPA, of course, as of March 31, is at 34 ba sis points.

Let's just quickly jump to some key points on Panel 5. Overall, B2B disbursements were up 21%. You're seeing data coming through on how mobile phones are de -growing by 20%, how shipments are going down and mind you out of B2B disbursements that we do anywhere between 40% and 45%, maybe a little more are essentially digital products or mobile phones. In that environment, growing 21%, I would say, demonstrates strength of the franchise and the distribution. So far, as you look at having entered th e year, so far, April, we are tracking reasonably strong.

In terms of customer franchise, I talked about 3.09 million customers. We're reasonably confident we should be able to add 11 million to 12 million new customers in FY '24 as well. Depending on how the first half goes, we'll see if there is an upside to that. Overall customer franchise stood at 69.14 million. Cross -sell franchise for the first time crossed 40 million at 40.56 million. We added 19 locations to -- and ended the year at 3,733 locations. Overall, in the year, we added 2 30 new locations. We are adding -- most of my location footprint is front loaded. So we are adding 150 -odd new locations and over 300 stand -alone gold loan branches in Q1 alone as we traverse through Q1. The liquidity buffe r pretty strong at just a tad below INR12,000 crores.

Important point on Panel 7, NII grew 28%. Opex -to-NIM came in at 34.1%, Q4 FY'22 was 34.5%. So continues its downward trajectory. We had articulated last year was 34.5%. We continue to invest, investing in social and rewards as two key platforms. Rewards will go live sometime between Q3 and Q4. Social will go live sometime in Q1 FY '25. Employee head count stood at 43,147. In terms of credit cost, fully normalized loan losses and provisions now in terms of -- came in at under INR860 crores. We continue to hold management overlay of INR960 -odd crores. GNPA, as I said, came in at lowest ever at 94 basis points, net NPA 34 basis points.

All portfolios, across 11 portfolios that we publish are all green, incl uding our auto finance portfolio, which is -- despite not being an ever -high AUM, peak AUM was INR15,500 crores. It's still a tad below INR13,000 crores, 93.28% of the portfolio is current. I have not seen that number in the last 16 years. Peak number used to be 89%, 90% only.

In terms of profitability on Panel 8 very quickly, capital adequacy remains quite strong. ROE I talked about. ROA in Q4 came in just 3 basis points, if I'm not mistaken, below Q3. So Q3 was 5.43%, Q4 has come in at 5.4%. Capital adequ acy pretty strong, both BHFL and BFL remain

very well capitalized from a Tier 1 capital standpoint. Tier 1 capital was -- for BFL was 23.2%. BHFL had a very good quarter. Overall, AUM is up 30%, just at INR69,228 crores. Home loans grew 24%. You're all wat ching how there is a slowing growth in the home loan industry, given the two years of rapid growth, the loan against property grew 4%, LRD grew 64% and developer finance grew by 92% albeit on a lower base.

And as you see below, the DF book is essentially 9 % of the book. DF book from a model standpoint in terms of portfolio composition as I've said in the past, when we model our business on leading companies, principally we'll anchor around between 12% and 14%. That's really where it will quote unquote get capped at from a portfolio composition standpoint and 60% anyway has to be a home loan model as part of our principal business criteria as outlined by NHB . Overall approvals in Q4 grew by 21% for BHFL.

Very quickly, operating efficiencies. Net interest income for BHFL grew 40%. Opex -to-NII stood at 26.5% versus a year ago of 32.5%. GNPA, NNPA, they continue to play their role in ensuring from a sum of parts strategy standpoint that we continue to deliver rock -solid ass

et
quality at 22 basis points at IN R70,000 crores, as you can see. Actually, an 8 basis points is one of the lowest in the industry, if not the lowest in the industry.

Panel 10, just single point, for BHFL, profit before tax grew 52%, profit after tax grew by 53% to INR302 crores in the qua rter gone by. Bajaj Financial Securities, not a material subsidiary at

this point in time. We continue to invest in building out the HNI Broking business, continue to building out, launching new app features, we added 42,000 customers and overall franchise crossed 0.5 million mark.
Let's quickly jump to -- on a full year basis very quickly given it is fourth quarter. I talked about on Panel 12, core AUM up 29%. New loans I talked about, on a full year basis, grew 20% to 29.6 million. Customer franchise also grew 20% to 69 million. Net interest income, I talked about, grew 32%. The Board of Directors at the meeting that just concluded today have recommended a dividend of INR30 per equity share and 1,500% dividend for FY '23 amounts to 17.65% of standalone pro fit for FY '23 and is completely in line with the company's dividend distribution policy that's been outlined and improved. So the company has recommended, Board of Directors have recommended a dividend of INR30 per equity share of 1,500%.
Very quickly on to Panel 15, an important point. I mean, we've gone -- this is some of the omnipresence strategy update. App platform has fully gone digital across all products and services. It's going live in a staggered release manner. Some people may be able to see som e of them, some will not be able to see. It's just going live on Android and based on the sta ggered methodology should fully happen by 30th of April at 50%. 50% would be live by 30th of April and by 15th of May, should have gone live 100%. Web=App, we are on track . At a design level, what is visible in app, will be visible fully in web by 29th of April.
We published a set of metrics last year from App platform standpoint to demonstrate that how important and strategic it is for our business going digital . The same thing from Q2 onwards, we will do for Web as well. We'll publish a set of Web metrics that we'll start to populate every quarter from Q2 onwards, we will just wait for the platform to stabilize in Q1 and start to publish

the metrics from Q2. Going forward, all features that go live on app will also go live on web on the same day that it goes in app . That was really the original objective as we outlined in December '21, when we talked about App=Web strategy.
Payments, lots of action in payments, scal able UPI infrastructure has gone live on consumer app platform. It's scaling pretty well. Will help improve performance significantly, I would say, new features like Contact Mapper capability, UPI Autopay functionality is going live. iOS will go live in en d of April as well. In Q1, lots of action continues to happen. We continue to invest in the payments business, a new payment CLP, refer and earn functionality, faster settlement for merchants is going live. Checkout page on PG providers will start to becom e visible. Bajaj Pay Wallet will start to become visible on checkout page of leading payment gateway providers.
QR deployment, I think we went live with merchant QR in November. We started to accelerate QR deployment from December onwards. I think company has made massive strides on QR deployment. In the last quarter alone, we deployed 413,000 merchant QR. We estimate based on various reports that India has 31 - 32 million overall merchant QR. We principally think anywhere between 2.1 million to 2.5 million merchant QR of Bajaj Pay we will deploy in FY '24. So we are accelerating the deployment of QR. That's really the goal of FY '24 for us as a company. We'll start to complete the stack further. The Bajaj Pay EDC machines will also go live in Q1 FY '

24 with features like merchant onboarding. These are benchmark metrics or features that will start to go live.
There's MVP1 going live in June and MVP2 going live in September. Between these two, we should have a reasonably well benchmarked products. It'll start with existing distribution partners and will go open architecture fully by September, October. And we're quite excited about taking the entire stack of payments having worked on this for the last two years to our merchant ecosystem of 133,000 merchants and also to open architecture.
Very quickly, these are some of the metrics on 17, 18, nothing -- I mean, we're largely green on most of the metrics over Panel 17, 18 that you can observe. Panel 19 is an important panel. This is a panel that we started to publ ish on customer franchise, key financial metrics because at the end of the day, the franchise is growing, is it leading to AUM per customer franchise is growing or not. And is the PAT per cross -sell franchise growing or not. We've delivered a record number . As you can see, these are seven -year numbers right here from FY '17 to FY '23 from INR1,670 per cross -sell franchise profit, we ended the year at INR2,837.
As you can see, '17, '18, '19, they were normal years. Even '20 was a normal year, barring last end, even on those four years, since then, we are principally looking at just a 70%, 80% growth in profit per customer franchise. And AUM per customer franchise has remained pretty steady. We don't expect any change in this metric to happen. We should contin ue to deliver better outcomes as we go from here.
Let's quickly jump to Panel 37. This is financials, 29% core assets under management growth, total income grew 32%. Net interest income grew 28%. Operating expenses grew 27%. Loan

losses grew 22% and profit s grew 31%. So we've started to now largely look at a normalized frame of 28%, 27% -- loan losses growing 22% and profits growing 30%. On a full year basis,

core assets grew 29%, total income grew 31%, NIM grew 32%, loan losses de -grew 34%. And as a result , profits grew 64%. The ratios are here below. I've talked about on a full year basis, ROE came in at 5.31%. And operating expenses to net interest income came in at 35.1%. ROE came in at 23.5%, as I mentioned earlier.

Let's quickly jump to cross -sell fran chise Panel 48. 40.5 million customers. You can see below, we started Q1 with 2.73 million customers, went to 2.61 million, went to 3.14 million. And normally, Q1 and Q3 are peak quarters. That's really how we observed over many years now, at least in the last four years, five years. So in a way, we were just a tad below Q3, which is normally a peak quarter and came in at 3.1 million new customers added to the franchise in Q4. So gives us reasonable confidence that we can maintain a 11 million to 12 million customer franchise growth in -- I mean, I do dream of a day when someday we'll have 100 million consumers -- customers for us as a company sometime in the near term.

Let's quickly jump to Panel 52. This is the AUM mix. Identical, that's one word for it. T wo-wheeler, three -wheeler 5% a year ago, 5%; urban sales finance, 8%, 7%; urban B2C, 20%, 20%; rural, 2%, 2%; 8%, 8%; 13%, 14%. And loan against securities is 7%, but that 2% as you -- that's where the difference between core and otherwise is, which as a residual number is at 6%. Commercial lending is 7% and mortgages at 31%. We don't expect, as I've said multiple times, we don't expect this product mix to change in any given manner. And we think we can continue to comfortably grow while maintaining this mi x plus -minus 1%. 2% will be a big number given our size of the balance sheet, 1% plus -minus is possible.

Just last panel in terms of provisioning coverage, Panel 55, overall GNPA, two -wheeler is now around to 4.79%. Rest of the numbers are all in -- SME le nding, you see 1.

24%. Rest are all
below 1%. In terms of net NPA, two -wheeler, three -wheeler finance, 2.43%; and rest are sub -25 basis points, as you can see. And that's how we came in at 94 basis points and 34 basis points from a year ago, which was 1.6% and 68 basis points to 94 basis points and 34 basis points. So overall, in a pretty strong position from a portfolio quality standpoint, just last panel on stage -wise ECL. I mean, as you can see here, there's -- as of 31st of March, we are around 64% PCR on Stage 3, on Stage 2 at 31%, as you can see, and Stage 1 is at 80 basis points. So pretty well positioned and strongly placed. That is really the quarter. On portfolio metrics, nothing to talk about, they're all at what I would call ever -high numbers. So -- or ever -best numbers that I've seen in a long, long time. So that's the quarter gone by.

Happy to take questions between me and the management team.

Moderator : Thank you very much. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So couple of questions. Firstly, with respect to the entire penal charges, digital document which came from RBI. So what is the kind of impact in terms of how we see capitalization of charges happening? And how much could be, like say, the proportion of penal interest versus penal charges for us?

Sandeep Jain: Yes. So Kunal, first things first, we don't capitalize charges into the loan account of the customer. So we are largely unimpacted by the RBI regulation. Of cou rse, it is in draft form at this point in time, we will await final guidelines from RBI. That's one.

Second, I think the bigger consideration that is coming out in the guideline is that, is the charges being considered for profiteering. Very clearly, the p enal and bounce charges that we get from the customers are lower than the commission or recovery costs that we incur for collecting the EMI. This is not for profiteering. The charges that we collect are basically to take care of the cost that we incur for collecting the installments.

Rajeev Jain: We also benchmark these fees and charges with regard to the industry on an ongoing basis and adjust them suitably if you find any areas of improvement or opportunity.

Kunal Shah: Okay. And maybe it should not be li mited by the penal interest. So that definitely is not there -- as far as this is concerned.

Sandeep Jain: That's correct.

Kunal Shah: Okay. And overall in terms of the penal charges within the other income, what could be the overall proportion of it? If you can quantify that?

Sandeep Jain: Yes, Kunal, we do disclose as part of the annual report, the breakup of fees and charges into service admin charges, distribution income, fees and value -add service . The service admin charges or a decent contribution of service and admin fees is from penal and bounce charges.
Kunal Shah: Okay. So this service and admin, it should be largely the penal charges?
Sandeep Jain: Yes. A large portion of that would be penal and bounce charges, that's correct.
Rajeev Jain: But mind you Kunal, we were saying, it is corresponding number and recovery commission that's sitting in the expenses line. That's the point he was earlier making and both are published.
Kunal Shah: Okay. And secondly, Rajeev, maybe compared to last time in te rms of indicating with respect to competitive intensity as well as focus on margins vis -a-vis the growth we don't see that commentary this time added. So anything which you are seeing at the ground level, or are we more confident in terms of say growth goi ng forward? How should we look at that, yes?
Rajeev Jain: India banking is now retail banking. So principally, then everybody is competing with everybody. So then what is there to talk about competitive intensity. That's why I removed it. So your observati on is correct. I mean, if wholesale is

growing at 5%, then the only thing that's
growing is retail. So that's one part. Overall, in general, when I'm looking at the bureau data in terms of disbursements, overall consumer credit growth metrics are looking v ery, very strong. So as I said, India credit market is increasingly looking more -and-more retail. So those with the franchise, those who understand risk, and those who have the products to sell to consumers , and those who can keep them engaged through vari ous digital channels should win. I think that's principally the orientation.

The only point I would make, when I look at the overall unsecured AUM, overall engine, we think our market share is between 7% and 8%. The opportunity remains pretty large. But gi ven the rapid growth of personal loan disbursement by a host of players who've not seen a cycle, I worry a little bit about it because I never want to forget that PL principally is a risk business, and it's not a balance sheet business. It is principally a risk business. So that's the only other additional observation point I would make.
So growth is strong. Momentum is good, strong across product lines, India banking is mostly retail and unsecured is growing probably the fastest. I'm not talking credit car ds here. I am talking unsecured PL here. So I would just worry about, because those who've seen cycles are probably, would be more mature about it than others. You won't see that sentence anymore until such time just on a lighter vein. Until such time Indi a banking goes back to more balanced mix of retail and wholesale.
Kunal Shah: And margin vis -à-vis growth in terms of balancing that out? So we have sustained it, but…
Rajeev Jain: So you can see Q4, I mean, rates have been going up, given our strong ALM that we've continued to manage as a company and the diversified balance sheet profile. Actually, if you look at full year, there was no impact of interest rate hikes on NIM in FY '23. I think that's a factual point now. Do we expect gradual moderation in m argins in FY '24? The answer is yes. But if you assume one more rate hike, we expect NIM moderation of 40 to 50 basis points on a full year basis.
That's really what our -- and this is including one more rate hike. And mind you, part of it will get mitigat ed if I took an overall P&L view by peaking of opex metrics, best ever credit metrics will partially mitigate that frame as well. So it should overall have low impact on ROA and ROE profile as we get into FY '24 is really how we are seeing things to be.
Kunal Shah: Okay, great. Thanks, and all the best, yes.
Moderator : Thank you. The next question is from the line of Dhaval from DSP Mutual Fund. Please go ahead.
Dhaval: Yes, hi, Rajeev. Congrats on strong performance. I just had a couple of questions. First was relating to customer acquisition. So I observed that since third quarter, we've seen significant pick-up, especially on physical acquisition because digital, by an d large, has been steady around 600,000 mark. So just wanted to understand if we've made any major changes on the risk or any new product which is driving this acquisition engine. If you could just talk a little bit around that. And the outlook for next ye ar, I think you sort of concertedly revised the guidance on customer acquisition as you got confidence on the physical piece . How do you think about the next couple of years in terms of new customer additions? So that's the first question.
Rajeev Jain: No, it's a very fair question. See, in the last 120 -odd days, we've looked at capacity planning lot more closely. Of course, geographic expansion happens as it happens. Because as we -- mind you, we've been running through pandemic it's been one acti on, go forward, one action going back. I think at a design level, that's really how through last three years have been. In the last

120-days, as things started to look up and full normalization seemed to fully revert. I don't mean just in pandemic.

As we s tarted to have greater control over the P&L, we looked at the capacity planning across our businesses, more so in sales finance part of our business and have significantly ramped -up our staffing both at the stores and in terms of people who manage them all the way from 1 to 3,700 cities in India. That's starting to in the last 60, 75 days yield significant results. That's really almost well, Dhaval, we do see -- we should be able to dispense 35 -odd million loans in FY '24. That would be a reasonable metric for us to -- which will be a 20% growth. So it's not like -- but we do see that number move.

Dhaval: Got it. And the second question is around sort of income profitabilities?

Rajeev Jain: I talked about it earlier, Dhaval, that we do see some level of mo deration. I made that point, right? I mean, we want to protect profitability because at the end of the day, through COVID, that's one of the things that, that protected the company and all its constituents. So we expect NIM moderation of 40, 50 basis point s, as I said earlier. But as I've said, opex metrics have already peaked. Opex to NIM is at 34.1%. Should look anywhere between 33.7% to 34% on a full year basis next year. That's really what we are looking at. Credit metrics hold. They are looking strong. So, net impact on ROA and ROE should be reasonably low.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: I just had two questions. The first one was that, yesterday Bajaj Auto ann ounced that they had applied for an NBFC license. So, any impact on your business from that? That's the first question.

Rajeev Jain: It's 5% of our balance sheet today, which is essentially captive. You are aware we've started open architecture two -wheele r financing. So, this was announced not yesterday, this was actually announced a year odd ago. Bajaj Auto had also announced then, that they're applying for a NBFC license. I think they have applied for one. So that's also in public domain. And as they get the license, they set it up, they'll decide how to go about, how much do they want to book the business here and so on and so forth. But it's in a 24 -month horizon, I would see we should expect no change, but we'll see.

Second order, we are building our o wn open architecture two -wheeler financing business. We we launched that business in June, July. We expect that business to be 2,50,000 to 3,00,000 two -wheeler loans non -Bajaj Auto in the current fiscal. So we're now already clocking anywhere between 11,00 0 to 13,000 new accounts every month. And it's a staggered rollout. We for the first six months did not rollout in many cities. Having gained confidence we are now accelerating the pace a little bit and foresee 250,000 to 300,000 open architecture accounts . So, that's really how we see. Yes. Sandeep, Sandeep had a point.

Sandeep Jain: So, Mahrukh, I think, we move a significant volume for Bajaj Auto. I think, we remain a large partner for them. We continue to work with them in that spirit. Post the RBI lice nse to run their

own NBFC, they can decide what, they deem appropriate for their company. We continue to run the business.

Mahrukh Adajania: Thanks a lot. My next question, you probably partly answered it. But my next question is that most NBFCs and banks are bullish on demand for FY'24, whereas a lot of market participants are a little worried about the high base and a possible slowdown. So what is your view?

Rajeev Jain: So, one, I think India seems well placed to grow at 6% and above . So, I think that's point number one. As I said earlier, overall consumer credit growth seems quite strong. If you look at some of the bureau data, that we're tracking on a three -year pattern standpoint, the numbers look very, very strong. As I said earlier, in some of those segments, it's my personal view, when I see that level of growth that worries me a little, but that's for each company to manage its own risk and play.

We do, our view would be, if we could, given our exit momentum. We principally think given the best ever portfolio metrics, strong customer acquisition engine, a strong AUM growth, exit rate that we 've delivered. And a scalable app and web digital stack. We should be able to grow anywhere between 28%, 29% on a consolidated basis with an equally sharp focus o n profitability in FY'24 as well.

Mahrukh Adajania: Okay. Thanks a lot. Thank you.

Rajeev Jain: Thank you.

Moderator: Thank you. Next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.
Umang Shah : Yes. Hi, thanks for taking my questions and congratulations to Rajeev.
Moderator: Umang, sorry to interrupt you. But we are losing your audio. May I request you to come in a better reception area please?
Umang Shah : Yes. I'll just repeat. Two questions that I have, first is on the leadership transition. So, with Anup and Rakesh onboard with, on the board in their new roles, is there any change in terms of roles and responsibilities between yourselves and the senior leadership team, if at all?
Rajeev Jain: The answer is, no. I mean, you know, principally, the reason for appointment of the two senior colleagues of mine on the board, as the company grows larger and works towards delivering its long-range strategy. We have to continue to, we must as a company cont inue to augment the bench. And as a result, the company onboarded both of them who are Deputy CEOs of the company doing very large roles as board members. They bring vast business experience and which should really help the company as it continues to grow from here on. So that was the objective of they're moving as Board members, as Executive Directors.
Umang Shah : The second question that I have is on the asset mix. So FY'23 as you already spoke during your initial comments, AUM mix hasn't really changed m uch. Our portfolio metrics are looking really

great. And I think you also have a closer to about INR1,000 -odd crores of management overlay, which is sitting on the balance sheet. Then in that case, given that you're talking about some NIM pressures. Is it possible that we may see the tilt of the balance sheet shifting more in favor of riskier or unsecured assets? Or we are targeting for maintaining similar sort of asset mix?
Rajeev Jain: No, this is our mix. This is our mix, plus -minus as I said 1%. It's also hard to change this mix. At INR2,50,000 crores, I can't shift this mix unless and until, and there is no unless and until. I can't shift the mix. And we like this mix. I think it delivers optimal ou tcomes from a risk management and scalability standpoint. So, plus -minus 1% is really how it's likely to change. It's been not only just two years, if you go back even to 2020, the number was 32%, 33%, let's say we take mortgages as an example. So, these n umbers are largely, have been in the corridor, even in '19, '20, if I look at it. So, not likely to change, Umang.
Umang Shah: Understood. Perfect. Great. Thank you so much and wish you good luck. Thanks.
Rajeev Jain: Thank you.
Moderator: Thank you. Next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead.
Saurabh Kumar : Hi, sir. There are two questions. One is, how is your market share in subvention fee, I think right now, basically in the 50% assets . And the second is in terms of credit filters, relative to your own history where will you be? Will your credit filters now be below the 2018 level? Or, if we can get some sort of your comments on that? Thank you.
Raje

ev Jain: Both are fair questions. at a design level, we are a mark et leader by a wide margin, you know that. So, I don't have to tell you, intend to remain so. Earlier point that I made to one of the questions that we've augmented our B2B infrastructure, significantly given we are seeing stability. So, we are likely to s ee th e market share grow is really what our view is. Given the investments in the last 90 days we've made on staffing. So, the market share number, if you go by value it would be upwards of 50%, by value. Volume; we make a set of choices, because we have t o deliver growth and profitability.
We make a set of choices and those choices we're very clear about, that they're made to ensure we make per unit economic profit. If you don't make per unit economic profit, which meets your threshold irrespective of what our competition is doing, we would not do. And I still said, we're still, we foresee that we should grow volume itself by 20% in the next fiscal. So that's what our view on point of sale business is, Saurabh. In terms of risk filters, at a design level, w e were very, very tight over the last three years. As I said earlier, that, we all now looking at pandemic in hindsight.
But benefit of hindsight is you're out of it also. We were very, very tight over the last three years. As you've seen data flow, based on data, by market, by line of business, we take decisions. So there is no answer that I have a lose stand or I have a risky stand or so, it's data determined. Whatever the data says is how we run our business and we intend to continue to do so. You know, Sandeep is just telling me that, so that people don't mistake. We used to say, that our subvention market share was, it used to be 67%, 68%.

Our reasonable estimate which is between 60% to 65%. And I would say, it's very likely in FY'24, it will go back to that level. Definitely, in terms of value. So he is just saying, so that the metric is not confused with. And that was a value market share in terms of disbursement, upwards of 50% number that I talked about. This is subvention market share.
Saurabh Kumar : Thank you.
Rajeev Jain : Thank you.
Moderator: Thank you. The next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.
Bhuvnesh Garg: Thank you for the opportunity. Just a data keeping question. So sir, what could be the n umber of active customers as on March '23, basically the customers who are currently in active loan and paying payment…
Rajeev Jain: We're banking 30 million customers currently every month . We have 18 million, 19 million MAUs on the digital app platform, but the banking number is real and material.
Bhuvnesh Garg: Okay. Thank you. That's it.
Moderator: Thank you. The next question is from the line of Abhishek from HSBC. Please go ahead. Abhishek, may I request you to unmute your line from your si de and go ahead with your question, please. Due to no response. We move onto the next participant. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Yes. Hi, thanks for the opportunity. Got couple of que stions. First, again, you have explained in details, but now considering that your customer franchises reached almost closer to a third of the entire sort of a bureau, a data base count. Now from here onwards, I mean, you are still expecting kind of a clos e to 16%, 17% growths in the franchisee annually. I mean, do you expect, you to continue to sort of increase the penetration in the current bureau database customers? Are you expecting this, that the so called loanable customers of the bureau database, its elf to grow at a certain rate. So that's number one. Second, just in terms of your experience, are you seeing some kind of a slowdown in mortgages in this kind of a high rate environment in the current going month.

I mean, what's your sort of reading for e arly reading for FY' 24 mortgage? So, you have two questions. Thank you.
Rajeev Jain: So, I'll, you know, in general, our experience is for the new customers that we bring on board, between 60% and 65% of the bureau score of 750 and rest 30, 35 are new to credit. That's our, in general, multi -year track record. That's our experience. That's empirical experience over the last many, many years. That has not changed even in FY23. So, I think there remains a lot of room is the only point I would make. On home loan demand, Atul is the right person to opine, but I'll just say that I think clearly higher interest rate and high inflation in general lead to slower mortgage demand. I think, so there's no, I'm only making a point that is known for the last many decades. It just flows through at a cascading level into the sector. So, I think that's the o nly point

I would make. We grew 24% in the quarter that went by , on a full year basis grew 30%. Our size remains small.
Atul Jain: So, as far as home loan is concerned, what we have seen in the last two quarters, towards in the affordable segment, affordab le segment, when we say, I don't mean affordable as per EWS definition, but let us say 50 lakh kind of a unit, we have seen a slowness in uptick because as a higher interest rates and the inflation, I think has bricked in into some part, but overall demand still remains strong. Overall home sales remain strong. Inventory at the industry level, I think is all time low. In few markets, it is even less than 12 months, which is there and the luxury demand in the upper premium segment demand remains very strong. So, in FY24, as of now, we don't see a major demand compression, if I have to say, my view or the way we are looking at the market.
Rajeev Jain: And I 'll just add to what Atul said, our overall size remains small. Aggregate balance sheet is INR77,000 cror es, aggregate 69,500 there and another 7,000 aggregate balance sheet here, INR78,000 crores. So, we have a lot of headroom to grow, even if the growth is slowing down.
Atul Jain: Thank you.
Moderator: Thank you. The next question is from the li ne of Prak har Sharma from Jefferies India. Please go ahead.
Prakhar Sharma: Thank you. Rajeev , just two questions, one from a slightly longer term per spective.
Sandeep Jain: Didn't get your name.
Prakhar Sharma: Prakhar. Sandeep, Prakhar here. So, I just wanted to ch eck on two things. One is on the upcoming announcements around one of the large corporates, Reliance Group trying to foray into this company, into the segment. I know hardly anything is known, but from your perspective, Raj eev, how do you prepare Bajaj Fin ance for something which can be intense? We don't know, but how do you prepare within the information that you have? That is the first thing and I'll have a small

data question after that.
Rajeev Jain: Yes, I would n't like to comment on competition. That's point number one I would make. India represents tremendous, very large opportunity for long -term growth in financial services. What is in my control is that I would work, instead work towards realizing our ambition of 100 million consumers, which is reall y the ambition that you have outlined, and take a disproportionate share of these 100 million consumers' payments in financial services, products and services. With a laser -sharp focus, I would say, on frictionless experience. That's really what I would do . Opportunity remains very large and we compete. We compete today with those who have been in this business for decades and decades. It's a highly competitive industry. That's really what I would say, Prakhar to you.
Prakhar Sharma: Got it. Just one small clarification, if you can make, on this margin trajectory and cost. Maybe it's neutral at an aggregate level, but just to understand the

margin lever more, this 30 -40 basis point readjustment that we could see between FY23 and FY24, is it contingent upon a nother rate

hike or it would nevertheless happen and we would probably still have only a little bit impact on ROA, nothing more than that, if you can clarify that part.
Sandeep Jain: So, Prakash, 40 -50 basis point compression that Raj eev referred to does f actor in potential one increase by RBI. So, it does take into account that consideration. That's point number one. Point number two is, again, Raj eev clarified that we don't expect a significant impact on the ROA and ROE for the company. I think opex to na me it is currently at over 35% for the current year. We are expecting it to be below 34% in the next FY24. That should give us some savings. Overall impact to ROA could be 5, 10, 15 basis point and max.
Prakhar Sharma: Perfect. Thank you so much.
Rajeev Ja in: Thank you.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Thank you for taking my question. My first question is, in the last quarter, when we articulated our long -range strategy, a few segments that we are looking to enter, MFI, vehicle financing, we just wanted to understand, are these all going to be organic capabilities that we are going to build at Bajaj Finance or there could be some acquisitions along the way?
Rajeev Jain: So, all organic, no inorganic. That's the answer. We like to build businesses rather than buy businesses. So, and we've already outlined our ambition, towards our ambition, products that of our customers' wallet that we don't offer, which we got to cover. I also said, however, in the last quarter's call, that the new product launches contribution to AUM will not be material number for next three years. Let me make that point. Let me reinforce actually that point. It will, the next three -year AUM is essentially going to come from the current set of products that if you take a five-year view, which is really why we published a five -year strategy, the answer is yes. In a three -year horizon, we are not likely to see material change in the produ ct mix stack and the contribution of these products to the overall AUM. So, and next three -year AUM will come from existing set of products essentially.
Abhijit Tibrewal: Thank you Raj eev. My last question is again on this personal loans, O Ds, unsecured pe rsonal loans. You briefly touched upon that earlier, where you also highlighted that given that we have a whole host of NBFCs who have entered this segment, NBFCs who have not seen many cycles in the path and who have entered this segment, how I said quali ty could really pan out for this product? My question here is, Raj eev, I mean, from what I understand, we were at least among NBFCs, the clear leader in this product segment and probably we still are. But given that we have, I mean, I can think of so many NBFCs today who have entered this personal loans, O D product segment, started offering all these flexi loans, which we have championed in the past. Are you seeing, I mean, the pie itself going up or are they some of these NBFCs gaining market share from yo u in this segment?
Rajeev Jain: When I was making, talking unsecured personal loan, I was not meaning NBFCs. Let me clarify, I was meaning the overall banking system because NBFCs are only 20% of the system, the 80% is banking system. I think that is, so I was meaning the entire banking system, banking being or

the financial system, including PSU, private, public and NBFCs. And the order is, this is not the order, I mean all. And as I said, when I look at the numbers, I hope people have modelled their model s to know these are fixed interest rate products, have a cycle and they know they have only be

en going longer across the industry, what we can see.
So that is really what I was meaning. But I was not meaning fintechs, I must reinforce that point. I was not meaning fintechs, I was not meaning small loans, I was referring to INR3 lakh plus average personal loan, which is, so that is really what I was principally referring to because the small ticket personal loans deliver volumes, they do not deliver disburse ments, they do not deliver value. So, as I said, as An up is saying that, is it risk adjusted or not? That is the point Anup is making. It is a fixed interest rate, long tenor, cycle not accounted for frame is the only point I am flagging, if I may say so.
Abhijit Tibrewal: Fair enough. This is useful. Thank you very much and wish you and your team the very best.
Rajeev Jain: I would just make only one point. I mean, you know, the rightful thing to do would be to seek, if I may say so, as investor community so that I am not, is to look at bureau data. You know, I am not speaking from personal assessment, I am speaking from a, bureau data on a formal structure basis is the reason I am making the point. So, that is, and I would encourage you guys to engage them and seek information whatever they are able to provide.
Abhijit Tibrewal: Thank you so much.
Moderator: Thank you. The next question is from the line of Piran Engineer for CLSA India. Please go ahead.
Piran Engineer: Yes, hi. Thanks for taking my question . So, firstly, if I may just start off, given that you all are meaningful players in the credit card market and revolver shares across the industry are down, just what are your thoughts on, you know, what will it take to improve, what are the levers to offset that as a credit card player?
Rajeev Jain: I mean, you know, we are, we essentially distribute on behalf of RBL and DBS. I see the RBI data on spends and revolve and so on and so forth. It clearly does seem that structurally revolve rate is down and no body has an answer to spends are not down that much, spends are up, but revolve is down. There is something at work and nobody seems to have an answer. And we essentially are mere distributors. So, we have only that much insight into the profile. But I, whatever I hear, I do clearly hear the revolve rates are down anywhere between 8%, 10%, 11%. Yes, so, you know, so nobody knows the answer.
Piran Engineer: To offset that?
Rajeev Jain: You can't offset that, right? I mean, you know, it's a, it'll build up. H aving said that, I would just say to you that principally, the only logical reasoning that everybody is able to come to is that a lot of customers who would revolve and over long periods of time and these cycles have been seen in the Western market when a crisis happens, the revolve rate drops dramatically. And over time, the new customers come in whose revolve rates are high, and it builds as part of the overall balance sheet to reflect the high revolve rate. That's really a cycle play. Yes, so sometime, i t's

time that you'd wait for, it won't happen quickly. But would it sometime go back? The answer is yes. When one will have to watch monthly data, so far is not demonstrating is what it seems to me in general, that revolve rates are up in any given manner. From whatever I can read in public domain.
Piran Engineer: Okay, fair enough. And my next question, you know, basically, in the last con call, we discussed what sort of yield hikes have been taken in fixed rate products, you know, and in the last nine months, it was about 50 to 70 bps. Have we seen further rate hikes in fourth quarter? And are we expecting in FY 24? The basic reason of asking this is that, you know, in the last one year, home loan players have passed on the entire cost of funds to their bo rrowers. Whereas auto loans, personal loans, these guys who you would have thought would have been able to pass on and

not been able to pass on the entire increase in cost of funds, which is pretty counterintuitive. So just wanted to get your thoughts on t hat?
Rajeev Jain: No, no, your point is absolutely correct. Logically should have happened. Anyway, it goes back to the point on competitive intensity, right? People are gathering assets are they mispricing? Asset gathering is a question that will have to be answered someday. Is the conclusion that one would reach is what I would say, Piran. So it's for each company to determine. Sorry.
Piran Engineer: Have we hiked after December? Till December it was 60 -70 bps.
Rajeev Jain: Yes, we have not hiked.
Piran E ngineer: No. Okay. Okay. And if I just may squeeze in a yes or no question now with this removal of commission caps for insurers, you know, any meaningfully higher distribution income possibility for you?
Sandeep Jain: Piran, difficult to answer. I think IRDA has come out with regulation at this point in time. And the insurance companies are expected to review it, see the performance of the intermediary, see

how propense, how penetration is going up. And based on that, probably take a call in terms of
what is righ tful commission that they name appropriate. I would say, depending on the size,
scale, and the unique feature that a corporate agent can bring to the insurance company.
Rajeev Jain: And performance of the portfolio.
Sandeep Jain: I think IRDA has reasonabl y liberalized it. They have given caps. And within that, the insurance
company is expected to follow policy. So we will await that.
Piran Engineer: Got it. Great. Thanks for your answers and wish you all the best.
Moderator: Thank you. Ladies and gentlemen , that will be the last question for today. I now hand the
conference over to Mr. Samir Bhise for closing comments.
Samir Bhise: Thank you, Nirav. Thank you, everyone, for joining this call today. Thank you to Raj eev and
team for giving me the opportunity to host the call.
Rajeev Jain: Thank you. Thank you. Thank you so much.

Moderator: Thank you very much. On behalf of JM Financial, that concludes this conference. Thank you
for joining us. We may now disconnect your lines. Thank you.

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

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20 October 2023

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 30 September 2023

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 17 October 2023 , the transcript of Q 2 FY2024 investors conference call held on 17 October 2023 at 6 pm IST has been uploaded on the website of the Company a t https://www.bajajfinserv.in/finance -investor -presentation .

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take the above on record.

Thanking you,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune)

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Bajaj Finance Q2 FY 24 Conference Call Tuesday, 17 October 2023

Issue 1.0 19/10/2023
0800 138 2636 | conferencingservice@netroadshow.com | www. netroadshow .com

Subramanian Iyer Hello, everyone, this is Subramanian Iyer from Morgan Stanley. Thank you very much for joining us for the Bajaj Finance Q2 FY24 earnings call . To discuss the results , I'm pleased to welcome Mr Raj eev Jain, Managing Director, Mr Sandeep Jain, Chief Financial Officer, and other senior members of the management team. Thank you, Raj eev and Sandeep, for giving us the opportunity to host you. So, without further ado, I now invite Raj eev to take us through the key financial highlights for the quarter , post which , we will open the floor for Q&A . With that , over to you, Raj eev.

Rajeev Jain Thank you, Morgan Stanley, thank Subru for hosting us. I have with me, a few of my colleagues here , Anup, our Executive Director , Rakesh , our Executive Director, a few other senior colleagues in the room here . I'll take you through the investor deck, which has been uploaded on the investor section of our website. I'll refer to that.

So, without taking too much time, let's just jump right into panel number four , which is our executive summary. So, I would say a good q uarter across all financial and portfolio metrics. AUM grew by 20,167 crore . We booked over eight and a half million loans in the quarter that went by, added 3.58 million new customers. And Bajaj Finserv app now has just a tad below 45 million customers . Overall , AUM crossed 2, 90,000 crores to end at 290,264 crore , a growth of 33%. Opex to NIM continues to hold at 34%, which is really were it was last quarter, as well. PAT grew by 28%, 3,551 crore. ROE, crossed a hurdle rate of 24%, to come in at 24.1%. A nd net NPA remained pretty steady at 31 basis points.

If we move to the next panel very quickly, I won't make all the points , but I have talked about AUM growth , I've talked about AUM , new loans booked, I've talked about. B2B

disbursements grew by 31%. They came in at 80,610 crore s on

a year -on-year basis. New car financing business has gone live. We are now present in 85 locations. We are quite excited about the business and the way it's kicked off , and festival season is anyway right here. The microfinance pilot was launched on 1st September. It's a pilot, based in 12 villages in India, in UP and Karnataka , and 100 locations are on track to go lives by March 24. And if all goes well next year, we'll have 300 villages in India by March 25.

Customer franchise, I talked about it, 3.6 million addition. Overall, the first half, we've now added 7.42 million new customers to the franchise. The franchise is at just a tad below 77 million customers. I think we are very confident that we will add this year between 13 and 14 million new custo mers . We added 106 locations to the overall location footprint , and now it's at 3,934 odd locations. Liquidity, buffers stood at 11,400 crore, so they remained pretty strong . Q2 cost of funds came in at 7.67%, sequentially, it grew by six basis points. Dep osits book, so liabili ty, focus remain ed as strong as the assets side and grew by 39% , just a tad below 55,000 crore s. Operating efficiencies , overall , NII grew by 26% , and NIM compression in the quarter was 14 basis points on a sequential basis . Ope x to NIM continue d to hold steady , as I said earlier , at 34% .

Employee headcount cross ed 50,000 people, we added 4,500 people and annualised attrition, at this point in time, is at 13.5% versus the same time last year , when we did not publish this metric , it was 18.6%. So, clearly, we are heading in the right direction as a company on employee attrition , as well. Credit cost came in at 1 ,077 crore . We released 100 crore of management and macro overlay was released in th e current quarter. GNPA and NNPA are pretty strong at 91 basis points and 31 basis points. You can see a movement of four basis points sequentially and three basis points. It's just daily DPD frame, rather than anything else. I f you have any question s that Sandeep can answer later, or Fakhar i can answer. But there's no movement there, except for these ... It looks the best in the fourth quarter , just to give a texture. It looks flattish in the second quarter. It looks flattish in the first quarter .

Sandeep Jain Flattish in the first quarter. And then Q2 has the noise of 92 days in a quarter, resulting in higher flow off GNPA .

Rajeev Jain Quarter three is …

Sandeep Jain Flattish.

Rajeev Jain Flattish. So, Q1 and Q3 are flattish, Q2 is a little elevated , and that's how it will be every year , and Q4 is better. So, that's how we, daily DPD moves. So, you will see that it's very marginal, but just to make the point . Stage three assets, as you can see, continue to be in the right direction . Risk metrics except B2C businesses remain , all green, except B2C, which is yellow. PAT, I've talked about . PBT, I've talked about. Annualised ROA came in at 5.16% as against 5.41% , mainly NIM compression, which is slowly bringing us back to pre-COVID levels. Overall, on a full year basis, we feel that another 20, 25 basis points , 30 basis points of NIM compression that will happen between operating leverage , and so on and so forth, we should be able to sustain a 5% ROA on an exit basis , as we deliver the full year . Capital adequacy remained strong at 2 3.2%. Tier -1 capital of that was a tad below 22% at 21.8 8%.

Just two updates, you're aware of this . The B oard of Directors has approved raising capital to the extent of 10,000 crores. 8 ,800 crore through QIP and 1,200 crore through preferrential allot

ment to Bajaj Finserv , to the promo ters of

the Company , which is Bajaj Finserv. So, that's just one update. And the second being Pennant Technologies, in which

the compan y has entered into a binding term sheet for acquisition of a 26% stake in the company for an aggregate amount of 267.5 crore, valuing the company at 875 crore. I will just jump quickly to the omnipresence update on page 11. All metrics are moving in the right d irection. Downloads , 16.5-17 million in the quarter. Net instal ls are 45 million . In-app programmes , 134, remain among the top five on Google P laystore . 35% service requests are now coming through consumer requests , service requests are coming through the app. UPI handle , bill pay transactions , are all moving in the right directions . We remain highly focused on app and web metrics , and the momentum remains pretty strong .
On panel 13 quickly, no panel 13. Just on key financial metrics, panel 14. 13 or 14? On panel 14, pretty much very steady. As you can see, H1 FY 24, 62,195 AUM per customer, PAT per customer is just a tad below RS 1,500, cross sell franchise, we're in the right direction, all metrics are moving in the right direction . We remain pretty co mfortable with the ability to mine the franchise , and continue to generate similar outcomes as been so , as you can see on this pane l, for the last seven , eight years. Jumping quickly to the end of it , so that I can open up for questions , on portfolios metrics. As you can see , all of them , two panels 52 or 51. 52. As you can see, everything remains within the corridor . Consumer durable and lifestyle , 99.51 , current two wheeler , three wheeler , 94.71 , current digital products , 99.41 , urban B2C, 98%. A ll of them remain better than Feb 20.
While even rural B2C is just a tad below where it used to be in February 20 , but from a management assurance standpoint, as you can see, the stage two used to be 110 basis points, it's 140 basis points, and that's why it's a yellow . Otherwise, in general , we are very comfortable on credit metrics. Just one last point I wanted to cover on PPC . We have added a new panel , which is panel number 41. It's a new panel that we've added. This used to be there five or six yea rs ago , as our product portfolios continue to move , as various products have got added , whether on the lending side or on the payment side , it was a question , from various investors , how has your PPC been moving? So, I will take two minutes to make the poi nt that there are four key blocks , in which our product per customers is broken up into.

Lending , all lending products of the company, distribution of products and services, all value -added products and services of BFL and partners , deposits, fixed deposi ts and systematic deposit plan s, which is FD, and payments is any one of them being bought by the customer as taken as one payment product . It's really how they've been slotted . As you can see , as of 21 , we used to have 5 products per customer , and there used to be two colours , as of FY 23, there are now three colours . It has moved from five products per customer on the left hand side that you see to 5.81 products per customer. As of the first half of the year, at this point in time, it's lookin g like 5.97 products per customer , 35 to 40 basis, 0 .4, is now payment s product. On the right hand side is as customers get onboarded , principally, how do they move? 12 MO B, 18 MO B, and 24 MOB as they complete.
So, if we are originating more and more cust omers, the left hand side will look a little suppressed. So, both have to be looked at that in 24 months onboard, because in the last

18 months , principally , we've on boarded 19 million new
customers . Last year was 12 million customers , and this year first half is 7.5 million customers, that's 19 odd million customers. So, as they are mined and as they warm up to do become more engaged using digital assets and otherwise, their take up rates improve. So, look at both of them independently , is the only point. With tha t I have come to the end of my points that I wanted to raise. I am h appy to answer any questions , between me and the management team members . Subra manian, over to you.
Subramanian Iyer Nadia, I think we can open the question queue.
Operator Of course. Thank you very much. We will now begin the question and answer session. If you
would like to ask a question, please press star , followed by one on a telephone keypad now. If you change your mind, please press star , followed by two , to withdraw your question , when preparing to ask your question , please ensure your phone is un muted locally. Ladies and gentlemen, we will wait for a moment while the question to assembles
Thank you. Our first question goes to Antariksha Banerjee of ICIC I Prudential. Plea se go ahead.
Antariksha Banerjee Hi. Thanks . I have two questions. One is starting from the point that the rural B2C is still lagging red a nd I think last quarter , we have spoken about some analysis that we were conducting on the leverage of customers and how that's mov ed. Any update you would want to share on that , and any portfolio actions that you're updated since then ?
Rajeev Jain So, we wanted to really publish we are ready , but principally, the B ureau , technically , did not
allow us to publish that , and rightfull y so. But we can share some of it, as we want to publish it. So, the way it's looking is if you take 20 , 22 and 23 , in terms of count of loans that India was dispersing across all personal loans have grown from 4.5 odd crore by 202 2 to seven odd crore by 23 , and last year , it was 10.5 odd crore, 10.7 crore, to be precise. The larger growth principally seen was less than 50,000 and an 8 lakh plus, just at a frame level. So, that level two

input s for you. On an AUM basis, however, the less than 50,000 contribution to the total , and the total AUM looks to be like 13 . 5. It grew from 7.5 lakh crore in FY 20 to around 13 .5 lakh crore
Treat this dat a as 98%, 99% , so take it at a trendline level , rather than the 1% to 3%, if I may say so, adjusted , otherwise directionally , these numbers are … So, 7.63 lakh crore has moved to 10.5 lakh crore to 13.5 lakh crore. What it principal ly says is that at the industry level, the 93.73% of the total balances of 7.6 lakh core, it used to be current in FY 20. That number , in FY 22 , was 91.75% current. And that number in FY 23 is 92.21% current, i ndustry level , this is industry. When we look at that versus us, we look like , in FY 20, we were at 98.2% current . As of 22, we were 97.12%

current, and as of 23, we are at 98% current . So, when we look at this data, what they also told us is that less than 50,000 is really where a lot of corrosive outcomes are. And what level two told us is that, principally , those who have more of them, it doesn't mean they're more leverage d, but those w ho have more of them are more leveraged , are more imprudent , sorry, not leveraged .
I will clarify and re-emphasise the point, they're not necessarily more leverage d, they are more imprudent . So, what we have is we have cut between 8% and 14% of the business in urban and rural , 14% in rural and 8% in urban , as a preventive measure to those who have more smaller ticket loans, while they may be

short term in nature, represent
imprudence . So, that really , we would have liked to publish this data , becaus e it would help you guys. But for technical reasons, we could not publish this data. I want to make a last point, we are looking at this data very closely on a month on month basis , and taking decisions to ensure we continue to protect the credi t risk and portfolio risk in the company.
Sandeep Jain Just two call outs from my side. As Ra jeev called out at the beginning of the call , itself, I think take the data with a pinch of salt. This is based on our internal assessment of how we understand the data to be. That’s poi nt number one. Point number two is the portfolio health that Rajeev referred to. W e have taken into consideration customers with low delinquency all the way up to 179 days overdue. Customers beyond overdues of 180 days past due were ignored , because the write off policies to various action s that respective banks and NBFCs , would take , we are not privy that. So, from a comparison point of view, we have only considered customers from no delinquency up to 179 days overdue.
Rajeev Jain It's an important call out so . We are doing this exercise for all portfolio s. It’s not just for unsecured , because the overall supply side , as I keep making the point , across asset classes has increased significantly. So, it's not just for unsecured . This principle applies to all our product lines , and we've acted across product lines , as a company , to make sure that this imprudence , and it shows up . So, you may have a home loan with three BNPL , and I don't have , shows up that if you have three BNPL, your default rates look to be two, 2.5 X. Even for home loan, just as an example to make the point.
Antariksha Banerjee So, just [overtalking] follow up on this? Based on this exercise, do you conclude that the larger ticke t 8 lakh plus, or even maybe the 5 lakh plus, if it is more overlapping with our customer base, despite having grown so fast , is relatively less of a problem , at least at the moment ?
Rajeev Jain So, if you look at the 8 lakh plus , in FY 20, that number look like 291 basis points. 8 lakh plus in FY 22 is looking like , 90 plus I’m ta lking, it’s looking like 120 basis points , and 8 lakh plus in FY 23 is looking at 115 basis points. This is industry. We were 28 basis points, in FY 20, we were 31 basis points , and we are at 18 basis points. So, yes , we do conclude that adjusted for less than 50,000 , numbers in general , or greater than 51,000 and above are looking lower than FY 20 .
Antariksha Banerjee Thank you. I just have one other different topic, and I'll not take much time. This is regarding the capita l raise. I just want to understand what are your plans of utilising this capital in the mortgage business versus the non -mortgage side of the business, especially given the fact that the housing business is supposed to live separately as per the regulation s?

Rajeev Jain Principally , that li sting is eight, nine quarters away . As of now , it's eight quarter s away . I have said in the public domain that we have formally placed , requested for an extension. Point number two, it's principally , capital adequac y, as you heard me, was 21.8 8%. Strong growth on both sides, both BFL and BHFL . H1 24 momentum , if I look at it, has been the strongest that we've seen in the last four years. We virtually added 43,000 crore on a consolidated basis. Even BFL is launching a whole lot of new lines of business , non Bajaj Auto has gone live, we are now doing 20,000 non Bajaj Auto two wheelers a month . LAP in BFL has gone live , new car financing

has gone live , MFI
pilot , I have just talked about , tractors is going live on January 1st. Emerging local corporate in BFL going live in December.
So, clearly , there is action on both sides of the balance sheet, and we are prudent allocators of capital. So, at a fundamental level, all I can tell is we will prudently a llocate capital, and those who generate the sustainable return on equity will get capital for all our lines of business , I don't mean entities . And we are very capital prudent . Lastly, I think since you talk capital raise, we always raise capital , and cons istently demonstrated our ability to deploy it effectively and deliver medium term ROE goals. So, even while we have one year to raise capital, even as we raise capital, we are clear that the short term /medium term goals of ROE hurdle rates that we have established will n ot be compromised in any given manner.
Antariksha Banerjee That is very well appreciated. Thanks for your time.
Operator Thank you. And the next question goes to Viral Shah of IIFL S ecurities . Viral, p lease go ahead, your line is open.
Viral Shah Hello . Congrats, Rajeev and Sandeep , on the good numbers. So, while you a nswered the first piece of my question on leverage, I just wanted to clarify is it possible to do that , if not now, but maybe next quarter , when the capital raise is done , then that is consent for putting out data in terms of leverage at the customer end?
Rajeev Jain We will try and work closely with the Bureau , because we are not de-constrained . We will work with the Bureau, and try and assess. Maybe , if they deem appropriate that you guys can reach out and work with them , that is also probably … We will assure you that we will try our best.
Viral Shah Thank you. And just incrementally , on that piece of question is within the housing finance subsidiary. So, right now , the mix of home loans , LAP is actually sub 60%. And because of the opportunities out there in the market, I think we are seeing opportunities in the developer and LRD segments. But what's the timeframe over which you have to reach 60%?
Atul I'm Atul here, I'll answer this question. So, regulatorily , we are required to have a 60% asset mix by 31st March 2024. That's an RBI guideline . And against that , as of 30th September, we are at 59%. The definition of our residential housing varies as per the regulation , so that includes 50% of individual home loan s, which has to exclude top up. W hen you see the publ ished figure, when you see home loan at 56% , actually , the home loan , individual home loan , which is excluding top-ups and the other VAS product component is roughly around 51%. Then up to 10% , you can have a CRE RH, which is called an amount len t for construction of residential dwelling units. So, when you add both as of today, as of 30th September, we are at 59.01 , which is very close to 60% , which is required by 31st March 24. We intend to meet that before the regulation given time .

Viral Shah Fair enough. So, there is not going to be any incremental material delta from that , in terms of mix change even from now .
Abdul Right now it is 59.01 , so 59.01 has t o move to 60%, and yes we have a good six months, our attempt will be that up to 31st December, which is Q3, itself, we should be reaching that number of 60%, which is required on 31st March 24.
Viral Shah Got it. And the last piece of the question, Rajeev . In terms of when I look at those panels for different products , what I see is that for some of them, the stage two has come down , and probably the stage three has gone up . So, whether you look at B2

C, there is a phenomena th at you are referring to earlier , right ? Nothing incrementally to read into it .
Sandee p Jain This is exactly the thing that we are referring to .
Rajeev Jain That's panel 49 .

Sandeep Jain The customers we re stuck because of days past due logic into stage two in the last quar ter, and because of 92 days quarter, which is 31 days of July , 31 days of August , and 30 days of September, these customers have moved from 89 days to over 90 days in the current quarter.
Viral Shah And it should correct in the third quarter, basicall y?
Sandeep Jain Yes. The t hird quarter, as Raj eev explained, it will be a normalised qu arter . Some noise will come in Q4 again, where because of the number of days in the quarter being lower, one may see one month of skip, in terms of the GNPA classification .
Rajeev Jain You may just want to clar ify to everybody, that because we bank on 2nd , it is important .
Sandeep Jain This phenomena is pretty specific to us , because in most of the businesses, the banking due date for the customer is 2nd of the month. That creates an anomaly of customer s getting stuck to 89 days at times in a given quarter.
Rajeev Jain 99% of our banking across the entire 24 million customer s, 23.5 million customer s we are banking, would be today on the second of the month.
Viral Shah So, just to get it right. In the quarter s where the number of days are higher, you will see mo re slippage into stage thre e, right?
Unidentified Male Yes. And this is specific to Q2. Fortunately , there are only four quarters in a year , so it can't be more than one quarter , so this is specific to Q2. Q2 normally ends up losing out , and Q4 happens to be gainer , because of days past due logic .
Viral Shah Got it. It makes sense. Thank you. That's it from my end.
Operator Thank you. And the next question go es to Piran E ngineer of CLS A. Piran, p lease go ahead , your line is open.

Piran Engineer Hi. T hanks for taking my question , and congrats on the quarter. I just wanted to understand your NPLs in B2C, both urban and rural , are pretty much similar , but we have green in one and yellow in one. And the same thing for SME, which is an unsecured product, y our NP Ls of 1.25%. So, I just wanted to understand why we treat them as different , in terms of our outlook. And s econdly, will we expect , like we've seen growth in rural B2C slowing down this quarter , will we expect it to slow down in SME and urban B2C next quarter onwards ?
Rajeev Jain It's purely data dependent , at this point in time . The only place where we are stance , in fact, let me make a point , and I made that last quarter , that principally , rural B2C slowed further. It grew year -on-year, the first quarter , 17%. Actually, you saw the number s, 21 I had clarified it had g old loan, in the second quarter, it’s actually grown only 12% . So, it’s pure data dependent , as we feel . Now, that’s one part. S econd, as I said, Piran, technically , I can tell you it's green, but we are exactly stating what I'm … The greens, the yellows , and the reds are management assurance. What do we assess the position to be? That's an important point , is what I would just want to make to you . If you go to urban B2C, you see stage 2 at 143 basis points and 95 basis points.
Whereas here it’s 109 basis points and 141 basis points. And leave even the number, it could have been 109 or 120. It is possible where we may have still give n mana gement assurance at yellow. I just want to clarify that .
Piran Engineer I thought it was 1.19 . I'm looking at slide 48.
Sandeep Jain Are y

ou looking at the GNPA?
Rajeev Jain Go to 51 and 52, which is really where we provide management assurance of f. So, if you see urban B2C, we are on 52, you will see. You see 143 basis points, and you see 95 basis points, this is urban B2C. If you see the next panel, which is rural B2C, you ’ll see 109 basis points and 141 basis points . And we’re starting to see it come off. So, it’s possible by February or so the business will start to grow again, is really how we… Sandeep, do you want to make a point?
Piran Engineer The only confusion is slide 48 and 52, because 48, when I just loo k at the numbers numerically, fine, this is GNPA and you're referring to stage two, fair enough . Sorry, carry on.
Rajeev Jain It moves to the GNPA always. So, the early metrics is what is the current, what is the stage two and then stage three . In our bu siness, we like to get things in early buckets, rather than in late buckets, at a philosophical level.
Sandeep Jain And I think, Piran, what you’re seeing is the position on a given day, which is for the respective quart ers. We are also looking at eventual flow into losses. So, what you're not able to see is the bounce rate, you're not able to see collection efficiency , and the eventual loss that's flowing in the P&L. Based on that, we also determine whether a particular business should be tagged as green or should i t be tagged as yellow . At this point in time , we believe Rural B2C should be tagged as yellow and we should take corrective action which we have already taken.

Rajeev Jain That is growing lot more slow ly, because that ’s what we can do.
Sandeep Jain And probably, one quarter from now, if we find things are looking better, the entire portfolio , bounce rate, efficiencies , and flow to losses are looking better, we may restart growing the business back again.

Piran Engineer Got it. And then secondly , on your LRD book , and that's been a strong growth driver , can you just give us some more colour on the book , in terms of how much of it is in malls versus offices , or who the type s of landlords are , etc.? I know that in the past you said that it is even safer than LAP.
Rajeev Jain We won ’t be able to name.
Piran Engineer Okay, that’s fine. But some comfort around it. Because it's grown to $2 billion now.
Atul Jain So, I'll give you the complete texture , so now what we do , as an LRD produc t, by definition, we generally don't do retail malls. We do generally a grade A commercial. It's a 12 year old business for us , we have been doing earlier there , and we have always seen an impeccable behaviour . Now on a basic guardrail, generally , mall s and the retail malls are not done , barring one exclusion , which is at the REIT level , where we have a retail exposure. The business has always been 100% current for us, irrespective of the size. It is generally , the lease , the rental s are to Fortune 500 companies , mostly to MNCs in the IT sector. It's a grade A commercial. So, 100% of the portfolio , largely , would be grade A commercial , with retail being only one where the large corporate is there which is a REIT exposure, which is a non-grade A commer cial office space.
The lessees are all largely Fortune 500 companies , and all cash flows are escrowed , by normal definition , receipts in escrow to discounting the EM I requirement, we have clear buffers of close to 30 % to 40% . And escrow complian ce is clearly adhered to. J ust to give you a total comfort .
Rajeev Jain Last point . If they were ever butterflies in the stomach on this business, that was March 2020 till March 2022 . Because w e thought w

ork from home was the new future , what would happen to th is portfolio ? This portfolio , even between Mar ch 20 and Mar ch 22, we did not see a single instance of default . If there was ever a n event that those 24 months would be best case, much hard er than any other portfolio , for this, because they were all emp ty, and the rentals had to keep coming .
Atul Jain And one last datapoint on this , just to give . Our total vacancy in our LRD portfolio is 1.6% against the total commercial mark et vacan cy of close to 15% to 16%. So, the vacancy levels , even whe n we normally have a large cushion in the cash flow to, there , the total vacancy at a portfolio level is 1.6% . Because we get to know through .
Piran Engineer This is very useful. Thank you so much, and all the best.
Operator Thank you. And the next question goes to Abhishek Murarka of HSBC. Abhishek, please go ahead, your line is open.
Abhishek Murarka Hi, Rajeev and team, congratulations for the quarter. So, just one question on this NIM guidance . You say there is another 30 bps of compression to go, mostly due to an increase in cost of funds. And it’s pretty much unlikely that you will see any yield co mpression here.
Sandeep Jain Abhishek, yes, I think if you look at the overall interest rate curve, it's significantly volatile in recent times. This is based on our assessment of the situation, as of today . We believe cost of fund is heading northward s. Of co urse, as I said, volatility has remained in place for quite some time now. I think the bigger thing is replacement of old money that we had borrowed for two , or even three years, at a very, very low price. They are

coming from maturity and renewal . As rene wal takes place for us and for the industry, the cost , also for us, tend s to rise. And I think a significant portion of them are coming for maturity between the next quarter and probably the early

part of Q4.
Rajeev Jain So, I think it will peak o ut by Q4, but clearly, second, third , and fourth quarter, we will see, replacement as the largest driver .
Sandeep Jain If you notice d, in the current quarter , movement in cost of fund was quite marginal. But I think it is the cash momentum in Q3, probably.
Abhishek Murarka Got it . And very unlikely that you would have space to increase yield in any of the segments ?
Rajeev Jain Yes. We never diluted , the answer is yes. Other than our variable businesses, variable businesses being 3 2%, 33% m ortgages, that's one part . And two, the commercial balance sheet, which is 7%, that's 40% , another 5%, 6% is LAS. So, 46% of the balance sheet has variability , the rest of the balance sheet … Of course, competitive activity may not allow us to, bu t just from a variable to fixed balance sheet component standpoint, 54 percentage is fixed . And 46% is variable. But saying with the last point, I would say and that's really where we've been continuing to invest in building our digital transformation , in our omnipresent strategy. And as I said over the last two quarters, we have peaked out.
So, clearly, operating leverage will start to play through . It’s playing through already the last two quarters , it will start to play through more so as we move from here. And there will be a moment when we will further accelerate expansion , as we saw . For the next few quarters, we do clearly see operating leverage to play a bigger role in mitigating the NIII compression.
Abhishek Murarka Rajeev, in your Opex, that wa s my second question on Opex, what is the extent of the discretionary element? So, out of , let's say, quarterly 3 ,000 crore amount, how much is di

scretionary that you can run
down , apart from banking on operating leverage to drive down the cost ratio s?
Rajeev Jain I keep saying to people, we're an entrepreneurial company . If I don't want to spend the money, I don't want to spend the money. 45% is fixed . That's compensation , that’s salaries. The rest, I can argue with you, I m ean just theoretically . Can we squeeze out , and we did that in the pandemic . I want to make , it is a philosoph ical point, rather than how much can be squeezed point. We remain a growth company , so it's not like we go back to the pandemic days , where we really worked hard on squeezing costs out . But we are a lot more optimal , or optimising , cost more than we are at this point in time. That’s all I will say, Abhishek.
Abhishek Murarka Sure. And just one quick question on Pennant T echnologies . If you can shed some light on how exactly it helps? W hat are the plans there ?
Rajeev Jain Rakesh?
Rakesh Bhatt Our relationship with Pennant actually goes a long way back. I was mentioning that, and you would have read also, that it’s a strategic investment. Our relationship with Pennant Technologies goes a long way back , in 2016 , it began, and it is strengthe ned year -on-year. And we are at a stage , wherein we are migrating our

full core back end loan management application on to Pennant T echnologies. So, being a core platform, and our partnership being quite good , and the founders running the company quite well , they have a lot of dimensions, which made it imperative for us to invest into Pennant Technologies. As you understand , the scale at which Bajaj F inance operates , we require d a very robust platform . Our multiple group companies also use the platform, Bajaj H ousing Finance uses it .
The full end-to-end lending suite of Pennant T echnologies, and a couple more companies are also planning to g o. So, at a Group level , also, it really made sense for us to do investment. And finally, we don ’t move technology investments on a financial basis. It ’s more of a strategic business, what we intend to do . With the owners and the founders, having the free h and and running the company, and we providing them the strategic directions and the tools, which were created at Bajaj Finance, and the playbook at Bajaj Finance will help the Company move forward . That’s, essentially…
Rajeev Jain It’s strategic for us, and it’s strategic for them, is the second point that Rakesh was making, it’s strategic for both. It’s not just strategic for us. It’s c learly strategic to us as it becomes a core lending platform for us, we’ve taken out time . A core lending platform needs to be really solid . It need s to be really resilient for us to take the decision that most of you have taken . We move product by product over long periods of time . I just want to reemphasise the point. And two, we clearly int end to help them build a roadmap for them , as a company , to become from what I would call a small size d company to a medium sized company, and hopefully , someday , a large sized company , so that we also create value for them and for us. So, that's a clear objective.
Abhishek Murarka Got it . Thanks so much. Thanks for all the answers. Thank you and all the best.
Operator Thank you . The next question goes to Kun tal Shah of Oak Lane Capital Management . Kun tal, please go ahead , you line is open.

Kuntal Shah Thanks for this opportunity , and my questions are two. Rajeev, we started investing upward of 200 crore in several companies , RBL, Mobi Kwik, and t oday , Pennant Technologies, so I'm sure some of them would be a strategic partnership,

some would be growth enablers , some would be learning cost, low cost experiments . But given the 24% hurdle, what's your view and outlook , and more importantly, what is the quantum of investment we, as investors , can expect going forward ? And secondly, on mobile , can you s hare some statistics on the quantum of origination failed journeys or drop off rate s? The AUM, churn, etc., anything you can share with us on the mobile .
Rajeev Jain Around 21 million , that number I know. We don't publish, but if we publis h reams of data, it will confuse you . So, out of 45 million net install s, the MAUs are anywhere between 20 and 21 million , and that number is growing. 90 day install rates are 76%, 77%, 78% . Daily active users , as Rakesh is saying, is around two, 2.5 million. And as the payments start to play through , we will see more adoption . On drop offs , etc., these are journeys. When I say journeys, the digital transformation. We are very clear that we run two companies now . We run an offline world , and we run a digital twin. And I do now realise that why they're so hard to pull off in a company , a digital twin and a normal twin. So, clearly , it's a journey, and I'll make the point that the way you see today the asset , it's going to go through a dramatic change in t he next nine, 12 months ' time.
We are off to a what I would call a phase three transformation of the entire asset . And it's not that you will see it in nine month s, you will see changes happen every quarter. Because when we built this asset in December 21 , it was

based on imagination. Now the asset is being built on data. So, that's the fundamental shift . We have imagination about building the asset , and n ow we have a clear view on what leads to rage index , and I can go on and on. So, it's now being built on data . The entire phase three infrastructure that's being created is based on hard customer experience data. So, those are some two three points . Now on investment, one, we are very prudent about what we do. The first investment that we made was Mobi Kwik. We l earnt a lot from them. We didn't know mobile technology. That investment, principally , if all had gone well, would have made significant money for you, as investors, and for us, as the ir investor . Someday, we clearly do believe , still, that that investment will value the business. So, that's one part. Second was RBL. And we remain ed invested . They are a strategic partner of ours. We have three and a half million cards that we have helped, that you have helped create in our partnership , it's a strategic partnership. And we've onboarded five and a half million credit cards over a seven year journey , with a plus minus , I think it's 4. 8 million ever cards onboarded , and we have a three and a half million card relationship with them. And as they tra nsform the bank, hopefully, we, as investors, and you, as further investors in us, will realise value. T he third investment we made last year was Snapwork, that was a small investment.
The fourth investment we made is Pennant T echnologies. We have slotted our investments principally in three areas of application development on one side , second is products and third is emerging data. One Investment a year is really what we think we can consume, absorb , or work with. So, the only thing I want to assure you of is we remain very prudent in the way we make investments, because we realise it's hard to make money, it's easy to spend it. And they are strategic in nature , and they go through a very rigorous process , before being approved. So, our investment rational e remains reasonably high, and it's one a

t a time. Does that answer your question?
Kuntal Shah Yes, thanks. Just one last question. Can you care to comment on the RPA and impact on Opex, the way you visualise going ahead in the next couple of years?
Rajeev Jain RPA is now , we will …
Anurag Chottani RPA is a replacement to the API s that we use. R PA is a very short term bridge that we use, in case the API development takes time , we deploy RPAs. And once the API development gets completed, the RPA gets truncated. So, our preference is to remain on API's , which are far more scalable , and far more confi gurable , rather than RPAs, which continue to keep changing as the UIUX undergo es change . So, our preference is to go to APIs rather than RPAs.
Rajeev Jain And on the second of the month, which I made an earlier point on , because we bank 23 million instalments , in general, between the second and the third, we see 200 million odd API hits on those two days , because people want to come and check whether they g ot debited, whether the statement of accounts of theirs is reflecting that or not. So, it's highly scalable, highly resilient . We've never been down , even on a single day , in the last two years , since we have went live.
Rakesh Bhatt If the reference of RPA was in respect to operating efficiency, we use it a bit somewhere in the operat ions, not at that kind of a scale . We would like to invest into pure technology, rather than RPA s. So, automate

the full process is the goal , and it's only an in between bridge, as Anurag was mentioning . So, over the long term , we don't … Today itself, RPA doesn't contribute to operating efficiency in the scale at which you might visualise.

Kuntal Shah Thank , that really helps . And all the best.
Operator Thank you. And the next question goes to Kunal Shah of Citi Group . Kunal, p lease go ahead, your line is open.
Kunal Shah Hi. Firstly, with respect to the overall growth momentum, the way you mentioned that the first half has been clearly better, we are seein g almost 17% year -to-date growth. And given the expansion, the investments , which we have done, are we more confident that maybe compared to like 29 % 31% guidance , which we had given in the last quarter, that we should be much more than that, not only in t his particular year, but over the medium term , given that there is fundraise , also, which is there ?
Rajeev Jain We'll take a year at a time , so clearly, can I say, given the strong momentum in the first half of the year , are we pretty confident of the year ? The answer is yes. The long term guidance that we provided , do we remain confident of delivering that . The answer is yes. Anything over and above that , Kunal, we are here to work hard , to create value for shareholders , and to dominate financial services. That's one of our ambitions. So, if you're doing well on the credit side , if operating leverage is playing through, we can continue to deliver the hurdle rates of ROA and ROE, and we have sufficient gap , but the answer is yes. Just on a separate note, and I didn't make the point earlier , when the question or leverage analysis was asked . We have seen a tremendous amount of competitive activity . As far as the leverage analysis, that point also clearly came through . We used to have 7.5% share of this personal loan market in India. And that remains at 7.2% even now .
This is despite so much intense competitive activity within FY 20 and FY 23. We've seen less than a 25 basis points reduction. And that is because we've tightened the s crews, because our ratios run at 20% of industry, in terms of the operating performance. So, we remai

n reasonably excited about all our lines of businesses, and have market share goals for each one of them. And we are in the right place to ensure that we c an leverage that.
Kunal Shah And we never had the instances of inorganic opportunity earlier , but now , given that [overtalking] in terms of the… No. We are [overtalking] that the instance s of… Hello? Can you hear me?
Rajeev Jain A little bit better, but earlier, I could not hear you at all .
Kunal Shah I was thinking that we never had the instance of inorganic opportunity , but now the product bucket has also diversified , and we are getting into the newer segments. So, still, would we keep th e stance of maybe growing everything organically , or will we still evaluate anything inorganically to achieve the scale , or maybe to build the businesses?
Rajeev Jain In general, on the lending side of the business, purely organic . We have the time , we have the long -term orientation, we think we , at least , feel that building lending business organically is a better way to go. So, in the lending side of the business , purely organic , the answer is . That doesn't mean never say never. Maybe someday , but at least not in the near term horizon.
Kunal Shah Okay. Thanks a lot.

Operator Thank you. And the next question goes to Shubhranshu Mishra of Phillip Capital . Shubhranshu, please go head, your line is open.
Shubhranshu Mishra Hi, Rajeev, hi, Sandee p. Two quick questions, the first one is as and when the housing finance company gets li sted, how do we look at the structure of the listing? H ow much would Bajaj Fin serv own , and how

much w ould Bajaj Finance hold ? That is the first. The second is that we allude d to market share gain of almost 4% to 5% LRS , from 1.7% here . So, if we can go segment by segment , and talk about in which particular segments we are going to gain market share , which is the five year rolling plan. Thanks. Those are my two questions.
Rajeev Jain Data dependent , point number one. You like to grow all lines of businesses, including B2B. If our market share, let's say, in B2B is 50% plus, you would like to grow that as well. Let me make that point. I earlier made a point that if our market , as a company , in personal loans is currently 7.2% -7.3% , we would like to grow that , as well. So, subject to , data dependent, being defined as if the credit is holding , we would grow the business , if credit is not holding, we wo uld not grow the business , because we are in a credit business . All lines Shubhranshu remain in high growth , as you can see even from the press release . The growth and the mix , largely , you are taking on three years or four years, and rem ain steady . Adjusted for a plus , minus 1% or 2%. If you go to, let's say , in the presentation on the portfolio mix, that would be …
If you look at the growth rate for the second quarter , two wheeler three wheeler, 63, b ecause 10% of the growth is non-captive now. So, if it was captive to captive, it would have been a 50% growth , 12% growth is non -captive , so that's a new line of business. If you go to panel 45, you see year -on-year growth 39 , 29, 37, the r ural B2C, we talked about its we who have pulled back , 38, 38, 46, 28. There's tremendous opportunities in each one of these lines. The composition is another thing to look at, because this is plus , minus the composition that gives us the hurdle rate of ROA and RO E. So, if this shift s significantly, which is no t expected to shift , from a business model standpoint, this is really where the corridor is plus , minus 1% or 2%. So, growth rates are strong across , numb

er one , composition has remained largely here, for I will say four years already , plus, minus 1% , maximum 2 %. And this is really what the composition ought to be , plus, minus 1%, and we just play along .
Sandeep Jain I think, Shubhranshu, as we've always said, the diversity of financial services model allows us to slow down a particular business , probably accelerate a particular business , based on , as Rajeev says, data dependency. As you look at two wheeler, three wheel er is showing a very strong read on portfolio quality , 94.5% portfolio quality , we have never seen in that business .
Rajeev Jain Never .
Sand eep Jain That is now g rowing at 63%. In the same vein, a similar high margin business , like rural B2C, but the data is not allowing us to grow. We are growing at 12% on a Y-o-Y basis. So, we do look at the business with data in mind , in terms of increment al rates. Based on that , we push forward and we pull back, depending on the stance of the business.
Shubhranshu Mishra And the first question, the structure of Bajaj Finance listing ?
Sandeep Jain Listing of BHFL, I think Rajeev called it out a couple of times, it's eight quarter s away from now . We have requested , and it has been put out in paper , as well in some way, we would like to request for an extension,

if possible. However, if it doesn't come , then of course, we will work towards it. W hat the structure will be, how the listing will t ake pla ce, etc. That 's something that is not known , it's too far , at this point in time. I think strategy will evolve over a period of time, on that as well .
Shubhranshu Mishra If I can just squeeze in one last question . What is the revenue of Pennant technologies, as well as Snapwork, which is driven by Bajaj Finance today? And how does it look three years fro m now?
Rajeev Jain Last year , when we acquired Snapwork, the turnover was 37 crore, this yea r it w ill be 60 to 63 crore. It was a well-run small business , with well-run, build mobile application s for most financ ial services players in India. And we are helping him shape the business and grow the company .
Shubhranshu Mishra What's our contribution in both ? That is my only question.
Rajeev Jain 30%. When we bought it last year .
Shubhranshu Mishra 30% on each?
Rajeev Jain No. Snapwork 35% . Pennant is also in 30%, 40%. Both BHL and BFL put together , another 30%, 35%. But then Pennant, as a company, is winning contracts with the largest of the guys now in India. So, the y are now , clearly , the lending platforms to go to.
Anurag Chottani So, for Snapwork , the y are expanding in international market, so this percentage is expected to go down , our contribution to the overall revenue for Snapwork is expected to go down. And we see , in the next 12 to 24 month period, the percentage will be in the range of 20 % to 25% for Snapwork . And as we've just invested in Pennant , they have plans to expand internationally and invest further on their roadmap , as they take the product internationally , and more deployment in the domestic market.
Sandeep Jain Just to call out a word of caution. Pennant , we have signed a binding term sheet . So, the

invest ment is subject to final nego tiation , and so on and so forth that will take place of terms and conditions , shareholder agreement , and so on. We expect to complete everything by 3 1st December .
Shubhranshu Mishra Understood. This is a very helpful. T hank you so much.
Operator Thank you . The next question goes to Ashish Sharma of ENAM Asset Management. Ashish, please go ahead, your line is open.
Ashish

Sharma Thanks for the opportunity. I'm not sure if it is repetitive , Rajeev , just your comments on …
We've heard that the regulator has been mentioning , of late , about being a l ittle concerned on the growth on unsecured loans. I think , in the press conference, they had clarified their concern on the growth part only. But what's your sense of the noise around unsecured loans ?
Rajeev Jain Well, it's moderate, the growth . As we are now tracking , as I said earlier, we are tracking Bureau data every month . It's moderate . I think there is reasonable moderation , in terms of AUM and disbursements , not so much on count , as yet. I think that's the only po int I would make. So, in terms of values, there is moderation . In terms of year -on-year growth rate on AUM , disbursement s, on both there is moderation . But on count , there is yet to

be full moderation. But as the new FLDG guidelines kick in, which has kicked in , what RBI announced two months ago, I think, it should moderate that , as well . I think it is a great step, and that should significantly moderate that number , as well.
Ashish Sharma And in case what we are hearing , in terms of preventative action, the raising of risk rate limits, there would be some impact on the profitability , but overall, it doesn't change anything from an overall perspective?
Rajeev Jain As Sandeep said earlier that we have levers , that are, what we call, scale builders in our business , and profit builders in our business . And there are not one or two, there are multiple in each line. We just orchestrate. That's really what we continue to do on an ongoing basis. There are clearly , and we have demonstrated that, I would say, to be modest, successfully . Over time, we don 't push what should not be pushed, and we pull what needs to be pulled. So, that's really what we intend to continue doing.
Ashish Sharma Perfect. And lastly, on BHFL. We will be raising 10,000 crore , so do we need to even infuse, over the next 12 to 24 months , in BHFL anything above what we've already invested.
Rajeev Jain Absolutely, yes. We like to run businesses on low leverage ratios , build a good quality business at really low leverage. So, even a mortgage business , which today, if you take the second quarter , is at 22 basis points GNPA , 22 basis points ? 24 basis points and nine basis points , we don't go by capital adequacy . The right ful of metric is leverage. So, our inte rnal hurdle rate is 7 X leverage . Even for a mortgage business , 6.5 to seven, as Atul was saying . We are a at 6.5, so 7X leverage is what we have internally defined to the rightful leverage ratio, even for a mortgage business. So, are we committed to conti nue to invest in the business ? Yes.
Ashish Sharma Perfect. T hank you, Rajeev, and all the best for the next quarter.
Operator Thank you. That's all the questions that we have time for today. I would now like to turn the conference back to Mr Iyer for a ny closing comments.
Subramanian Iyer Thank you , Rajeev, Sandeep , Atul, Anup , Rakesh , and the Bajaj Finance team for your time and insights. I wish you all the very best. Thanks , everyone , for attending.
Rajeev Jain Thank you so much. Thank you for attending. Thank you. Good night.

Call: Feb 2024

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03 February 2024

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 December 2023

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 29 January 2024, the transcript of Q3FY2024 investors conference call has been uploaded on the website of the Company at https://www.aboutbajajfinserv.com/finance -investor -relations -quarterly -earnings -call

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take the above on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune)

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Bajaj Finance Limited
Q3 FY '2 4 Earnings Conference Call "
January 29, 2024

MANAGEMENT : MR. RAJEEV JAIN – MANAGING DIRECTOR – BAJAJ FINANCE LIMITED

MR. SANDEEP JAIN – CHIEF FINANCIAL OFFICER –
BAJAJ FINANCE LIMITED
MR. ANUP SAHA – EXECUTIVE DIRECTOR – BAJAJ
FINANCE LIMITED
MR. RAKESH – EXECUTIVE DIRECTOR – BAJAJ
FINANCE LIMITED
MR. ATUL JAIN – MANAGING DIRECTOR – BAJAJ
HOUSING FINANCE LIMITED
MR. MANISH JAIN – CHIEF EXECUTIVE OFFICER –
BAJAJ HOUSING FINANCE LIMITED

MODERATOR : MR. SAMEER BHISE – JM FINANCIAL

Moderator: Ladies and gentlemen, good evening, and welcome to Bajaj Finance Limited Q3 FY '24 Earnings Conference Call hosted by JM Financial Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sameer Bhise from JM Financial. Thank you, and over to you, sir.
Sameer Bhise: Thank you, N eerav. Good evening, everyone, and welcome to the Q3 FY '24 Earnings Conference Call of Bajaj Finance Limited. From the management team, we have Mr. Rajeev Jain, Managing Director, Bajaj Finance; Mr. Sandeep Jain, Chief Financial Officer, Bajaj Finance; and the entire senior management team of Bajaj Finance Limited.
As usual, we will first start with opening remarks from the management team post which we will open the floor for Q&A. At the same time, I would also wanted to thank the team of Bajaj Finance for giving us the opportunity to host this conference call.
With that, I hand over to the management team. Over to you, Rajeev, sir. Thank you.
Rajeev Jain: Thank you. Thank you, JM. Good evening to all of you. Good morning, depending on the geography. I have with me Anup, Rakesh, the two Executive Directors, and whole host of -- Atul Jain, Managing Director, BHFL; Manish Jain, CEO, BHFL; and, of course, Sande ep.
I'm referring to the presentation that we have uploaded on BSE and NSE stock exchanges. We're having some DLP issue on the website, so -- on uploading it. So please refer to the stock exchanges for the presentation. I'm referring to the investor deck.
It's long agenda. Jumping right straight into Panel number three . As part of this, there are four key updates I'm going to share today: first is, of course, quarterly financial performance; update on regulatory matter; long -range strategy because it's the third quarter of the year, which is really when we annually last turn was started to share our lo ng-range plan; and the set of key senior management portfolio changes that we've embarked on. I intend to take not more than 25 to 30 minutes, so that I can le ave sufficient time for Q&A.
Jumping right to Panel number five . Executive summary. Mixed quarter. Good quarter on AUM, customer acquisition, portfolio metrics and operating efficiencies. Strengthened capital position with a capital raise of INR9,100 crores. Dampener for the quarter were elevated loan losses and impact of regulatory action. Overall, delivered AUM growth of INR2,700 crores, booked just a tad below 10 million loans, 9.86 million loans and highest ever new customer acquisition of 3.85 million customers. Bajaj FinServ App now has 49.2 million customers.
In terms of AUM, AUM stood at -- just tad below INR311,000 crores, growth of 35%. Opex to NIM came in below 34% for last 2 quarters consistently. PAT came in at INR3,639 crores, a growth of 22%. ROE of 22%. And net NPA at 37 basis points.

Some more te xture on the quarter. On Panel six , just quickly. You're aware of the AUM growth. In terms of B2B, overall disbursements are up 32% at INR21,686 crores, as against INR16,500 crores. In terms of customer franchise, company now estimates overall customer addition at 13 million to 14 million for full year of FY '24. In terms of customer -- overall franchise, we expect to end the year between 82.5 million to 83 million cust omers. In Q3, the company added 158 new locations and 9,500 distribution poin ts. Overall geographic footprint is now at 4,100 locations.

Clearly, cost of funds, inching up slowly. But given our diversified profile, it's a very slow

movement. In Q3, cost of funds came in at 7.76%. It was an increase of 9 basis points over the previous quarter. Deposits book grew in line with the balance shee t grew by 35% and stood at INR58,000 crores. Deposits now contribute to 22% of consolidated borrowing.

In terms of operating efficiencies, net interest income grew by 29%. NIM compression in Q3 was 11 basis points. As you saw, cost of funds itself rose by 9 basis points. And given the increase in risk weights and higher incremental cost of funds across all businesses of the companies on our portfolios, company effective January 1 has increased interest rates by 20 -- 30 basis points to mitigate the impact of cost of funds and higher risk weights.

In Q3, opex to total income -- opex to NIM came in at 33.9%. The company is -- as we get into next year planning cycle, the company is working to enhance operating efficiencies by implementing a host of Gen AI capabilities and other digital initiatives to ensure that we can continue to keep bringing this number down.

Employee headcount stood at 54,300 people. We net added 3,200 people. The annualized attrition came in at 13.8% versus 19.1% a year ago. Credit costs, which, as I said, was one of the dampeners of the quarter, let me spend 2, 3 minutes on it. Loan losses a nd provisions were INR1,248 crores. The losses were primarily on account of two portfolios of the company.

For Rural B2C business for the last two quarters have been elevated. They remained elevated even in Q3. The AUM growth of that business continues to slow down as a result of risk actions. In March quarter, it grew by 26%. In December quarter, that portfolio has grown only by 10%. The second reason why credit costs were elevated in the quarter was Urban B2C business. They were higher due to lower collection efficiencies. The Urban B2C portfolio principally sees the transient frame. Rural B2C, as you have observed, continues to be in side our problem. I've said this in previous calls as well. And between risk and data, the call is always risk. And that's why the growth rates of the business has constantly been brought down until the time that we can start to see gross flow rates in tha t portfolio improved.

Annualized loan loss to -- in the process, annualized loan loss to average AUF excluding management overlay, if you account for it, was 1.79%. On a full year basis, we expect annualized loan losses to average AUF to hold at 1.79%.

It's important just in the context that pre -COVID, we used to be at 1.89% in FY '20. FY '18 -'19, we used to be at 1.6%. We foresee the numbers to continue to straddle between 160 to 180 basis points as we move forward.

As a result, GNPA and NNPA came in at 95 basis points and 37 basis points, remains amongst the lowest -- probably the lowest in the industry and lowest for us for -- by a mile. On a year - on-year basis, it came down from 1.14 to 95 basis points and 0.41 to 0.37. Risk metric, as I said, across other than Rural B2C business continue to remain in good shape.

On Panel 8 quickly, as a result of the consolidated pre -provisioning profit grew by 27%, given good control over operating expenses. Consolidated profit before tax grew 22%. As you can see, while NIM continues to soften gradually on account of lagged effec t of cost of funds, in Q3, the elevated loan losses and impact of regulatory action has led to profit growth being lower by approximately 5% to 6%. It happens of these two, and there's no such thing absence of these two, but just at a mathematical level, t he normalized frame would have been 27%, 28%. But that's mathematics. The real numbers are a growth of 22% for the quarter.

Consolidated profit after tax grew 22% to INR3,639 crores. And ROA came in at 4.92%. And ROE came in at 22%. Capital adequacy remains strong. But as a result of the RBI's increase in risk weights from 100% to 125%, o

verall, it had impact of 290 basis points on the company's

CRAR. And adjusted for thi s change, CRAR is now at -- is at 24, otherwise, it would have been 26.7.

Additional updates are known. So I'm going to jump forward. Just quickly on BHFL. BHFL, good quarter. AUM was up 31%. Home loans AUM grew 21%. Loan against property grew 15%. And LRD grew 70% and DF grew 74%, albeit on a low base, mainly DF, and Rural mort gages grew 19%. Portfolio composition remains at 56%, 9%, 19%, 10%, 4% and 2%, which is principally very similar to where it was 4 quarters ago.

Net interest income grew 17%. Clearly, there is a margin pressure in that business as well. As a result, the NIM growth was 17%. opex to NIM continues to come down gradually and came down to 23.2% versus a year ago of 24.5%.

Credit costs. Clearly, the GNPA stood at lowest in the industry at 25 basis points and 10 basis points. The profit after tax grew 31% to INR334 crores.

Very quickly to BHFL. BHFL has started to turn the corner, added 38,000 customers. but principally on the organic, does not do business with affiliates anymore given that the model was not economic in nature, at least from our standpoint, and as most of th e business from the FinServ app. Margin trade financing business grew given the changes in regulations. Profit before tax came in at INR22 crores for the quarter. And profit after tax came in at INR16-odd crores. Continues to invest in new features on the App and Web platforms.
Jumping right over to omnipresent. There is a noise in the data given the embargo. So downloads in the quarter were marginally down post 16th November. Net installs were marginally down on the next panel. Wherever you see stars, principally have a transien t impact as a result of the

embargo. Otherwise, we continue to invest in the digital assets to make it more -- the UI and UX more and more convenient for the consumer. So I would ignore the -- these 2 panels from a quarter standpoint given that they had some impact as a result of emb argo.
Jumping right over to Panel 32 now, which is the quarter -on-quarter. As you can see, assets under management grew 35%. NII grew 29%. Net total income grew 25%. Pre -provisioning profit grew 27% and PAT grew 22%. Operating expenses to NIM came in at 33.9% and annualized loan loss to average AUF, I have already shared the numbers.
What I do want to spend 2 minutes is on 9 months so far look like 35% balance sheet growth, 29% NII growth. Total net income growth is 26% and profit after tax growth is 27%. And so far, the -- for 9 months, the operating expenses look like -- opex to NIM looks like 34% and annualized loan loss to AUF looks like 1.61% and ROE looks to be 22.3%.
Let's now jump quickly to panel -- to the portfolio mix, which is Panel 49. I'm rushing through a little bit because I have some more sections to cover, some important sections to cover. I'm on Panel 49. The composition of the balance sheet remains largely stable, plus/minus 1% on a year -on-year basis. 2 -wheeler and 3 -wheeler stood at 5.1% and 6.2%. Urban B2C, 20.7%, 19.8%. Rural B2C, as I've said earlier, it includes gold loan from March quarter on -- I mean, June quarter onwards, which is as we get into n ext year, we'll separate gold loan, 8% down to 7%. Still does not take into account the impact of gold loan. Adjusted for that, this number would have been like 6% to the point earlier made.
SME lending -- so plus/minus 1%. The mix remains largely same. Jumping to GNPA and NNPA data. On a year -on-year basis, marginal movement, plus/minus. On an aggregate basis, we -- from 1.12%, were down to 0.95%. And NNPA down from 0.41% to 0.37%. You'll see some movements, as you can see, on a GNPA basis, Rural B2C is sideways. On NPA basis, there is a 13 basis point movement. And Urban B2C, there is an 18 basis point movement. Mind you, these numbers are lower th

an what they used to be in pre -COVID time.
On portfolio credit quality, the bars that we've been publishing for many years from a management assurance standpoint. The only yellow remains Rural B2C. As you can see, 98.32% pre-COVID is at 97.98% and 1.09%, which is Stage 2 assets is 1.5%. But since t here's a noise in the quarter on account of Urban B2C, it's important for me to spend 1 minute on it, just go back to Panel 56. So it used to be at 98% current. It's at 98.6% current. And 143 basis points of Stage 3 assets is at 95 basis points. So it's pr incipally a transient movement at this point in time, but we remain watchful.
That largely completes the first part of my section on quarterly. I just thought we'll also provide an update to you on the regulatory matter. I'm in Panel 60. RBI directed the company to stop sanction and disbursal of loans under its 2 lending products, m ainly eCOM and Insta EMI Card on account of implementation of deficiencies and implementation of digital lending guidelines, mainly non -issuance of KFS statements.
In compliance, we've already published to the Street that the company temporarily suspended sanction and disbursal of new eCOM loans, which used to be 250,000 to 280,000 loans in a

month between marketplace and eCOM loan and Insta EMI Card effective November 16. Also, it temporarily suspended sourcing and issuance of new EMI cards and levy of annual renewal fee, which is levied on those clients who do not use the card once in a year.
Since 16th November, the company has conducted a comprehensive review of the guidelines on digital lending and KFS. It has sent the KFS to the entire active base already and is implementing requisite corrective actions. We scanned through the entire frame t o ensure that we are in full compliance of the executive order. And everything else is done except for 2 areas that we thought

from a complete spirit standpoint that we ought to complete, which was a digital signature on every KFS account and a vernacular in 20 different languages given our scale and breadth. So they're just getting completed and sometimes very, very soon, we will be filing for compliance. But these are -- given our scale and complexity, were large changes, and that's taken. But we wanted to make sure that we are fully compliant in form and spirit and that's how we are making sure that we are completing them and filing for compliance. So tha t's really on the regulatory matter.

Let me now jump to long -range plan. We shared last year that the company for the last 14 years runs on an ongoing -- on annual ritual basis a long -range strategy exercise, which allows us to seize the India opportunity and seize the financial services oppo rtunity. It's the 14th year of our long-range planning process. And as part of that, we published a construct and the strategy.

So to stay to the spirit of that frame, we're here to share the second update on the LRS '24 -'25.

In terms of business construct, last year, we had shared 6 key dimensions, which drive, which guide our basic construct as a company: it was ambition strategy, approach, philosophy, market share and profit share. This year, as part of sharpening the pencil , we've added 2 new dimensions of customer share, which is to grow our share of customer. Acquire and sell -- cross -sell has been a strategy, but customer sha re, which we started to publish 2 quarters ago as part of our product per customer metric, we thought from a construct standpoint, as a company, the franchise grows larger and larger, it's important to create -- to add this dimension as part of our basic c onstruct.

So -- and the intent is to deliver reduced friction, intend is to deliver highest customer satisfaction score and intent is to in the process grow products per customer.

In terms of technology and data, first, while you may say that's really where how we

built the

company over the last 17 years. But it was -- what we are principally saying is that using technology and data first to solve all our problems and be an early ad opter and invest in emerging technology and data practices. And it should eventually, in the process, result in sustained growth, superior customer experience, improved productivity and robust controllership.

So these are 2 new additions to our construct. And as we continue to grow larger in size and more complex, clearly, some of these construct dimensions will ensure that we are -- we remain within the guardrails of what we -- what got the company to be here.

This is an update what we said last year. We last year identified on Panel 65. This is an update on what we said last year. It's good to identify megatrends. How well are we doing against it is more important than identifying megatrends. As you can see, cl early, out of 15 megatrends, 12 are in progress. Account aggregator, we expect to end the year with consents of 7 million customers by March '24. Social as a platform. ONDC will go live by June '24. Social as a platform by June '24. Rewards as a platform b y March '24. Offline to online, it's already gone live, and 5 events if any of you as a customer. And all, offline to online and online to offline even should have gone live by June '24.

So between -- whether you're a store or you're an app or you're a web , you will have a synchronized experience by June '24.

In terms of work in progress, clearly 2 areas, which is vernacular and voice, which are work in progress. On products, pre -owned has gone live, Bajaj Plus would generate this year 2 million loans. UPI is open architecture. The technology infrastructure is ready. We are awaiting regulatory approvals. Monetizing digital assets from an infrastructure standpoint would be ready by March '24.

Just a quick update on strategy that we articulated last year. Good product across key strategic blocks of products, geography, platforms, horizontal functions and subsidiaries. I'm on Panel 66. On products, company launched 5 new product initiatives. Went live with emerging corporates, auto loans, microfinance and tractor finance and -- as products in the last 1 year. On geography, we have added 139 locations in UP, Bihar and have created a templ ate, which in a sustained manner should allow us to launch all our products in all our locations in a sustained manner over the LRS period.

On platforms, well positioned from experience standpoint and from new platform launches standpoint and continue to invest in horizontal functions in reducing friction and improving resilience and scalability.

Just jumping to now what does future holds for us from a rolling standpoint. I'm on Panel 68. Clearly, from our internal forecast standpoint, we think the next 5 years rolling, including the current year and plus 4, the total trade market will grow by 12.7 %. Commercial in our assessment will grow by 6.8% and retail in our assessment would grow by 15%. That's just outside -in view.

In terms of inside -out view, we are principally -- or primarily a retail company with 86% of the portfolio being retail and SME. And Panel 69 is really what is relevant for us. By '25, what we foresee is that other than agri, we as a company, should be abl e to offer all products that are retail and MSME customers may require from us. It would have been a good 18 -year journey in which is the time we would have taken to offer in a gradual manner and a profitable manner for all our products to a customer franc hise.

From a megatrend standpoint, we've identified overall 10 new megatrends. CBDC, nothing on the platform in the current year. Four key areas of products. While we cannot do credit on UPI,

but we think it's a trend. So we can -- it's a megatrend, we'll keep w

atching it. Non -banks are not allowed to do, as you are aware, but plastic is a form factor. Future of device.

In technology clearly, generative AI. Generative AI, digital fraud, cybersecurity and blockchain. So these are 4 areas. And in 3 of them, we intend to make significant progress as we move into next fiscal.

Clearly, climate risk, while we are a retail company, but it's a practice we started to build in the risk side of the business to start to seriously look at the impact that it has on whether in retail or on MSME clients.

In terms of strategy, very quickly, I am coming to the end of monologue. Please bear with me for 5 more minutes. In terms of strategic construct on Panel 72. Clearly, on products, the ambition is to be among top 5 players in each product line in LRS period . We'll continue to invest in new product lines, clearly, to seize India opportunity.

People argue, i.e., questions, is it because you're growing slowly? That is not the point. It is to see India opportunity and to grow in a sustained manner. That's really our objective as India per capita grows, as India grows. And given the capital, talen t and long -term orientation that we have, we would like to offer all the products that our clients need.

So it's not like this conversation keeps happening. We are not launching new lines because we're not seeing growth. And for that matter, if you went back to -- for a moment to panel -- to the mix point, which I missed actually talking about, the growth in the quarter across -- just give me 1 second, on Panel 49, 2 -wheeler, 3 -wheeler grew 64%. Urban sales finance grew 44%. These are businesses that are 17 -year old. Urban B2C grew 29%. Rural sales finance grew 40%. It's a 10-year-old business. Rural B2C, of c ourse, I articulate because it's a risk that we have. SME lending grew 39%.

So it's not we're launching new lines because the -- we are short of growth. LAS is a 17 -year-old business, grew 45% and so on and so forth. It's because we want to seize India opportunity that -- and we have a longer -term view on -- given our ambition is why we launch new products.

Going right back to 72, on geography. Clearly, we are at 4,100 locations. We increasingly foresee that the -- we are really deep. It's more products in those locations and branches rather than more locations. So clearly, that's the way forward rather than more branches or more locations. And that's why you see the frame to be all products in all locations.

On platforms, clearly, dominate all digital platforms. We are today at 5 million organic downloads a month. We've got to get to 10 million organic downloads a month. We -- 2 years ago, we were doing virtually nothing. If from 0 to -- we can get to 5 millio n. We have clear strategy road map to get to 10 million a month to get to 100 million overall net installs as a company in the LRS period.

On consumer web, clearly, to be more efficient, we've got to focus on organic rather inorganic. We do very little inorganic any which ways. But even otherwise, given our growing breadth, the goal is to generate 1 billion organic hits on the web assets as y ou move ahead.

On horizontal functions, given our growing size and scale, the goal is to solve the hardest problems in our business and to reduce friction on one hand for consumers, scalability for us as a company and resilience. I think -- so clearly, business -- functi on by function, the goal you will see is on 0, 0, 0, on DMS zero complaints, to an operations at service 0 paper, to 0 identity mismatch and so on and so forth. And treasury 0, liquidity drag. So clearly, start to focus on solving the hardest problems is r eally where the horizontal function stream is headed to be.

We delivered all this, which we have so far done over the last many years. In FY -- by FY '28, we could look like 130 million to 140 million customer franchi

se, 80 million to 90 million
customers. Cross -sell franchise, 3.8% to 4% of retail credit and 3% to 3.25% of total credit and should be present in 5,200 -odd locations with 120 million to 150 million installs.

So I think we remain anchored and committed to generating these outcomes on a long -term basis and ensuring that we remain accountable to do that. As we add to the majority shareholders, we intend to do that for minority shareholders.

That brings me to the last section of -- on key -- on a set of key senior management portfolio changes. As you can see from the LRS update, the company remains pretty excited about its long-term growth prospects and remain highly committed to continuous tr ansformation as a company, shareholder value creation, good customer service and fostering a supportive and dynamic work environment.

In order to prepare the company to achieve its long -term growth objectives, the Board of Directors as part of its nomination remuneration have approved the following senior management portfolio changes. They are subject to -- the first one is subject to sh areholders' approval. Balance are internal changes.

What we have -- what the Board of Directors recommended is for Anup Saha, who's been with us for the last 7 years, subject to shareholders' approval, to move as -- from Executive Director to move as -- to be designated as Deputy Managing Director. In addit ion, to assist Anup, we're creating 3 new Chief Operating Officer positions, Deepak Bagati, who currently runs Debt Management, would incrementally run Debt Management, Operations, Service and Public Relations; Sandeep Jain, who currently runs -- who's the CFO, runs Treasury and Investor Relations and FP&A, would also run Human Resources, Administration and Legal; Anurag, who currently is the CIO and Strategy Head, would run Marketing and Digital platforms as well.

Lots of noise about me on an ongoing basis. I thought we'll just put all of that to rest as to what would I do? I'll continue to be actively involved in shaping the strategy of the company of -- and its subsidiaries and I will remain -- will engage with th e CEOs of the wholly owned subsidiaries to achieve short -term and long -term objectives of the company -- of BFL and its subsidiaries.

Anup will work for me. The commercial lines of businesses will work for me, risk, Compliance, Internal Audit and CISO, which are important statutory positions, will also work for me.

Rakesh, who's been -- me and Rakesh go back 30 years, who's been an important member of the management team in shaping the company, its innovation and its various control functions, has resigned from the services of the company. He's an outstanding leader and really helped us achieve various milestones. He will be deeply missed. He'll remain with the company until June 30. After June 30, he'll remain as an adviser to the company and will work with me.

These announcements should make the company stronger, of course, not Rakesh's departure. He'll be deeply missed, as I said. Subject to shareholders' approval on Anup's appointment, these changes are effective 1st of April.

That brings me to in an uncluttered manner, all that you guys have been asking, the 4 key areas of -- of course, quarter is quarter, but otherwise, update on regulatory matter, long -range plan for the company and senior management appointment changes.

I'm sorry for the monologue. I hand it over to you guys for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Viral Shah from IIFL Securities.

Viral Shah: So I have two questions. One is basically what gives you this confidence on the -- sorry, the Urban B2C where the rising delinquencies, you mentioned that it is transient. I get it that it is lower than what it has been pre -COVID. But given the tre

nds that we are seein g in the other
segments of unsecured loans, even including credit cards, are you seeing higher delinquencies even in the higher ticket size PL segment? And how should one think of it?

Rajeev Jain: No. Don't think of it. Go by the data, right? I mean that's why I made the point that clearly, you see in Rural B2C, numbers slowly go down, which is not how you see in Urban B2C. So we'd rather be data dependent than anything else. I think that's the only one point I would make at this point in time.

It not mean we are not to remain watchful. It's an important point, but remain data dependent. At this point in time, it looks transient is what I would say.

Viral Shah: Okay. And also as a corollary to this piece of the question...

Rajeev Jain: And mind you, just as a separate point, if you look at the last 4 quarters of growth, given what we saw on B2C, on the margin, we have cut even Urban B2C. We've actually cut quarterly close to INR450 crores to INR500 crores of business because at some point, India starts to be rural and urban as a mix.

So we have in Urban B2C, on a preventive basis, in the last 2 quarters more so -- have -- actually 3 quarters, have taken action already and reflected in a 3% lower growth on a year -on-year basis.

If you look at it, March quarter was 32%, 33%, is down to 29% . So on a preventive measure, that action has been taken.
Viral Shah: Fair enough. And how do you see it going ahead? I know we're data dependent but any sense on how you're seeing?

Rajeev Jain: So clearly, as Viral, we've said that we foresee the number to remain anchored from a guidance standpoint between 175 to 185 basis points, which is really where the number was pre -COVID.
So -- and mind you, during this period are -- there are a reasonable level of changes that we made to our provisioning policies.
Customer -level GNPA, just to give you an example, never used to exist. There are a whole host of things that never used to exist; pre -COVID, but I'm still going by that to make the point. So as you guided, as part of this presentation, that we foresee the number to be between 175 to 185 basis points. That's really where the number is likely to be.
Viral Shah: Sure. And 1 more question I have is on, basically, with regards to your entire digital and the text setup we have. So over there, are you seeing some -- the progress of the adoption on the digital platforms kind of slowing down? Because I see -- again, I'm not referring to the segments, which are impacted because of the regulatory restrictions. But if I look at the growth in the digital app downloads that is slowing down, the credit card acquisition on app is declining.
Rajeev Jain: Viral, as I said, focus on the star marks that principally the -- it's a transient because from 16th of November, we're could not do Insta EMI Card. Insta EMI Card alone quarterly used to be 150,000 accounts just from the app. The numbers are published, 14 0,000 to 150,000 accounts.
So take these 2 panels, as I said, on a transient basis.
We continue to invest deeply. I mean I said in the last call actually that by June '24, the asset would be -- is getting mostly fully refreshed. And as the January Sprint and the March Sprint goes live, we will start to see visible changes. So we continue to invest and digital assets require ongoing investments and ongoing deep investments and deep commitment.
So -- and as I said earlier, from 5 million a quarter, we have planned to get to 10 million -- sorry, 5 million a month, we have planned to get to 10 million a month. All organic mind you. To get to this 49 million, we have not spent -- we spend very littl e money. We just integrated the infrastructure to make it meaningful for the consumer. So answer is no. We remain -- just 1 point, Viral, I missed, I should have mentioned it probably that the purpose of the platf

orms and
it's part of the deck is to genera te eventually 25% of the business.
So to give you an example, that's where the star marks are creating a transient frame that, let's say, instant personal loan, we stopped on account of KFS. That's where the metrics are looking slower. So just ignore this for until such time there's embargo . Post that, we should be back in a growth mode -- we should be back in significantly higher growth mode.
Viral Shah: Got it. And just last very small question more directionally. I noticed that last few months back, there were some changes in the Articles of Association enabling the company to issue credit cards. So is there anything on the enliven in terms of making an application to RBI?
Rajeev Jain: Nothing. No.
Moderator: Next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: So my question is on growth. So you can see that there are sort of elevated NPA pressures in the system, also probably elevated regulatory scrutiny as well. But for you, the growth continues to be pretty strong. And do you see any risk to that or your inte ntional slowdown that you've done for maybe a couple of businesses. But on a broader basis, do you see that sort of overshadowing the distribution -driven tailwind that you have for growth?
Rajeev Jain: So the good part of it is that -- okay, so there are 2, 3 dimensions of this growth and risk, risk margin and growth margin. The fortunate thing for us is the tailwind is that there is strong growth, okay? So that means you have the latitude, if you want t o calibrate. I'm not saying slowdown. I'm saying to calibrate between these three dimensions of risk, growth and margin to ensure we deliver what we call the optimized return on asset and return on equity.
As I said earlier, Abhishek, we've launched new lines. The new lines are -- so 9-month growth, as I said, is secular across businesses. B2B was strong, 2 -wheeler and 3 -wheeler financing volumes were strong. Commercial lending was strong. Product mix, we ex pect it to remain stable. So I think we just continue to pivot and re -pivot between growth, margin and risk and remain committed to deliver a rightful outcome to shareholders.

So growth is tailwind. Margin is a little bit of headwind. Risk is a little bit of headwind, I think.
So that's -- does that answer your question? Or you have a follow -through question?
Abhishek Murarka: Yes. Actually, I do. So let's say -- are there any particular segments where you see that for a prolonged period, you need to slow down basically because systemic risks are rising? Or maybe you're not making these kind of margins?
Rajeev Jain: I mean, look -- I mean, monthly, personal loan disbursals are INR70,000 crores. We know that our franchise takes of that INR70,000 crores a month between INR40,000 crores and INR42,000 crores, INR43,000 crores -- between INR38,000 crores and INR42,000 cores, INR43,000 crores.
We only get INR4,000 crores , INR5,000 crores of it.
I mean that's -- so there remains significant opportunity without diluting risk or margin. So I think the franchise is extremely strong, and it's -- the optimal frame is really where the frame is.
The new lines business has gone live. Auto is now already d oing 200 -- new auto is already doing INR200 crores, INR250 crores a month. LAP, which we started in BFL, is now already INR250 crores a month. So those are new lines, but they, as I said earlier, existing lines itself remain with a lot of opportunity and excitement in. We'll calibrate between the three is all we'll continue to do.
Abhishek Murarka: Got it. Got it. And my second question, Rajeev, is on asset quality. So one thing, if you can provide some comment on what exactly is happening. Some of your peers are saying that personnel leverage has now become a systemic issue. You've been saying that for a while. And if

you look at your own GNPA numbers in some cases in 2 quarters, it's increased 50%, 60% or more, absolute numbers. So what's happening in the system? How do you calibrate that? Or how do you control that in your portfol io?

And second is on the 1.8% credit cost, does that assume that you will not use any of the management overlay? Or you can dip into management overlay going forward? Those are my questions.
Rajeev Jain: So look, let's take us as an example, right? And we remain at ever low GNPA, NNPA. And this is, as I said, despite the fact that there have been significant regulatory changes, like I give an example of -- I mean once a customer, always a customer and so o n and so forth.
The -- eventually, as a fundamental point of view and which is really how we are organizing ourselves as a company is that eventually, everything will go back to pre -COVID, let me make that point, eventually.
Now whether it happens in FY '25 or happens in '26, I am -- I don't know or nobody knows. But eventually, everything will go back to pre -pandemic levels.
When I look at across our portfolios, and now coming to risk, across our portfolios, numbers are still significantly lower. Let me give you an example. We talked rural B2C and urban B2C. The bounce rates are lower than pre -COVID. The flow rates are a littl e higher, okay? Bounce rates are materially lower. So now I'm just giving you texture to make the point.
So we have to just keep watching data, Abhishek, rather than go by the casualness of the frame.
And I have said this in the past that rural B2C is not an outside -in problem. It's an inside -out problem. I've said this. So it will be there in the transcript in last quarter. Because you may say, why do you say that? You look at rural B2B number, because that is actually across millions of consumers. Rural B2C is actually across lakhs of customers, whereas rural B2B is across millions of customers.
That number was 99.33% pre -COVID. It's still at 99.62%. It used to be 32 basis points of Stage 2. It's in Panel 57 Abhishek, it's at 23. That's the same rural consumer that I gave a personal loan, too. So I don't believe it's a system issue or leverage issue.
And mind you, our B2B reflects significant mood on one hand from a purchasing power standpoint and behavior on a -- from a credit standpoint. Both urban and rural B2B are not showing that in any given manner. So just as a data point to leave you with.
Abhishek Murarka: Got it. Got it. And just on the credit cost part.
Rajeev Jain: 175, 185 we'll keep I think...
Abhishek Murarka: So does it assume that management overlay will not be utilized?
Rajeev Jain: Management overlay, CFO can answer.
Sandeep Jain: Yes. So Abhishek, I think the number that Rajeev quoted at 179 basis points for the 9 -month period is gross of any release from overlay. So when he's giving reference to 185 as a corridor on the outer side, he is still not counting the overlay release.

I think we remain watchful of the external factors which can impact us and the industry. The GNPA remains strong at 95, NNPA remains strong at 37 basis points. We have INR590 crores of management cum macroeconomic overlay. I think Fakhari is sitting here. He's listening to the call.
I think we do annual review of our ECL provisioning methodology and it is due for revisit in quarter 4. We'll take a final view on the overlay position and what needs to be protected for macroeconomic purposes. We'll give a final guidance on overlay in quarter 4.
Rajeev Jain: And intend to remain prudent. .
Sandeep Jain: Yes.
Rajeev Jain: I just want to reemphasize on. The numbers that I talked are gross of, they're not net of. Because if you see the 9 -month financials, it's 161. Whereas if you see my management commentary, it's 179. And as written there, i

t's excluding because eventually, management overlay will either get adjusted to...
Sandeep Jain: Trending ECL model.
Rajeev Jain: Trending ECL model or eventually it's consumed, it's not a permanent frame. What is the normalized cost of credit, I think that's more important or the most important rather than anything else. And that number is 175 to 185 basis points. Having said that, which is what it was in FY '20 but which was 179 basis points, intentional to 180.
Sandeep Jain: 189.
Rajeev Jain: Sorry, 189. 189, intention would be continue to remain below.
Moderator: Next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, with respect to the management changes, now if you look at it, there were two Executive Director positions which were created. Now we have seen Mr. Saha becoming the Deputy Managing Director. So would there be any thought in terms of the Execut ive Director positionship or maybe that seemed to be more like a transient into this management changes which were there?
Rajeev Jain: I think, look, as the company grows in size and scale, and as the need to create more mature organization design emerges, we'll continue to invest. I think our business is about talent. It's about investing in people. The three new chief operating positions are new positions that have been created to reflect growing size, complexity and a need for a more mature organization design. I think that's really -- and it's for NRC on an ongoing basis to deb ate on it and make the decision.
Kunal Shah: Okay. Sure. And secondly, when we look it in terms of this entire RBI's embargo. So with respect to the submission, so you mentioned maybe in terms of the digital signature and vernacular language is something which is still pending. But otherwise, are we largely done with the

submission out there? What has been the early feedback from the regulator? When do we see the embargo getting lifted? If you can just share some sense out there here.
Rajeev Jain: I would not like to make too much comment on it. Have we submitted? Yes. Are we holding on to submit on account of these two areas when we look at it highly rigorously? I think as a regulated entity, we'll go by regulators' prerogative of determining the t iming of satisfaction to the changes and eventual lifting of embargo. I think that's really all I would like to state Kunal and you should...
Kunal Shah: Yes. But in terms of the submission, it's largely done except for the digital signature and vernacular.
Rajeev Jain: Yes.
Sandeep Jain: Just to be absolutely clear, Kunal, we had given an initial submission to the RBI team. The final submission after incorporating as we said, digital signature and vernacular, is yet to be done. I think Rajeev did mention as part of the opening remarks that we should be able to do it very soon in the next couple of weeks' time.
Kunal Shah: Okay. Sure. And lastly, in terms of the new product rollout, be it with respect to, say, MFI, if you have to look at it, and the other products. So what has been the experience and in terms of the acceptability because there were -- there are already exist ing competitors out there in many of these new segments? So if you can just highlight in terms of the initial experience with the rollout of this products. Yes.
Rajeev Jain: So new auto loans, as I said, we launched in 85 locations. We're now doing INR240 crores, INR250-odd crores. 50%, 55% of customers are existing customers.
On 2 -wheeler, which is open architecture 2 -wheeler, we went live 18 months ago. We are now doing 27,000 to -- between 27,000 and 30,000 accounts a month. Again, 50%, 55% of the customers are existing customers. We are in 250 locations in that business.

MFI is a completely different category for us. So both -- only three lines are off to what I would say a very good start. LAP in

BFL, new passenger vehicles in BFL and open architecture 2 -
wheeler.
MFI, I've said, Kunal, over time, is clearly a LRS view. It will be -- it's a slow burn frame. We'll build this. It's a new segment as far as we are concerned, we will take our time and build it out. So it won't be like when we're sitting here next year, w e won't be doing INR200 crores like passenger vehicles is doing or LAP is doing. It will take its time, and we are in no hurry to -- when I say we are in no hurry, we won't build in a hurry. It'll take -- so we'll be in only 100 villages by March.
We'll be in 200 villages by September. I think Anup is trying to make a point. Sorry? Anup is just reminding me that gold loan is now reset. It will cross -- this year, it's growing in the rural

B2C, which is the point, Kunal, that I made earlier, that majority of the growth is coming from there.
It's clearly now we have in the last 12 months or so, fully cracked the model, and that's growing in 3-digit growth. Base is small. But I think over the next 2 years, I would say, we are very, very excited about the business. And current year, we have full y turned that around. So these four lines wil l be meaningful drivers. MFI et cetera will be a longer haul. And we are clearly prepared for it.
Moderator: Next question is from the line of Kuntal Shah from Oaklane Capital.
Kuntal Shah: First question is, Rajeev, there was a news flow of RBL and Bajaj not getting the credit card extension beyond 1 year. And normally, the extensions are given for longer period. So wanted to solicit your comments and what is the issue out there on the regul atory front?
And second is what's stopping RBI or you to activate credit card given the fact that worldwide credit cards are run by nonbanks?
Rajeev Jain: So Kuntal, I can't comment on regulatory view, but I can comment on that RBI has granted 1 year renewal for a co -branded credit card partnership with RBL Bank. RBI has communicated to the company. There is no did certain deficiencies in its co -branded card options. And we are engaging with RBI and our partner, RBL, and are committed to resolve all the deficiencies to the full satisfaction of RBI at the earliest and may not even wait for 1 year extension -- 1 year to -- together working with RBL to file our application for renewal.
Good you raised the question because I have not covered it because -- but allows me to respond to that -- to clarify this stance as well.
Kuntal Shah: So how is the partnership with the DBS coming along?
Rajeev Jain: So whatever -- on a proactive basis, whatever we would do for RBL, we would do for DBS as well on a proactive basis.
Kuntal Shah: And again, I know you answered this question on the deficiencies in our documentation on digital loans, but shouldn't the signage of digital and the vernacular be an easy proposition to solve given the technology tool sets available on DocuSign, Adobe...
Rajeev Jain: At scale at 125,000 or 150,000 loans a day for 1 yes. For -- on a run -time basis, 150,000 loans in a day is where the complexity emerges -- for 1 language to 2 language, yes, for 20 languages across all products. We have taken a decision as a company that we will do KFS for all our products. So we are not even doing this for these two. We have taken a decision that we will do it by March '24 for all our products that we offer as a company. So that's just one added point I wanted to...
Kuntal Shah: Let me rephrase the question, Rajeev, how many lenders, bank and nonbanks are giving vernacular documentation?

Rajeev Jain: That you guys will have to do benchmarking of, we are benchmarking ourselves .
Moderator: Next question is from the line of Antariksha from ICICI Prudential.
Antariksha: Ami I audible?
Rajeev Jain: Yes, we can hear you.
Antariksha

: So the first one, I'm sorry to harp on it again, but just picking up from where we left off last time. This rural B2C problem or the personal loan issue at large. Again, is it restricted to the lower ticket segment as you highlighted last time? Or do you t hink given the stress levels being

elongated, it's now spanning to higher ticket loans also?
And I see the PCR on your ECL chart is still between 62 and 55. So is it fair to say that even now when the loan becomes NPA, you are able to recover 35%, 40%?
Rajeev Jain: On an aggregate basis, yes. On aggregate. Balance sheet, the answer is yes. So that's the easier part. Antariksha, sorry, your first question was?
Antariksha: The ticket size, less than 50 or is it spreading to higher tickets as well?
Rajeev Jain: Look, as I said, even in rural, the numbers have come from lower ticket and the value has come from high tickets. I mean, we are one level shocked that 5 lakh plus growth in even the 1,000 city is very, very high, if I take a 4 -year view. So -- and of cour se, adjusted for pricing, the flow rates of a -- if you don't adjust for the pricing, the lower ticket is higher than the higher ticket. But adjusted for net outcome that one would want, which is to run a risk -adjusted portfolio, it is -- the -- our sweet spot, Antariksha, it's important for me to make that point, remains between INR200,000 and INR400,000. It's always been so. Rural INR125,000 to INR350,000. I think that's -- urban corridor is INR200,000 to INR400,000. Of course, we straddle across all the way to, you could take a INR40 lakh personal loan from us like banks who do and which we do in large volumes as well but our sweet spot i s INR200,000 to INR400,000 in urban and INR125,000 to I would say INR350,000.
And we don't do less as -- if agri is saying less than 50 we do not do across portfolios, actually, 50 to 75 is some very small part and so on and so forth because most of the lending is to existing customers. most is being polite. It's too -- in fact, it' s interesting, right, that even to an existing customer where you take a B2B loan, you pay all of it, you've not -- never defaulted.
We give you a personal loan, which is only normally to 25% of the clients, and then you see performance with these levels. Imagine, if it's an NTB customer, if it's a new true bank customer, the performance would look significantly worse off.
Antariksha: Right. So if you were to look for markers of this, you wouldn't say that the newer geographies that you're entering, the new customers you're entering or any particular age bracket or any geography, nothing like that?

Rajeev Jain: Nothing. Nothing. Nothing. So there are no -- in rural B2C, as I said earlier, Antariksha, look at the B2B data, it is reflecting millions from a performance standpoint, not showing. Rural B2C, yes, it is showing as I've said, it's inside out. We acted, gr owth is down from 26% 3 quarters ago to 10%. And as I -- the management team knows that I'm not scared of cutting business because we build -- we know we're in the business of risk. We are not in the business of lending. We're in the business of risk. And all reduced business eventually leads to control in the metrics. So it will come around.
Antariksha: Sure. The second question I had, Rajeev, is while we definitely are one of the biggest retail financing companies, given the growth rate differential, the nonretail portion is also increasingly getting larger. I think it's only natural that will happen at this scale. Can you give us some texture on the nonretail segments in the sense, commercial, SME LAP, all these segments that are growing so fast.
One, are there also existing customers who are -- I mean, the existing retail finance customers are overlapping in the segment? If not, how do you go about acquiring in these segments? What are these like? Who are the co

mpetitors? And how is it growing that fast?
Rajeev Jain: So SME is actually MSME for us, it's important I make that point. Normally up to INR50 crores of turnover. That's -- it's -- we are present 2,000 cities in India where we serve MSME customers from city number 1 to, I would say, 2,000 -odd cities and towns to small businesses and to professionals. So that's MSME.
Significant overlap of that in autos, significant overlap of that, I think they're mainly autos and LAP. These are the two clusters that both on MSME and from retail that they emerge. So that's one part.
The commercial business is principally INR250 crores to and above turnover. 70% would be BBB customers, investment grade, prime rate, prime pricing, compete head -on with leading banks built originally on domain specialization in sectors. And over time, as we gain confidence, moved more generalist.
And it principally reduces risk in the overall balance sheet and delivers stability to the balance sheet. It's purely a commercial lending business.
The LAP business runs at 2.3, 2.4x margin and serves HNI clients. Very low on retail, average client exposures would be INR5 crores, which means he's placing anywhere between INR12 crores or so of holdings to become a client. Very low on retail, but we're building slowly retail LAP as well. As the markets grow, that's an area of growth from an opportunity standpoint.
Antariksha: Got it. And just one last point. You mentioned this PL disbursement of INR70,000 crores is the

market as a whole. Did I hear you correctly that INR4,000 crores, INR5,000 crores is what you
eventually disburse and the rejection rate is about very high?
Rajeev Jain: Not rejection. We can't seize that opportunity. They're customer either I'm not reaching them in
time or the price at which he wants doesn't work for me.

Antariksha: And has this INR70,000 crores increased decreased of late in the last 1 or 2 quarters?
Rajeev Jain: No, no. It is not. But if you take pre -COVID, it's significantly grown. So it's grown significantly
between pre -COVID and now. So it's a lot more structural. The adoption of personal loans is a
lot more structural. That is very clear.
I don't have the number off hand, but we do have the numbers even for what was the -- because
our franchise was also much smaller, right, then. We were talking 4 years ago. The franchise
was 40 million probably, maybe less, 35 million. Sorry?
Management: Pre-COVID.
Rajeev Jain: Yes. Entire stock, yes. But franchise also grew during this period.
Management: This is on the entire market.
Rajeev Jain: On the entire market. So as Fakhari is saying that if you take absolute to absolute size of the
market 4 years ago to today, it's grown 89%, just an absolute basis. Absolute 100 has gone to
189, so -- okay. Maybe last 1 or 2 questions.
Moderator: The next question is from the line of Piran Engineer from CLSA India.
Piran Engineer: Few ones. Firstly, on credit cards, not just this quarter, but last several quarters, the sourcing has
sort of stagnated at INR1.5 lakhs, INR2 lakhs a quarter. What really has led to this? And how
should we think about delinquencies and credit cards impacting your fee income?
Rajeev Jain: No, it's a correct question. It's a good question. Clearly, we were -- we understand from our
partners that they have also experienced deterioration like as you're observing across the industry
and have curtailed the growth based on their AIP engines. So c learly, growth has been restricted
based on our partners' input on tightening the filtration criteria to reflect prudence.
Piran Engineer: Okay. So it's on their part, on the part of the banks essentially?
Rajeev Jain: At the end of the day, they run the balance sheet. I originate on their behalf.
Piran Engineer: Got it. And it's fair to say that higher delinquencies will lower your fee income o

r collection
fees, right?
Rajeev Jain: Higher delinquencies -- I mean there is no causality between the two directly. I can argue both
if it's in -- if the -- actually, it's a reverse point, Piran, as I made earlier a point that the default
rates versus pre -COVID are significantly still lower, okay, whether it's B2B or B2C. If I take
aggregate bounce rates, they are lower.
Actually -- and as a result of , you may say, what, I think, clearly improved banking, improved
banking has had a significant role to play because we've only gone deeper and deeper into India.
But portfolio for portfolio we see versus pre -COVID, the bounce rates being lower. In fact, th at
means lower fees because these were -- if my default rates are lower -- my default rate is lower,

my GMP is lower, there were accidental defaulters who are not there anymore. They are not
accidentally defaulting anymore. So it has led to lower charges -- fees and charges. So there's no
direct causality between the two, Piran, is the only point I would make.
Sandeep Jain: I think the only point, Piran, I would try and draw correlation is if there's a high delinquency,
I'm assuming that a partner would also take risk action and that will lead to overall volume being
lower. The point that you're asking INR150,000 to INR200,000 is where the number is
stagnating. It could also be because of the partner is currently seeing some stress based on which
they have put a cap. So is there a correlation? The answer is yes, but the correlation is in terms
of incremental volu me that we can do.
Piran Engineer: Got it. Got it. And then secondly, just probably a little more philosophical, but when we started
rural lending 7, 8 years back. At that time, the thesis was that rural is actually better than urban
because it's less penetrated. We are not tapping farmers. We are taking salaried people. And I
think even until COVID, our performance in rural was actually better than urban, and correct
me, if I'm wrong.
Sandeep Jain: No, no, it's correct only.
Rajeev Jain: It is absolutely correct.
Piran Engineer: Now the tables have turned. So I just want to understand what has changed in the last 2, 3 years
that we are actually more concerned about rural than...

Rajeev Jain: No. I think access has improved.
Piran Engineer: But that would be for urban also, right, the INR70,000 crores you mentioned. And I would assume 80%, 90% of that is in urban. Or is that not the case?
Rajeev Jain: No, your principal point is correct. And -- but clearly, we could pick and choose more earlier than now given massive supply I think is the only logical response I would give. I mean I think -- so clearly, our ability to pick and choose given significant c ompetitive activity and increase in the supply side has sharpened the funnel for us. I think that's the -- that would be a reasonable logical conclusion.
Having said that, I think, I'll repeat for the third time, there's work to be done by us inside -out, which we will do. So...
Piran Engineer: Okay. The significant increase in competition is from banks, right? Because I can't fathom other NBFCs having the distribution that you have.
Rajeev Jain: Yes. It's mainly banks. I would say, public sector banks, mainly, mainly. Significant supply side increases from them because they only have the distribution, not for anything else. I'm not making any other point except just pure access in the smallest of the market that we're talking about.

Piran Engineer: Got it. Got it. And just lastly, one clarification. You mentioned you've increased yields by 25, 30 bps. This is across all unsecured products or across all products?
Rajeev Jain: No, no. Secured has a bigger problem. So it's across all products. I mean -- the cost is rising, yes, even more -- I mean the headlines rates

may not have changed, but we are being a lot more choosy in pricing and picking up transactions clearly. I mean, l ook at where liquidity has gone, look at where cost of funds are going and our scale every month. And we run a short balance sheet, right?
On aggregate, the aggregate balance sheet churns in 25, 26 months. If you take a behavior like maturity, the balance sheet churns 25, 26 months. So we got to act quickly because then we can make up quickly. If we act later, then we'll make up later. I mean -- and I go back to the point that in the process, Abhishek was asking that and I was telling him the calibration is between risk, growth and margin. We'll just keep calibrating.
Right now to me the greater weight is on risk and margin than on growth because we have tailwinds in growth any which ways.
Piran Engineer: Got it. And lastly, what is the customer level GNPL thing you had mentioned once? Is it that if a customer's NPL with another lender is entered with you?
Rajeev Jain: Sorry, sorry.
Piran Engineer: You referenced customer level GNPL, you said things have changed …
Sandeep Jain: Yes. I think Rajeev was talking in reference to the once NPA always NPA circular of RBI, which says that only when the customer's all dues are paid, can the customer be upgraded. That's a change that has come in, in November, I think 2022 if I'm not wrong.
Rajeev Jain: And I'm making that as a point. There are many such changes between 2019, '20 and now that emerge to draw a parallel to the GNPA, NNPA conversation and to loan loss to average assets conversation.
Moderator: I'll now hand the conference over to Mr. Sameer Bhise for closing comments.
Sameer Bhise: Thank you very much today for joining this conference call. And thank you to the management team of Bajaj Finance for giving us the opportunity to host the call. You may now disconnect.
Thank you so much.
Rajeev Jain: Thank you. Thank you. Thank you all for patience hearing .
Moderator: Thank you very much. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Apr 2024

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30 April 2024

Dear Sir/ Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 March 202 4

Ref : Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listin g Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 25 April 2024, the transcript of Q 4FY2024 investors conference call has been uploaded on the website of the Company at Bajaj Finance Investor Relations –Quarterly Earnings Call (aboutbajajfinserv.com)

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take this on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
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"Bajaj Finance Limited
Q4 FY'24 Earnings Conference Call "
April 25, 202 4

MANAGEMENT : MR. RAJEEV JAIN - MANAGING DIRECTOR – BAJAJ FINANCE LIMITED

MR. SANDEEP JAIN – CHIEF FINANCIAL OFFICER –
BAJAJ FINANCE LIMITED
MR. ANUP SAHA – DEPUTY MANAGING DIRECTOR -
BAJAJ FINANCE LIMITED
MR. ATUL JAIN - MANAGING DIRECTOR – BAJAJ
HOUSING FINANCE LIMITED
MR. MANISH JAIN - MANAGING DIRECTOR - BAJAJ
FINANCIAL SECURITIES LIMITED
MR. NEELESH SARDA - CHIEF COMPLIANCE OFFICER -
BAJAJ FINANCE LTD
MR. FAKHARI SARJAN - CHIEF RISK OFFICER - BAJAJ
FINANCE LTD

MODERATOR : MR. ANUJ SINGLA - BANK OF AMERICA SECURITIES

Moderator: Ladies and gentlemen, this call is not for media representatives or Bank of America investment bankers or commercial bankers, including corporate and commercial FX. All such individuals are instructed to disconnect now. A replay will be available for Bank of America investment bankers and comme rcial bankers, including corporate and commercial FX. The replay is not available to the media.

Good day, and welcome to the Bajaj Finance Limited Q4 FY '24 Earnings Conference Call. This call will be recorded, and the recording will be made public by the company pursuant to its regulatory obligations. Certain personal information, such as your name and organization may be asked during the call. If you do not wish for it to be disclosed, please immediately discontinue this call.

As a reminder, all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone.

I now hand the conference over to Mr. Anuj Singla . Thank you, and over to you, sir.

Anuj Singla: Thank you, Nirav. Good evening, everyone. This is Anuj Singla from Bank of America Securities. Thank you very much for joining us for the Bajaj Finance earnings call to discuss quarter four and full year FY '24 earnings. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Jain, Managing Director , Mr. Sandeep Jain, CFO and other senior members of the management team. Thank you very much for giving us the opportunity to host you.

I now invite Rajeev for his opening remarks, post which we will open the floor for Q&A. With that, over to you, Rajeev.

Rajeev Jain: I have with me Sandeep Jain who's our CFO , Anup Saha our DMD , Atul Jain who's MD BHFL , and Manish Jain, MD BFSL and a set of my colleagues, Neelesh Sarda , who's Chief Compliance Officer; Fakhari, Chief Risk Officer, etcetera. I'll take you through the investor deck, which has been uploaded on BSE, NSE and the Investor section of our website. Let me jump right on to Panel four. I hope to take 20, 25 -odd minutes to take you through important sections, and then I'll hand it over for questions and answers.

In terms of Q4, I'm on Panel four, good quarter on AUM, customer acquisition, portfolio metrics and operating efficiencies. Dampener of the quarter were elevated loan losses in rural B2C and continued impact of regulatory restrictions. Overall, in the quarter, we delivered INR19,647 crores of AUM growth, booked 7.9 million loans, just a tad little of 7.9 million loans and added 3.23 million new customers in Q4.

The app, if you're using it or I would strongly recommend you download and you start to use it, has gone through a major upgrade in Q4, significantly expanding our products, services and a

host of new features on the app and web platform. Bajaj Finserv app now overall has 52.5 million customers, net users at this point in time.

In terms of financials, we ended the year with AUM of INR330,600 crores, a growth of 34%. opex to total income came in at 34%. That is really where it's been for the last three quarters now. PAT came in at INR3,825 crores, a growth of 21%. ROE as a result of capital raise came in at 20.5%. Net NPA came in at 0.37%.

I'm on Panel five, which is the full year summary. Overall, I would say, a good year across all financial and portfolio metrics for the company. Delivered AUM growth of record INR83,236 crores. We disbursed overall 36.2 million loans and added a record 14.5 million new customers in FY '24. Clearly, regulatory action on two of our products was a setback for the year. We remain committed to compliance in form and spirit as a company, and I'll cover as to how we

've
acted on the embargo, on the KFS just in a short while.
We're rapidly implementing our key LRS mega trends that we outlined in Q3 to investors. Account aggregator, now we have 22% of India's account aggregator on a monthly -- on a run rate basis. We have 8.1 million customers who have given us consents. ONDC, w hich is on track to go live by June '24. Social commerce is a platform, by July '24. Rewards is a platform, by June '24 and O2O 2O to make life significantly easier for consumers by June '24. It would -- all these actions as implemented should sig nificantly strengthen our competitive moat and also improve our cost -to-income ratios.
AUM full year I've talked about, so we had INR330,000 crores. opex to NIM on a full year basis also came in at 34% because last three quarters, that's really where the number has been. PAT has grown by healthy 26% to INR14,451 crores. ROE on a full year basis has come in at 22.1%, and net NPA ending March is at 0.37%. So that's the full year.
I'm on Panel six very quickly. Some of the points I'll just cover, which is point number four on Panel six. New loans booked were lower by approximately 0.8 million as we articulated even in our early press release on account of restrictions laid by RBI on the company on account of eCOM and Insta EMI Card.
Total cross -sell franchise crossed a milestone of 50 million customers and stood at 50.75 million customers. The company added 53 new locations and added 7,700 distribution points. We are now physically present in 4,145 locations and serve over 198,000 act ive distribution points as of 31st March.
In terms of liquidity, buffer -- liquidity buffer is strong at INR15,700 crores. Cost of funds continue to inch up, albeit slowly now. It grew by 10 basis points on a quarter -on-quarter basis. On a sequential quarter basis, was at 7.86% in the quarter gone by. The deposits book also grew in line with the asset growth, grew by 35% and stood at INR60,151 crores. Net deposit accretion was INR2,143 crores. Deposits on a consolidated balance sheet now contributed to 21% of overall borrowings.

In terms of operating efficiencies, net interest income grew 28%. NIM compression in Q4 over Q3 on a sequential basis was 21 basis points, primarily contributed by AUM composition changes. As we move more and more of our assets or just re -pivot our assets slowly to rightful balance between secured and unsecured, there is some level of compression that's slowly evident in net interest income.
opex to total income came in at 34%. Company is rapidly deploying various Gen AI initiatives across operations, service and contact centres to enhance operating efficiencies. The bigger benefits will not be visible in '24 -'25 or -- FY '25, but in FY '26, the exit rates of FY '25 should be much stronger as we sharpen the pencil in terms of inducting Gen AI across our processes as a company.
Employee headcount as a result of optimization of our cost -- operating cost model after 8 -odd quarters went down. It stood at 53,782. The employee headcount reduced by 499 people in Q4. Attrition, on a full year basis, we came in at 14.9% versus last year of 18.7%. So continue to see improvement in overall attrition rates for the company.
Credit cost, overall loan losses and provisions were INR1,310 crores. The rural B2C business continued to trouble us even in Q4. AUM growth, and as a result, as I've always said, we are a risk-first company. Rural B2C growth actually came down from 25% on an AUM growth basis to 6% in March '24. So clearly, we s till don't have a full handle on rural B2C. And as a result, the growth has been slowed down until such time we can tame risk in the business.
Having said that, I must just qualify that it's 5%, 6% of the balance sheet. Yes, 6% of the balance sheet. So it's a contained risk, and I would say it does not impact the co

mpany in any manner on
an overall basis.
Loan loss to average AUF came in at 1.86% in Q4. The overall macro -overlay came in at INR300 crores during the quarter, company utilized INR127 crores towards strengthening of ECL model, which is an annual exercise and released INR163 crores towards loan losses and provisions. So it was -- the number was close to INR590 crores, which has come down to INR300 crores.

GNPA and NNPA came in at 85 basis points. It's the lowest that we have seen in the history of the company and net NPA came in at 37 basis point s. I think even in the industry, it's amongst the lowest GNPA ratios definitely and NNPA as well.
Risk metrics across portfolios are stable, except the rural B2C business, as I said, which continue to trouble us. We continue to remain watchful on risk actions in the rural B2C business. Otherwise, all businesses are from a management assurance standpoin t, at this point in time, being marked as green.
I'm on Panel eight , profitability . Consolidated pre -provisioning profit grew 25%, PAT grew 21%, annualized ROA came in at 4.84%, ROE came in at 20.48%, capital adequacy came in at 22.52% and Tier 1 capital was 21.51%.

Three, four additional updates. I thought I'll provide, I'm on point number 26, Panel eight , that the Board of Directors of BHFL, which is wholly owned subsidiary of BFL, at its meeting held yesterday evaluated various options for meeting the mandatory listing conditions pursuant to BHFL classification as a upper layer company, and including a potential IPO. In this regard, Board of BHFL has constituted a committee to undertake various actions and steps. That's really the update that we're going to provide at this point in time. And as and when the committee deems appropriate, we'll provide timely updates to the investors.
In the quarter gone by, company to diversify its borrowing profile, raised $725 million in external commercial borrowings, which is equivalent to INR6,016 crores, all in 3 -year monies. So now 2% of the overall borrowing profile is in ECB. At the peak of it, we used to have 4% of our borrowing in ECB. So based on market conditions, we expect to take it to 4 %-odd in the current year itself.
Last point is point number 29 and 30 I want to cover, on Panel nine, that the company has made required changes in response to the regulatory restrictions imposed by RBI on the company on sanction and disbursal of loans under eCOM and Insta EMI Card. The company has formally requested RBI for a review and removal of these restrictions.
To ensure compliance in form and spirit, the company in addition to the two lending products, which are under embargo, has implemented KFS now for all lending products effective 31st March. So any client who takes a loan from the company across retail and SME, effective April 1 gets to receive a comprehensive KFS, and it's in 20 v ernacular languages. So that's really the update on BFL consolidated.
BHFL had a good quarter, AUM was up 32%, home loans grew 24%, loan against property 23%, lease rental discounting 57%, and developer finance 69%. Portfolio composition remains steady. BFL is fully meeting its PBC criteria of 60%. The number you see is 58% here, but based on PBC criteria, it's at 61% is what the PBC criteria -- the hurdle rate is 60%. The company is at 61%. Overall, approvals grew 19% to INR19,500 crores. Disbursements grew 26% to INR11,400 crores and the company is now present in 174 locations. Liquidity was steady at INR2,000 crores, borrowing mix remained largely steady with bank borrowings contributing to 51%.
Operating -- in terms of operating efficiencies, net interest income grew 11%. Total income grew 14%. opex to total income came in at 27%. Employee headcount stood at 2,400. The credit costs were virtually negligible, came in at INR35 crores, and BHFL still holds a macro and mana

gement overlay of over INR94 crores. GNPA and NNPA are amongst the industry best at 27 basis points and 10 basis points.
In terms of profitability, PAT grew by 26% to INR381 crores, and annualized ROA came in at 2% and ROE of 12.65% on a quarter basis , on a full year basis at 15%. BHFL raised INR2,000 crores from right -- through rights issue from BFL on 3rd of April 2024. It's sufficiently capitalized for '25, '26, for 18 months of growth or so. So that aspect has been taken care of to

ensure that whatever the committee of the -- Board constituted committee decides in terms of its options, they are well capitalized.
Bajaj Financial Securities ended the quarter with INR26 crores profit against INR3 crores profit a year ago. Profit after tax came in at INR22 crores against a profit INR3 crores again. Added 43,000 customers. The company on a full year basis, delivered a pretax profit of INR72 crores,

giving us latitude to start to invest in the business to grow the business as we move from here. Next two panels are full year panels. I'm not going to spend time on that. What I wanted to do is to give you a management assessment for FY '25 because questions get asked, and we'll end up responding. I thought it may just be more prudent for us to systematically give you a management assessment for FY '25. Also, importantly, we've been through two low years and two high years if I take the last four years since COVID. And we're getting into a normal year, the way we see it as management. So I thought it 's important we provide you a reasonable update or assessment from FY '25 standpoint.

I'm on Panel 17 for the reference of people who are listening in. As you're aware, we have a well-established long -term guidance across AUM, profit, GNPA, NNPA, ROA and ROE. We expect FY '25, the way we see it at this point in time, to be a year of normali zation to pre -COVID metrics. Adjusted for, of course, certain regulatory changes pertaining to NPA classification. So -- and those NPA classifications have had an impact of 12 to 14 basis points. So it's a marginal change but that's changed. When your cre dit costs are to the extent of 1.7% and they go up to 1.82%, that's a change, which is a 8%, 9% change. That has happened as a result of harmonization of NPA classification between banks and nonbanks, which RBI conducted between '20, '21 and '22.

When I look back over the last four years, what principally I come to conclusion is that the first two years of COVID were a low phase and the last two years of COVID have been -- last two years have been a high phase. From that perspective, we thought we'll just provide you a management assessment. This is all -- of course, is subject to stable macroeconomic and regulatory environment. This assessment, I must just qualify is for FY '25 onl y, and we remain committed to achieving long -term guidance metrics for the medium term as a company for which we are sufficiently capitalized, have full breadth of products, have large franchise and a very strong moat in terms of business model.

These are seven , eight areas that, in general, that you guys have -- that the investors have questions on, I thought I'll just clarify them. In terms of our management assessment of FY '25 is that we'll continue to originate 12 to 14 million customers in FY '25, we added 14.5 million customers in FY '24. In terms of AUM, we foresee a 26% to 28% balance sheet growth, principally supported by newly launched secured businesses such as loan against property, which went live in Jan '23; a new car financ ing, which went live in July '24 -- July '23, sorry; and tractor finance, which went live in January '24.

Net interest margin has been moderating because of rising cost of funds and gradual shift in AUM composition towards secured assets.

We expect costs to peak in our assessment at this
point in time by July, August, and AUM composition re -pivot towards secur ed assets to stabilize by September '24. Accordingly, we foresee a 30 to 40 basis point moderation in NIM over the next two quarters from our current levels and then stabilize from there. Of course, global interest rates, local interest rates will still h ave a role to play both ways if -- upwards or downwards. But this is assuming that by second half -- sometime in second half of the year, we have peaked in terms of interest rates. That's really what the assumption is.

In terms of opex to NIM, we expect improvement of 20 to 40 basis points from current levels. And as we continue to focus -- we move from accelerated frame to a more consolidation stage, there could be a little bit of opportunity in opex to total income, even from these levels. In terms of credit costs, as I said, pre -COVID we used to be at 175 to 185 basis points. We expect to remain within that corridor. Last year it was 182 basis points -- for the year gone by, 182 basis points. We expect to remain withi n the corridor of 175 to 185 basis points.

Return on assets, our long -term guidance between 4.6% to 4.8%. We expect to remain within the long -term guidance of 4.6% to 4.8%. ROE in FY '25 may marginally go down as a result of capital that we've raised. But as you can see, ROE is holding steady, but mainly because of excess capital that we'll be sitting on that we may see some level of -- a little bit of a drag on ROE in the -- in FY '25 .

GNPA and NNPA expected to remain range bound and lower than our long -term guidance, long - term guidance has been 1.2% to 1.4%. We ended the year at 85 basis points and 37 basis points. We expect to remain between 85 -- between 85 to 100 basis points of GNPA and NNPA depending on the quarter. On a full year basis, we expect this to be well within the current range.

In terms of profitability, we remain cautiously optimistic about FY '25 with profit growth to be a little more rear -ended due to moderation in NIM in the first half of FY '25. I think that -- I thought I'll just try and answer most of the questions that pe ople have in a clear manner so that we can -- so that's really one of the la st panels.

Very quickly, we can just go to asset mix, that's panel number -- the cross -sell franchise continues to grow well. So I'm mindful of time. In terms of asset mix, that's on Panel 55. On a year-on-year basis, there is a 2.2% reduction in unsecured to secured mix. Urban B2C, as you can see, has gone down by 80 basis points and rural B2C as a result of the a ctions that we've taken has gone down by 140 basis points, leading to 220 basis point reduction in unsecured. One is not by design. The second is by design, which is rural B2C, which I've talked about for the last two, three quarters.

From this time onwards, we also started to separate rural B2C, we used to have gold loans sitting there. We have started to separate gold loan as well. Gold loan is now 1.4% balance sheet, ending last year. It's -- we've also separated from SME lending, th e car loan balance sheet. It is now at

2.1% of the balance sheet. So greater granularity in the balance sheet continues to emerge as we grow larger and larger in size.

So 2 -wheeler, 3 -wheeler grew year -on-year by 80 basis points in terms of mix. Urban sales finance flat, urban B2C down 80 basis points, rural sales finance flat, rural B2C down as a result of actions, gold loan moved up, SME lending 40 basis points down, commercial lending moved 30 basis point, so on and so forth. That's really where the overall asset mix has been. But I would say, marked by greater granular ity as we continue to execute on our long -range strategy of to be present in all retail and MSME ca tegories that clients would want us to be.

Just on the last poin

t on GNPA and NNPA, which is panel -- and with that, I'll hand over for Q&A. This is panel 58, range bound, plus, minuses, not much movement here, as you can see, aggregate is where it is. Reasons for up and down are also different. If you have questions, you can raise them, we'll try and answer it as to why it's 40 basis points, 31st March '23 is at 57 because the balance sheet in the preceding -- in 31st March quarter, the urban sales finance balance sheet grew whereas urban sales fi nance balance sheet in quarter four went down because of the embargo. So it's a numerator -denominator point on urban sales finance and rural sales finance and so on and so forth.

That really brings me -- in terms of portfolio quality, we remain -- on Panel 62 from a management assurance standpoint, we remain pretty comfortable. As I said, everything eventually will go back to pre -COVID adjusted for regulatory actions that happened in terms of GNPA and NNPA. Otherwise, we remain well ahead or still significantly better than where we were pre -COVID. I think that brings me to the end of points that I wanted to cover, happy to take Q&A between me and the management team.

Moderator: Thank you very much. The first question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: I've got two or three questions. The first one is, do we have any plans to list in the international market, either through ADR or GDR? Second is with respect to struggling businesses which is -- 1 of gold loan second is broking. When do we see a INR1,000 crores bottom line for each of the businesses? What's the timeline if you can comment to that.

Third is that the B2C business, when we include urban plus rural, that, in my sense, should constitute a larger amount of the profit pool, closer to 35%, 40% basis which we cross -subsidize other products or other businesses. Now given the fact that we have been hitting the credit cost from these businesses, are we facing issues in cross -subsidizing the other businesses?

Rajeev Jain: So ADR, GDR, it's a new point. So I had not thought about it, but it's a good input. We'll evaluate and update you guys based on our assessment. We do know broadly that some of the -- some of our -- some of the leading firms in India are listed there. So t hank you for your input.

In terms of profit horizon, clearly, we build business with a long -term view. We expect microfinance -- so in terms of size, if you start to think about it and that's why we detailed gold loan this time, we are now from 180 branches to 650 branches, busine ss is growing extremely well. You should continue to see progress there. We are very clear it is anywhere between 18 to 24 months, by the time business becomes breakeven because we're doing business at scale and 36 to 48 before it starts to meet hurdle ra te, and anywhere between 40 to 60 before it starts to be a meaningful contributor to profitability. These are the three dimensions that go into our planning process.

So clearly, as you can see, as we've been updating the Street that we launched a whole host of businesses in the last 18 months. Microfinance, tractor, new car financing, LAP. We're just launching commercial vehicle. So clearly, it's a -- we launched open architecture 2 -wheeler 2 two y ears ago. That should start to be -- that should make money in the current year. So clearly, two years to breakeven and businesses are built with a five-to-six-year view. But do we remain very focused on giving time, attentio n as we become larger to young businesses? The answer is yes. So that's the second point.

In terms of your third point, you're principally saying that are they subsidizing. We run verticalized P&Ls for each one of our line of businesses internally. No business gets any subsidy. They all get capital at the same rate. Th

ey all -- so it's a very e stablished, disciplined process and methodology, and there is no cross subsidization. Every business must meet -- any business that we do, it can take three years, but must meet a hurdle rate of 14% to 15% ROE for us to even launch the business. So -- and there is no concept of cross subsidization in the firm because we think that creates mediocrity in the way we run and conduct businesses.

Shubhranshu Mishra: My question still remains unanswered, what's the commitment in the INR1,000 crores bottom line from gold business and broking business?

Sandeep Jain: Sorry...

Management: Gold and broking business.

Rajeev Jain: What will be the?

Shubhranshu Mishra: When do we hit INR1,000 crores profit in each of these businesses, gold and broking?

Rajeev Jain: So I mean -- so gold loan, look, at this point in time, is going well. You're aware it's a cyclical business because it's a commodity, so clearly growing very rapidly at this point in time, okay? If the current run rate was to continue, in three years' time, it could be INR1,000 crores profitability. But again, as I said, we're building this with a long -term view. The model and the template is well set. So -- now that's one.

Coming to BFSL. BFSL had a pretax profit pool of INR72 crores last year, should cross -- should grow significantly, I would say, given their current run rate at this point in time, should get to 3 -

digit growth in the current year itself and should compound I would say, 35%, 40% for the near term.

Now -- and then when I say -- then you're talking INR1,000 crores. That's a long way off for Manish Jain to deliver in BFSL. But again, I repeat we are building business with a long -term view. We are quite excited about the business. Do we challenge all our businesses to hit a milestone of INR1,000 crores profitability? The answer is yes. But are we patient enough to know that businesses take time to build? The answer is yes. So gold loan three to four years, longer for BFSL.

Moderator: Thank you. T he next question is from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: So I had two questions. One is, basically, so first of all, how is the management transition happening with Anup now being elevated and basically how internally it is playing out? Is it as per your expectations? And what are the changed roles and responsibilities now you are wearing . That is point number one.

The second question that I had was also to do with now -- again, we have now numerous instances of RBI placing business restrictions on different entities across the shades of different regulated entities. So I wanted to get a sense of -- at least the comm on theme we have seen is that on issues that have been more recurrent issue between those regulated entities and RBI, those are the points basis which if they are left unaddressed, that is where RBI is stepping in with this kind of restrictions. So are th ere apart from this one instance which was there, any other pressing points that have been, say, more of a persistent issue? Any guidance on that front would be really helpful.

Rajeev Jain: So management transition, it's very early days as yet. You would appreciate that. We announced the management transition in December. So it's very, very early, is the point I would make. So it's a patience play for us as a management team. And clearly, we would request you all to be patient as well. And the only thing I would say is that it's being done in a highly disciplined, rigorous and a planned manner. And we're all working towards making it a successful transition. So that's the first pa rt.

Second part, clearly, in terms of regulated matters, our preference would be to not comment on it. We are -- we remain committed to compliance in form and spirit. Areas that we are identifying even on our own, we

are acting on in addition to annually points being raised by Reserve Bank.
So -- and are we all -- given the actions on us, are we committed as a company to ensure that we don't create such a recurrence, at least as management, we are fully committed to. And that's what I can say.
Moderator: Thank you. Next question is from the line of Kunal Shah from Citi. Please go ahead.

Kunal Shah: So firstly, on credit cost, again. So given that there is a pivot which is happening towards the secured business, and maybe towards relatively a low yielding portfolio as well. But in terms of the credit cost guidance, that still seems to be slightly on a higher side at 1.75% to 1.85%. So -- maybe last time you indicated urban B2C as well, which was in the watch -list, but it doesn't seem to be the case now. So then maybe could it be like are there any other product segments which is becoming a cause of concern, or these are like the normal write -offs which we are seeing in the business, which is leading to this kind of a guidance here?
Rajeev Jain: No. First thing you will remember that while we re -pivot towards secured assets, if you look at the transition is 2.5%. So 2.5% of assets went down in terms of unsecured and correspondingly other portfolios went up. So it's a pivot that will happen gradually. It's not doing anything considering the secured businesses are low -risk businesses, unsecured are high -risk b usinesses, it is a myth. If both done poorly or -- will yield the same negative result. So it's a gradual transition. It is not a quick transition.
But clearly, the road map is to create a more granular portfolio. There's no question of balance. We've been running this mix for many, many years. We have published to the Street that our LRS plan is to compound at 25%, 27%. So it's in that direction. The re is -- and all shifts will be gradual in nature. So that's why even the -- while the assets may come, the -- or as the mix moves, it all comes with a lag effect. So that's the only point, Kunal, that you have to keep in mind.
Sandeep Jain: If I may add, Rajeev. I think in addition to that, Kunal, if you look at last year performance, right, we delivered 1.63% loan loss to average AUF. And adjusted for macro and management overlay that we released in the last year, the number was 1.82%. If you look at pre -COVID, adjusted for growth, of course, we used to grow reasonably at faster pace at the point in time. On a normalized basis, the loan loss to average AR, pre -COVID was 1.65% to 1.75% kind of corridor.
Rajeev will talk about some of the regulatory changes with respect to definition of NPA that happened last to last year. On top of it, as you would remember, we have made this point in a couple of earnings calls as well. We have significantly accelerated o ur write -off policies to ensure that we don't carry any residual risk in the balance sheet. That has also led to 10, 12 basis point impact on the overall loan loss to average AR as a metric. If you take both the things together, I think 175 to 1 85 is a n ormal corridor in addition to what Rajeev has communicated.
Rajeev Jain: And mind you, Kunal, four years later, the balance sheet is INR330,000 crores versus INR140,000 crores, but we ensured that the credit has remained -- in fact, if you knock off the point Sandeep is making, we are lower than where we were versus FY '20. So balance sheet is up 2.8x and credit costs have held flat rather marginally reduced, if y ou knock off these regulatory changes that came in.
However, on your last point, as mix pivots a little bit, sometime in '26, '27, you will see an impact. It will not even be this year and the next year. I mean '25, '26, you may see some impact,

you will see full impact only in '26, '27 in terms if the -- of the slow or grad

ual pivot that we are
working towards.
Kunal Shah: Sure, sure. So on an average, what would be the write -offs maybe if we have to look at it, maybe currently, maybe in this quarter also, it seems to be on the higher side. But what should be the average write -offs given the profile of the assets which we ar e building? So just wanted to get that because today, in terms of the GNPA as well as net NPA those are like, as you mentioned, historically low levels, yes.
Sandeep Jain: So I think if you look at Kunal, by that logic, I think the overall provisioning versus last year to this year is very well disclosed. The differential is nothing but the write -off number. I think barring 10 basis point, which goes towards provisioning bal ances towards write -off only.
Eventually...

Kunal Shah: And that might not improve, yes.
Sandeep Jain: Yes. Eventually, what you do is you settle the account with the customer by taking a charge off after consuming all the remedial or measure that is available for you to do debt management services.
Kunal Shah: Sure. And one last question in terms of the BHFL. So again, if I look at in terms of the NIM trajectory out there, given that that's also like more than 25% of the AUM, it seems like NIMs there itself have contracted and that has led to like almost 21 bps kind of a contraction on a quarter -on-quarter basis. So overall, profitability was also low in BHFL compared to Q3. Year - on-year, it's sustained. But how should we look at the BHFL, both in terms of the margin as well as the ROE profile? Does i t improve towards 2.3%, 2.4% or like 2% seems to be...
Rajeev Jain: So two points. Clearly, you know that -- if I may use the word in a lighter vein, the madness in terms of competitive activity in the mortgage space. I mean, borrowing costs for BHFL and N CD market is at 8.3% and home loans are being distributed at 8.4% and 8.5%. So we are in that zone that it’s a pretty crazy zone. So that ’s point number one for me to make.
Point number two, clearly, our guidance on a long -range basis, while the company has delivered a 15% ROE in the current year, we believe that anywhere between 13% to 15% ROE on a sustainable basis is really where the business is anchored on. So that ’s the way you should look at the business. It is that a range bound 13%, 14%, 15% ROE on a sustainable basis, amongst the cleanest, largest businesses in India, which are focused on – and a great annuity business that we are headed to create is how you shoul d look at the business. Amongst the largest, amongst the lowest risk businesses, 13% to 15% ROE and compounding annually between 25%, 27% to create a great annuity business. Its cost -to-income ratio should keep going down. So making it more and more compet itive as it becomes larger in size.
Moderator: Thank you . The n ext question is from the line of Kuntal Shah from Oaklane Capital. Please go ahead.

Kuntal Shah: My question is, I just wanted to correct that there ’s 70 bps increase in the cost of fund, right, in spite of the ECB cost borrowing up – the ECB as …
Rajeev Jain: On a full year basis, Kuntal?
Kuntal Shah: Yes.
Rajeev Jain: In the full year, yes. If you go to the panel, I think th ’re's a...
Sandeep Jain: T’at's correct, Kuntal, ’it's 70 basis points over last year. T ’at's correct.
Kuntal Shah: And there is a 4% impact on the embargo on the PBT level?
Sandeep Jain: T’at's correct.
Rajeev Jain: For the current quarter, yes.
Kuntal Shah: Rajeev, the question is, you mentioned in passing about account aggregator, ONDC, rewards and various planning – -- the products you are rolling out. Can you just throw a granular light on how does it impact franchisee , profitability and so on and so forth?
Rajeev Jain: I mean account aggregator, we think, is a fundamental shift in the way business will be done. That's really how

we are driving the business at this point in time. As I shared, that it's 8.1 million consents. I mean based on the consent of the client to get his -- in a structured manner, his entire bank statement, allowing us to underwrite him right, price him right, expand exposures, portfolio monitoring, early warning, it's a dramatic shift, let me tell you .
And the company has been driving that since November. And that's how, as I mentioned, we have 22% of India's consents at this point in time on a daily or a month -on-month basis. This data is published on the Sahamati website. So clearly, we are very excite d. It dramatically opens up, clearly, new growth path for us as a company or for any company that intends to use it because -- so that's one.
Two, ONDC, while it has no commercial outcomes but clearly would dramatically improve engagement rates for our 52 million customer franchise, we're adding 3 million to 4 million customers net installs a quarter. It's -- I mean, Jan '23, 1,000 orders a mont h were happening. 82 million -- sorry, 8.2 million orders happened in January '24. A year later from 1,000, something went to 8.2 million. That's the kind of growth rate that ONDC is principally experiencing, clearly, customers are ready for it. So that w ould improve dramatically the engagement rate, our opportunity to engage with the customer. So that's the second part.
Social commerce, clearly, as I've said, people are spending more and more time on videos and photos rather than content. Our app infrastructure, web infrastructure are more organized to content. Social commerce clearly is nascent, but the way we are engag ing on a day -to-day basis

are more and more social. So that's going live, it will have re el infrastructure and so on and so forth by June, July.

Rewards is an open architecture customer acquisition engine that is built on back of a PPI platform with a host of benefits. It's a paid program that if a customer wishes to buy, should help us acquire more new -to-Bajaj customers and engage them over time to take all financial services products. So these are big bets, Kuntal, that we are making from a medium -term standpoint, some short term, some medium term and should -- could dramatically alter the way the business looks in the medium term.

Kuntal Shah: Are you throwing in the expense management and all the related tools for rewards for enterprises or it just...

Rajeev Jain: So expense management as we -- it is there even today in the asset, but we don't find too many -- the utilization rates to be very high. So what happens Kuntal, if you get all the bank statements, then expense manager using account aggregator is relevant. Our intent is to underwrite and lend to a client, making him give five bank statements is -- in my mind, personal assessment, practically not feasible because at store or wherever the client is, one main bank account mostly tells the story. So if you want to deliver a full -fledged expense manager, then you need to get all his bank accounts, which is not practically feasible as...

Kuntal Shah: Just my last question. We had a 2% degrowth in EMI franchisee because of the embargo. What is the time frame you are expecting for RBI to revert? And when would you think able to fire that engine?

Rajeev Jain: I cannot comment, Kuntal. As I've said, we have completed the compliance, and we are awaiting next steps from RBI.

Moderator: Thank you. The n ext question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Congratulations to the team on the quarter. Just two questions. One is the FY '25 guidance that we have given on various metrics. I mean, does that factor in the relaxation from the RBI on eCOM and Insta EMI Card? Or you are assuming that it will -- I mean, the guidance is assuming that the situation that w e are in today, that k

ind of continues?

Rajeev Jain: Yes. sometime in the near future, we assume.

Umang Shah: The relaxation will be lifted, right?

Rajeev Jain: Yes.

Umang Shah: Okay. And the second question is mainly pertaining to the listing of the housing finance entity and two parts to it. One, the shift that we're seeing between secured and unsecured at this point of time, is it just temporary given that some businesses of ou rs are under embargo or it is more

structural in nature that BFL stand -alone will start building more secured businesses on its own. And the second part of the question is that the long -range guidance that we have given in the presentation is predominantly consol. Does the listing impact that in any way?

Rajeev Jain: So look, structurally, let's step back for a moment, our market share across lines of businesses remain very low. We have come a long way in 17 years. But when you look at our market share across lines of businesses in personal loan, our market share is 7% , okay? It's been a -- it was at 7% in '19, '20, which is pre -COVID, since then all the action happened, even today, it's at 7%. 7% of all disbursals in India, plus -minus. This is bureau data, is our market share.

So structurally, we are not talking a structural movement. We're just saying that at a design level, there are opportunities in lines of businesses given the growing franchise like auto loans, like LAP because BHFL by design has to principally focus on hom e loan because 60% of the business has to be home loan. And 15% has to be developer finance. That is 75%. They have built a phenomenal business of CRE that's 10%, 12%. So that leaves only 7%, 8%. So there's very little scope for them to do LAPs. So that's how LAP came in. So we're looking at opportunity rather than changing the mix at a structural level of the business Umang, it's important. I clarify that.

Of course, you have to take into account external environment, you have to take into account various optics to ensure you play year at a time , but no change in structural guidance for us as a company.

Umang Shah: Okay. And the long -range guidance on a consol entity basis, that also kind of...

Rajeev Jain: Yes. So okay. It's a good question. I'm sorry to not have responded. Clearly, some point in time

based on the committee's decision. But anyway, the committee's decision is contingent between now and September '25. By September '25, we have to list the firm based on the upper -layer guidance. We are encouraging both that both companies should principally look -- be more Atmanirbhar , look at their rightful mix. BHFL should focus on ROE and BFL should focus on the balance between secured and unsecu red.
So from a directional standpoint, as BHFL gets listed, the consol conversation is as important as stand -alone conversation for each one of the entities from a long -term standpoint and which is what we are driving them for. So in a way, one of the -- to the point that you're making, that's why also launching some of the lines of businesses in BFL to make sure that when we start to look at them independently versus consolidated they should be a lot more self -sufficient in terms of all metrics, which are rele vant for the business.
Umang Shah: And sorry, just one last follow -up. So does that mean that at some point in future post listing, can Bajaj Finance and Bajaj Housing Finance compete in the same product line?
Rajeev Jain: No. We would never do home loans. BFL would never do home loans. If it ever did, it may do it on an assignment basis for BHFL. LAP, both will do. Market is very large. BFL is very large

in MSME as a business line, it's a core need or a product requirement of MSMEs as we grow our relationship with those clients, LAP is a needed product and I articulated earlier to

you. So
we may end up competing on and off on a client basis, but not on a s tructural basis. BFL would never do CRE, BFL would never do developer finance. It's not its business.
Moderator: Thank you . The n ext question is from the line of Piran Engineer from CLSA India. Please go ahead.
Piran Engineer: Just a couple of questions. One, a follow -up on Umang's question, and you mentioned Atmanirbhar . Just wanted to understand, once the two entities are actually Atmanirbhar how will the customer data sharing work in the sense that one of our propositions was you acquire and cross -sell...
Rajeev Jain: Even today, it's on complete arms length basis. Even today, it's on -- complete arms length basis. We originate on their behalf; we would get paid a fee for it because we are mining our franchise.
Piran Engineer: Okay. And is it fair to say bulk of their customers are your customers? Or do we have a large share of independent...
Rajeev Jain: 35%-odd...
Atul Jain: The answer is, so end of the day, eventually 35% of our customers turn out be BFL customers, but some of them on account of just BFL customer franchise being that large, not account of being originated from the leads, which come through BFL franchise. But yes, end of the day 35% of the customer base would be common between BFL -BHFL or BHFL customer being a BFL customer as well.
Piran Engineer: Got it. So you're independently sourcing 65% of your customers?
Atul Jain: So our digital mobilization on BHFL website and BHFL assets is completely independent or through the web SEO activities, what we do on our own, where we get the customer. Along with that, BFL does mobilization of its customer base through digital channels and its app and web platforms, any customer which consents to take a loan, which is a mortgage loan, which is being serviced by Bajaj Housing Finance, the consented lead comes to BHFL and the revenue sharing happens on that, a lead conversion happens in the BHFL side, but there is a -- on the lead sharing basis arms -length basis, the revenue sharing happens, yes.
Piran Engineer: Understood. Okay. Fair enough. Secondly, I just wanted a few clarifications. Firstly, when I calculate your ROA, just a simple calculated number is around 4.5%, for the full year you all have reported 5% or 5.1%. So do you all calculate it on a denominator of loans or something like that?
Sandeep Jain: Yes, we calculate it on loans only.
Rajeev Jain: Always.

Sandeep Jain: Unlike bank where investment constitute a significant portion of the balance sheet as part of the deposit gathering process, for us, the interest -earning asset is only lending that we do.
Piran Engineer: Okay. Okay. So simply put your expecting a 30, 40 bps decline in return on loans next year?
Sandeep Jain: That's correct. On a portfolio basis, the answer is yes.

Piran Engineer: Okay. Fair enough. And just secondly, I know this has been discussed before, but...
Rajeev Jain: On a year -on-year basis, Piran.
Piran Engineer: Yes, year -on-year, yes. And why exactly are credit costs going to be elevated in FY '25 also given that we've curtailed our disbursements in rural so much, even in urban to an extent, just wanted to get a sense of that.
Rajeev Jain: Sorry. Piran, sorry. Could you just repeat your question? I lost you in between.
Piran Engineer: Why are our credit costs going to be 1.8%, 1.85% next year also, given the initiatives that we've taken this year in terms of curtailment and improving our underwriting?
Rajeev Jain: So it's a fair question. Some of the portfolios have seen, continue to see ever low. I'll give an example that the 2 -wheeler and 3 -wheeler business has just started to come in terms of pre - COVID normalization only since December.
So clearly, we expect rural B2C will normalize, but we are seeing that there are still -- ac

tually,
that's the only portfolio left, which is yet to come back to pre -COVID levels. So that's really what we are taking into account as we assess how FY '25 woul d look like. So that's the only residual portfolio that principally as yet is not back to pre -COVID levels.
Piran Engineer: Understood. And just lastly, we had increased our lending yields by 25, 30 bps last quarter in fourth quarter. But yet we are talking about a 30, 40 bps margin compression. So the cost of funds impact is so severe, is it? And can we not increase yields mor e?
Rajeev Jain: Yes. No, no, we had increased, but the net flow -through that we're seeing based on intense competitive activity is only 12, 14 basis points. I mean, clearly as I said earlier, in terms of home loan rates, home loan rates are still at 8.4%, 8.5%. I mean a little -- I mean, as Atul is saying, it's 8.5% to 8.6%, but our borrowing rate is at 8.3%.
So clearly, the intensity of competition continues to be really strong. So net flow -through has been 12, 13, 14 basis points, depending on the month that you're talking about. And cost of funds have inched up by 10 basis points in the quarter that went by.
Sandeep Jain: For the sake of repetition, let me repeat what Rajeev commented at the beginning of the call. I think one, we see some movement in cost of fund, and we forecast a peaking probably by August.
At the same time, there is a pivot towards secured asset mix in the balance sheet that also will

have some impact on NIM. I think these are the two important points that I thought I should reiterate.
Moderator: Thank you . The n ext question is from the line of Dhaval from DSP Mutual Fund. Please go ahead.
Dhaval: Just had a couple of questions. First is on just trying to reconcile the expectation for next year from an earnings perspective. So we roughly expect about 7%, 8% kind of ROA decline from 5.1% going to, let's say, midpoint of the guidance about 4.7% that's translate about 7%, 8% kind of decline on profitability.
At the same time, if you think about asset growth, that's going to be about 26% to 28% based on our expectation. If you take the midpoint, net -net, we are looking at 20% profit growth for next year versus our medium -term aspiration of 23% to 24%. So the qu estion is, should we expect some bit of catch -up into FY '26 based on your rate expectation and your expectation of RBI embargo being lifted, will there be some normalization of profitability in FY '26 to get back to our medium -term expectation of 23% to 24%. So that's the first question?
Sandeep Jain: Yes. So Dhaval, I think your assessment is correct to a large extent. 26% to 28% is where we see the growth in the next year to be. That's one point. Second, as Rajeev articulated, 30 to 40 basis point movement in NIM could happen in the next year. We expe ct the loan losses to be range bound. It does give you an indication about where the profitability could be. So I'm not commenting on a specific number, but probably -- that's probably an indication that you are highlighting.
Going to FY '26, as Rajeev was highlighting that in the last four years, we had two years of low and two years of high. It is against the high year that we're comparing Y -o-Y growth. As we get into FY '26, assuming the macro continues to remain healthy, regulatory environments remain conducive. I think your point, again, remains valid. We should go back to o ur medium -term guidance of 23%, 24% kind of profit growth.
Rajeev Jain: Can you hear us? Hello?
Moderator: Sir, the line for the participant dropped. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: A few questions. The first one, the way you were highlighting the challenge in the rural B2C. And if you look at some of your new segments, maybe gold, of course, you separated, MFI and up to

certain use making, they are kind of a bit -- or a similar in nature to the rural B2C. In this backdrop, on one hand, you are going slow on rural B2C. So how do you see these segments to sort of come over the next couple of years? So that's question one.
And second would be more into -- do with BHFL. Of course, coming from a smaller base, you are ramping up very fast also on the LRD and developer finance. Now developer finance is a bit, I think, reasonably cyclical business and the cycle turns quite fast. Right now, of course, I mean,

real estate cycle looks quite good. So what sort of -- any sort of growth plan you have, particularly for this developer financing side and as well as what kind of early -warning system you would have in place to...
Rajeev Jain: Those are two different questions, and Sandeep can answer the first one. In terms of the mix. Look, structurally, and I want to reiterate that the mix will shift gradually, number one. Two, our market share across lines of businesses remain small. This tremendous oppor tunity at every line of business we have grown even the consumer durable business, our market share has grown on a year -on-year basis. I mean, where we are in high wherein -- I mean, if I take the bureau data, we have a 51%, 52% m arket share of consumer durable loans being booked. We've gained share.
So as I said, personal loan, we are only 7%. Rural B2C is a transient conversation. We are waiting for GFRs or gross flow rates, which are early indicators of the health of the business to go back to pre -COVID levels. As it goes back, we'll be back to grow th because the franchise on a year -on-year basis, if rural B2B is growing by 34%, the leas t that should happen is rural B2C should grow 34% on a very simplistic basis, whereas rural B2C grew only 6%.
So there is a significant amount of dry powder that is available with us for us to be able to accelerate. But we don't want -- we never accelerate a business if we are not in control of the risk metrics.
We are seeing GFR rates go down. Over the last two quarters, I think it will be one more quarter. And by second quarter as it goes back to pre -COVID levels, we should be back to growth. So that's the first part of the conversation. I want to make sure there is no confusion that are we changing direction in terms of our mix. We are changi ng direction in terms of mix, but in a very gradual manner. I want to reinforce and reiterate that point.
Point number two, I'll let Atul respond to the developer finance. I'll make only one point that it's a business that we've ran for the last seven , eight years with an eye on risk rather than eye on profit. Rest I'll let Atul respond.
Atul Jain: So if you look at the developer finance book while it is looking like in AUM growth, it is grown exceptionally well in the last one year. But at the absolute size of the balance sheet still remains sub-INR9,000 crores , which is a very minuscule portion of the -- again, the market size, what it is there because we had been building a granular book over the year, when you look at an average ticket size and an average outstanding because this book represents close to 440 relationship and close to ac tive 600 projects. So it's very granular in nature.
It is being done for two parts. One, of course, as a return enhancer for a mortgage business because as we -- as you are all aware, we're in the prime home loan market where we -- as BHF L, we are more operative, the margins are razor -thin because of intense competitive activity. Developer finance is required in a calibrated manner to deliver a return enhancement and also

to ensure that we build our home loan presence at the developer counter because that is a core home loan business. So it is not only a return enhancer, but it is core to th

e company's strategy.
In the medium term, we had guided that the business will remain in range bound, not exceeding 12% to 15% of the balance sheet mix. And as we go forward, that is how we like to look at the business. We continue to grow in a granular manner, continue to use it as a bit of a return enhancer and also more important as a strategic block to get us heft in the home loan business.
Avinash Singh: And in the LRD, I mean, how we see competitive environment? I mean, because LRD, even banks are reasonably...
Atul Jain: LRD, we have -- I'll say that that's one business we have done exceptionally well besides developer finance. We've built a name, in terms of our size is quite relevant. We compete with the banks. We compete with the banks for the marquee customers. Our cus tomers are the real marquee along with all sponsorship, funds and the REITs, which we cater to. We are intensely

competitive in that segment. That is because the opex ratios are very small there. The returns are in line with what -- mortgage return happen.

And we will continue to be aggressive in LRD space to deliver the third part of the mix from a home loan plus developer finance, which is our regulated business because it is -- as a housing finance company, we have to maintain a 60% home loan asset base. The remaining part will be focused much more on LRD to have the 100% mix.

Sandeep Jain: Just to add one more point on the B2C piece, I think just to reiterate what we've always communicated. I think we run a diversified financial services business, and the power of the diversified model is that it allows you to take rightful call when you see a particular business not doing well to your expectations.

In that context, we believe at this point in time, we are better off keeping our rural B2C at a little bit of a slower pace. Once we see portfolio mix to start -- portfolio quality to start to show improvement, we're more than happy to bring that growth in the business. I think that's just the point of -- reiteration that I want to make.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Anuj Singla for closing comments.

Anuj Singla: Rajeev sir, any closing comments before we conclude?

Rajeev Jain: No. Thank you all. Thank you all. We look forward to your continued support in FY '25 as we play along and build the business for the long term. Thank you. Thank you so much. Good night.

Moderator: Thank you very much. We conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Apr 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

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https://www.aboutbajajfinserv.com/finance -about -us

27 July 2024

Dear Sir/ Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 3 0 June 202 4

Ref : Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the ‘SEBI Listin g Regulations’) r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 23 Jul y 2024, the transcript of Q 1FY202 5 investors conference call has been uploaded on the website of the Company at https://www.aboutbajajfinserv.com/finance -investor -relations -quarterly -earnings -call

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take this on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune) THE MANAGER,
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Transcript

Bajaj Finance Q1 FY25 Earnings Conference Call Tuesday, 23 July 2024

Elliot: Ladies and gentlemen, good evening and welcome to Bajaj Finance Limited Q1 FY25 earnings call hosted by Morgan Stanley. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately.
For important disclosures, please see the Morgan Stanley disclosure website at www.morganstanley.com/researchdisclosures.
Please note that this call and your questions will be recorded and may in certain circumstances be distributed to clients and/or made publicly available. By participating in this event, you consent to such recording, distribution, and publication.
All participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.
I now hand the conference over to Mr. Subramanian Iyer from Morgan Stanley. Thank you and over to you, sir.
Subramanian Iyer: Thank you, Elliot. Hello, everyone. This is Subramanian Iyer from Morgan Stanley. Thank you very much for joining us for the Bajaj Finance Q1 FY25 earnings call. To discuss the results I'm pleased to welcome Mr. Rajeev Jain, Managing Director, Mr. Anup Saha, Deputy Managing Director, Mr. Sandeep Jain, CFO and COO, and other senior members of the management team.
On behalf of Morgan Stanley, I thank Bajaj Finance management for giving us the opportunity to host you. Without further ado, I now invite Rajeev to take us through the key financial highlights for the quarter, post which we'll open the floor for Q&A. With that, over to you, Rajeev.
Rajeev Jain: Thank you, Morgan Stanley. Good evening to those who are in this part of the geography and good morning to those who are dialing in from Western Hemisphere. I'll take you through the investor presentation, which is uploaded on the investor section of our website.
Let me just quickly jump over to panel four of the investor deck.
Overall, I would say mixed quarter for the firm, good quarter in terms of volumes, assets under manag

ement, growth, operating efficiencies, portfolio metrics, and ROE. But loan losses for the quarter were elevated as you must have already gone through.
Overall delivered AUM growth of Rs23,600 crores, booked 11 million loans and added 4.47 million new customers in Q1. Bajaj Finserv App now has just a tad below 57 million customers. On May 2, as you're aware, RBI lifted restrictions on sanctions and disbursal of loans under eCOM and Insta EMI Card and the firm went live offering Insta EMI Card from 10th of May and started to do eCOM from 1st of June and fully went live across all platform partners by 15th of June.
In terms of AUM, AUM as you can see, grew by 31%.
OpEx to net total income came in at 33.33%.

PAT. PBT grew by 16%. PAT grew by 14%. PAT grew by 14% because of the last year in BHFL we had a one-time gain on account of deferred-tax liability. Otherwise, PBT grew 16%, PAT grew 14%. ROE came in at just a tad below 20% at 19.9% and net NPA came in 38 basis points.
On panel five quickly, I've talked about AUM, I've talked about new loans growth, I've talked about 4.5 million new customer addition. Customer franchise is at 88.11 million and cross sell franchise stood at 55 million. We added 57 new locations and 9,000 distribution points.
Liquidity buffer remains strong at Rs16,235 crores both in BFL and BHFL. The liquidity buffer given strong treasury market, we managed to raise reasonable amount of long-term money.
In Q1 cost of funds was 7.94%. It was an increase of eight basis points on a sequential basis in the quarter. We expect that cost of funds should principally peak by August or so, or July or September is the last leg of increase in terms of cost of funds that should happen. And from there on cost of funds should start to go sideways. And hopefully as rate cut cycle comes in, we should see numbers go down in terms of cost of funds.

Deposit book grew by 26% and stood at just a tad below Rs 63,000 crore and net growth in the quarter was Rs 2,600 crores. Deposits accounted for 20% of consolidated borrowing.
NIM grew 25%. NIM compression was despite the fact that… NIM compressed by 23 basis points, 13 basis points was on account of cost of funds and 10 basis points movement was due to AUM composition.
OpEX to net total income came in line, came in at 33.2% against 34% in Q4 last year. Employee accounts stood at 55,000 and annualized attrition was 16.8%.
Credit cost, it's not a great quarter from that standpoint. Gross loan losses and provisions was Rs 1,790 crores. Gross loan loss to average AUF was 2.12%. Net was 1.99%, which is in point number 17. We consumed management overlay of Rs105 crores?
Sandeep Jain: Yeah.
Rajeev Jain: Of Rs105 crores in a quarter and that's the differential between 2.12% and 1.99%. Net loan loss to average AUF. For the year, we projected to be between 1.75 and 1.85% and we expect improvement in H2 of the current year. At this junction however, I would say for FY25, we have marginal upward bias on this metric.
GNPA and net NNPA came in line, came in at 86 basis points and 38 basis points as against 87 basis points and 31 basis points.

Principally as we look at the loan losses and provision performance, in that assessment is principally contributed by muted collection efficiencies. When we look at the default rates across portfolios, they are lower than March or on a year-on-year basis. However, collection efficiencies were muted across portfolios, actually, in the quarter that went by and as a result, stage two assets went up by Rs865 crores in Q4. We're clearly augmenting our... we had because even in 2019 when elections happened, if you go back to our results, the fourth quarter, the f

irst quarter when 2019 elections happened, there was so much of disruption and dislocation that happened that even in that quarter you will see that the loan losses end up from Rs400 crores to 551 crores. So we expected it won't happen, but clearly expectation was not sufficient but we have experienced this in the past in '19 and it's happened again in fact. So that's just a point to make.
Consolidated pre-provisioning profit grew by 25%. Profit before tax grew by 16% to Rs5,265 crores and consolidated PAT grew by 14% on account of one-time reversal of deferred tax liability of 73 crores.
Annualized ROA came in at 4.63%. ROE came in at 19.86/19.9% and capital adequacy came in at 21.65%.
Lastly, point number 27, that Bajaj Housing Finance, which is a 100% subsidiary, has filed DRHP on 8th of June with SEBI and stock exchanges for potential IPO equity shares and we are awaiting clearance and based on market conditions we'll take a view.
For BHFL quickly now. From consolidated results, point number 28 for BHFL, it is a good quarter. AUM was up 31% to Rs97,000 crores. Home loan grew by 25%. Loan against property grew 21%. LRD grew 41%, developer finance 75%. Portfolio composition remained largely steady on a year-on-year basis between 58%, 10%, 20%, 11%, and two percent. The NIM grew by 10%. OpEx to net total income improved from 24% to 21%.
GNPA and NNPA stood at 28 basis points and 11 basis points and profit before tax grew by 20%. And as a result of the deferred tax liability point that I made for consolidated profit, after tax grew by 5% to Rs483 crores.
Annualized ROA came in at 2.35% and annualized ROE came in at 14.32%. Capital adequacy remains strong at 24%. As you're aware, BFL infused Rs2,000 crores of capital in April as a rights issue in BHFL.
On BFSL, the margin trade financing, AUM was up to 65% to Rs 4,400 crores. Profit after tax grew by 500%, base is very small, to rupees thirty-odd crores and we think on a full year basis the firm could make Rs140 to 160 crores of PAT as we traverse the balance of the year.
Very quickly to panel number 12, some of the omnichannel metrics. Net installs are now up

year-on-year at 41%. Total traffic on web is up 23%. Personal loan disbursed in the quarter of Rs 4,500 crores through the omnipresence strategy. In terms of customer franchise AUM per cross sell franchise stood at Rs 64,235, per AUM cross sell franchise. PAT per cross sell franchise came in at 709 rupees. It is down of course as you can see from Rs776 to Rs709

because last year ROA was 5.4%, which was a historic high. Our long-term guidance is for an ROA of 4.5 to 4.7% and that's why you saw the last year number look this way.
I'm jumping straight to panel 47, which is consolidated AUM. Mostly on a year-on-year basis in line. Two-wheeler and three-wheeler finance in line. Urban sales finance down because eCOM whose balance sheet had run down is sitting as part of that. Otherwise, 7.6% would've been 8%, but eCOM businesses and the travel businesses restarted again, so that balance sheet should build out over the next four or five months.
Urban B2C, flat. Rural sales finance, flat. So portfolio mix largely remained flat except for car loans. We launched new car finance last year, so that number was 1.3%. It's up at 2.5% and the rest of the numbers are remaining sideways. Mortgages, 30.6%, it's at 30.9%.
In terms of provisioning coverage, gross NPA year ago, as you can see there is movement across lines but absolute numbers. So you can see movement across lines to that extent. But if you take out urban sales finance, the number movement is for Rs31 crores. But you can see that it's not portfolio determined. It is muted collection efficiency determined and that's where you're seeing some level of worsening marginal or otherwise across the board in

the
quarter that went by. As a result, GNPA is looking higher on a sequential basis. Overall aggregate GNPA is sideways, NNPA is also sideways, but on a year-on-year basis, you see number having moved from 87 to 86bp and 31 to 30bp. Provisioning coverage to 56% from last quarter we had 57%, is just marginally down to 56%. This is on panel 51 is the consolidated provisioning coverage. As I said, it's at 56%, so it's mainly as a result of overlay release. That's the principle differential.
On portfolio quality. So clearly under Ind AS methodology you land up accounting for loan losses ahead rather than later. So you may see these numbers are green here. Then how come loan losses and provisions are higher mainly contributed by the Ind AS and ECL that you land up eating loan losses much early on. Otherwise, as you see the portfolio quality, if you see consumer durables 99.38% to 99.45%, if you look at urban B2C 98.45% to 98.33%, there is a 12-13 basis point differential in stage two assets and so on and so forth. You will find that most of the portfolio metrics are looking green, but the loan losses for the quarter are looking elevated and there is a marginal difference everywhere.
Other than two-wheeler and three-wheeler, which has seen movement, but the reason it is green is because sequentially, if you see February '20, this number used to be at 11-odd percent, it's at 5.0% and again due to mutual collection efficiency otherwise, the default rates in the portfolio bounce rates are still at March levels.
I am on panel 55. You can see rural B2C because the portfolio is not growing. Even in quarter one it grew by 5%. It grew by 5%, so on a full year basis we forecast this portfolio will probably grow by 10, 11% on a year-on-year basis. But we are beginning to see that how the good year and the bad year can start to also make a difference because for the last one-year, rather 15 months, this portfolio has actually been growing at 5, 6%.
That's really all for me to communicate in the quarter. Happy to take questions.

Elliot: Thank you. We'll now begin the question and answer session. If you would like to ask a question, please press the star followed by one on your telephone keypad. If you change your mind, please press star followed by two.
When preparing to ask your question, please ensure your phone is unmuted locally.
Please limit yourself to maximum of two questions so we can accommodate as many as possible. Ladies and gentlemen, we will wait for a moment while the questions be assembled.
Our first question comes from Chintan Joshi with Autonomous. Your line is open. Please go ahead.
Chintan Joshi: Hi, thank you. Can I ask one on your NIMs and one on asset quality?
On NIMs, you highlight 10 basis points in compression this quarter coming from AUM composition, this follows about 20 basis points from the last quarter. How should we think about NIM progression because your AUM composition trends appear to be clear.
And following that, if I think about it on a longer term view, three to five year view, should we continue to expect somewhat NIM compression from this makeshift over time?
That's on NIM, then I have one more.
Rajeev Jain: Yeah. Yeah, go ahead. Go ahead. Go ahead. Go ahead, Chintan. Sorry.
Chintan Joshi: The other one is just on asset quality. You've given decent comments on collection efficiency. Should we take away that underlying you don't see any problems at all, this is purely an election related issue? Or is there more to read, especially things like you've highlighted two-wheeler, three-wheeler, those areas where there is a bit of elevation, is that purely election related? Thank you.
Rajeev Jain: No, it's a fair question. So, Chintan, by October quarter onwards, you should see stabilization of NIMs. And that's point number one I would

make. That's really how we are modeling the
portfolio model. So you will see one more quarter of movement as a result of NIM compression, but from there on the portfolio mix should largely hold.
In terms of portfolio quality. Look, we are in a risk business. While I could argue with you that it's a transient frame. As a firm, we are a risk-first business. We remain watchful across portfolios. Based on the data, we already started to proactively prune segments. We have started to cut exposures. So if it turns out to be transient, great. If it doesn't turn out to be transient, which we will have a clearer view by October on, we would've at least acted ahead. So that's on a -
Chintan Joshi: So on NIM we should not-

Chintan Joshi: On NIM, we should not expect a medium term compression because-
Rajeev Jain: No-
Chintan Joshi: Of the mix shift becoming more-
Rajeev Jain: No.
Chintan Joshi: Okay. You don't... Okay, thank you. Thank you.
Rajeev Jain: The scale builders and as we call profit builders and scale builders, we remain committed to anchor them at the level I-
Chintan Joshi: And if I just look at the last five years of scale builders versus profit maximizers, there is a differential in the five-year CAGR. That would indicate that that kind of differential may continue over the next while. That's why I'm asking that question.
Rajeev Jain: No, it's a very fair question. It's a very fair question and the response is, stabilization from here on.

Chintan Joshi: Okay, thank you.
Rajeev Jain: From September on. Sorry-
Elliot: Our next question comes from Piran Engineer from CLSA. Your line is open. Please go ahead.
Piran Engineer: Yes. Hi, team, congrats on the quarter. And thanks for taking my question.
Just again on asset quality really. Firstly, if you can just quantify what is the impact on credit costs from the write-off policy change you have had last year. So that's one.
And secondly, it really gives us the confidence of improvement in the second half of the year in credit costs. And why hasn't urban B2C been as impacted as rural B2C?
Rajeev Jain: There's been no change in our write-off policy in the last one year-
Piran.
Rajeev Jain: Piran. So I think that's a first response-
Piran Engineer: You were accelerating it, right? Or you're not writing it off so you-
Rajeev Jain: No, no, that is. Last two years we have no change in write-off. Anup, correct my understanding, please-

Sandeep Jain: That's correct. Now, for pre-COVID we used to have a differential write-off policy wherein I would hold the for much longer period of time. Post-COVID, I think from 2021, '22 we have revised the policy, we write off quickly now.
In the last one year there has been no change in the write-off policy.
Piran Engineer: Okay. Okay.
Rajeev Jain: And as I said, Piran, given that you've seen some level of worsening across the board, we are proactively pruning segments and we remain watchful. We are cutting exposures as well. So, so far we are not seeing worsening in urban B2C, but we are watching external data, we are watching internal data carefully.
Piran Engineer: Okay. Okay. And just regarding the-
Rajeev Jain: Between risk and growth, if you were to choose, we'll choose risk. Because longer term is more important than the shorter term.
Piran Engineer: No, that's fair, that's fair. No, just, I mean continuing on the question of the previous participant direct, whether this is transient or not really because you are still sticking to a 1.75 to 1.85% credit cost guidance. So just wanted to get a sense of what gives us the confidence of an improvement in the second half.
Sandeep Jain: So, Piran, if you notice the disclosure that we have done on stage level breakup of the overall balance sheet, you will see that the movement has taken place in stage two.
And to the point that Rajeev was making that when the delinquency go up a little bit whether an account of bounce going up or collection efficiency is going down, it takes probably two quarters for it to normalize. In this case the customers have migrated to an extent because of the lower collection efficiency in Q1 from stage one to stage two.
There is reason to believe that we'll be able to control the subsequent slippage into stage three. However, at this point in time we'll assume that that will happen in Q2 and after that because incrementally as Rajeev said, in the month of June or July, as we are seeing the bounces rates to be, they are looking better than where it used to be January to March. That gives us confidence saying that from quarter three onward we should have some improvement in the overall collection efficiency on the loan loss number.
Piran Engineer: Okay. Okay, that answers it. Thank you so much and all the best.
Elliot: Our next question comes from Kunal Shah with Citigroup. Your line is open. Please go ahead.
Kunal Shah: Yeah, and hi. So as you indicated maybe because of this we are pruning down a few of the segments, but any revision with respect to the growth guidance which you had given earlier

as the 26 to 28-odd percent? Because maybe at the same point in time on credit costs also
you have indicated that there could be some marginal upward bias on that metric as well.
So anything in mind in terms of pruning down on the growth and the guidance out there?
Sandeep Jain: Kunal, if I see, current quarter number, we have seen a balance sheet growth of 31%,
Rs20,500 crores was the growth for the quarter. We are pruning down exposures where we
deem appropriate at this point in time based on the incoming data.
However, that doesn't change the guidance for the year. We have said 26 and 28% with an
upward bias towards 28%. We continue to maintain the same guidance at this stage.
Kunal Shah: Okay. So there's no revision on there.
Rajeev Jain: There's no change.
Sandeep Jain: There's no change, yeah.
Kunal Shah: Okay, no change-
Rajeev Jain: But, Kunal, as I said earlier, we are watching the same, we are watching the default rates.
Are we seeing July default rates lower than June and lower than March? Answer is yes. But
default rates were not a problem even in April measure. It's collection efficiency. So we are
watching and we are acting as well as from a prudent standpoint.
Kunal Shah: Sure. And secondly, on the fee income side. So can we say that we are closer to the
normalization out there, maybe post the lifting of the restrictions or there is maybe still
more to flow in wherein we could see the gain contraction on the overall fee income.
Rajeev Jain: Sorry, Kunal, as I said, we could go live on EMI Card only on 10th of May and eCOM went live
only in June, middle of June rather, between 1st and 15th of June. So there was drag for at
least 50, 60 days even in Q1. So there is some level of residue that is sitting there which
should flow through or we should come through as we move through the next three
quarters.
Kunal Shah: Okay. Okay. And I'm not sure if you already highlighted in terms of this entire other income
within the non-interest side, any reason for the sharp rise out there?
Sandeep Jain : Yeah, that's mainly account of one causality in the overall volume, which also has relevance
from a cost perspective. So that's one reason.
Second is restart of EMI Card sourcing starting from 10th of May as Rajeev highlighted. The
second reason.

Third is we also had a one-time gain on account of a small write-off po

rtfolio sale that we
did. That has also come through in the current quarter.
Kunal Shah: Okay. One-time gain on write off. And that will be a significant one?
Anup : That's about 45 crore rupees for the quarter, Kunal.
Kunal Shah: Okay. Okay. Yeah. Thank you. Thanks and all the best.
Elliot: We now turn to Antariksha Banerjee with ICICI Prudential AMC. Your line is open. Please go
ahead.
Antariksha Banerjee: Yeah, thanks. Am I?
Rajeev Jain: Yes, yes.
Antariksha Banerjee: Yeah, so thanks for the explanation. I just wanted to clarify this point on credit cost and
collection efficiency. What you're saying, sir, in the quarter the bounces or the volume flows
into the next buckets were not as large, but basically the LGDs went up across segments.

When you mean collection efficiency, it is the volume, or it is the value, is that right understanding?
Sandeep Jain: So the number of customers who are bouncing earlier, which means present 100 cases on a monthly basis, X number were bouncing. Did we see a rapid increase in bounce rate?
Answer is no. However, of the customers who were bouncing, did we see a little lower-
Antariksha Banerjee: Recovery was lower-
Sandeep Jain : Efficiency in that?
Rajeev Jain: That's correct.
Sandeep Jain: So recovery is slower. As a result, customer has migrated from stage one to stage two where the PCR versus say 80 basis point in stage one is roughly about 30, 35, 40% in case of stage two customers.
Antariksha Banerjee: Got it. And just related to this, we've been calling out some stress in rural B2C for some time. At the system level there are various markers around this topic. Are there markers that you can identify for these stress apart from this one quarter? Is it multiple loans for the customer who are more prone to these lower recoveries? Is there a special type of exposure? Some region, cohorts of age, anything that you've identified in terms of markers?
Sandeep Jain : So based on the internal assessment that we have carried out using the bureau data, one, I think based on the action taken by RBI on risk weight assets, there seems to be I would say a

stagnancy or a flat number that we see on a disbursement month after month starting I would say November, December 2023 right until June month. That's one.
Second, I think as we look at the overall AUM growth of the overall balance sheet that we are seeing for the industry also seemingly easing out a little bit and as these disbursements on a monthly basis remain stable for some more one or two or three more quarters, we'll also see the AUM growth rate slow down a bit for the industry. That's one thing.
However, when we look at the overall customer profile in terms of set of customers who are having multiple loans, say before COVID versus today, have we seen a marginal increase? Answer is yes. Is it significant? Answer is no. The movement between customers who did not have any loan of unsecured out of our active banking was 63% in March '20. That has come down to 50 million, 42% customers whom we bank on a monthly basis have some of the loan relationship in the market. Set of customers out of this had more than one loan. There is a 3% increase in the customers who have multiple loans at this stage.
Antariksha Banerjee: Sure, but that is not the year-over-year market growth-
Rajeev Jain: So has this number moved versus pre-COVID? The answer is yes. But is there a significant moment, at least in our portfolio that we see? We are banking right now 21 million unique customers-
Sandeep Jain: Yeah, 21 million unique customers, yeah.
Rajeev Jain: 21 million unique customers. We are banking 10 million unique customers in 2020. 63% had no unsecured loan. Now 58% don't have unsecured loans. So in five years only 5% number has actually moved. And-
Sandeep Jain: But-
Rajeev Jain: But in

that to the point Sandeep is making, are they seeing movement on one unsecured and two unsecured and three unsecured? The answer is yes, but nothing to conclude that there's a problem.
Sandeep Jain: In fact, last data point, I think versus FY22 to FY24, we have in fact seen the number of customers who have outstanding personal loan has actually come down, in percentage down.
So as Rajeev said, 58% customers don't have a personal at this stage, but the number was 60% in the... Sorry, the number was 57%. In the last year there is 1% improvement in terms of number of customers who don't have personal.
Rajeev Jain: So-
Antariksha Banerjee: Sure. Sure-

Rajeev Jain: He is giving a third number, 63% did not have. Now 58 don't have. When we got this data on '23, it was 57.
Antariksha Banerjee: 57. Got it. Got it. Okay, thanks. That's clear.
Just a small thing. Sandeep, what is this policy on utilization of contingent provisions? Is it formula driven basis or something or is it subjective?
Sandeep Jain: So we have created provisions predominantly for COVID situation. Since we have come out from COVID in entirety, we have cleaned up the provision that we are carrying as management overlay for the same purpose. At this point in time, I think there is only a small amount of provision that remains in Bajaj Housing Finance Limited. As far as BFL is concerned, we don't carry any overlay at this stage. Whatever is the overlay that you see now is purely because of macroeconomic consideration that needs to be baked in as part of the ECL model itself.
Antariksha Banerjee: Sure, got it. And just one small data point. Is there any impact of this RBI regulation on penal interest versus penal charges in our other income?
Sandeep Jain: No, we were never capitalizing penal interest/penal charges, so we did not have any impact of the particular.
Antariksha Banerjee: Sure. Okay. Thank you. That's it.
Elliot: We now turn to Dhaval Gada with DSP. Your line is open. Please go ahead.
Dhaval Gada: Hi, thanks for the opportunity. Just one question on growth. So I mean, if you could just talk a little bit about the new products, how the scale up is taking place.
And just in that same context, medium term may not be FY25/26, but just directionally the book mix as it progresses to your target level, how should one think about sustainable credit cost, which I think last time you had explained that should be about 175bp based on the revised RBI guideline and the write-off policy change that you talked about earlier? So just any comments around that would be useful.
Rajeev Jain: So growth clearly, Dhaval, we have...
Elliot: Ladies and gentlemen, we've lost connection with our speaker. Thanks for your patience as we reconnect them.
Rajeev Jain: Yeah. Sorry, Dhaval. So, Dhaval, as we have guided, the full year growth to be in the region of 26 to 28%. That's point number one in terms of the outlook for the current year and I would say 2.2, 2.3x of bank credit growth is really where you should pencil in the number. So we remain well anchored on long-term growth guidance.

Now coming to medium term loan losses and provision outlook. See pre-COVID, the number was 192 basis points, the number and since, 172 basis a full year.
Sandeep Jain: Yes.
Rajeev Jain: Nine months was full year, 172 basis points. If you knock off one-timers, since then there have been changes too. From a regulatory standpoint there have been changes. If you adjust that number, the 172 to 185. You should pencil in between 175 and 185 basis points from a

medium-term standpoint.
Deval Gada: Understood. Thanks and all the best.
Elliot: We now turn to Abhishek Murarka with HSBC. Your line is open. Please go a

head.
Abhishek Murarka: Yeah. Hi, everyone. Thanks for the opportunity. So two questions. One, on this rural B2C, almost for four or five quarters we've been cautious, we've not been growing. So what needs to turn for us to get more comfort to grow in this segment? What are the things you're looking out for?
The second question is regarding this product per customer slide. So how do we read this? So if I see there's a bit of a plateauing out of the product per customer at 6.1, 6.2 and your two-year-old 24 month on board customers is also close to 6.2. So are we more or less at a peak at 6.1, 6.2 in terms of cross sell? And does that mean that now you need to spend much more on selling the next product or increasing customer acquisition costs? So how do we read this?
Sandeep Jain: Yeah.
Anup Saha: So hi, Anup here. On the rural B2C as we clearly articulated is last one, one and a half years we have been fine-tuning in terms of risk cuts. But having said that, when we look at rural B2C, because these are all cross sell personal loans, our rural B2B growth has been very, very robust. So that gives us a significant latitude to actually offer the product to right customers. That is one.
Second is, what we have been doing is as you looked at the whole collection efficiency as a metric because the affordability is the real fallout when you go to rural and at a design level, we are looking at taking the loans at right average ticket size. So I think more broader base of customers being offered the loan with a lower EMI is where we are anchoring the rural and that's how we used to do it pre-COVID.
But what happened during COVID and post-COVID, obviously what was left to us better customers and we thought they possibly can service a little better higher EMI and that does not seem to work as well in rural because rural is all about affordability in EMI and your ability to repay. So I think that's the larger part.

Having said that the B2B growth of rural continue to remain robust, which gives us reasonable confidence that we will start climbing that number up. I think that's about 10, 12% this year and forward from there. So I think that's the first point.
On products per customer, you can do a metric and that metric is a combination of our lending products, payment products, deposits, and distribution product. The larger movement there has been because of the payment products, because as we moved more digital, we wanted consumers to use the payment products and that's the large movement. When it comes to the lending product, that number is I think 2.6, 2.7, right? That's broadly how that gets anchored. But the larger part of the PPC is payment products and that drives our digital engagement strategy.
Rajeev Jain: Lastly-
Abhishek Murarka: So, and-
Rajeev Jain: I just want to add, appreciate that when we look at the total franchise of 89 million, if India dispenses monthly in our assessment Rs72 to 75,000 crores of personal loans a month, the franchise gets between Rs36 to 40,000 crores a month, whereas our coverage of that is only 10%. So the PPC metric, quite honestly as Anup made the point, we track it but we track it only once in a quarter. I mean six products per customer on a two-year basis, it's an outcome rather than input. It's not a metric we chase. It's a need from investors. So we started to populate it.
Otherwise, businesses are organized vertically in the company. There is independence for respective units to cross sell as they deem appropriate is just the last point I would make. So franchises, the power of the franchise is not an issue at all and Anup made an important point that less to more rather than more to less.

And what we did then was not wrong because in hindsight COVID let the customers at the margin drop off. So the only thing that w

as left to do that those who survived or continue to perform well could be offered. So in hindsight it looks okay, but at that point in time it was the right thing to do. I would just make that point as well.

Abhishek Murarka: No, fair, fair. So appreciate that. And just, when does this readjustment come into the base for rural B2C?

Rajeev Jain: No, we-

Abhishek Murarka: Is it moving to-

Rajeev Jain: It's underway. It's underway. To the point Anup is making, it's underway. You already, as I made earlier, Abhishek, point that we had already... So we have not just done this in rural, we've done this in urban as well. So as I made the point that we remain watchful on... So we've cut exposure on both sides of the lines. So we've cut exposures than less to more

we've done in both urban and in rural. So it'll further create greater granularity in risk in the process. And-

Abhishek Murarka: Got it.

Rajeev Jain: Really, if I keep making the point on the ones that I keep making, is normalizing to pre-pandemic. I think we like it or not, it's something that ought to happen. At least that's my personal view.

Abhishek Murarka: Sure, sure. No, thank you so much. Thanks and appreciate your answers. Thank you.

Elliot: We now turn to Avinash Singh with Emkay Global Financial Services. Your line is open. Please go ahead.

Avinash Singh: Hi, thanks for the opportunity. A couple of questions.

I mean the car loan segment, if we see, of course it's growing at a very strong pace moderate but there has been a sequentially for the last three, four quarters, I mean a strong growth yet a very marginal increasing stage two there as well. Now, here one would expect that typically the customer segment to be prime and also what is going on there? I mean I am admitting-

Sandeep Jain: We're not sure about.

Avinash Singh: That's a very small number.

Rajeev Jain: Sorry, sir-

Avinash Singh: Yeah, so what.

Rajeev Jain: Can you repeat?

Avinash Singh: Yeah, I am talking of car loan segment. In car loan segment, if we see last four, five quarters, of course it's small, it is growing very fast, but there has been a stage two percentage increase happening in the last three, four, five quarters. So what is the sort of a trend there because there customer segment typically will be urban and prime? So what is going on there, one?

And on BHFL, I mean do you think that, I mean now with this developer finance and LRD also gaining size, will the growth differential between home loan and be sufficient enough for you to maintain a balanced yield or will the growth going forward will converge and that will put pressure on your overall yield? Thanks.

Sandeep Jain: Yeah. So, Avinash, particularly on car loan financing, it is mainly on account of launch of new car financing that we did in July 2023. And it is that business which is leading to significant

growth in the overall auto loans segment that you are witnessing at this point in time. So far until July 2023 we used to only focus on used car financing. From July '23 onward, we have started focusing on new car financing as well.
Regarding mortgage, Atul Jain is here. I'll request Atul to give comment on.
Rajeev Jain: Before his on, just on the previous point, you're talking about inching up of delinquencies, that's what you meant or you meant growth?
Avinash Singh: Yes, yes. Yes, yes, exactly-
Rajeev Jain: A clarity.
Avinash Singh: Yes, yes, it's anything about inching up of delinquency for the last three, four quarters?
Rajeev Jain: Because there was just one point I do want to make is that if you look at the panel 56. Now technically we're talking about 99.34% of current in September '23. And the baseline numbers for us are

very, very low. I think that is one point I want to anchor and it's at 98.8% current. And this includes, mind you, this is 65% of the used car portfolio, okay? And 35% of the portfolio is new car portfolio. Please mind you, the threshold levels, the delinquency are extremely low is just one point I want to leave you with, just at a design level, right?
And you will see this number stabilize somewhere. Now, based on our internal model, these numbers remain quite low. So you will see them move up. Many years ago we used to have a benchmark line, we'll probably just re-establish the benchmark line so that as we launch new businesses, the investors are well seized of what the benchmark line is. So I take that input away from the conversation.
Atul, one of you had a question on.
Avinash Singh: Yeah, yeah. So nothing like I mean, yeah.
Rajeev Jain: Yeah, sorry, sorry, go ahead, go ahead, go ahead, go ahead, Avinash-
Avinash Singh: Yeah, on car loan, exactly. So I mean now you're Rs8,000 crores. At some point the growth really start to moderate to where the baseline is, exactly that is of course the point I'm trying make that okay, of course that okay, very, very low. I mean 0.8% is still is a very, very low delinquency in a whole scheme of things. But where is that line you see that, okay, Rs8,000 maybe doubles another, say, reach to Rs15,000 crores?
Rajeev Jain: No, that's a fair point, it's a fair point. We'll publish next quarter onwards the benchmark number.
Avinash Singh: Okay. And on the BHFL-

Rajeev Jain: Yeah, so is the concern, Avinash?
Avinash Singh: No, I mean with the developer finance and LRD book now getting a significant insight and probably going forward, the growth of home loan converging with these two, do you see a pressure on yield in the BHFL segment or will this segment will continue to outgrow the core home loan?
Atul Jain: So, Avinash, Atul here. So in BHFL we have a regulatory construct of something called the principal business criteria, which is laid down by RBI. So the portfolio construct is largely going to play within the large asset kind of a built or a portfolio mix. We have plus minus 2-3% is the margin, which can be there in the product construct, but 60% of the assets have to be housing assets, and out of that also 50% plus has to be individual home loan.
Now LRD as an asset class, right, is not a ROE decretive, it is a ROE optimizer as? Because between LRD and the LAP, we play in between both assets at a point of a time. If I have to say last one year, one and a half year, we have found LRD to be more risk adjusted, better returns because it's versus loan against property. Because as a housing finance company,

60% has to be the home loans part. So that goes there. Plus developer finance, which is required both from ROE enhancer and as well as it's an integral part of our home loan business because we get significant part of our home loan boost through the developer where we are funding.

Now, the best part of the portfolio is between LAP and LRD. Depending upon our risk return view, we take a stance on being heavy. We right now continue to be heavy on LRD and as a return it is not return dilutive because it's a very low opex direct source business and quite risk adjusted returns are good enough here.

Avinash Singh: Okay. Okay, got it. Thanks.

Elliot: We now turn to Sandhya Agrawal with Unicorn Assets. Your line is open. Please go ahead.

Sandhya Agrawal: Hi, sir. Good evening. So first question is on the lines of the previous participant as well and on the vehicle finance car loans and two-wheeler loan.

So we see some kind of trend building up in both the vehicle finance and slowly the collection efficiency and the credit cost line phasing. So any view on particularly the vehicle finance divisions, because they nearly constit

ute 25% of our gross NPAs?

Rajeev Jain: No, that's not correct.

Sandeep Jain: Two-wheeler, three-wheeler plus car.

Rajeev Jain: No, they are two different genres. They're not comparable at all. They're completely different. Even in auto loan, and here I would say that as the... Actually, to the previous question of Avinash, as the share of new car in this portfolio increases which is also back, so

this portfolio will eventually be published on the auto loans. But internally the model is organized as 55:45. 55% used autos and 45% new autos. That's point number one.

Today it is 70:30, so actually the net be stage two of the current portfolio in this will only go up actually, which will improve, okay, as new auto builds up? But the problem with new auto is it's very hard to make money. So that's why it has to be pegged at 55:45. I think just to give you that texture related to Avinash's question as well.

Two-wheeler is a completely different genre that that business is a good business, it runs a very different risk-adjusted rates of return. So as you can see, even where it is 11% stage two, it is still a profitable business. And at 5% stage two it still remains there-

Sandeep Jain: A profitable business.

Rajeev Jain: A reasonable profitable business.

Sandhya Agrawal: Thank you. And secondly, on just a longer-term guidance. So as we see that obviously we are growing a new customer base with around 15 to 20%, and going forward we may see some slightly modest numbers, like new customer data numbers in mid-teen percentage. But do we also look to add a new product line in terms of business segment like MSMEs or any other government is also promoting too much on the MSMEs part and the other side because maybe we can look for newer segments for faster growth?

Rajeev Jain: No, so we principally have a reasonably large market share in business loans, which is a 16-year-old business. We have reasonable market share in that business. That's two MSMEs. The loan against property in last January that was started in BFL is also to MSMEs. So we pretty well capture the full MSME space. That's one part.

Sandhya Agrawal: No, I mean-

Rajeev Jain: The other one-

Sandhya Agrawal: The supply chain financing and other product.

Rajeev Jain: Sorry?

Sandhya Agrawal: The supply chain and the.

Rajeev Jain: We already do supply chain financing to emerging local emerging corporates. But don't do it in MSME because it's not risk adjusted.

Sandhya Agrawal: And just lastly on the BFSL part, so the franchise is really growing faster and faster day by day. So what kind of things we are looking in terms of technological trends in BFSL, because I heard that on election day the application and website went down.

Rajeev Jain: So as the profitability of the business starts to come through, we took a clear view that we first got to generate profitability before we make deep investments in building out the retail broking and the business. So the business, as I said earlier in the opening remarks, that should make between Rs150 to 160 crores of PAT it should make.
We've just hired a new CIO. We are now rapidly accelerating the tech development infrastructure. It did go down to the point that you make is correct. And you will see significant movement in that space over the next six to nine months time.
Sandhya Agrawal: It was 10%-
Rajeev Jain: A colleague of mine who left us, who was our chief operating officer, has moved on their board as well to advise them on tech stack.
Sandhya Agrawal: Thank you. Thank you so much. All the best.
Elliot: That's all the time we have for our Q&A. I will now hand back to Subramanian Iyer with Morgan Stanley for closing remarks.
Subramanian

Iyer: On behalf of Morgan Stanley, I thank Rajeev, Anup, Sandeep, Atul, and team for their time and insights. Rajeev, will you want to make any closing remarks?
Rajeev Jain: No, no, no. I'm good, Subbu. Thank you.
Subramanian Iyer Okay. Okay. So I wish you all the best and thanks-
Rajeev Jain: What if people wanting to ask questions or I can see on the... Subbu? At least I can see on the... and maybe I'm... If there are no questions, then we are fine, I mean now, but...
Subramanian Iyer Yeah, I think we can-
Rajeev Jain: Yeah, we'll see.
Subramanian Iyer Possibly take one more question. But if you...
Anup: Yes, maybe the next couple of questions. Yeah.
Sandeep: We can take-
Anup: A couple of questions.
Rajeev Jain: Sorry. Sorry-
Elliot: Yeah, we can-

Rajeev Jain: Sorry. Subbu.
Elliot: Our next question comes from Anurag Mantry with Oxbow Capital. Your line is open. Please go ahead.
Anurag Mantry: Hey. Hi, thanks. And just one question. Coming back to the asset quality comments. Basically, with rural B2C-
Rajeev Jain: Sorry, sorry, sorry. Sorry, Anurag.
Sandeep Jain: Asset Quality.
Rajeev Jain: Yeah. Yeah, sorry, Anurag.
Anurag Mantry: Yeah, no what I was asking is, are there any correlations or anything to read into the trends in rural B2C and maybe the trends in MFI as well, because that's another segment where the

industry has always seen higher delinquencies? So I mean if you can highlight if there's any overlap to think about that would be useful.
And secondly-
Rajeev Jain: Overlap in.
Anurag Mantry: On the collections part...
Rajeev Jain: Wait, wait, wait. Go ahead, Anurag.
Anurag Mantry: Well, I'm sorry, on the collections, just wanted to understand if it has any implications for the way you're thinking about the opex growth for this sphere given that we'd probably be looking to spend more on collections potentially?
Rajeev Jain: So the overlap with MFI is very, very little. So that's point number one.
Point number two, we should continue to see opex to NIM gravitate downwards despite augmenting the debt management infrastructure work that we are doing. Hello.
Anurag Mantry: Got it. Thank you, Rajeev.
Rajeev Jain: Yeah.
Elliot: We now turn to Bhavik Dave with Nippon India Mutual Fund. Your line is open. Please go ahead.
Bhavik Dave: Yeah. Hi, hope I'm. Just one question, sir. If you could just talk about the competitive intensity in the urban B2B and B2C segments. Because with last one we've been talking

about competitive intensity being quite high in terms of personal loans wherein a lot of large banks and even PSUs have got quite aggressive.
How are things there in terms of both the aggression in terms of pricing and the push towards this product, both on the B2B and B2C side? Thank you.
Sandeep Jain: One, Bhavik, very clearly. On the B2B business, we continue to maintain the market share. The market share has remained range-bound I would say for the last four quarters consecutively. We have seen some loss of market share during April to December 2022. Ever since then, we have made significant investments in terms of field capacity and subsequent to that we have been holding our market share at the levels where we used to be pre-COVID. In fact, we was just about off the market even as we have restarted our e-commerce financing business, post lifting of embargo. We have seen reasonable, I would say, coming back of customers wanting to take e-commerce loans through EMI Card in the current quarter, more particularly in the second half of June on the restart of e-commerce business.
Bhavik Dave: Sure. And in terms of PL, any thoughts in terms of these competitors?
Rajeev Jain: I'm sorry, sorry, sorry.
Bhavik Dave: I was t

rying to understand, sir. You had mentioned that large banks had got really aggressive in terms of personal loans in urban wherein the as we were going up, the rates were not being commensurate. Has things changed there considering the RBI directive in terms of slowing down in terms of unsecured? Have things changed there or things are still highly competitive?
Anup Saha: Hi, Anup here. See, at the aggregate level we do see some moderation of unsecured loans. However, as we see the data, the largest lenders there are the public sector banks. So I think that number is possibly 35 to 40% of the total lending is happening on unsecured is the public sector. And of course the FinTech numbers are very, very small in terms of value. Those are more small. We do see moderation there.
So overall our market share remains where it is. In fact, we have lost little market share there. It used to be around 7%. Our market share will be slower by and large we are maintaining. But we have run this business by and large at a similar growth rate. We have not changed our there.
Bhavik Dave: Right. That's helpful, thank you.
Elliot: Ladies and gentlemen, this concludes our Q&A and today's conference call. We'd like to thank for your participation. You may now disconnect your lines.

Call: Oct 2024

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https://www.aboutbajajfinserv.com/finance -about -us

25 October 2024

Dear Sir/ Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter and half year ended 3 0 September 202 4

Ref : Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 10 October 2024, the transcript of Q 2FY2024 investors conference call has been uploaded on the website of the Company at Bajaj Finance Investor Relations –Quarterly Earnings Call (aboutbajajfinserv.com)

Also, enclosed is the trans cript (pdf) as attachment for ease of reference.

Kindly take this on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

R. Vijay
Company Secretary
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Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune) THE MANAGER,
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NATIONAL STOCK EXCHANGE OF INDIA
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"Bajaj Finance Limited Q2 FY-25 Earnings Conference Call"

October 22, 2024

MANAGEMENT : MR. RAJEEV JAIN – MANAGING DIRECTOR , BAJAJ FINANCE LIMITED
MR. ANUP SAHA – DEPUTY MANAGING DIRECTOR, BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – COO & CFO, BAJAJ FINANCE LIMITED
MR. ATUL JAIN – MANAGING DIRECTOR , BHFL
MODERATOR : MR. SAMEER BHISE – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen good day and welcome to Bajaj Finance Limited Q2 FY25 earnings conference call hosted by JM Financial Institutional Securities Limited.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sameer Bhise from JM Financial. Thank you and over to you sir.
Sameer Bhise: Thank you, Neerav. Good evening, everyone and welcome to the 2Q FY25 earnings conference call of Bajaj Finance.
First of all, I would like to thank the Management of Bajaj Finance for giving us the opportunity to host the call. From Bajaj Finance Management Team, we have Mr. Rajeev Jain – Managing Director, Mr. Anup Saha – Deputy Managing Director, Mr. Sandeep Jain – COO and CFO, as well as the entire Senior Management Team of Bajaj Finance and its subsidiaries.
As always, we will have opening comments from the management team, post which we will open the floor for Q&A.
With that I would now like to handover to Mr. Rajeev Jain for his opening comments. Over to you. Thank you.
Rajeev Jain: Thank you, JM, thank you Sameer. I also have with me Atul Jain – Managing Director, BHFL with me on the call. Very good evening to all of you or good morning depending on the geography.
I will just take you through the presentation that we have put on the investor section of the website.
I will jump straight in on panel #4. On a consolidated basis I would say mixed quarter for us as a firm. Good quarter in terms of volumes, assets under management and operating efficiencies. Loan losses remain elevated in Q2 as well as they were in Q1.
As a result, profit growth and return on assets were muted for the quarter. We overall delivered AUM growth of 19,732 crores in the quarter, booked 9.7 million loans and added just a tad below 4 million new customers to the franchise in Q2. Bajaj Finserv app now has 61.7 million net users.
In terms of AUM, the overall consolidated AUM came in at 3,74,000, just a tad below that, OPEX to NII continue to improve, so expenses remain in control, came in at 33.2%, PBT grew to 5,401, PBT growth of 14%, PAT came in at 13%. This is as a result of the minority interest

in BHFL. PAT grew by 13% to 4,014 crores; ROE came in at 19.1% and net NPA came in at 46 basis points.
I will quickly take you through some of the highlights on panel #5:
As I said AUM grew 29%. New lines of businesses that we launched in the last five-six quarters have now started to contribute 2% to 3% of AUM growth. Overall, AUM composition which is appended in the latest section of the presentation on a year-on-year basis remain largely stable.
Now the AUM growth I have talked about, new loans booked were up 14% to 9.7 million as against last year we did 8.53 million. In terms of customer franchise, we added 4 million

customers.
We now estimate that our overall new customer addition to be 15 to 16 million in FY25 which will be in line with what we originated last year marginally higher, last year we did 14 million customers, this year we foresee between 15 to 16 million new customer addition. Customer franchise as a result of the first half of the year having added 8 million new customers stood at 92.1 million customers and we are optimistic of crossing a milestone of 100 million customer franchise in FY25 as we finish the year. Cross sell franchise which is a key measure of good to not so good was at just a tad below 58 million customers.
In terms of liquidity:
Liquidity buffer stood at 20,200 crores. Cost of funds came in at 7.97%, an increase of 3 basis points o

n a sequential basis. In general, our assessment is that the cost of funds for the company has actually peaked now. Deposits book grew by 21% and stood at 66,131 crores. Deposit book growth is obviously softer, given that there's a significant amount of price war that's happening from across the system and given the fact that the company has raised and has found other alternative sources which are more attractive in terms of coupon. The deposit book growth is slower than expected.
On the next plan:
In terms of operating efficiencies, the net interest income grew by 23% to 8,838 crores. Overall NIM in our assessment is now stabilized, between Q1 and Q2 there is hardly any drop. We think the NIM is now stabilized at these levels from here on. Net total income grew by 24% so NII grew by 23%, net total income, NTI grew by 24%.
OPEX to net total income improved to 33.2% versus 34% last year same time. We continue to optimize operating expenses I would say. As I have said in the past calls that it's one of the levers that we have to continue to pull through both by optimization on the one hand and continue to invest in technology which is mainly GenAI to improve productivity. Employee headcount stood at 59,400 people.

On a consolidated basis, we added 4,007 staff in Q2. Annualized attrition was marginally higher than last year at 16.4%. Credit cost which was the dampener for the quarter, I would say because when I look at the PPOP number, came in at 25%. PPOP number was good, so we managed to do well on AUM, managed to do well on NI and I managed to do well in managing expenses. But credit cost was a dampener for the quarter. It was so in the last quarter as well. I will give you some update on that over the next four or five points.
Gross loan loss and provisions came in at 1,934 crores. They remained elevated in Q2 as well. If you break up the loan losses in terms of Stage-1 and Stage-2, in Q2 Stage-2 assets have actually reduced by 357 crores and because of elevated Stage-2 in Q1, Stage-3 increased by 900 crores. And as a result, the net increase in Stage-2 and Stage-3 assets on a consolidated basis was 542 crores. It is lower at one level than the previous quarter. It was across all as I will take you through the panel later retail and SME lines of businesses. So, it's not restricted to any one segment or any one geography or anyone. There's marginal inching up across all retail and SME lines of business. We as a prudent company continue to take risk actions by either cutting segments or pruning exposures.
The gross loss came in at 2.16%. In Q1 that number was 2.12%. So, there was sequentially a 4-basis points movement. It was 2.16. Same number, sorry. Gross loss to average assets was 2.16 as it was in Q1 as well. We are cautiously optimistic looking at the portfolio movement or gross flow rate methodology that loan loss to average AUF has hopefully peaked and we estimate loan loss to average to go down to 2% or so by Q4. That's really what our estimates at this point in time is. We will of course continue to watch the environment and continue to invest in debt management and risk management to sharpen the pencil.
Net loan losses as a result of 2.16% came in at 1,910 crores. We utilized a management overlay of 25 crores and as a result net loan loss to average AUF came in at 2.13%. If you recall, we had estimated that our net loan loss to average AUF should be in the corridor of 1.75 to 1.85% for FY25 with improvement projected in H2. At this juncture from a guidance standpoint, I would say that we estimate the FY25 net loan loss to average assets to be between 2% and 2.05%. Now it's more likely to be 2.05 than to be 2. As a result of this, the GNPA and NPA stood at 1.06% and 0.46% as against 91 basis points and 31 basis points. They still remain amongst the lowest in the industry. But we have seen on a year-on-year basis sl

ight inching up.
When we look at the portfolio movement across secured unsecured portfolios, one thing I think jumps out in general is that those clients who have more than three or more live unsecured loans are showing higher propensity to default and in general have lower downstream lower collection

efficiencies. So, as we look at this data, we are continuing to tighten our underwriting norms for such cohorts of customers across all our products in an intelligent manner. I think that's really the update on credit costs.
In terms of profitability; consolidated pre-provision profitability grew by 25%, consolidated profit before tax grew 14% to 5,401 crores and PAT grew by 13%. The ROA came in at just a

tad below 4.5% and ROE came in at 19.1% and capital adequacy continue to remain reasonably strong, Tier-I capital was just a tad below 21%.
I just wanted to provide two important updates as an additional update's standpoint. As you would recall that we as Bajaj Finance started doing non-Bajaj auto two-wheeler financing business in June '22. In September '22 Bajaj Auto also decided to set up its own captive financing unit namely Bajaj Auto Credit. BACL started its operations in Q4 of FY24 which was 6-7 months ago. In FY24 Bajaj Finance financed 864,000 two-wheelers for Bajaj Auto and 199,000 three-wheelers for Bajaj Auto. In H1 so far BFL has financed 217,000 two-wheelers and 55,000 three-wheelers of Bajaj Auto, principally meaning that the rest of the business has been booked in by Bajaj Auto in Bajaj Auto Credit Limited and as a result the company's financing to BAL customers has reduced considerably post start of business operations by BACL. I thought it's important that we provide this update. As you are also aware, we started our non-Bajaj auto two-wheeler financing business in 2022 and it's already grown to around 35,000 accounts per month. That means we have a run rate at this point in time of 480,000 accounts on non-Bajaj auto two-wheelers. We expected to disburse just a tad below 500,000 accounts in the current year and scale to 720,000 accounts in FY26. So, as the as Bajaj Auto products AUM goes away this AUM will replace it fully by FY27, by end FY26/FY27.
On the three-wheeler business, we are still evaluating what our strategy should be. So, that's something that's still open. But the two-wheeler business volumes we hope to fully mitigate or makeup for by March '26 or so. That's just an additional update as it has financial implications. I thought we would just provide an update.
Just a last point on that we had so far investment grade rating for our international borrowings from S&P. We were rated investment rate by S&P. We are happy to inform you that Moody's has also assigned a Baa 3/P long term rating which is the sovereign rating to Bajaj Finance as well. So, these are the two additional updates that I have.
I will just quickly run through some of the panels; for BHFL you would have listened into the call yesterday that the management did, so I am just skipping that. I am on panel number, in terms of rest of the panels are reasonably routine. If there are any specific questions, we will be happy to answer.
I thought it's important I open the call for Q&A. All of the panels are completely routine in nature.
Moderator: Thank you very much. We will now begin with the question-and-answer session. First question is from the line of Chintan Joshi from Autonomous.
Chintan Joshi: So, two questions, one on asset quality and one on NII. On asset quality, could you give us some more color on what gives you the confidence that slippages and credit costs may have peaked out here would be interesting to get some idea across different products and different trends that you are seeing, both in your data and perhaps industry data that you observe. And then on net

interest income if you could please help us think about where our NIMs might go over the next year with the rate cut likely, what would the timing benefit be in terms of NIMs peaking would be helpful.
Rajeev Jain: So, let me use this to principally just take you through the portfolio quality. The main interesting thing that we are seeing in the cycle is actually that the bounce rates are still lower, the portfolio quality when you see on the panel is still holding and the flow rates are higher. People are still defaulting lesser. I keep telling people prior to Covid, people think it's too far away. The default rates are still lower, the flow rates are higher. So, one of the things that we have done is looked at the capacity planning and the debt management infrastructure. Out of 4,007 people that you principally saw that we have added in Q2, close to 2000 people have been added in deeper geographies as a result of our sharpened capacity planning. So, that gives us one level of confidence. Two, the underwriting actions that we have taken in the last 4-5 months, also gives us the confidence that as we move through, the leverage point that I made, should start to result in benefit from Q4. But as I use the word, we are cautiously optimistic. We hope that the environment continues to remain stable. I would not call it, I would say if the current state was to remain, given these two actions one on underwriting and two on further investments in debt

management, we are cautiously optimistic that we should. If I give you texture that at a point in time in terms of clients who came on board non B2B, non B2B loans are shorter than a loan. So, this point is not relevant. If you had 13% of the clients who came in with (+3) personal loans when we gave them, now it's only 8%-9%. So, that's the impact on volumes we have taken, doesn't mean they're bad but as we have cut exposures on them as we keep doing more and more such actions, we should see the books start to come back to 185 to 195 basis points of credit cost. That's on the one part. Second part is on NIMs.

Sandeep Jain: I think NIM very clearly as the cost of fund starts to go down. I think with the lag of one or two quarter we should start to see the benefit very clearly emerge to us as well. We forecast that on a 12-month trailing basis, a 25 basis point drop in repo rate should clearly lead to a 10 to 12 basis point improvement in the NIM. However, we would like to use the NIM improvement to our advantage to grow some of the secured and new lines of businesses that we have added in the last couple of years. Idea would be to not take it through the P&L, idea would be to use this opportunity for improving the quotient of secure balance sheet in the overall portfolio and continue to create a resilient balance sheet focusing on the new lines of business that we have launched in the last 2 years.

Chintan Joshi: Won't that lead to ROA pressure once the cycle peaks?

Rajeev Jain: At this point in time as Sandeep said, we will use the reduction. As I said if you go back to my earlier comments that the NIM is stabilized that was one part. We think cost of funds is peaked as the cost of funds. So, it's about management of portfolio. At a portfolio management level, our intent would be to use the reduction to grow our low margin secured businesses and we otherwise keep the composition very steady.

Sandeep Jain: I think it's important, Chintan that I make this point as we get into FY26. Rajeev did make a point on operating efficiencies getting created by rationalization of operating expenses. At the same time GenAI leading to a lot of areas where we could significantly increase deployment and reduce operating expenses for us. Some of these will become very important mix for us to play over the next couple of years. So, operating efficiency will be in the dimension that w

e would

like to explore in FY26 and beyond that I think Rajeev did make a point saying that pre-provisioning operating profit still remains strong at 25%. So, even if the environment were not to improve, we have a good tailwind coming from pre-provisioning operating profit. That should ensure that any NIM improvement even if it goes towards fueling the secured by the balance sheet new lines of businesses should still be able to assist us in terms of delivery rightful ROAs and ROEs for the shareholders.

Chintan Joshi: Just a clarification, Rajeev, you said 185 to 195 previously. I presume you meant to 175 to 185.

Rajeev Jain: No. As you said earlier that principally the 172 basis points that we used to be pre-Covid based on the regulatory changes and our write off policy changes adds up being between 185 to 195 basis points. That's really what our forecast is at least for the next I would say next fiscal and then we will take it forward from there.

Moderator: Next question is from line of Dhaval from DSP.

Dhaval: Three questions. First is on the rural B2C business and also the business and professional loan both of them are color coded yellow. Just if you could give some perspective on when do we see normalization in both these segments? So, that's the first question. The second one relates to cost to income and just to the point that Rajeev highlighted earlier on further operating efficiency. So, somewhere in Covid I think our aspiration was 30%-31% kind of OPEX to NII. Is that what one should expect in the medium term based on the business mix that you are targeting? So, some perspective around how much more benefit can one see in the medium term? So, that's the second one. And the final one is on RBI commentary that we are hearing around various segments relating to growth and asset quality pressure plus the regulatory perspective around NBFC. I mean if you could just highlight how the company is looking at navigating the current environment. Those are three questions.

Rajeev Jain: So, look rural B2C as you can see, after a long time after virtually seven-eight quarters it showed a double-digit growth. Clearly, that portfolio has grown in single digits for the last six quarters. As we get through the worst of it, we have started to slowly grow that. We foresee that portfolio it will remain yellow and there comes a time in any credit business where you cut all the bad cholesterol and you have to build the good business. We are 18 months into it. We are moving to a phase where we are starting to build a good business. I think that is #1 on rural B2C that I would like to make. We foresee that business still however may grow only by 12% to 14% on a full year basis. That's on rural B2C at this point in time. Business and professional loans mind you that the hurdle rate bar is very low. As you can see, we color code based on it used to be 99% in pre-Covid. That's our “threshold” number. So, that's one part. It's now at 98.63. That's one part. Two, if you go to SME we have seen some level of elevated flow rate. I am referring to panel #52. If you see SME lending, you see elevated numbers that, you see the GNPA coming at 164 basis points. It was a year ago 134 basis points. And that's how we have and I repeat Dhaval what I was saying earlier while 98.63% looks like it is fine but as I said across portfolios whether it's SME or retail, the default rates are lower and flow rates are higher. So, that's a little unique situation that we are actually seeing. It's unique is what I would just say. So, given 164 basis point GNPA we have stamped it as yellow. Having said that in that the professional loans part is fine, the MSME businesses are that way only. The risk goes up, we pull back business risk goes down we accelerate. I think that's the nature of the MSME business. So, that's the second point. Operating efficiency is, look we

are the most efficient. You would know that as you benchmark us across various peers. As we build on this year's long-range plan or long-range strategy which we will publish in January, the intent would be to dramatically transform our focus on operating efficiencies using GenAI across call centers, to service to what I would call a Phase 3 of digital transformation that we are ready to embark on for us as a firm. Where that takes the number to is an outcome. I think you will see expressions of that when we share in January the long-range strategy. Do we see operating costs as a lever, answer is yes. Will we continue to make progress, answer is yes. I can't say whether the number will get to 31 ever because at our base 31 to 33 is a significant drop. But you should continue to see this number trend down. On regulatory matters, I would not like to comment Dhaval. Do we continue to make deep investments in compliance, operational risk, answer is yes. We have now from 2.5 years ago from very little to now 250 people in first, second and third line of defense we have, answer is yes. Are we on a proactive basis on an ongoing manner looking at areas that we can improve on, the answer is yes, is all I would have like to say. We are investing in all three lines of defense, business and operations compliance, central compliance, internal audit and when the embargo happened, we embarked on a proactive integrated compliance framework and did a periodical review and created a self-corrective regulatory compliance framework for us. So, we're doing all that we can to be from a compliance readiness standpoint as a firm.

Sandeep Jain: Just to add maybe a couple of points on OPEX to NII because that's the point that you made. I think it's also important to note that over the last 18 months, we have launched lots of businesses, we have made investment in all those business launches and so on so forth. As we go along over the next 2-year period, I think one the investments will be very marginal in terms of only propelling the presence of the businesses and growth. That's one thing. So, this should give us some operating leverage in the subsequent years. Second of course the investment that Rajeev talked about on GenAI capabilities and so on so forth. But the important point is we would like to pace it out, have 20-30-40 basis point in a year, idea is to continue to improve but the same time continue to remain invested in the growth of business. That's a point that I thought I should make. As regards growth, Rajeev did call out at the beginning of the call that while the balance sheet grew by 28%-29% in the current quarter, 2% growth came from new lines of businesses. As we forecast full year, we see the growth at 27%-28% with new businesses and mostly being secured in nature contributing about 2% to 3% of the AUM growth for the current year which means that the non-new business which is old existing businesses that we have in the company, will see a growth of anywhere between 24% and 25% for the current year. We remain guided

by our medium-term guardrails which is 25%-27% AUM growth and leading to a 23%-25% profit compounding. And that's what we remain guided by.

Rajeev Jain: I think the point that Sandeep made on investments have peaked out in launch of new businesses and geographies is an important point. And they should swing from loss to start to breakeven/generating profit as we get into the next fiscal.

Dhaval: Just one small follow up on that rural B2C, do you think by the end of the year we can see the business turn into green which means for next year the growth will normalize or you think it is still few more quarters?

Rajeev Jain: We are cautiously optimistic on that. I would say yes, but we will take it at Sandeep is saying quarter a time, we can forecast the current year. But if we just to reinforce the point, it's possible that

as if we exited a 12%-14% growth on a year-on-year basis then next year could start to grow between 23% and 25%.

Moderator: Next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Just a few questions. Firstly, on the overall asset quality environment. So, I know you've

mentioned that we have made underwriting, tweaking and improving our collection infrastructure. But what would make the cycle prolong as in this elevated credit cost cycle. For example, you mentioned 8% to 9% of your clients have (+3) loans versus 13% earlier. But you could have other irresponsible lenders lend to these people. So, just trying to get a sense of what's changing right now versus 3 months back.
Rajeev Jain: I think one the fact is that various actions by Reserve Bank has started to slow down the unsecured market. I think if you take the first half if I am not mistaken based on the bureau data, the personal loan year-on-year growth is degrowth if I am not mistaken. It's (-3%) - (-4%). So, I think in terms of disbursals, not AUM. So, clearly the supply side has slowed down. So, in fact that was probably mostly needed to availability had become very easy. So, that's one at a metadata level point I would like to make. Two, as we further prune segments, as we reduce exposure, we're doing both pruning segments and reducing exposures, mix of both these factors and when excesses happen at times there is a phase of excesses post that good also don't last too long and bad also doesn't last too long. Don't believe it will last too long either way. So, as the portfolios get washed you should see improvement. But as I said we remain cautiously optimistic of the same.
Piran Engineer: And just secondly on our fee income, now I noticed that it's a little bit weak considering the fact that the ban on those digital lending products was lifted and that itself was some 60 crores per quarter. So, if I kind of adjust for that it does not look like we have had seen any fee income growth. In fact, we have seen degrowth QOQ. So, anything here to read?
Rajeev Jain: Seasonally its always.

Piran Engineer: There is de-growth because of summer season versus non-summer season. But last time we didn't have those digital lending products which are banned and now we would have had it. So, I would have expected to be at least flat. So, is this because of the RBL thing where collections you are not doing for them and therefore fee and OPEX both are proportionally lower.
Sandeep Jain: So, Piran, point number one. I think if you are referring to last year whether we had the fee income or the digital lending fee income not being there, last year the action by RBI was in November, the Quarter 2 last year we did have that income from YOY comparable point of view. However, to the other point that you are making on the co-brand credit card where the collection activities was earlier managed by us, incrementally starting Quarter 2 that activity has moved to RBL rightfully so. And that has an impact in terms of overall fee income for the quarter. From a comparative point of view.
Rajeev Jain: He was making a point on a sequential basis if I am not mistaken.
Piran Engineer: I was asking for QOQ. So, 2 months you all didn't do that product, right?
Sandeep Jain: Yes. The answer is then very clearly the transfer of the collection's activity to RBL Bank which otherwise would have come to us as payment towards the collection's activity would have said in the fee income.
Piran Engineer: And just on the NIM outlook, did I hear it correctly that NIM will be stable assuming no rate cuts further or is it that cost of funds will be stable but yield could still decline because of portfolio mix?
Rajeev Jain: Both are peaked and AUM composition should stabilize, both.
Moderator: Next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So, firstly maybe

in terms of the overall growth, given the environment wherein we are we have kept on increasing the credit cost guidance as well. But still, we sound bit upbeat on the growth despite Bajaj Auto business maybe, I think that's coming off. Plus, you said like you are tightening few of the standards. But I think that commensurate on the growth still seems to be like 27%-28%. No doubt there is something which is contributing from the new business but existing is also continuing. So, wouldn't it maybe in terms of the approach, maybe in terms of the growth versus credit cost, is there any change in the approach that we are looking or there is no need to change at this point in time?
Rajeev Jain: No, there is no need to. As I mentioned earlier Kunal that between 2 to 3 and maybe in fact as we exit the year close to 4% of the growth may probably be coming from new lines of business between new two-wheeler to tractor to new car financing to CV which just went live in July, to gold loan. While it's an old business but growing healthily, these are 5-6 lines of businesses that are yet to if I may say so break out in any given manner. Some of them will start to break out by the fourth quarter. So, if you knock this off, the organic so called even this is organic the organic

number would have looked like 24%-25%. So, it's just the, we use the good times over the last

24 months to launch or complete a product suite as a firm which is helping us continue to generate AUM momentum without having to compromise in any given manner the credit quality.
Kunal Shah: And secondly in terms of urban B2C, so if you look at Stage-2 that still continues to be quite elevated almost similar to where it was in last quarter as well. And then we had seen this kind of increase out there as well of almost like 38 odd basis points in the GNPA. And maybe as you indicated for SME lending maybe moving from 1.4 to 1.6 made it like get into the amber. Do you see the risk of urban B2C also getting into amber given the collection efficiency and this kind of trend in Stage-2?
Rajeev Jain: No, we remain watchful Kunal is what I would say and as I said earlier in the call that we saw inching up on panel 51 across. So, clearly there is pressure across. Now mind you can see the numbers and absolute numbers in urban sales finance and rural sales finance are smaller. But one has seen movement across lines on a year-on-year basis. So, we remain watchful and only point I would like to make is that between managing risk and managing growth we will choose credit. We will choose credit. So, it's the only point I would make.
Sandeep Jain: And Kunal, there's a technical thing also because of number of days logic for DPD classification and given that most of our customers get banged on second there is that one month plus and minus that happens between Quarter 1 and Quarter 2. So, that's one thing that I think is an important point. But leaving that aside, it's also important to the point that Rajeev mentioned the beginning of the call, as part of the portfolio quality that in the current quarter this Stage-2 and Stage-3 has actually gone above 542 crores. And he did make a point that number was much lower than the last quarter. Just to give you context, our last quarter the Stage-2 and Stage-3 on account of various disruption that we had referred to in Q1 and I am not repeating it has seen actually 1,100 crores of movement. So, Q1 had seen 1,100 crores of addition to Stage-2 and Stage-3 versus that in the current quarter the movement to Stage-2 and Stage-3 is 542 crores. So, there is that level of improvement that is clearly visible.
Kunal Shah: And last question, was that the option to create the management overlay buffer against this one time gain and would you have done that or maybe that was not there from the auditors and that's the reason we inch up the guidance and still ma

ybe not have created any buffer out there against this one off?
Sandeep Jain: Kunal just to clarify, when we mean option, I think we don't have options. We look at the data points and based on that decide what is the right thing to do. The one-time gain does not necessarily give you an opportunity or option to create provisions. We looked at the information and based on that we did not feel a need at this point in time to create an overlay. However, to the other point that you made, even from accounting perspective the gain sits in standalone financials on a consol basis goes and sits in the reserve. So, if that was a question that was a point that you were highlighting, yes, in the consol numbers it go and fits in the reserve.

Rajeev Jain: And Kunal I will reiterate the point that I made, which I said earlier that if the PPOP is 25% then we have sufficient margin in the P&L for us to sustain any kind of, I wouldn't even, just on this point I would just make a point that let's say if our long term or medium-term guidance/experience, experience/guidance is 185 to 190 basis points. And if you are looking at full year 205 basis points doesn't create pressure. It's a 10% increase or a 8% increase in credit cost doesn't create that kind of; year-on-year comparables are looking bad because we were at 156 basis points at that point of time and we were consuming overlays. If you do apple to apple what our run rate is which is 185-195. Let's say for a moment given our diversity of businesses and the number on a full year basis comes in at 205, even let's say worst case 210 basis points that's a 10%/7%-8%-10% increase in credit cost on a year-on-year basis or from our medium-term experience/guidance. So, I won't lose too much sleep over it.
Moderator: Next question is from the line of Viral Shah for IIFL Securities.
Viral Shah: Rajeev, I wanted to ask you were talking about the new businesses and then contributing to growth but if I look at the distribution slide, for tractor I see that nearly on a sequential basis the distribution has halved. So, is there anything to read into it or what has happened over there?
Sandeep Jain: So, what we disclose out there for the first two quarter is exact number of dealers that we have signed up. Depending on the activation rate that we see as to how many dealers have started booking cases, on a two-quarter basis we do that adjustment. So, if you see that drop is on account of having seen probably less or no business from those counters. It's a very early stage of business. Don't read anything into it. Business is now boarding between 65-70 crores of volumes per month since January. We started the business in January. We are cautiously growing this. It's a business to be grown cautiously only given that it has different repayment behavior and patterns. So, nothing to read into that line. But we are now disbursing between 65-70 crores of volumes a month in Tier-II, Tier-III geographies.

Viral Shah: And secondly if I look at the two-wheeler and the three-wheeler business, you mentioned about the Bajaj Auto credit and that business, wanted to understand like is there any the ROA or the profitability differential between doing the non-captive business versus the captive business? Just trying to understand if at all there can be any.
Rajeev Jain: No, I think it's a fair question. So, principally looking at the group two-wheeler, this company was formed to do Bajaj Auto product. So, it's a little bit of mixed feeling that as that business goes out, it's a profitable business. But you also used to be as you may have observed over here is also a volatile business. All captive businesses are more volatile than non-captive. It's a global truth in terms of credit performance. I mean during COVID we really struggled. It was 5% of the balance sheet and 20% of the GNPA. But over cycles it was a profitabl

e business. We foresee that the group two-wheeler financing AUM will mostly wind down fully over the next 2 years. In fact, that will since you raise the point, I must make a point. It will actually lead to as this winds down, it will lead to lowering of our loan loss to average AUF. It's an important point I must make. If you look at it today as of September, it's 4.3% of the balance sheet and it is 18% of consolidated GNPA. This is a factual number as of Q2. So, eventually as this book winds

down, we will see the benefit come through in the overall loan loss to average AUF. Correspondingly the non-Bajaj book for us because it's an open architecture business comes in at half the risk cost. That's been our experience over the last 2 years. So, in the short term it has some impact on profitability. Over long term it will be beneficial in building a lower risk business an aggregate for us as a firm. So, I think that's really how this migration or transition will principally play out. So, it's a mixed feeling.
Viral Shah: I understand and thank you for that detailed perspective and because you mentioned also the asset quality piece over there. If I look at your panels that you give in terms of the portfolio quality. So, in that we have seen that in this quarter sequentially it has moved up. Stage-2 and Stage-1 has come down. And even versus if I compare it, I understand even from a YOY basis it's come down. Whereas over this period I would expect that the non-captive business would have built up just in terms of the size in the contribution.
Rajeev Jain: It will take us 2 years. As I said earlier, we are at 35,000. They used to do 65,000. We're doing very little three-wheeler. They used to do 20,000 and every three-wheeler is virtually equivalent to 2.5-3 two-wheelers. So, it will take us as I said earlier 2 years to fully make up for the AUM. So, that's why as I said there'll be short term impact on profitability because AR will go down. By March ‘26, we will start to make up as much AR addition as Bajaj Auto used to do with us in terms of quarterly addition. But we are very clear it's half the risk cost. That is super clear to us.
Viral Shah: My question was actually more on the asset quality front like what was…?
Rajeev Jain: So, it is going through high credit phase. So, last year was an abnormally low credit phase. I must make a point to you. It's a long term. Average loan loss to average assets has been in the region of 4%. Last year if you see this number looking like 1.5% and recoveries was very high. So, this business went through an ultra-low credit cost phase last year rather last 2 years. It went through ‘20-21, ‘21-22 very high credit cost phase. Then it went through an extremely lowest that we have seen in the last I would say 17-18 years phase. It is normalizing but inching up more higher than its longer term trend line. I must make that point as well. So, that's really how volatile we have seen it to be actually, peaking, bottoming and right now rising but rising above the long-term threshold.
Viral Shah: If I look at the rural B2C panel, over there if I look at sequentially there seems to be some bit of improvement. And of course, you mentioned and you discussed that at length. My question was that given the way the cash flows are in the rural India and especially the asset quality pain that the MFI players are witnessing I was actually a bit surprised to look at this. If you can just throw some more light on this.
Rajeev Jain: We would get only 5% of the clients in this entire portfolio who would get not even that much actually. 2%-3% of the clients would probably qualify for a MFI Anup was saying.

Anup Saha: The only other point, this is Anup here, when we classify this as rural and what MFI classifies, those are the villages of India. So, MFI w

ould be even one Tier-lower. So, that's the first, 2-Tier lower because those are the 6.5 lakh villages we largely talk about. Our rural is still the smaller towns and cities. And this again point is the MFI equivalent segment will be very small. That

would be 3%-4%. So, who can be like household income below 3 lakhs or so on and so forth. There will be not much of overlap there.
Rajeev Jain: Separately on this rural stress, as I mentioned always for the last five-six quarters because of the rural B2C that we don't see the so-called rural distress pressure in the B2B business where we deal with millions of customers. So, it's anecdotal but the rural B2B performance is not anecdotal. Even when you are looking at the season’s growth at this point in time, we are 15-17 days into the season. We are seeing the momentum to be reasonably strong in rural. So, we are driven more by our experience rather than by our rather than by our anecdotes. So, rural B2B continues to be strong, both in terms of momentum and in terms of credit performance. B2C of course you've seen pressure, and we have acted on.
Sandeep Jain: So, for full transparency I think it's important that I call it out. Rural B2C also includes MFI JLG business that is run independently. That's about 600 crores of balance sheet that we have. That's all sitting there. The portfolio continues to remain reasonably healthy out there. It's very young.
Rajeev Jain: We will break that at some point in time. It is too small. It’s not relevant. That's why.
Moderator: Next question is from line of Roshan from ICICI Prudential.
Roshan: Firstly you mentioned this 13% number to be the live unsecured loans overlap, so the (+3) live unsecured loans overlap number. That was the case a few years ago. What was it? It was not clear, 13% decrease and 9%.
Rajeev Jain: Let me give you full numbers as you are asking. It was 8%. It went to the peak of 13%, is now down to 9%-10%. So, it's not like this is a new thing but the supply of those client’s propensity has increased and because the supply increase or availability increase their borrowing pattern increase. So, it's not like it was pre-Covid it was 0, it was 8%. In our in our customer banking. It went up all the way to 13, it's down to 9-10.
Roshan: And when I look at this amber color panel and your GNPA movement, the GNPA has increased across the board like you said. But you chose to call out SME lending and rural B2C alone as amber. Anything more to the what you are seeing which is not there in data.
Rajeev Jain: It’s a management assessment Roshan, nothing else where we are tightening in a transparent manner we are assessing. As I pointed out as you are reinforcing, you have seen movement even in gold loan. On a year-on-year basis 35 basis points GNPA is gone to 53. I am giving example to make a point or a 60 basis points in urban sales finance going to 81. But wherever we tighten and we act on is really what we or things go lower than pre-Covid or higher than pre Covid in

terms of delinquencies. That's how we would in general provide management assurance to be. I hope that makes it clear.
Roshan: The other question I have here is, last quarter you said bounce rates are stable but whatever has bounced is turning out to be very chronic.
Rajeev Jain: Yes. That is as I said the flow rates. I use the word flow rate. It's the same point. The defaults remain lower but flow rates are higher. That is not changed Roshan as yet.
Roshan: And just one last question. There was a suicide case that has happened, so any comments on that?
Rajeev Jain: We are very saddened by the incident and our prayers are with the family. We have referred the incident that happened. It's very unfortunate and sad incident that happened. We referred it to our internal disciplinary action committee for investigation and recommendation and we will go by and we’

ve shared our actionabilities or learnings that we've taken away with the board as well is all I have to say.
Moderator: Next question is from the line of Umang Shah from Kotak Mutual fund.
Umang Shah: I have two questions. One is Rajeev if you could, at the beginning of the call you already mentioned that probably by the end of FY25 you will share our Long range number but you can give some color as to how should we look at the standalone Bajaj Finance entity maybe broadly in terms of growth and profitability and ROE given that Atul has already spelt it out about Bajaj Housing Finance on the Bajaj Housing earnings call. I mean that will give us some clarity on how should we look at the standalone entity maybe from a 2 to 3-year perspective?
Rajeev Jain: Just because we happen to have listed the firm and offloaded 11%, we continue to be 90% just a short of 90% owner of Bajaj Housing finance. And that's why we still look at it as sum of parts while they have the independent journey and independent, but they are 31% of the balance sheet today on a consolidated basis. I don't foresee the composition, their contribution to profitability, etc. so on and so forth to change in any given manner. So, we still look at it as sum of parts of BHFL, BFSL and BFL. And we continue to be excited about both the subsidiaries and of course the core operating business of Bajaj Finance. So, at least in my head until I run it, I continue to look at it on a consolidated basis is what I would say.
Umang Shah: Just the second question is on clearly we are getting a little mixed sort of views or commentaries when it comes to consumption trends.

Rajeev Jain: I assume he is asking question on season.
Umang Shah: Yes, that's correct. On the festive demand.

Rajeev Jain: So, look in the discretionary consumption businesses that we are in. What we are principally seeing is that if you look at the first quarter growth for us was 8% in terms of units sold. Second quarter was actually 9%. I am talking when I say discretionary consumption I am talking our point-of-sale businesses which is CD, Digital, rural CD, lifestyle, e-com. So, far if I look at the first, the season festival season started on 3rd of October. We are virtually 18-19 days into it. So, far at this point of time looks like the count growth is like between 20% and 21% between 20%-21%-22% depending on a day. Every day during these 30 days is important. The season will end on 3rd of November. So far 20 days into or 19 days into the season, numbers looking like 21% in terms of count. In terms of value, in terms of discretionary its clearly prices have cooled a little across phones and televisions and so on and so forth. Given reduction in raw material prices we are seeing a 19%-20%. So, I would call that on our base a good number. So, if I take our and mind you, we're talking 2 million kind of number being disbursed. So, it's a very large representative sample of what we are seeing at least in our categories so far in the first 19 days of the season.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Mr. Sameer Bhise for closing comments.
Sameer Bhise: Thanks everyone for joining this call today evening and thank you to the team from Bajaj Finance for giving us the opportunity to host the call. Thank you Rajeev, Sandeep, Anup and Atul. Thank you.
Rajeev Jain: Thank you all.
Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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3 February 2025

Dear Sir/ Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 3 1 December 202 4

Ref : Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 20 January 2025 , the transcript of Q 3FY202 5 investors conference call has been uploaded on the website of the Company at Bajaj Finance Investor Relations –Quarterly Earnings Call (aboutbajajfinserv.com)

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take this on record.

Thanking you,
Yours Faithfully,
For Bajaj Finance Limited

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Bajaj Finance Limited
Q3 FY'25 Earnings Conference Call
January 29, 202 5

MANAGEMENT : MR. RAJEEV JAIN – MANAGING DIRECTOR – BAJAJ FINANCE LIMITED
MR. ANUP SAHA – DEPUTY MANAGING DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN - CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED

MODERATOR : MR. ANUJ SINGLA – BANK OF AMERICA SECURITIES

Moderator: This call is not for media representatives or Bank of America investment bankers or commercial bankers, including corporate and commercial FX. All such individuals are instructed to disconnect now. A replay will be available for the Bank of America investment bankers and commercial bankers, including corporat e and commercial FX. The replay is not available to the media.

Good day, and welcome to the Bajaj Finance Limited Q3 FY '25 Earnings Conference Call. This call will be recorded, and the recording will be made public by the company pursuant to its regulatory obligations. Certain personal information, such as your name and organization may be asked during the call. If you do not wish for it to be disclosed, please imme diately discontinue this call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing star and zero on your touch - tone phone.

I would now like to turn the call over to Mr. Anuj Singla. Please go ahead.

Anuj Singla: Thank you, Nee rav. Good evening, everyone. This is Anuj Singla from Bank of America Securities. Thank you very much for joining us for the Bajaj Finance earnings call to discuss third quarter FY '25 earnings. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Ja in, Managing Director; Mr. Anup Saha, Deputy Managing Director; Mr. Sandeep Jain, CFO; and other senior members of the management team. Thank you very much, sir, for giving us the opportunity to host you.

I now invite Rajeev for his opening remarks, post which we will open the floor for Q&A. With that, over to you, Rajeev.

Rajeev Jain: Thank you, Anuj. Thank you BofA team for hosting us. Good evening to those who are in India. And depending on the geography, good morning. I'll take you through the presentation, investor presentation, that we put on the company's website. Let me jump right in. I'm on Panel number 4. Just at a high level.

Overall, I would say, good quarter on volumes, assets under management and opex , loan losses begin to stabilize or have rather stabilized, came in flat in terms of percentage points virtually between Q2 and Q3. Profit growth has begun to gain momentum. ROA was steady. We overall delivered AUM growth of INR 24,119 crores, the highest that we have ever delivered, booked highest ever new loans of 12 -odd million loans in the quarter and added 5 million new customers. Customer franchise stood at 97.12 million. So well on course to cross 100 million as we finish the current fiscal year. It will be a big milestone, I would say, for us as a firm. Finserv app now just a tad below 67 million customers.

We shared the long -range strategy, which is BFL 3.0 A FINAI company was unveiled as part of our Investor Day on 10th of December. And overall, we're quite excited about this next phase of transformation for BFL as a company.

I would say this is 3.0, we had 1 Phase between 2008 and 2016, I would say, and second Phase between 2017 and 2024 and there's the third Phase . In terms of AUM, just a ta d below INR4 lakh crores, at INR398,000 crores, annual growth of year -on-year growth of 28%. Opex to net total income came in at 33.1%, an improvement over 33.9% same time last year. PBT grew by

18% to INR5,765 crores. All these numbers are consol numbers. PAT grew by 18% to INR4,308 crores. ROE came in at 19.1% versus 22% at the same time last year. And net NPA came in at 48 basis points versus 37 basis points last year.
Panel 5, AUM, we've talked about , new loans , we've talked about new customers added. We've talked about -- we are very close to add 17 -odd million customers in the current year. Run

rate
so far, we've done 13 million - 13.5 million. So 3.5 million is a clear run rate. It should be tad higher, I would say. So well on course to cross 100 million customer franchise.
In terms of location addition, as I've said in the past that, clearly, our geographic presence has peaked out. We added 14 new locations. In the current year, we've added only 60 -odd locations, if my memory serves me right -- 50-odd locations. We have 4,20 9 or 4,210 locations. So we added 50 - 55 locations. We are adding more branches but not more locations, gold loan branches, as I'll take you through have crossed 1,000. Now in terms of cost of funds, liquidity buffer remained strong at INR13,600. Cost of funds, a marginal decrease, but largely flat. Deposits grew by 19%.
Operating efficiencies. Net interest income grew 23%. NIM was steady in Q3. Net total income grew by 26%. Opex to NTI improved to 33.1%. We continue to invest in optimizing our operating expenses and rapidly implement AI capabilities to improve productivity across the board, and we had shared our vision or mission for that as part of our Investor Day in December.
Now employee headcount stood at 62,176. We added a much smaller number of people in the third quarter. We added 2,824 people. These numbers are consol and consolidated annualized attrition came in at 16.2%. Clearly, as we head into the next year, it's like ly that the employee headcount addition will continue to be smaller and smaller or lower and lower as we move into fiscal '26.
In terms of credit cost, as I said, it stabilized, came in at INR2,043 crores. Loan loss to average AUF was 2.16% versus 2.13%. It's a INR20 crores differential in a way for it to be a 2.16%, so that's why we used the word stabilized. Total net increase in Stage 2 and Stage 3 was at INR608 crores.
Last quarter, it was INR540 crores, this quarter it's INR600 crores, first quarter it is INR1,100 crores. So clearly, the formation of Stage 2 and Stage 3 have begun to stabilize at these numbers. So we continue to take proactive risk actions by cutting segments and pruning exposures, rather, I would say, aggressively at this point in time.

On a full year basis, we estimate loan loss to average AUF to be in the range of 2.2% , for quarter 4 to be in the range of 2% to 2.05%. So clearly, the downward trajectory should continue as you move from here. GNPA and NNPA stood at 112 basis points and 48 basis points, respectively, continue to be amongst the lowest. Clearly, as I've said many times to investors that last year was a record low in many ways, and it reflected in GNPA and NNPA, but we remain significantly within the range of our medium -term guidance on GNPA and NNPA.
We had shared with investors that clearly 3 -plus unsecured loans is an area of concern. So across the board, we have reduced share of such customers now significantly. As we exit Q4, we'll be back to where we were at a pre -COVID level. So we have b een continuously pruning. We pruned significantly even in Q3, and we will be below or equal to where we used to be pre -COVID as we exit March '25.
Profitability, we've talked about. Consolidated profits grew 18%. I'm on slide 7. And ROA came in at 4.5% versus 4.9% and ROE came in at 19%. Capital adequacy remains strong. Tier 1 is 20.8% and overall capital adequacy is at 21.6%. Just quickly, 2 additional updates. One is we have done a press release, a joint press release of a s trategic partnership with Bharti Airtel, while for you -- it's a repeat of what we have already published to the street, but we are quite excited about this partnership.
And I can take some questions and provide some more clarity , if there are any. But overall, I would say our two products have gone live, nine products will be live on Airtel Thanks app by March 25. And we've created a five-year vision and a roadmap for this

partnership. And I would
say we are quite excited about this partnership.
Now, in terms of discontinuation of the co -branded credit card business, as you're aware, we have release d again to the street, on mutually agreeing to seize incremental sourcing of co -branded credit card with RBL Ba nk and with DBS. These are our two partners. This discontinuation does not affect any of the existing cardholders who will continue to receive services from respective banks. I thought I'd just clarify that.
And we as BFL from a P&L standpoint will continue to earn distribution fees and revenue share

under the co -brand arrangement. So I thought I'd clarify that as well that it does not affect the future revenue share from this arrangement.

I jump right over to Panel 43, which is customer franchise, continues to grow. It's at 61.56 million, what we classify as cross -sell franchise. As you can see, the addition continues to remain pretty strong.

I jump straight then to Panel 48, which is a segment -wise AUM number. The only reduction -- only change that you see is you're beginning to see two-wheeler and three -wheeler composition go down as a result of us not doing Bajaj Auto two-wheeler and three -wheeler financing since they have started two-wheeler and three -wheeler financing, captive finance company of their own. So this number would continue to go down.

It may probably stabilize sometime next year at around quarter 4 FY '26 at around 4 -odd percent, between 3.5% and 4%. The rest of the composition, as you can see, largely remains range bound.

We'll go to panel 51 quickly on GNPA and NNPA. You see marginal movement in GNPA and NNPA across the board. That's one point I would like to make other than commercial lending and LAS , of course , you see a marginal movement across the board. But on an aggregate basis, I would make a point to you that -- which is on a year -on-year basis, that we remain reasonably well under the long -term guidance of 1.2% to 1.4%. And on NNPA, also, you see movement between on a year -on-year basis across the board. We remain well within 40 to 50 basis points of NNPA guidance is the point I would make.

Go to portfolio quality. I think three businesses from a management assurance standpoint, we have classified as Amber, 1 being two-wheeler and three -wheeler. I'm on Panel 55. As you can see, a year ago it was 94.72%. It's at 92% now. But mainly because of Stage 2, which was at 3.83% has gone to 5.53% that we classified the businesses Amber. However, keep in mind that this portfolio degrew -- but I have to do what I have to do, which is to state facts as they are. But there will come a point where the number may look much worse off, but we may classify it as green. I'm just flagging it to you because in a degrowing portfolio, these percentages may not make sense. But there is pressure at this point in time in this p ortfolio. So that's why from a management assurance standpoint, we have classified it as yellow.

The second portfolio that we have classified as yellow is business and professional loans. Clearly, it was at 99.07% for the current bucket , in December '23 . It's at 98.67% now. And as you can see, even in February '20, it was 99.01%. So it's from that standpoint that we have classified as yellow. And ru ral B2C continues to be yellow.

It started to grow. I think that's the good news. I think the AR grew on a year -on-year basis at 16%. So the business is back in a growth mode. So some of that will get solved. And we've seen -- we should be back to growth mode in the business. That busine ss should grow between 20% - 23% in the next fiscal as we move from here.

I think these are three businesses that we -- from a management assurance standpoint, have classified as yellow. I'll open the floor to questions now.

Moderator: Thank you very much. We will now beg

in with the question -and-answer session. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Congratulations for a good set of numbers. So firstly, maybe again in terms of indicating 2% to 2.05% for credit cost for 4Q. But when we look at maybe both in terms of the Stage 2 as well as Stage 3, there seems to be an increase in which way. So you alluded that at least in terms of the incremental trend, it's improving.

But otherwise, any other metrics which is giving you that much of a confidence that we would have picked out in terms of the credit cost? Because you indicated that it will keep on trending lower. And any guidance that you would want to give for FY '26?

Rajeev Jain: No, it's a fair question. Both the questions are fair. December and so far January have been better. December was better on collection efficiencies. Clearly -- so two things, at a headline level, early MOB results are looking better. I think that's the first point from a risk standpoint. We have pruned businesses. We've talked about it over the last two quarters , three businesses would flag out the largest increase in contribution was two -wheeler. That's a winding down book. Used cars, we've dr opped the business by 30 -odd percent. Rural B2C, we've talked about many times, but losses have peaked up.

Urban B2C given the size of the business, its contribution to the loss ought to be high, as you

can see even from the provisioning panel. So I think just in SME or MSME, the early MOB have begun to look significantly improve d. I won't use the word significantly, I would say they started to look better than they were. I think that's level one point.
Second order point is efficiencies. Even if I take October, November, December, October was better, November was okay, December was much better. So I think that's how I would classify. It's right now given the overall environment as you're seeing from resu lts across the board , each month at a time, but it gives us a greater degree of confidence that if one more quarter goes well, we are, I would say, we are in a comfortable position. So that's the second point I would make to you.
Kunal, third point on a full year guidance, I would say to you that at a design level, it has to be sub 2%, I mean, in all. But we'll get greater confidence as to as we traverse through Q4. I must flag that point. It's -- I'm not creating uncertainty. I'm just making the point the way we as management are going about it. So if Q4 is in the range of 2% to 2.05%, then clearly next year number is up 2% is what I would say. We'll be a lot confident.
Kunal Shah: Okay. Sure. And secondly...
Rajeev Jain: Unless macro environment deteriorates very significantly, which I hope it doesn't. And it's not a place card statement. It's given that overall economy is slowing as we can see from higher frequency data. So that's the only caveat I would add.
Kunal Shah: And lastly, in terms of like last year, Q3, there were senior management changes, which were announced. Now it's been almost a year. So how are we looking at it in terms of the management transition? Any discussions out there? And what would be the road ma p -- so now LRS is also there. So maybe in terms of the certainty on the management side would also help ? So maybe if you want to comment on that part.
Rajeev Jain: No, no. It's a fair point. We' ve laid down a comprehensive 15 -month transition plan Kunal. We are 12 months into it. As you rightly said, we announced this last December. We expect the Board to take a view on the way forward by Q4.

Kunal Shah: By Q4?
Rajeev Jain: Yes.
Kunal Shah: Okay. Yes, thank you.
Moderator: Thank you. Next question is from line of Antariksha from ICICI Prudential. Please go ahead.
Antariksha

: Thank you sir. So two sets of questions. The first is, can you give some color on your debt management piece, in a sense, what kind of opex does it incur given the fact that the system is under stress, how are costs per head panning out? Has that gone up significantly? What is the number of people involved?
When does collection become unviable in terms of ticket size? Earlier, I remember you had flagged that INR15,000 is a minimum ticket size below which it doesn't make sense. Something on that and how it's panned out through this time where delinquencies hav e gone up.
Rajeev Jain: If you recall, we had a conversation on this when I said I had -- there was a similar question that was asked in Q2, and we -- I shared that from a capacity planning standpoint, we realized when you deliver 161 basis points credit cost to AUM, which was FY'24, we delivered in, despite having sophisticated capacity planning models, you say, do you need to add capacity?
Clearly, we should have stayed true to our capacity planning model. And if you recall, we had said that we added close to 4,000 people if I'm not mistaken in Q1 and Q2 in debt management. So we have gone back and played as per the capacity planning model. I think that's the first point. So -- that's one part. And it's a lesson learned, I would say, for us as a firm.
Second part, the model has not changed. We continue to just sharpen the model. The only thing that has changed significantly is a lot more has gone digital. I mean today, 50% - 52% of our overall debt management infrastructure is -- the cash has kept -- despite the size having grown, cash has kept going down and centralization infrastructure has kept going up. So I think it is ensured that we have significant capacity, or it's a nonlinear model that we continue to build. So, it's the last point I would mak e to you.
Antariksha: Just to clarify this, you are saying 48% of the collection is still physical is it?
Rajeev Jain: Sorry, sorry.
Antariksha: Are you saying that 48% of the collection is still physical?
Rajeev Jain: Yes. Yes. It's by agencies, physical being defined as yes. Yes, answer is yes. Answer is yes.
Antariksha: Okay. What would be the number of people involved, rough, since you said 4,000 were added?

Rajeev Jain: No, a s a firm, we have 64,000 people, as you saw. I think 57,000 - 58,000 in BFL, 20,000 people are in debt management, but they are all managers. They're employees and they're managers. They don't collect, they manage agencies who collect. So the centralized call centers are also managed by them and the field infrastructure, which is agency management, is also managed by them.

And mind you, this is across 27 product lines and across 4,205 cities and towns in India. And it means boots on the ground to be able to do an efficient whatever, 94% - 95% - 96%, depending on the type -- or 98% depending on the kind of business you're talking about for those levels of efficiencies, you need boots on the ground, no n-linear, however. That's the only part I would continue to add.

Antariksha: Got it. The second piece I wanted to ask is on this Bharti Airtel partnership. Now you mentioned that there are about 37 crores, 38 crores customers that they enjoy. The question I wanted to know is what is the -- I mean non -Bajaj franchise, which can be l ent to in that base. Because we also have a pretty hefty 10 crores customer base on which we have enough data, I'm sure the entire 37 crores of Bharti customers will not be backed by ability and willingness to pay. So what is the size of the op portunity in that partnership...

Rajeev Jain: That's a fair question. I'll request Harjeet who my colleague who is running the relationship to answer.

Management: Yes. Roughly about 200 million is the set we are targeting, which is -- does not overlap here.

Antariksha: Okay. A

nd the products that you would start with are?

Management: So we're starting with nine. This basically includes personal loans, business loans, gold loans, we're going to be doing two -wheelers, Insta EMI card and a couple of more trading products and last, etc. So we start with nine and then over the year, we'll then look at the next set of products.

Antariksha: Got it. Sure. And just last point, sir. You highlighted, I think, in the previous times when we had started slowing down the B2C personal loan business that risk pricing was not being followed at both ends of the spectrum, not just the small ticket one. Ha s that scenario improved in the high-ticket segment in the sense that...

Rajeev Jain: Pricing has not changed. I mean, in fact, anyway, as the credit growth has slowed, the pricing pressure across the board has further intensified only, I would say, because credit growth is now significantly slower. So...

Antariksha: Wouldn't B2C taking out, especially in the higher ticket part of the spectrum is based on what?

Rajeev Jain: Sorry, sorry.

Antariksha: I'm saying if pricing is still not improved, then how is the higher ticket part of rural B2C better than it was? What has changed?

Rajeev Jain: No. In rural, we don't do high ticket at all. We never did high ticket actually. I mean, in fact, whatever prior to we're getting into trouble with it, that was only pull back. The corridor there is between 100,000 and 250,000, I would say. That's the -- average exposure is 120,000. Actually, we've cut exposures by 30 -odd percent in the last 12 months. So average exposure is down to between 120,000 to 130,000. So we never did high -ticket loans in rural B2C.

Moderator: Antariksha may I request to come back for a follow -up question please. Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi team c ongrats on very strong numbers. Just firstly, in terms of just getting back to asset quality, can you share at least qualitatively, if not quantitatively, what are the 1 DPD formation trends across portfolios? Has that stabilized? Has that improved? Is it better than -- or is it back to run rate levels?

Rajeev Jain: So, it's a complicated question, I prefer number one, and across different businesses. I would say -- I'll tell you. Urban B2B remains pretty strong. So let me go from the easier ones, right . Urban B2B remains pretty strong from a -- let's go by line of business, okay . By two-wheeler, three - wheeler, we are -- we -- as I said earlier, I flagged it as yellow. So it is yellow. It's default rate plus the efficiencies, both are impacted at this point in time.

Last month, collection efficiencies are better in two -wheeler and three -wheeler, but the default rates were still elevated. So that's on level one point. And you realize Piran, both are a mix of the net outcome is a mix of higher bounce and lower efficien cy and higher bounce and higher efficiency and lower bounce and higher efficiency, right . These are the three blocks that every portfolio would principally sit in.

Second portfolio is urban B2B, I talked about. We are -- that portfolio has remained very, very steady, I would say, despite significant growth in the business. Urban B2C default rates are lower, collection efficiencies are still lower, okay. December was better, as I said earlier. October

was better, December was better, November was not okay. So we're still in a watch mode. Brings me to rural B2B. Rural B2B and all these numbers I compare personally with pre -COVID for whatever reason, even within the fir m. Some people don't agree with me, but I say that is what we used to do.
And mind you, we were one third of the size so they're also right from a context standpoint. Rural B2B numbers used to be significantly lower. So you see them even higher year -on-year

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but eventually, given our depth in the business, that number has never intended to remain there. It will get closer and closer to urban B2B now.
That gap, which used to be there pre -COVID that smaller markets give you lower default rate, given the massive penetration across the board by non -banks and banks has meant that advantage for benefit, which existed pre -COVID doesn't exist anymore. So if i t's not there so far, it will get there. Let me make that point. I know where is it exactly, rural sales finance.

Gets me to rural B2C, as I said, we are coming out of the woods, I would say, efficiencies improved, bounce rate was never a problem, efficiencies were the problem, efficiencies have improved significantly. SME lending from April to October had gone up signifi cantly. Bounce had not gone up, efficiency has dropped reasonably. November, December, is back at this point in time ever good that you have seen in the last 2 years.
So we've invested across the board, but I think we are seeing at least MSME deliver significant confidence at least so far. I think that completes the breakup in a way. Car loans, Piran, just to the last point, Sandeep was flagging to me, used car clearly , we've seen pressure. We have got business at 30% - 35%. I mean -- and we are among the top five used car lenders in India, but we've cut volumes by from INR400 -odd crores to down to now INR250 crores, right?
New car continues to remain very healthy and very strong. So -- and that is where the growth is. Majority of the growth that you're seeing is in that space, that remains very strong, or we remain very comfortable from. That Piran, hopefully gives you some color.
Piran Engineer: No, that's useful. So the main segment, you're among the larger ones really the Urban B2C, where things are still slower. Because you mentioned that while default is lower, collection efficiency is also lower?
Rajeev Jain: Yes, I agree. Perfect. Your observation is correct. This may take longest to be back to normalcy. Absolutely.
Piran Engineer: Why?
Rajeev Jain: Why? As he is clarifying that we took three PL cuts what we have flagged, this end rule B2C is where the three PL issue was, as you flagged, we used to be pre -COVID at 9% -- 5% here and 1% there. We're still at 8%. We have some more ground to cover between Jan and Feb we have covered. It has gone all the way to 15%, 16% -- 13%, 14%, right? So aggregate, it has gone all the way to 14%. So we have brought it down.
As that gets -- mind you, still doesn't stop that customer to take more , post me. This is at the time of me giving a loan. So that is the main reason, I would say, Piran.
Piran Engineer: Got it. Got it. Fair enough. And just secondly, in terms of contingent to SME, you also marked it as Amber in your PPT, but you're still growing at 40% in this business. So what really -- what's the disconnect here?
Rajeev Jain: So, I have to do management assurance. It's a 98.67% current in an MSME book. It used to be at 99%. So we are used to significantly lower numbers is one point I would flag to you. I think that as I made in the passing as well that an MSME book at 99% and i s used to be a great number, we are proud of that. It's a 98.67%. And as I said, last 3 months we have cut the business by 30%. So that's the only point. And growth is 31%. It's not 40%.

In that -- but the secured growth -- very similar. The numbers will be -- Anup is making a point on -- this has LAP also sitting there. This has BHFL also sitting there. This has BL also sitting there, and this has professional loans sitting there. These are the 4 portfolios that are principally sitting there. The slowest growing is professional loans because -- and LAP, actually, in terms of -- because now LAP -- because the margin profile to t

he earlier question that as the margin equation is just not ad ding up.

But it's a mix of four portfolios. At 98.67%, we are comfortable, but we want this to get back to over 99%. That's really why the cut -in business that we've done, and we'll get there.
Piran Engineer: Got it. Okay, that answers my question. Thank you and all the best.
Rajeev Jain: Thank you
Moderator: Thank you very much. Next question is from the lien of Viral Shah from IIFL Securities. Please go ahead.
Viral Shah: Yes. Rajeev, I have two to three questions, if I may, I'll go one by one. So one is on the used car business, you mentioned that, of course, the delinquencies are still relatively higher and that's an area where you are cautious. A, first of all, what is drivin g this? Is this the pricing on the usual vehicle front if at all?
Secondly, on this line item only. In the executive summary expansion that you are looking at accelerating this business, but on the other hand, you are saying that you are cutting down the business over here. So just if you can help just reconcile that pi ece?
Rajeev Jain: New car is accelerating, used car is -- yes, Anup is answering.
Anup Saha: If you think of old car loan numbers, mix of new cars and used cars. And of the used car, there is a sale purchase and there is a refinance. What we are seeing is the elevated losses are mostly in the refinance, and that's where we have taken sharp cuts. N ew car remains quite strong, and that's comfortable. However, the margin being very tight, we do it a particular corridor only. So the major cuts have been on refinance. However, on sale purchase as well, we have done some cuts. But the pressure is on refinance. So in a way, that's how you should see this.
Rajeev Jain: Of the three blocks what Anup is saying, of the three blocks, two blocks have continued to be in growth mode. And in a way, refinance as cash out. If you think about it -- so -- and like all consumption loans is under pressure. So in a way the pattern is very consistent. The sale purchase is not a problem. Pricing was also not a pro blem.
New car portfolio is in pristine shape. Pricing, as Anup said, we have to run only particular volume in the business. We have created a mix between sale purchase, refinance and new car and leasing. These are the four blocks to deliver eventually at scale a 13% - 14% ROE in aggregate, we've created a particular portfolio model, which we have to maintain.

Viral Shah: Good. And Rajeev, on the line item that you have as a car loan of INR11,100 odd crores, that is a new car segment, right?
Rajeev Jain: No, it's both, both. It's all cars. So 5.5 Cr and 5.5 Cr, almost equal.
Viral Shah: Okay. So the increase in delinquencies probably would be a function of the used car business, not as much...
Rajeev Jain: It is that only. One, as Sandeep is saying it's mature. But even otherwise, I mean, the bounce rates in new car are 2% versus bounce rate in used car portfolio are 11% - 12%, exactly . You see the difference is 2% and 12%.
Viral Shah: Fair enough. Rajeev, my second question is on the LAP piece…
Rajeev Jain: Just clarifying to me 3% - 3.5% to a new car, not 2%. So that's to be fair.
Viral Shah: Fair enough. Rajeev, the second question is on the loan against property piece. I know you have marked it green and you flagged the pricing pressure. But if I look at the Stage 1 and 2 here, that is sequentially seems to be on a declining trajectory. Are you seeing any , say, signs of asset quality stress, bounce rates, flow rates…
Rajeev Jain: This is a case by case, it's not just case -- I mean one or two case slips leads to this. So you're talking loan against property, right . Yes, that number is -- This is consol number. I just want to clarify. This is consol. This includes BHFL and BFL. The number is also there. The BHFL number is if yo

u go to LAP, the INR10,821 crores is BHFL and -- so I mean, it's both. And that's the case by case view, don't have a risk view. It's a pricing view. In fact we proved business mainly as a result of pricing.
Viral Shah: Okay. And sir, basically, the deterioration that we are seeing, of course, it could be either in BHFL or BFL, but it's more of the more chunkier, not a more broad -based chain.
Rajeev Jain: No, no, no. Not at all.
Viral Shah: Okay. And Rajeev, on the gold loan front, if you can just say, give some color on our, I would say, not rapid growth because it's off a small base relatively, but the rapid expansion because this is coming from the context where a few players have flagged some difficulties in terms of adopting the regulatory guidelines or the comfort which regulator wants in terms of doing this business. So what is kind of driving this for you that it is working for you?
Rajeev Jain: No. As I've said in the past, we've converted this business into what we call a strategic business unit two years ago , we decided to run it like gold loan rather than run it like BFL. And that is a fundamental change that we made. We realize it's a gold loan business. It's a branch -based business, has to be run as a branch management business model and so on and so forth.

And we realize that this is -- it will be originated digitally and dispensed by branch. And the branch has to be an independent branch. As you can see, the branches, if you go to Panel 13 have moved from 537 last year same time to 827. And this quarter, we are ad ding -- so we'll cross 1,000 end of this year. So distribution expansion is the main driver to running it like a gold loan business rather than...

Anup Saha: Also, because we still are a small player, our focus is largely on Tier 3 and Tier 4. So we are not playing this in the Tier 1, Tier 2 because of a fair share point because in Tier 3, Tier 4, I get that advantage. And the cost is also low.

Rajeev Jain: So the point Anup is making is we are picking our -- given that there are much bigger players, there are banks, we are choosing wisely on where we want to compete. And so far, it's been successful in terms of helping us grow on one hand and maintain a comp etitive position from being a dominant share in that 3 -mile area.

Viral Shah: If you simplify the conversation.

Rajeev Jain: Yes.

Moderator: Thank you very much. Viral, I'll request you to come back for a follow -up question, please.

Viral Shah: Fair enough.

Moderator: Thank you. Next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: Hi, thank you for taking my questions. And thank you for the comprehensive comments on the asset quality. Can I focus on growth and NIMs next? So on growth, you've indicated in previous calls that you've tightened credit standards in a number of areas you pruned businesses. But the growth rate is pretty strong at 28%. With the outlook that you see now, how do you think about the AUM growth for the next kind of 12 months?

And then secondly, on NIMs -- could you go a little bit more into the push and pull factors within the quarter. You highlighted stable cost of funds, but if you can give some color on kind of mix shifts within assets and liabilities. And also, how do we t hink about NIMs -- in the absence of a rate cut, how do we think about NIMs going forward? Thank you.

Rajeev Jain: So next quarter would be the right time to provide the guidance, but fair enough, I mean, would respond if the question is asked. So I would say we remain focused on delivering our medium - term guidance. Given the current external environment, overall, I wo uld say we would like to grow on a consolidated basis, balance sheet should grow by 25%, maintain credit costs at below 2% and deliver a corridor of 22% - 23% profit growth as we venture into ne

xt year, next fiscal.

As I said, the only thing I would flag if the external environment doesn't deteriorate significantly. I think that's the only point I would make. We're a large business. There's no doubt about it. We'll end this year with INR420,000 -odd crores of balance sheet, would have 25% share of total credit in India.

But we think opportunity remains very large, and we have the capital, talent, franchise, distribution products to -- and if you enter at a two or five credit cost levels, then we have tailwinds. So that's really how we are looking at next fiscal to be.

Chintan Joshi: Got it. If it goes to 205 then you could even accelerate your growth rate looking into the next year?

Rajeev Jain: Yes. If credit comes into control, as I said, we've the franchise, we've the distribution, we've the product. So clearly, if credit comes into better control within our guardrails, we could, of course, accelerate. There's no question.

Chintan Joshi: Okay. And then on your -- on the question on NIM?

Sandeep Jain: Yes. So Chintan, very clearly, we don't see more than 4 - 5 basis points play on cost of fund in the next year, given that most of the borrowings of the current year would see it through the entire next year and given where the situation of the banking system is at this point of time. So the path to expect from b ank is not significant.

Incrementally, we have seen NCD money has already come 20 - 30 basis points cheaper than where it was , probably being available exactly two quarters back. So there is some benefit that is already coming in. We have seen peaking of cost of fund, we don't see more than 4 - 5 basis points play with or without rate cuts in the next year.

Chintan Joshi: Okay. And on the asset side?

Sandeep Jain: Asset side , we should be able to protect the NIM.
Chintan Joshi: Pricing pressure in some areas. Generally, like if you kind of think about both the mix and what headline rates are, like do you expect yielder advances to be very stable, of course, talking in absence of rate cuts just to keep it simple?
Sandeep Jain: Yes. So let me just repeat what Rajeev had said, I think, a couple of quarters back. There's a triangulation of growth, margin and profitability. We have very clear growth margin and, of course, risk, not profitability, but risk. Risk remains the fundamental most important point. If we see risk inching up, we don't hesitate in terms of cutting.
However, we don't want to grow without margins. So it's risk followed by margin followed by growth. So very clear that for us to remain sustainably profitable from a growth perspective, we would not have significant compromise on margins as we go into nex t year.

Rajeev Jain: And we think there remains reasonable opportunities. We as management have to continue to be at it, and we'll find the rightful triangulation.
Chintan Joshi: Okay, thank you.
Moderator: Thank you. Next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.
Shubhranshu Mishra: Hi thanks for this opportunities. The first one is around -- the first question almost every investor asks is, when do we convert to a bank, is it today, two years from now, three years from now, seven years from now, 10 years from now, a definite answer would be very helpful? Second is, Rajeev, your term in Marc h'25, how do we think of management transition after that? What would be your role post March'25?
Third is, with the core brand going off, there will be some degree of income pressure that we would see. What kind of fee income growth can we see from FY'25 levels and FY'26? And if you can speak of any new products and partnerships, which are underway? Thanks.
Rajeev Jain: Shubhranshu, there are five questions, on a lighter note. Let me

take the easier one first, on
succession, as I said, 15 month plan, 12 months into it. Matter will be reviewed by NRC of the Board by March. And subject to Board's decision, I intend to remain in BFL and hopefully rema in actively involved in shaping the strategy of BFL and its subsidiaries to drive short -term and medium -term goals is how I would look at future role, but that's subject to how the Board decides. I think that's point one.
Second question of yours was on bank. It's in public domain, we said we would like to remain a nonbank. RBI does not have -- also does not have a roadmap for nonbanks converting into banks. So both, then it works, that it would remain a nonbank, unless and until either one of us change our position. RBI cha nges its position or we change our position. So I think you should expect business as usual for the short to medium term. So we would not -- so I hope that clarifies.
And our ambition on the other hand, Shubhranshu , irrespective of bank or nonbank, would be - - to be a 200 millio n consumer company a share of 3% to 4% of total credit and 4% to 5% of retail credit in India, irrespective of whether we become a bank or a nonbank. So -- that's 2. Co - brand, I've already articulated, it will lead to incremental level dilution. So had we done more cards, we kept growing the franchise. So the impact is on incremental growth of it , rather than the numbers as they were currently stacked.
Four, in terms of -- and it is related to even previous question, NIMs, overall, we would -- we foresee stable -- mix stable pricing at this point in time, but this is depending on the external environment. But I think we have mostly come in range, I would say.
On the other hand, I would make a point to you that if the NIMs were to compress, given our FINAI strategy, we'll manage opex better. I think I just want to make that point from a direction standpoint as well. I think these were your questions. Did I miss anything, Shubhranshu?

Shubhranshu Mishra: Actually, I asked for the fee income growth in FY'26 and any new products or partnerships which we can look at going forward?
Rajeev Jain: Airtel partnership could be very large in the medium term, is what I would say. We are quite excited about it, as I said earlier, and both the companies are working together to create what I would call a , deep , comprehensive and a compliant partnership model, which is mutually beneficial. So I would say I'm personally quite excited about this partnership from a medium - term standpoint.
Fee income growth, I would say, given the environment, we would remain in the current state.

And we have remained sideways on how the flows you're seeing in Q2 and Q3 is how the number should remain.
Sandeep Jain: I think what Rajeev called out earlier with respect to FY'26, he said it's not the right time to comment about FY'26, but let me still make a point. 25% by and large guardrail on balance sheet growth, 20% to 23% profit growth. There are levers that we have in terms of opex, in terms of fee, etc. We'll orchestrate those levers and ensure that we deliver the outcome for the shareholders.
Moderator: Thank you very much. Shubhranshu, I'll request you to come back for a follow -up question, please.
Shubhranshu Mishra: Sure, thanks.
Moderator: Thank you. Next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.
Bharat Shah: Yeah hi, Rajeev.
Rajeev Jain: Hi.
Bharat Shah: As I observe over the last 15 years, our classic playbook has been use of technology to de -risk our decision -making and remove prejudices, use technology to deliver productivity. Also, we have constantly added new lines of lending so as to de -risk overall business plus give the buoyancy to the asset growth?
Along with that, we have always been very, very sharp in both asset and liability

management
to arrive at the right margin and profitability , be whatever may happen. But generally, we have very adroitly managed that. That coupled with razor sharp focus on the quality of the credit has ensured that our credit costs have remained muted. Our use of technology has given us cross - sell opportunity, plus operational costs being contained.

And all that has remained that ROAs have remained very healthy and prudent leverage is insured, the super b return on equity consistently. These playbook has worked out quite beautifully over the last 15 years. Only one note I wanted to get your view on , that Symphony, which has played out very well, where every element of the -- every note of the Symphony is combined together to give a rising crescendo?
In other words, asset growth leading to a little higher net interest symptom growth, cost containment gave a little higher profitability. Credit cost containment gave a further higher boost to the profits. But of late, generally, there is more linear equa tion rather than rising crescendo kind of an equation?
So I wanted to get your view on that. When are we , even just now Sandeep made a remark for the 26% - 25% plus asset growth in the balance sheet, profit growth at 22% - 23%. Instead of the 25% asset growth, when do we hear 28% and 30% growth in the bottom line?
Rajeev Jain: Observation is absolutely correct, number one. You are asking -- if I summarize your point, you're saying operating leverage in terms of profit growth -- converted into a metric of profit growth being stronger than AUM growth. That's really been the case f or the last 15 years.
So I will tell you one thing philosophically , nothing has changed , picture is remaining. I think that's one point I would make to you. Because there are like the Symphony world, many things have come to play from all directions, whether you look at – see in 17 years, we did not see a cycle. This is a mini cycle at work. I mean you look at various results of -- from a financial sector standpoint in the process, I would say, RBI was wise to flag it earlier.
So, it's a mini credit cycle at play. Given that it's a mini credit cycle at play, I would say as a firm, given we deal with all class of customers, given the size of the franchise, you run a decent job. I would not say a good job. I would say a decent job. S o, if you look at the stack today, in first 9 months of results, NIM growth is at 25% - 26%.
Let me take the numbers out for a moment. One metric which is out of Symphony , is credit costs Bharat bhai. And we are committed to fix it. So if you actually see for 9 months, NIM growth is 23%. Total income growth is 24%. Pre -provisioning profit growth, opex is 22%. So there is operating leverage in the process, preprovision opera ting profit is 26%. So Symphony is working till here, okay, 28% , 24%, 26%.
One part of the Symphony, which is at play is credit cost. As I said, as a prudent form, we have taken actions, but the portfolio has to churn. As that churns through, we as managers are clear , I agree with your point that -- and on top of that, you throw in the FINAI transformation that we want to do, which means the operating expense growth is to further be lower, which is really you are sitting in the front seat, I presented at the Investor Day.

And some of the investors ask later that look that means your growth should be higher. And I said my excel is same as your excel. We just deliver the goods as we deliver the goods , as we gain more confidence , it's here for the shareholders to benefit from. So , one part of the Symphony, not at play Bharat bhai rest to the Symphony continues to chug in right direction. I would say , 1 - 2 quarter s maximum, we have stabilized from increasingly stabilized. We deliver

-- I make the same point again that we deliver Q4 in terms of credit cost, we'll have a lot more confidence. But I'm just -- and I don't want to -- I'm not creating uncertainty. I repeat that point. I want to make sure the facts speak for themselves rather than promises. Does that make sense, Bharat?

Bharat Shah: Yes, absolutely. And I should have waited, but let me do it now. All through the 15 years in general it has played phenomenally. Whenever there have been attenuation, mostly it is due to the external environment and flux that we have experienced. But inter nally, we have played that symphony beautifully. It's just that “Dil Maange More” , so wishing when do I see a rising crescendo…

Rajeev Jain: We agree. And as businesses mature, it's expected of that. I have a different point of view. I mean, irrespective of BFL, I would make a point that mature businesses need to be more efficient, rather than inefficient, whereas it plays out differently. So on some days, we'll do a discussion on this.

Bharat Shah: Sure. Thank you. All the very best.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I'll now hand the conference over to Mr. Anuj Singla for closing comments.

Anuj Singla: Thank you, Rajeev. Thank you, Bajaj Finance team, for the opportunity again. Sir, any closing comments before we conclude?

Rajeev Jain: Thank you , is the only comment. We started board meeting 9 am. We just finished at 6.30, and we just got into this call. So , we can just breathe a little bit . Thank you so much. Thank you BofA for organizing this. And over to Q4. Thank you.

Moderator: Thank you very much. We conclude today's conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

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https://www.aboutbajajfinserv.com/finance -about -us
2 May 2025
Dear Sir/Madam,
Sub: Transcript of Conference Call held in respect of the Financial Results for the
quarter ended 3 1 March 202 5
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w
Clause 15 of Part A of Schedule III to the SEBI Listing Regulations
In furtherance of our letter dated 21 April 2025, the transcript of Q4 FY2025 investors
conference call held on 29 April 2025 at 6:30 p.m. IST has been uploaded on the website of
the Company at https://www.aboutbajajfinserv.com/finance-investor-relations-quarterly-
earnings-call .
Also, enclosed is the transcript (pdf) as attachment for ease of reference.
Kindly take the above on record.
Thanking you,
For Bajaj Finance Limited
R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune) THE MANAGER,
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MUMBAI - 400 001 THE MANAGER,
LISTING DEPARTMENT
NATIONAL STOCK EXCHANGE OF INDIA
LTD. EXCHANGE PLAZA, C -1. BLOCK G,
BANDRA - KURLA COMPLEX, BANDRA
(EAST) MUMBAI - 400 051
SCRIP CODE: 500034 SCRIP CODE: BAJFINANCE – EQ
Bajaj Finance Limited Q4 FY'25 Earnings Conference Call April 29, 2025 MANAGEMENT: MR. RAJEEV JAIN – VICE CHAIRMAN – BAJAJ FINANCE LIMITED MR. ANUP SAHA –MANAGING DIRECTOR – BAJAJ FINANCE LIMITED MR. SANDEEP JAIN – CHIEF OPERATING OFFICER AND CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED MODERATOR: MR. SUBRAMANIAN IYER– MORGAN STANLEY

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Moderator: Ladies and gentlemen, good evening and welcome to the Bajaj Finance Limited Q4 FY25 and it's co-hosted by Morgan Stanley. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately. For important disclosures, please see the Morgan Stanley disclosure website at www.morganstanley.com/researchdisclosures. Please note that this call and your questions will be recorded and may, in certain circumstances, be distributed to clients and or made publicly available. By participating in this event, you consent to such recording, distribution and publication. All participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. I'll now hand the conference over to Mr. Subramanian Iyer from Morgan Stanley. Thank you and over to you, sir. Subramanian Iyer: Thank you, Kenneth. Good evening, everyone. This is Subramanian Iyer from Morgan Stanley. Thank you very much for joining us for the Bajaj Finance Q4 FY25 earnings call. To discuss the results, I'm pleased to welcome Mr. Rajeev Jain, Vice Chairman Mr. Anup Saha, Managing Director, Mr. Sandeep Jain, COO and CFO and other senior members of the management team. On behalf of Morgan Stanley, I thank Bajaj Finance Management for giving us the opportunity to host you. I now invite Rajeev to take us through the key financial highlights for the quarter, post which we will open the floor for Q&A. Over to you Rajeev. Rajeev Jain: Thank you Subbu. Thank you, Morgan Stanley for hosting us. I have my colleagues here. I have lots to cover. I'll try and cover in next 15, 20 minutes. I'll refer to the investor deck which has been uploaded on the Bajaj Finance website. So let's just jump in. I'm on panel four. If I take a quarter view. In general, I would say good quarter on volume, AUM, OPEX and trade costs, PBT excluding the additional ECL provision, which I'll cover a little bit later in detail in further slides. For the additional ECL provision that we've taken for annual model redevelopment was up 18%. ROA and ROE were steady in line with the last three quarters. AUM growth came in at 18,618 crores to 416,661 crores. We booked record 10.7 million loans in Q4 and added 4.7 million new customers. Customer franchise stood a 101.82 million just tad below 102 million. And Bajaj Finserv App now crossed 70 million customers and has 70 and a half million customers. The FinAI transformation, which we talked about is progressing well and I'll provide some update on that as well. AUM grew 26%, OPEX to NTI for the quarter came in at 33.1% continues a downward trajectory which will continue in the next year as well. In PBT growth, there are two one-timers which I'm covering in a little bit of detail. So PBT came in with growth of 11% at 5,647 crores. PAT came in at a growth of 19%. And I'll give you the reconciliation for both these numbers in two slides later. PAT came in at 4,546 crores, a growth of 19%. ROE came in at 19.1% versus a year ago of 20.5% and net NPA came in at 44 basis points. Let's just now cover the one-timers. There are two one-timers in Q4. In Q4 company annually conducts and conducted again the refresh of its ECL model, which principally incorporates the last 12 months portfolio performance and forward-looking macro-outlook. Given the higher flow-forward rates that we've actually seen through the year and elevated rate costs in the last three quarters, the redevelopment of the ECL model resulted in an additional ECL provision of 359 crores. And primarily, rather mostly, in stage 1 assets. So that's one impact in the P&L in the credit cost line. The second impact is in the PAT line, which is that the company has re-evaluated its income tax position on deductibility of certain expenditures based on favorable court and tribunal orders in recent years. And accordingly, in the process the company has reversed 249 crores in t

ax expenses from previous years and 99 crores from the current year resulting in the overall tax reduction of 348 crores in Q4. So if you look at the table below, I'm on panel five, you'll principally see that expected credit loss reported is 2,329 which on a percentage of average AR is 2.33% adjusted for the one time ECL impact is 1,970 crores and is 1.97%. PBT is 5,647 crores which is 11% growth. But adjusted number for the ECL is actually, which is one time for the quarter, is really 11%, but I'm just giving you a

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directional input. It's up 18%. And PAT reported is 19% but it's actually up 17%. So these are the two one-timers, one in the credit cost line, another in the tax line. Okay. That's one update to provide. There are set of three corporate actions that the board has taken today. The board of directors today have recommended, subject to shareholder's approval of course, the following corporate actions: one is subdivision of face value shares from two rupees to one rupee. So we are doing a split. And the board of directors also recommended four fully-paid bonus shares for every one fully-paid equity share of the company. So it will virtually be a one is to ten impact on the number of shares and per share. The board of directors, subject to shareholder's approval... So that's one action or other two actions recommended by the board and subject to shareholder's approval. Point number two is, subject to shareholder's approval, a final dividend of 44 rupees per equity share has been recommended amounts to 18.88% of standalone profit excluding the exceptional gain. As you would recall, we had exceptional gain on account of dilution in BHFL on account of its listing. Excluding that exceptional gain, the board has recommended just a tad below 19%, which is really in line with our long-term dividend payout policy, a 19% dividend payout for the current year. Point number three, the board of directors today have approved distribution of a special interim dividend of 12 rupees per equity share from the exceptional gain which the company... Which resulted from the sale of investments in BHFL on account of IPO listing in September '24. These are three large actions and the bonus and special interim dividends principally reflect the strong financial position the company's in, the robust results and positive growth outlook. And since investors are on the call, we do want to acknowledge and express gratitude to all the investors and shareholders for their continued and unwavering trust and support. So these are three/four actions, corporate actions being recommended. The third one is not a recommendation, the first two are recommendations. Third one is within the ambit of the board to make a decision. Let's quickly go to some financial data. AUM, we talked about, AUM growth we talked about, new loans we talked about. 4.7 million loans for the quarter we talked about, customer franchise we talked about. In terms of geographic footprint, the company is now mostly done with the geographic footprint. That's why if you can see, we added only four new locations. Where addition is happening is in Gold Loan and MFI branches. The company opened 137 standalone Gold Loan branches in the quarter that went by and added 30 MFI branches. Overall, Gold Loan branches are now 964 and MFI branches are now 333. Liquidity buffer given the rally in the treasury markets, we've been adding a lot of long-term borrowing to our overall borrowing program stood at 18,754 growth, cost of funds came in at 7.99, a marginal increase of three basis points. Overall from a direction standpoint, we expect cost of funds to gradually go down to 7.75 to 7.85 by end of FY26. Anup will cover this point in a little bit more detail when we provide management assessment for FY26. Overall deposits book grew by 19% and on a consolidated basis came in at 20% for the fiscal March '25. In terms of, I'm on panel eight, NIM group 22%, net total income gr

ew 23%. OPEX to NII improved to 33.1. Employee headcounts today 64,000 people. Attrition rate came in at 16.8% for the year, marginally higher than last year. One important update to provide, which is point number 14, which is that the company onboarded 44 and a half thousand people from outsourced manpower to a fixed term contract employment model in certain of our businesses. We principally see that this action should lead to improvement in productivity and should also enhance our customer service standards. Let me now cover the important line item, which is credit costs, loan loss and provisions as I earlier said was 2,329 cores. We made an additional provision of 359 cores on account of model redevelopment and primarily on stage one assets. Adjusted for this, loan loss was 1,970 crores and would come in at 1.97%. In Q4 the net increase in stage two and stage three assets which are constantly going down if you actually map it over the last four quarters, stage two and stage three assets are constantly going down, came down to 289 crores. Stage two increase by 784 and stage three decreased by 495 crores. So even if you just look at this metric, we can say that there's some level of improvement on an ongoing basis, but right now quarter at a time. GNP and NPA came at 96

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basis points and 44 basis points against 85 basis points and 37 basis points. Continues to be amongst the lowest in the industry. Profitability consolidated pre-provision profit grew 24%. PBT and PAT have already talked about. ROA came in at 4.6%. ROE came in at 19.1% and capital adequacy was pretty strong at 21.93 of that tier one was 21.09. S&P has upgraded the company's standalone outlook to BBB minus positive from BBB minus stable. Just a small update that BFS which had warrants which were maturing, has exercised option and that money has come into the company. Just some additional updates in terms of senior management personnel appointments. Last year we started the process of Anup moving as DMD and three of our senior officers moved as Chief Operating Officers. In line with that direction, we've also taken a decision to create three new positions, given the growth and complexity of the firm, we've created three new Deputy CEO positions. They will also report to Anup. Manish Jain who runs our B2B business is being promoted to Deputy CEO. Siddhant Dadwal who runs our B2C and SME business is being promoted to Deputy CEO. And Harjeet who runs our Bharat Lending MFI and strategic partnerships business is being elevated to Deputy CEO. All of them will see expanded responsibilities which are outlined here. As a result of this change, we'll principally have a management council which will have a seven member team, three chief operating officers and three deputy CEOs who would help navigate the company and take it to greater heights. Just to the last point, which is that company, in the fourth quarter, in the quarter gone by took a 12% stake in a company called Protectt.ai investing 65 crores. It's a 5-year-old company and it's a cybersecurity product company. We are amongst a large customer of theirs. It specializes in mobile app security solutions. It would help us strengthen the company's technology roadmap in cybersecurity space. So that's on panel 10. Q4 BHFL very quickly you would already be aware, very good quarter for BHFL on AUM profit and asset quality. AUM grew 26%. GNPA came in at 29 basis points. PAT grew by 54% and ROA came in at 2.4%. So very good quarter for BHFL. Where PBC stood at 63.28% against the regulatory requirement, 60%. So on all metrics we had a very good quarter. Their AUM came in just a tad below 115,000 crore. OPEX to NIM continues to go down. PBT grew 48%. They had similar benefit in PBT and PAT on account of the direct-ability of certain expenditures, so there is some impact benefit here as well. In PBT to PAT, PAT grew by 54% and ROE came in at 12.1%. And then net NPA was at the 11 basis point. For

Finsec, good quarter for MTF, AUM, PBT, PAT and new customer addition. They delivered an overall MTF-AUM of 4,505 crores and added at least 71,000 customers in the current quarter. Overall franchise just today a tad below a million customers and MTF-AUM grew by 18%. Total income grew by 18% and PBT on a small base grew by 77% to 46 crores and PAT grew by 64% to 36 crores. Overall franchise today a tad below 1 million customers, grew by 40% year on year. Quickly on FY25 while you know it, I'll just cover one panel. I would call overall FY25 as a mixed year for us as a firm. Good year on volumes, AUM growth, customer acquisition, operating efficiency and pre-provisioning profit. Elevated credit costs resulted in subdued profit growth and that's why it is a mixed year. All the way up to credit costs, it's a good story. Including the credit cost, it's a mixed year story and we hope to change that as we get into FY26. On a full year basis, if you look at it, AUM I've talked about OPEX to NIM overall came in at 33.2. PBT came me at 22,080 crores a growth of 14%. PAT grew by 16% to 16,779 crores. ROE came in at 19.2 and net NPA came in at 44 basis points. Last year we started to provide a management assessment of what we see the year to be. At this juncture I would just hand over to Anup to take you through FY25 management assessment and FY26 management assessment for BFL. Anup Saha: Thank you Rajeev. Anup here. As Rajeev called out the... We have put up the management assessment last year and as a management say what we do and do what we say, this is the report card of our management assessment. The company delivered on its FY25 assessment on customer franchise- AUM growth, OPEX to NTI, ROA, GNPA and NNPA. Credit cost was a clear miss as per our assessment. The company took significant credit action through FY25 and is optimistic about its

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impact for P&L FY26. The company also saw margin compression of 49 bps versus the assessment we had given of 30 to 40 bps due to delay in interest rate cuts as compared to the internal projections. As a result, the profit growth was subdued. If we move to the next slide, in a way we have called out all the metric we spoke about. In terms of customer acquisition, we came in strong, 12 to 14 million we had called out. We did about 18.818 million that came strong. That's the green. AUM growth, 26 to 28 we came at 26%, that's the green. Net interest margin, which I called out as in way a red 49 bps in terms of the delayed rate cuts. OPEX to NTI we called out as 20 to 40 bps. We actually delivered 80 bps. I think that's significant progress there and I will talk about it as we get to FY26 on this specific metric. Credit cost we said 175 to 185. This is where we are not happy about it. That's 2.07. This is excluding the ECL cost. So to that, that's 2.07. Profitability we had just said that it'll be cautiously optimistic, it came at 16%, so that's the red. ROA 4.6 to 4.8, we remain in that corridor 4.6. And ROE to remain subdued due to surplus capital, that came at 19.1. That's the green. So ROA is green, ROE is green. GNPA we said less than 1.2. It came at 0.96. That's the green. Net NPA less than 0.4, came at 0.44, that's the green. But we are in a business of credit so we miss credit, we don't like it. Moving to next slide, this is essentially the management assessment we are providing for FY26. The customer franchise we remain confident to add 14 to 16 million customers in FY26. The AUM growth estimates of AUM remain at 24 to 25% aided by new lines of businesses launched in last two to three years. Net interest margin, the company has moderated pricing in select unsecured businesses. Cost of fund is estimated to go down by 10 to 15 bps in FY26. Overall we estimate NIM to remain stable in FY26. Fees and other income, the company has moderated its fees and charges and stopped its co-branded card business. The company estimates its fee and charges to grow by 13 to 15% in

FY26. OPEX to NTI is estimated to improve by 40 to 50 bps from our current level, and some of that we are talking about our AI progress. Our credit costs for FY26, the company estimates the loan loss to average AUF in the corridor of 185 to 195. Profitability, the company's optimistic from last year where he called out as cautiously optimistic. We're changing it to optimistic about profit growth in FY26. Return on asset is estimated to be in the range of 4.4 to 4.6. Return on equity given excess capital, ROE metric is estimated to be between 19 to 20% for FY26. Gross NPA, net NPA is estimated to remain lower than long-term guidance. FinAI, we have called this out in our LRS and the company will deploy AI use cases across revenue, cost, customer engagement, underwriting, productivity and controllership. The company estimates to deploy about a hundred AI applications in FY26 and we remain committed to the plan. Rajeev Jain: We can probably just go quickly to... We want to cover... Thanks Anup. I just want to cover, go to long term guardrails. Just two, three changes that we've made before we open up for questions. I'm on panel 33, there's a change here so it's important I anchor that. The only change you principally see here is return on assets, which used to be 4.6 to 4.8%. We're creating a little wider ROE range of 4.3 to 4.7%. And ROE from a long-term guidance standpoint, pre-COVID were 19 to 21. We went up from 21 to 23 and we think this is one of the last remaining residues of COVID that we think, on a long-term basis, will compound between 19 and 21%. So these are two changes from 4.6 to 4.8 versus 4.3, 4.7 and 21 and 23 to 19 to 21. This is a long-term/medium term guidance, we find there's improvement we will update that to the investors as well. I think that's mostly just quickly on to GNPA and NNPA last the provisioning panels rest of the slides are routine in nature. Cross-sell franchise continues to move strongly. It's at 64.45 million. That's on panel 57. 63.3% of the customers on an aggregate basis within a cross-sell level, so the opportunity remains very large. The PPC remains pretty strong. Just the last panel I'll cover on provisioning, This is, I'm on panel 65, across portfolios at the moment, on a year-on-year basis that you principally see the largest moment is in two wheeler and three wheeler finance, but partially you are to ignore that because the portfolio is winding down. Majority of the portfolio belongs to our previous captive financing business and that's going to wind-up more. That will fully wind down by March June '26. Otherwise on a year-on-year basis you see some level of movements here. 57 basis points to 59 basis points in GNPA for urban sales finance. Urban B2C loans 1.03 to 1.17 and so on and so forth.

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So that you see marginal movement on a year-on-year basis and adding up to aggregate number being 85 basis points GNPA to 96 basis points. And similar aggregate movement you see in NNPA from 37 to 44 basis points. That's really all we have to share, lots of change, lots of... And we are well into the new year. Happy to answer questions. I just want to make one point before I open it up to questions that from next quarter onwards, Anup, as the Managing Director will do the investor call. I'll of course always be there to assist him but we will trade places from Q1 onwards. Open to questions. Moderator: Thank you. We'll now begin the question and answer session. If you would like to ask a question please press star followed by one on your telephone keypad now. If you change your mind, please press star followed by two. When preparing to ask your question, please ensure your phone is unmuted locally. Before asking the question, please introduce yourself providing your name and your organization name. Please limit yourself to maximum of two questions so we can accommodate as many as possible. Ladies and gentlemen, we'll wait for a moment while the question queue assemb

les. Thank you. We'll now take our first question from Chintan Joshi from Autonomous. Chintan Joshi: Hey, good evening. I wanted to start with panel 24. Thank you for panel 23 and 24. It's great to see that you are constantly judging yourselves against what you expect. If I could go into a little bit more detail for FY26 starting with AUM and then following on into NIM. On AUM, if you give us a refresh of where do you think growth will be easier to find and where growth will be challenging to find over FY26, that would be helpful. And on NIM, quick data keeping, what is the exact NIM, reported NIM for the current quarter? And why should we not expect some NIM expansion with falling rates? That's what we would typically expect of you. What's different this time around? Thank you. Rajeev Jain: Yeah, so one is on AUM, another is on NIM. Anup Saha: Hi, this is Anup here. I think at a overall level we remain very small. As we call out our aggregate market share is only 2.14% of India's total credit. If I look at from a count share, that number goes to about seven, seven and a half percent. Across all businesses of ours, other than the B2B business where we have a 54% plus market share, our market share remains small. So as we plan to grow, I think the growth will come across all businesses. In addition to that, we are seeing very good business growth in some of our new businesses, in terms of the secured businesses we started in last few years. We are seeing very robust growth in Gold Loan business. So in totality as we look at growth, we want to ensure that we operate in the corridor of what we are led to in terms of all products. And limited market share I think allows us to continue growth. Our franchise addition this year also came at about 17, 18 million. As long as we continue to grow our new franchise and as long as we continue to stay on our acquire and cross-sell frame, I think growth is reasonably there. Coming to your second point on NIM, why should it not increase? I think we called out a couple of points. We did some moderation in terms of certain specific unsecured businesses which has... In terms of NIM, there has been some compression which we called out. But at the same time we believe the cost of funds benefits for the full year we would get about 10 to 15 bps benefit on that. Net net, we anticipate that our overall NIM will remain stable. That's the position at this stage in terms of NIM compression. If cost of fund goes down much more than what we have planned in our current scheme of things, this can show some improvement. But our current assessment it'll remain stable current. Chintan Joshi: Are you saying that you're being a little conservative on the cost of funds? Are you saying you're being a little conservative out here or is this fair? Rajeev Jain: Probably conservative to the extent of five, seven basis points just to be fair, in all candor. But it's not like it'll be instead of 10, 15, it could be 30, 40 basis points because we... Let me just step back and

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make a point that we are very clear that liquidity risk is not a risk that we take. So we lock in long-term liabilities as and when we can. So I think that, while it protects and strengthens the overall balance sheet also takes longer to pass through. So I think that's just one added point I want to make. We are confident of 10 to 15 basis points. It could go to 20, 25 basis points, but that's the farthest. But important point I want to make, which is written in the panel there is point number three. Four, sorry. That on fees and other income we have moderated our fees and charges and that's why you see the growth is forecasted with 13 to 15% here versus a 24 to 25% growth. This has a little higher impact than even the cost of fund impact. It's important I make that point or land that point, to be clear. But it's done in the interest of sustainability and longevity of the business and we think it's the right thing to do an

d that's why we've taken this action. Sandeep Jain: The thing that I understand that this question of- Chintan Joshi: And the reported name number. Sandeep Jain: Yeah, just one second. I understand that this question of foster fund will come from other guys as well, so let me give some more texture. I think in terms of overall mix of borrowings, about 75% of borrowings are fixed rate borrowings between FDs, NCDs that we raise, that's about 75% of borrowing. They are typically longer than our money that we're locked in. Repricing will take time. It'll happen slowly and gradually. Bank money we are hoping should get repriced much more quickly. Incrementally have we started seeing benefit in terms of NCD rate and CP rate? Answer is yes. We have seen softening in NCD rate by about 40, 45 basis points in the last about 30 days. CPs have also improved about 70, 80 basis points in the last 30 days. So things are moving in the right direction. RBI is also taking lots of actions in terms of ensuring abundant liquidity. We remain watchful of the situation. Idea is to lock in as much we can lock in to reduce burn in times to come. That is the important point that Rajeev was calling of liquidity risk management. As a result, we have taken a conservative number I would say. A 5, 10 basis point could still accrue to us if the environment continues to remain the way it is today. Chintan Joshi: And the reported NIM number? Sandeep Jain: We don't really report NIM number, but let me tell you that the quarter four NIM number is in fact lower than the full year NIM number for FY25 which means, as Anup made a point, NIM to be stable in FY26 there is some catch-up has to happen in the next year. So that's the only point that I would put on the table. Rajeev Jain: But we are confident that we'll catch up just to make the last point. Moderator: Thank you. We'll now take our second question from Abhishek Murarka from HSBC? Abhishek Muraka: Yeah. Hello, am I audible? Rajeev Jain: Yes, Abhishek. Abhishek Muraka: Hi. Hi Rajeev. Hi everyone. So my question is on this ECL model refresh, what kind of history do you take? Do you take five years, six years and why has there been additional provision? Is it that FY21 or '22, or '20 and '21, which were higher credit costs years, those have got added and next year's refresh we'll probably see some exclusion there? So if you can give some sense that will be useful. Sandeep Jain: That's a fair question. Abhishek, ECL, as you would know is a complicated modeling process. Stage one typically look at 12 months performance and 12 months forward-looking view in terms of provisioning. As Rajeev was communicating as part of opening remarks, we have seen elevated credit costs in the last three quarters particularly. Quarter four last year was okay, quarter one,

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quarter two, quarter three was elevated credit cost. As we ingest this information into the ECL model building, ECL model assumes that the past is reflection of future. As a result it throws up a higher number of provision, a higher amount of provisioning requirements for stage one. Your point is correct. If things were to improve in FY26, should one expect releases to come in future? Answer is yes. But as far as model processing we do look at this information. Point number one. Point number two, we do look at longer-term information which is five, seven, eight-year horizon information. Mainly for the purpose of stage two and stage three, which is for evaluating PD, LGDs and EADs for those portfolios. As you'll notice, stage two has seen marginal increase in the coverage ratio. That probably is an indication of recent digitization that everyone has witnessed. That's point number two. Point number three, stage three seems to be holding up quite well because stage three only has one value element, which is LGD because the customer has gone into delinquency PD and EAD is already a hundred percent. The only element that can move is LGD. Gi

ven that we look at longer term averages for casting the LGD number, it has not shown any kind of significant worsening. As a result, stage three continues to hold well. One and two is where we have to do catch, up more catch up in stage one than stage two Rajeev Jain: And aggregate standardized provision Sandeep Jain: Yeah, aggregate standardized provision as a result, which used to be 69 basis point until last quarter has gone up to 77 basis point. If you were to do a map, majority of the provisioning impact is coming in stage one itself. Abhishek Muraka: Right. So basically for stage one and stage two you have taken a short, especially stage one, you have taken a shorter period the last three quarters impact is what is getting projected forward. If I have to understand it. Sandeep Jain: Yes. The bias is more of last one year performance in building the stage one provision. Anup Saha: I think other point is we do an annual refresh of the model to that extent catch up. Sandeep Jain: And if I were to do a theoretical discussion Abhishek, this could be a situation for considering underlay. But as a prudent management, prudent company who would not discuss about underlays, as a result we have allowed the model to flow a higher provisioning for stage one. We are more than happy to consume it in the current quarter. Abhishek Muraka: Okay, understood. And if I back calculate your write off works out to around 1,700 crores, is that correct for the quarter? Ball park. Sandeep Jain: That number is not necessarily correct. My calculation says that the number is 2,100 crores for the quarter. Abhishek Muraka: Okay, 2,100. Okay. All right and then finally some commentary on growth in rural B2C and some of the... Yeah, basically rural B2C. How do you see that? I think in the 2Q call you had said that if things go fine for the next couple of quarters then that portfolio could probably grow at 20, 25% in FY26. So do you see that kind of outlook now and are you comfortable in that segment going forward? Sandeep Jain: Let me just provide one view on that. I think that's an important input and then Anup will give a view on FY26. As we did the redevelopment of the models. In fact the rural personal business didn't require any additional provisioning because as we have started seeing some working in the portfolio in the last year, which is FY24, the catch up provisioning was already taken in FY24 itself. So the entire impact of 359 crore that we're discussing has no contribution coming from rural B2C business just to place it for ease of reference and Anup will give guidance on FY26.

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Anup Saha: So we had called out the rural B2C business two years back, used to grow at about 36%. We did see some stress in the portfolio. We took series of actions. It came down to about 5% growth rate. From there on it has started growing back very nicely. The other thing we are seeing is the early vintage 3 MOB 6 MOB in rural B2C is improving. As Sandeep spoke about, even the ECL that is also clearly calling out, we remain very confident from here to grow the rural B2C business. We also significantly strengthened our debt management capability in rural. And as I say, the point around the risk point of rural B2C growing back all over again, it is also backed by our rural B2B business remain very, very rock solid during the period. So our incremental customer base there has grown. So that gives us a fair bit of confidence on growing rural B2B from here on. Rajeev Jain: Just one added point that Anup made, I would like to reinforce, that principally across the firm there are only three key metrics from a risk standpoint that we are really looking for apart from every other metric is how is the color of the book changing that? How is three months on books, six months on books, nine months on books, and 12 months on books changing, because we are a fast churning book. The BFL standalone on book churns in 18, 19 months. That's really been the...

That's how the book churns. As long as the three MOB six MOB and nine MOB and 12 MOB change, which we are watching since August/September very closely, and the metrics that we are looking at is pre-COVID. In certain instances lower than pre-COVID. So it's just a matter of churning the book and we should look at some time in the current fiscal losses to be significantly lower. So I thought since Anup made the point on vintage metrics, I'll just answered that point. Abhishek Muraka:

Sure, sure. Thanks so much Rajeev, Anup and Sandeep for taking that and I'd also like to congratulate Manish, Siddhant and Harjeet for the appointment as Deputy CEOs. So congratulations and thanks a lot for taking my questions. Rajeev Jain: Thanks Abhishek. Thank you. Moderator: Thank you. We'll now have our next question from Kunal Shah from Citigroup. And as a reminder to please limit yourself to a maximum one question so we can accommodate as many as possible. Your line is now open. Thank you. Kunal Shah: Yeah, yeah. So the question was on growth particularly 24 to 25 odd percent. It seems like some change in stance till last time we were pretty confident of achieving the long-term guidance of 25% plus. So no doubt I think you indicated in terms of customer franchise, new businesses, but then why particularly 24 - 25% growth for the next year, which are the segments wherein you expect some kind of a pullback on the growth side Rajeev Jain: On a lighter way I'll just make a point at 420,000, a 25% growth would mean 105,000 crore net addition. I think it'll be for the first time it'll draw a hundred thousand crore net addition but I'll let Anup answer to the rest. Anup Saha: I think the point around growth. Kunal Shah: We are still small in terms of the market share. Sandeep Jain: Agree. Good, good point. Kunal Shah: Yeah, so you said market share is still 2.14, which gives you more confidence? Yeah, Anup Saha: No, no I think the point around we still remain very small in terms of our contribution to the overall credit. At a design level we grow at about two point X of nominal GDP and about two times of the growth of the industry. But for us very clearly, if I had to make a choice between growth, credit and profitability, we are a risk business. So the point we are not happy with this year as we called out that credit did not play out to our appetite. So our core objective at this stage is first to get to the credit cost corridor, which we have laid out to that. The early vintages are looking good. We have significantly fortified our debt management capability. We get there first. I think that's the first thing.

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Once we get there, we are not saying it will not grow. We see opportunity, we will seize it. We are also utilizing this time as we called out the FinAI strategy is to significantly get operating leverage in terms of our cost structures. Because I think that's very important to reshape the P&L that focus on the cost to income ratio, bring it down, do the transformation between the FIN components of it and the AI component and then restart the growth. Because with those metrics the growth would look a little very different than in the current. So I think stay with the credit first, get the OPEX to NTI sharpened through AI transformation and we see growth we will take it. I think that's the stand we are taking. Is that a little different than... But as Rajeev said at the size 25% is definitely looks to be a rightful long-term sustainable growth Kunal Shah: Can put in one more question? Rajeev Jain: Sorry. Sorry. We get credit and control, as Anup said, there's sufficient capital, sufficient liquidity, we're a fully diversified book. There are lots of new businesses. So at one level I agree opportunities outweigh risk to the 24, 25% growth. But I think, as Anup said, we are a credit business. We want to make sure credit first and then growth. And we'll fix that. We are pretty confident of that. It's just a matter o

f quarter here or quarter there. Kunal Shah: Yeah, so when you give that credit cost guidance of 1.85 to 1.95, you still will believe it is relatively higher to grow at more than 25-odd%? Or is it like the pool in stage two which has got increased in this quarter? That's something which is worrying you in terms of particular rise in seasonally strong Q4. Is that the reason? Rajeev Jain: Yeah, the book has to churn fully, Kunal, that's point number one. I would foresee that by third or fourth quarter we should be lower than... I would forecast in a reasonable manner lower than our pre-COVID levels. So that's unless and until something dramatically changes in the macro environment over which we have limited control. Otherwise, I foresee third and the fourth quarter the numbers should look lower than our pre-COVID numbers. So it take that as a- Kunal Shah: On credit cost? Rajeev Jain: Yes, yes, on credit costs. Take that as an assessment at this point in time and we go with the flow Anup Saha: And as we make the point, a couple of points you already spoke about secured the set of actions, even the three PL action, which you have taken in last few quarters, we are now back to pre-COVID level on three PL which had gone up to 12% is back to 6, 7%. In rural it is down to two and a half, 3%. So tremendous actions, those are showing benefits. The other is two wheeler and three wheeler which is the captive business because we stopped incremental doing business. It's a winding down book. If you look at the credit cost, a large part of the credit cost was sitting there. The incremental two wheeler business open architecture, the texture of that business is very different. Rajeev Jain: It's half the loss list. Anup Saha: Yeah, it's half the loss list because it's a mix of bikes and scooters and 50% of that is scooters. Kunal Shah: Got it. Got it. Okay, thanks. Thanks. That clarifies and all the rest. Yeah. Moderator: Thank you. We have our next question from Viral Shah from IFL Securities. Viral Shah: Hello? Rajeev Jain: Yeah, go ahead. Go ahead. Viral Shah: Hello? Rajeev Jain: Go ahead we can hear you.

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Viral Shah: Thank you for the opportunity. Yeah, thank you for the opportunity. Rajeev, just two questions. I would say one, when I look at the asset quality panels on the page 69 onwards, in all the panels, the amber sign remains where it is in the previous quarter. And when I see say the stage two and the stage three, that has been still inching up. So basically what gives us this confidence that say, next year it's going to be much better? Apart from the fact that maybe there may be some ECL release as you mentioned towards the end of the year. Is there the early trends that you're seeing, if you can give some bit more color on that. Sandeep Jain: Yeah, I didn't say ECL release. I said if things were improved significantly, maybe the model can show ECL release number as well. That's not certain. The model has to show that number in the next year as we deliver FY26. So that's number one. You had a point on this, Rajeev. Rajeev Jain: So look principally what gives us confidence is what are the early vintages. Say we churn, as I said, the book is 18, 19 months. We are seven, eight months into the tightening that we started to do three MOBs, six MOBs, nine MOBs are beginning to look. We don't have 12 MOBs because we started to take action from August, we still don't have 12 MOBs. Those are being tightened to levels, as I said, across the board, across portfolios to levels lower than even pre-COVID. So that's really what is giving us the confidence. And what is giving us the confidence means I am very confident because it's structurally lower or better customer that we are acquiring now. And the leverage levels of those customers are significantly lower. So that's what is giving us the confidence. That's why I said I'll connect this dot to the earlier point that Kunal was asking that as we get that into control, maybe the growth could be higher. But this is the priority at this point in time, which is credit. Sandeep Jain: And if you look at current year in terms of loss to average AR yeah, just one point, as Rajeev called out 2.07% is the number for full year. Quarter four actually came at 197 adjusting for that additional provision on ECL model development, it came in at 197. That's one good sign that we are seeing that after some quarter a few quarters we have started seeing the number go down. That's point number one. Point number two, the major issue that we faced, and that's true for industry as well in general is across unsecured businesses. More personal loan than anything else. The auto finance business is two wheeler, three wheeler financing business, which is in run down mode for us. Used car financing we have significant action we have taken. I think we have discussed that in the previous call as well, that nearly one third the business we had let go in the used car financing business to keep portfolio under control. The kind of action that we have taken in terms of re-pivoting the PLCS business, both rural and urban, increasing the affordability of EMI for the customer, lowering the ticket size and other actions across all businesses. Lowering exposure for customer should definitely have a bearing in terms of how we get the great outcome for the next year. That's just an additional point. Viral Shah: Got it. Very clear. And Sandeep one more for you. So when you say that the NIMs are going to be kind of stable, you highlighted the point that the exit quarter NIMs are materially lower. And on a YY basis, when I look at next year, we will also have the hit from the Bajaj housing kind of portfolio flowing through at a consol level. So on a YoY basis, are we confident that the NIMs will be flat? Sandeep Jain: So I did make a point saying that if 10, 15 basis points of cost of fund improvement comes through, we should be able to maintain NIM at the current level. If it doesn't flow through or the flow through is higher, the numbers can be marginally plus and minus. At this point in time. The bias towards more benefit in terms of cost of fund given the kind of improvement that we have seen in the money market for us and for the industry as well. So keeping that view in mind, it's more of positive at this point in time, but we'll see quarter at a time. Viral Shah: And just a clarification, the rate, the cost of fund benefit that you are guiding for, you're assuming what, a 75 basis points of rate cuts or a hundred basis points? Sandeep Jain: So I'm looking at current cost of an environment where the yields have come down considerably in the last 30 days across NCDs as well as commercial paper market. Commercial paper contribution though is low. I think that's the only thing that I'm confident in at this point in time. I'm assuming that

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the liquidity environment will remain positive, which is where I think RBI has been taking lots of actions in the last couple of months. Keeping that in mind, there's a positive bias towards cost of fund. Rajeev Jain: No, but since February, which is when our planning cycle happens, we are baked in so far three cuts. Now if it's higher to the earlier point, depending on which way the economy is headed and depending on actions by Reserve Bank, we have so far baked in front-loaded rate cuts till June. Viral Shah: Got it. Makes sense. Thank you very much for taking all my questions and all the best team. Moderator: Thank you. We'll now take our next questions from Kuntal Shah from Auckland Capital. Please go ahead. Rajeev Jain: Yes, Kuntal? We cannot hear. Moderator: Hello, Kuntal, your line is open. Please check if you have muted yourself. Thank you. Kuntal Shah: Hi, can you hear me? Hello? Rajeev Jain: We can hear you. Kuntal Shah: Can you hear me? Rajeev Jain: Yeah, we can hear you. Kuntal Shah: Yeah, sorry. Yeah, when I look at console long-term guidance you gave last quarter

and this quarter, AUM growth remains same, profit growth remains same, GNPA, NNPA, everything, all corridors remain same. So how do you internalize ROA corridor widening and return on equity corridor widening? Because even if you account for dilution of Bajaj housing finance, 14 odd thousand crore, how do you explain this? Sandeep Jain: Yeah, so Kuntal, if you look at the current year's ROAs it has a range between 4.5 to 4.6. So the 4.0 - 4.7 corridor does articulate that very clearly. That's point number one. In terms of ROEs, we are mindful the fact that in the last, almost more than a year now, we have been sitting on surplus or additional capital. We did a QIP of nearly 10,000 crores. We had inflows that came in of six and a half thousand crores upon listing of BHFL on console basis. We are mindful the fact that surplus capital does put pressure on ROE. Adjusted for that the number would look a little better. But keeping that in mind for the medium term basis, the guidance is 19 to 21% kind of ROE. And the immediate next year view is a 19, 20% corridor, which I think Anup highlighted during his assessment for FY26. Rajeev Jain: Sorry. Over the next two years we still have to bring our stake down from a regulatory requirement standpoint down to 75% in BHFL. Sandeep Jain: That will bring more capital. Rajeev Jain: Yeah. That will create more capital. So that's why we thought it'll be prudent on our part to outline to shareholders that as a result of significantly surplus capital, we foresee long-term guidance to change from 21, 22 to 19, 20. To the point, and we've done the math, if you knock off on both sides, the excess capital and excess and the cost of interest because interest comes in raw material in our business, that number will probably be 60, 70 basis points. Sandeep Jain: 70 to 90 basis points. Rajeev Jain: 70 to 90 basis points. So knock off both sides, take the excess capital, take his cost away and we would see instead of 19.1%, 19.7, 19.8% ROE.

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Kuntal Shah: Any plans to use this excess capital? Rajeev Jain: Sorry? Kuntal Shah: Any plans to use this excess capital Rajeev Jain: Plan principally, we generally like to build businesses. That's our orientation as a firm. We continue to remain organic in nature, but we continue to explore. Unfortunately, even as we explore, when as operating managers, we come to a conclusion that if we can take three years to build that size of business, why not build? So the bias remains towards building than buying. So unless and until an event happens, which we'll announce to the investors before we do it, I would say organic is our way to build business. Kuntal Shah: Thank you and all the best. Rajeev Jain: Of course we're giving dividend today. So I think that's another way to improve ROE. Sandeep Jain: But that's from the exceptional gains. Rajeev Jain: Yeah, that's from the gains but just in a lighter way. Kuntal Shah: Thank you and all the best. Moderator: Thank you. We'll now take our last question from Vinay Singh from MK Global. You may go ahead. Vinay Singh: Yeah, thanks for the opportunity. Just again, going back to the credit cost guidance, that is 1.85 to 1.95%. Slightly higher than what you had initially guided for FY25. And considering the fact, if I look versus pre-COVID, you have a material composition coming from BHFL on mortgage, that kind of a very low credit cost. So if there is, in this five years, this structural shift that, okay, as you go more and more to grow your customer franchisee somewhere there kind of you're going down the credit cost. What's happening here? I mean despite mortgages merely reaching 30% of your AUM. The credit cost, what was the pre-COVID level vis a vis now what you are kind of forecasting that's on the higher side. So adjusted for the mortgage probably is materially higher. So what is explaining that position? Rajeev Jain: I just want to correct you that consolidation, even if you look at five years ago, mor

tgages are 31% of the book even today it's 31% of the book. Actually you would find that over five years. And going back to earlier questions that people were asking that then we were saying that opportunity remains very large, which is true. That all lines of our businesses have continued to compound at the same level. So just to correct that, even '19, '20, I distinctly remember the number 31% mortgages were. Today also it's at 31.1%. So mix has not moved much at all, actually. I just want to make the point and then I will hand it over to Anup to add to it. Anup Saha: No, I think as Rajeev clearly called out when you're calling out the number for full year basis, we do believe we are still not fully out of the woods. In terms of certain businesses like urban personal loan because the early vintages are showing fine, but we still have a portfolio which has to mature the earlier portfolio. So that's one part of it. I think the second, as we continue to act on it, the numbers, the second half of the year, we believe will come in much better than the full year average what we have called out. So in way, it's a gradual, quarter on quarter, we'll see the benefits which will start coming in. In terms of mix change. We are not expected to dramatically change the mix at all because what we have called out, even in our LRS, the segment mix, which we run between various businesses at most can shift one, one and a half percent sideways. So that's not going to change that. So I think the other big thing, which I also called out is the captive two-wheeler and three-wheeler. As that book starts
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winding down, we will start seeing benefits of that because we did see elevated credit costs in some of those portfolios as well. Rajeev Jain: It used to be 5% of the book and 12, 14% of the credit costs structurally over years. And that book is in a wind down mode very clearly. It's down to 10,000 crores now from 17,000 crores a year ago, 12,000 crores. Anup Saha: 12,000 crores down to 4,500. Rajeev Jain: Four and a half thousand by March '26, the captive book. So that's one big change that will happen and it's accretive from a credit cost standpoint. Vinay Singh: Yeah. Okay. Thank you. Moderator: Thank you. That was the last question we can take today. And I would now like to hand the conference over to Mr. Subramanian Iyer for any closing remarks. Thank you. Subramanian Iyer: Thank you. Rajeev. Anup, Sandeep and Bajaj Finance Team. Rajeev, Anup, do you want to make any closing comments? Rajeev Jain: No, we've answered all the questions. Thank you so much for listening in. Thank you. Anup Saha: Thank you. Rajeev Jain: Thank you, Subbu. Thank you Morgan Stanley. Subramanian Iyer: Thank you. Moderator: Thank you. On behalf of Morgan Stanley, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

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https://www.aboutbajajfinserv.com/finance -about -us
28 July 2025
Dear Sir/Madam,
Sub: Transcript of Conference Call held in respect of the Financial Results for the
quarter ended 3 0 June 202 5
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w
Clause 15 of Part A of Schedule III to the SEBI Listing Regulations
In furtherance of our letter dated 04 July 2025, the transcript of Q1 FY2026 investors
conference call held on 24 J uly 2025 at 6:30 p.m. IST has been uploaded on the website of
the Company at Bajaj Finance Investor Relations –Quarterly Earnings Call
Also, enclosed is the transcript (pdf) as attachment for ease of reference.
Kindly take the above on record.
Thanking you,
For Bajaj Finance Limited
R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
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Bajaj Finance Limited
Q1 FY'26 Earnings Conference Call
July 24, 2025

MANAGEMENT : MR. RAJEEV JAIN – VICE CHAIRMAN AND MANAGING
DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF FINANCIAL OFFICER –
BAJAJ FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings
Conference C all for Bajaj Finance Limited. As a reminder, all participant lines will

be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you, and over to you, sir.

Ajit Kumar : Thank you, Dorw in. Good evening, everyone. This is Ajit Kumar from JM Financial. Welcome to 1Q FY '26 Earnings Conference Call of Bajaj Finance Limited -- on behalf of JM Financial, I would like to thank the management of Bajaj Finance for giving us thi s opportunity to host the call.

From a management team today, we have Mr. Rajeev Jain, Vice Chairman and Managing Director; Mr. Sandeep Jain, Chief Operating Officer and Chief Financial Officer; and other senior members of the management team. We will have opening comments from the management team post which we will open the floor for Q&A.

With that, I would like to transfer the call to Rajeev sir for his opening remarks. Over to you, sir.

Rajeev Jain: Thank you. Thank you, Ajit. Thank you, JM, for hosting this call. Good evening, all. I have with me my colleagues here, I have the 3 Deputy CEOs. I have the 2 Chief Operating Officer here, and the CRO and I have a few of my Presidents and colleagues. I referred to the certain sections of the investor deck, which has been uploaded on the website. I'll be referring to that. Let's jump right over.

Let's go to Page 4. That's on quarter gone by. Overall, I would say, it's a good start to the year, a good quarter on volume, assets under management, opex , profitability, ROA and ROE. Credit costs still remained elevated in Q1 as well. Overall, AUM growth came in at INR 24,789 crores to INR 4,41,450 crores. We booked a record 13.5 million loans and added 4.7 million new customers in Q1. Customer franchise stood at 106.5 million.

As we've just outlined in the AGM as well, we had record 650 -700 people in the AGM today. I think in terms of physical presence that we believe that FY '26 will be a defining year for FinAI transformation strategy that we outlined in December or January quarter to the shareholders. And FinAI capabilities I can just tell you have started to go live across the company, both below the iceberg and soon on the digital assets as well you'll start to see it.

Right back to financial numbers. AUM grew 25%. Opex to total income came in at 32.7%. PBT grew 21%. PAT grew 22% and ROE came in at 19% and net NPA came in at 50 basis points. Just some quick points on Page 5.

Geographic footprint stood at I'll cover points that I've not covered 1 to 3 are covered, 4 are covered, 5 are covered. 6 geographic footprints stood at 4,192 locations. Gold loan branches stood at 1,254 locations and MFI dedicated branches are now 337 branches. We added 85 stand -alone gold loan branches in Q1. Active distribution footprint is at just a tad below 240,000 distribution points.

Important point to cover is liquidity and cost of funds liquidity buffer stood at just a tad below INR 15,000 crores as of 30th June. Cost of funds came in at 7.79%, an improvement of -- from a sequential standpoint of 20 basis points. In FY '26, overall, we estimate cost of funds to come in at 760 to 765. This is not taking into account any further cuts that may come at this point in time.

However on the other hand, what you will see correspondingly is that the deposit contribution of the balance sheet may go down to 17 -odd percent from where it was 20% to at this point in time in 19%, it will probably go down to between 15% to 16%. It's possible depending on the growth momentum

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So for the next 12 months, there will be a higher reliance on NCD, ECB and bank borrowings to ensure we deliver rightful cost of funds to the business. On Panel 6, NIM grew 22%, net total income grew 21%. Opex to total income I've talked about. We started to deploy AI capabilities to improve productivity. Employee headcount stood at 65 ,528 and employee attrition in quarter was 16.9%, a little higher than what it was on a year -on-year basis. It's higher by 100 basis points.

The first term contract staff stood at 44,335. Credit cost, let me highlight there are 5 points I do want to cover all of them here that at f irm level, what we see is that consumer leverage continues to remain an area of concern. Company across lines of businesses continues to take several actions across all products to reduce contribution of customers with multiple loans. That's the single univariate pain point that you have identified, which has significant high bearings on loan loss and provisions.

So business by business, since January, we have been pruning in most businesses, the action where what we would have wanted to do, except in MSME, which is still work in progress. Loan losses still grew by 26%, came in at 2.0 2% in terms of loan loss to average AU F. Credit costs were principally elevated in 2 and 3 -wheeler business, which is a winding down business. That's a good news. It is the captive book has given us a lot of trouble or continues to give a trouble. It will wind down to virtually 3,500 - 4,000 by March '26.

MSME business has shown some strains in February. So it's come in a little too suddenly. We've taken a whole host of actions to prune business. It's likely that both these businesses will grow a lot more slowly in the current year, starting second quarter.
In point number 20 is important, the overall Stage 2 and Stage 3 assets came in at INR 878 crores, you to keep that in mind that of that Stage 2 assets increased by INR 324 crores, primarily on account of these MSME customers to whom to mitigate their short -term cash flow issues and to assist them, we have begun to offer them restructuring options. So close to INR 219 crores of customers were assisted with the restructuring option who were standard account, but who are offered restructuring and relevant provision was taken on these clients.
On Panel 7, we are, as I said, except MSME, the metric that we're looking at is not current portfolio. The metric that we're looking at is what is the 3 MOB, 6 MOB, 9 MOB and 12 MOB of the business since January, February this year. Now if we see improvement, the book itself churns fully, the behavialized maturity of the consolidated book is 22 months.
The stand -alone book is 19 -odd months. If the early vintage is improved, then it's just a matter of time, everything will improve. So 3 MOB and 6 MOB we started to see and the principal track there is go back to pre -COVID levels. That's a high bar that we have set for ourselves, we will get there. GNPA, NNPA stood at 1.03% and 0.5%. Profitability, I've talked about ROA, I've talked about, ROE, I've talked about.
Capital adequacy remains strong. Tier 1 capital was at 21.19%.
Just two more updates before I go to a few panels later, was the conversion of bonus and split that happened on 16 June 2025. As you're aware, we've done an announcement as well that my colleague, Anup, tendered his resignation as MD and Director of BFL for personal reasons.
And Board and upon the recommendation of NRC have noted and accepted the resignation, and we wish to place on record our sincere appreciation for Anup's valuable contribution during his tenure. He spent 7.5 years with the firm and extend our best wishes for his future endeavour. To ensure continuity, unfortunately, I had said last time that last quarter that this is my last call, but to ensure continuity and to ensure stability of the firm, I've had to come back

as in an operating role.
I don't want any ambiguity on this. It is till March'28. Closer to that, we'll take a view on what is the succession planning. Of course, Board has asked us to create a succession plan, but because we don't want any ambiguity, given the growing size

and complexity of the firm, you will get to know about any change only closer to March'28.
Quickly for BHFL, balanced quarter. The results were published yesterday, good quarter for them. But there's intense competitive activity, I'm sure A tul has talked about it. I 'll just cover only this panel and intense community activity is leading to pressure on volumes and leading to pressure on attrition. So this level of intense attrition, we have not experienced in building the mortgage business out for the last 15 years.
Having said that, I think company did a commendable job. PAT grew 21% and delivered ROA of 2.3%, in line with Q1 FY'25 and asset quality remained healthy.
Quickly on BFSL A small company, but continues to make good progress, good quarter in AUM, PAT and new customer addition, delivered AUM of INR 6,100 crores. PAT grew 37% and the added 7 7,000 customers franchise in Q1 . So they continue to remain steadfast. We are on course to last year, the company grew in terms of its 4 -year old company.
It should start to come into being as we travel this year. Let's go to, I'm on Panel 29. These are overall financials. I think I've covered everything here. There is one

question that you may have, which is on the other line item, which looks on a year -on-year basis, 23% lower. It's mainly last year same time, we had sold, and they had done an NPS sale. This quarter, we have not done any. So that's the reason you're seeing that number go down. Sandeep, any other number that you want to capture?
Sandeep Jain: So that o ther number is the net gain on fair value change, where we have INR 79 crores of additional gain on account of MTM. That's one thing. And second, we found quarter 1 to be very, very attractive given that rates were being cut to park money in mutual funds. All the gains on mutual fund sits in this particular line, versus sitting in the interest income line when we park money in government securities. As a result, you may see some level of small compression in margin. It's mainly on account of this.
Rajeev Jain: Adjusted for this, the number is flat on a sequential quarter basis. I thought I'll just make that point. Rest all the numbers have been talked about. I've gone to Panel 41. There's a customer franchise. We continue to make good progress I think the top of the funnel is extremely important as long as we continue to originate customers through the road even at this size.
I think we have the product range to be able to meet all the financial services in each of the consumer. The top of the funnel continues to remain pretty active, ensuring that we have a strong road map ahead of us. I've jumped to Panel 46. This is the

consolidated AUM composition. In general, on a year -on-year basis, you hardly see any movement.
We have just organized this in the order of high to low. So mortgage is the largest portfolio followed by urban B2C , followed by MSME. So this is a new frame that you will see. It's in the order of highest to lowest, highest in mortgages and MFI is the lowest at point at 0.4% of the balance sheet. Gold loans is now 2.3% of the balance sheet and the largest balance sheet on a consolidated basis remains mortgages at just a tad below 31%.
On a year -on-year basis, other than two -wheeler and three -wheeler, which you're seeing degrowing, there is no composition change in the balance sheet on a year-on-year basis. Actually, if it took even a 3 -year view, other than two -wheeler and three -wheeler, which is as a result of winding down, you will not see too much of a change. Maybe 2 -odd percent during this period, the ba

lance sheet as more than double.
I'm on panel 49. You see GNPA moving marginally on both sides, but the biggest movement is in 2 -wheeler and 3 -wheeler. As you can see, on a year -on-year basis, moved from 3.4% to 6.38%. It's a little confusing number because the balance sheet is winding now.
That's an imp ortant point I must make that it's a number which is but the absolute loan losses basis our estimate and plan were also ahead by INR 70 crores, INR 75-odd crores in a winding down book. So that's not necessarily good news.
Only as a second line that I would outline is MSME lending that on a sequential basis moved from 1.48% to 1.76%. Otherwise, the impact of rest of the movement is not. As you can see, urban base finance was flat. Urban B2C was 25 basis point movement and so on and so forth. But you see MSME move sequentially from 1.48% to 1.76%, and 2 -wheeler and 3 -wheeler moved from 5% to 6.38% more.
I think that's really all. This is panel 53, just last 3 panels , which cover portfolio quality. The reason they are stamped white in 2 -wheeler and 3 -wheeler is because of the winding down book. While open architecture is also sitting there, but a year ago, the captive business used to do 65,000 accounts. Right now, we're doing only 35,000 accounts given, as I said, the entire focus is on MOB management or early MOB vintages.
We want to be at a design level, half of what we used to be in the captive business. Let me make that point reasonably clear that is really what our intent broadly is. Over cycles, the business used to give a 5% loss rate. We want to run the business at

between 2% to 3% loss rate. That's really what our focus is. So that's just one point I want to make.
Panel 55, business and professionals. Rightfully, as you can see, this number even in February'20 was 99%. Right now, it's a 98.25% current. It has moved little too quickly for a comfort in the last 4 - 5 months, and we are navigating through this.
Rural B2C yes, it's not yellow in that sense, but because it's lower than it used to be

earlier. There, the only point I would make is adjusted for Karnataka, which has caused trouble in all rural parts of our businesses, not just rural B2C. And Karnataka, unfortunately, is not a small contribution, it's 11% of the total balance sheet. So is Maharashtra, which is higher. So is Tamil Nadu, which is higher. So any of the large southern states see a change like this, it does have unintended impact on the portfolio. We've stopped doing some of the businesses. We have cut business by 40% -50% in Karnataka because for the first time, we are experiencing what I would call political risk, which we don't know how to navigate. We can't even stop business, but we can't also continue business. So it's a little tricky place.
So wherever we are able to prune, we have pruned. MFI , at this point in time, we have stopped, and we cut business by 35% -40%. In 2-wheeler urban, rural B2C, even urban B2C, even rural B2B, so we are watching. Rest is all fine. MFI is not yellow, it is green. That's fine. 100% will have to go down only. So that's it for me. Happy to take questions between me and the management team, whatever you have.
Moderator: Our first question comes from the line of Viral Shah from IIFL Capital.
Viral Shah: Rajeev, I have 3 questions. But first, to begin with, I would say, it's glad to have you back, but just wanted to understand what have been the learnings of, say, this transition process we had planned, I would say, 2 to 3 years back? And what is it that incrementally you have in mind as to how to approach this, say, 2, 3 years down the line, so that we see a more smoother transition? That would be my first question. And then I have 2 to 3 questions on the business, if I may.
Rajeev Jain: Viral, the only point I would like to make is that every incident must have learnings and a course correction plan. There are learn

ings that you've taken. The NRC and the Board have extensively discussed this matter and have provided necessary guidance. We have to -- I have to go back to the Board and the NRC in the next 6 months' time with a detailed succession planning process is all I would like to comment at this point of time on this point, Viral. And I hope you appreciate the sentiment.
Viral Shah: Got it, very fair, Rajeev. My second question is more for Sandeep. Sandeep, on the financial front, and I look at, say, your cost of fund guidance that you have given,

say, now 15 to 20 bps is the reduction that you anticipate for the year, given that's the movement that we are seeing from 4Q to 1Q. Do we now anticipate, say, a 5 to 10 bps kind of a NIM expansion on a full year basis versus flat earlier?
Sandeep Jain: Yes. I think Viral this question was asked last quarter as well. We have given a guidance on flat NIM for the current year. And given the trajectory of rate cuts that we're seeing from RBI, we did comment that there could be a 5 to 10 basis point of positive bias on the NIM number.
Given that there has been 50 basis point rate cut in the last round and the 20 basis point overall improvement in the cost of fund that we see in the current quarter, I think we are reasonably confident that probably 10 basis points of NIM expansion could happen by end of the year.
Viral Shah: Got it. And secondly, Sandeep, on the, say, growth guidance numbers on the non - interest income and also the credit cost for the full year, are they broadly still -- do you retain them? Or how do you see them panning out?
Sandeep Jain: So I think on the fee income side, we have guided for 13% to 15% for the current year. We did allude in the last quarter's earnings call as well that we have taken significant actions on fees and charges in the previous year, which will have a full year impact in the current year. As a result, there will be a reset to 13%, 15% number in the FY '26 outcome. That continues to hold true.
As far as credit cost is concerned, I think 2.02% as a number for the current quarter was 5 basis points higher on a sequential basis, largely flat on a Y -o-Y basis. We continue to hold 185 - 195 basis points of guardrail for the current year on a full year basis. You will see a sideways movement probably in Q2, if all goes well. And probably a decline from quarter 3 and quarter 4 onwards, quarter 3 onwards.
Having said so, I think one of the important driver will be the auto finance vertical, which will start to become smaller and smaller quarter -by-quarter. That itself will start to give 5 -7 basis point improvement to us on the overall loan loss average that number.
Rajeev Jain: Last time I do want to make that, the fee income grew 17%, just to add what Sandeep saying because B2B had a much stronger quarter. So that's why the volume movement is a little better, otherwise to the point Sandeep is making, overall guidance for 14 - 15.
Sandeep Jain: And last year's quarter was partially impacted by embargo as well, so to the extent on

via basis, the numbers are not necessarily comparable. I think 13% - 15% as a
number for full year is probably a rightful expectation to have.

Viral Shah: Got it. And my last question, Rajeev, is for you. So on the SME portfolio, you pointed out that we are seeing meaningful s tress. Can you point out which subsegment within this is showing this? Is it say, unsecured business loans or LAP or term loans, and are we also seeing say, percolation of stress from unsecured to secured segments, like in gold loans and home loans?

Rajeev Jain: Not between unsecured to secured. Anyway, it's a tail effect. The secured gets a tail effect. Let me make that point. That does not mean it won't come to secured because what we find, as I said earlier in the call is that more number of loans is a single univariate driver. Now -- and that m

ay include secured and unsecured, both unsecured and secured.

But let me just spend 2 minutes on MSME to make the point, we principally track 17 key industries in MSME, out of which 13 that we are seeing are exhibiting signs of slowdown, and 3, actually. So in a way, it's all 17. It's other than 1 ; 3 are actually showing contraction. So clearly, slowing economy and a drop in credit supply is at one level it's good because when we used to look at the business loan lending, we used to wonder the market is not large enough to be of that size.

But so from a longer -term standpoint, it will give lessons to everybody. Some lessons we'll also learn in the process. But I must make a point that the market is not that large, especially fo r business loans to grow from pre-COVID , market used to be INR 2.5 crores - 3,000 crores, has grown to INR 11,000 crores. Right now, it's at INR9 .5 crores – INR 1,000 crores. So it's contracting. So , but that contraction to begin with troubles and then starts to be better is the only point I would make. So we are looking at early vintages and just going about it.

Viral Shah: Got it. Makes sense, Rajeev. Thank you so much.

Rajeev Jain: Thank you.

Sandeep Jain: And Viral, in the same context, I think it's important that we call out, MSA business will see one of the slowest growth in the current year. And of course, auto finance is an easy and rundown mode. These are the 2 lines of business which are where we are taking actions.

Viral Shah: Got it, very clear. Thank you so much. And all the very best.

Moderator: Thank you. Our next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Congrats on the quarter. Actually, my question was kind of answered you’re here, where you mentioned that it's more to do with economic slowdown. But just to get

more clarity on unsecured business loans, are these -- how do I think about leverage at that promoter level? Because you might have taken a business loan from you but a personal loan from some bank, etc. How do you think about that? And like any statistics you can share there?

Rajeev Jain: No. The only way to do it is to offer the remediation. That's why as when I talked about it, we never did restructuring, but that's the only thing that we can do for a customer who's honest, who do principally got, if I may say so, leveraged. And mind you, we all know it that MSME is as financial literate as it gets.

So the only thing to help him is to -- for good guys who are going through intermediate period of stress is to -- offer them restructuring. We have done INR 214-odd crores. We may do another INR 150-odd crores over the next 1 or quarter and from there on, it should settle down.

Not that we never used to do. We used to do in a quarter, INR 40 crores - INR 50 crores, okay. But that's the only thing Piran that can be done, tightened lending standards, one. Two, help the customer with restructuring option to reduce this outflow and hope to not repeat it again.

Piran Engineer: Okay. Okay, sir. Fair enough. And also on the B2C side, earlier we used to share metrics on what percentage of the portfolio has 3 or more lenders. I believe it used to be 7% - 8%, sorry.

Rajeev Jain: 4% and that is what it used to be...

Piran Engineer: Was it 7%, 8% pre -COVID?

Rajeev Jain: No, no. It was 5.5 , and it is down to 4.

Piran Engineer: And it went up to 11 - 12, right?

Rajeev Jain: Yes. That we had published. Perfect.
Piran Engineer: So now it's 4, okay. All these metrics?
Rajeev Jain: This metric is being tracked. The only thing and where we've got -- partially, if I may say so, a little stumped because, the BL business even pre -COVID used to have 14% - 15% of the customers who have multiple loans. We see this is a working capital loan rather than a consumption loan, a BL loan. So it is very common, and I have done bu

siness loan for 30 years.
A customer gives a file not in one in three places. So we know that he does take in general. So 14% of customers used to have multiple loans that went all the way to

21%. We have now brought it down to 17 %, but -- and we are watching it. It is a univariate m etric even for BL that seems to be working, lea ve a consumer loan. So in the card business like multiple cards, it's multiple loans and multiple business loans.
Piran Engineer: Okay. Fair enough. And just lastly on growth or just in terms of scale -up, in car loans, like what percent I'm just trying to think about our distribution reach right now in car loans?
Rajeev Jain: We are in 50 cities. Go ahead.
Piran Engineer: I thought you said the loan book is very small. I just want to get a sense of the distribution reach and like how big we can become over the medium to long term?
Rajeev Jain: It can be very big. Piran, the issue is used car and new car put together must make 13% - 14% ROE. If it doesn't make, I can grow the business or new car, it took us 5 years to get to INR 300 crores. You took us only 1.5 years in used cars. It is down to 200 right now, given the pressure in used car in the last 6 months.
New car is holding very well. I must say, but there's very little money to be made. So we have artificially held the business that INR 350 crores of new origination a month. It is not allowed to do more than that.
Piran Engineer: Got it. Okay. That's it from my end. Thank you and wish you all the best.
Moderator: Thank you. We have our next question from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes. Thanks for taking the question. Sorry, again, touching upon the leadership transitioning. You indicated that the Board has indicated that over 6 months, you need to give a detailed succession planning, but at the same point in time, you indicated that to avoid any ambiguity, it will be closer to FY'28 wherein the plans will be rebuild?
Is that correct? So maybe over like 2.5 years, it will just be again like preparing the transitioning, but last time, maybe 3 years back we made it public in terms of how it is happening. But I think this time, it will be more internal, and it will not be made public. Is that the correct reading?
Rajeev Jain: Yes. As Viral said, what are the learnings is one of the learnings.
Kunal Shah: Okay. But anything with respect to the corporate structuring, maybe it was quite multi layered in terms of, like, say, a lot many changes have happened?
Rajeev Jain So Kunal, there are no changes envisage d at all.

Kunal Shah: No changes in terms of the corporate structure which has been planned or maybe which was indicated over the last couple of years.
Rajeev Jain: None.
Kunal Shah: Yes. Sure. And secondly, with respect to MSME, so you indicated maybe that's going through this stress. But when we look at it in terms of the recognition where we are and provisioning also, I was just looking at it maybe in terms of the coverage ratios across Stage 2 and Stage 3 is coming off.
I believe that it's because the newer pool, which is sitting in that, and which would call for a lower provisioning. But then maybe with the seasoning of the portfolio, do we see again the provisioning requirements going up in the MSME because of the stress we had indicated?
Sandeep Jain: The overall provisioning coverage has plenty of assets, including the composition of the overall balance sheet because different products have different coverage ratios.
That's one thing. Second, as Rajeev alluded to, we have done INR 219 crores worth of standard accounts restructuring.
These accounts generally carry a lower provisioning compared to normal stage 3 accounts. That has also pulled down the overall PC R number from 53.7 3% to 5 2%.
That's only otherwise, there's no structural change in the provisioning cove

rage ratio.
Kunal Shah: Sir, fair to assume this restructuring is in SME because that's the only SME and commercial lending is the only place where in provisioning coverage is coming up. I believe commercial lending is more of a recovery, but MSME is because of restructuring?
Sandeep Jain: Yes, it's MSME mainly.
Kunal Shah: Okay. Got it. Perfect. Thanks a lot.
Moderator: Thank you. Our next question is from the line of Kuntal Shah from Oaklane Capital. Please go ahead.
Kuntal Shah: Hi, thanks for taking my call and Rajeev thanks to have you back on the call. So we heard Bajaj has tied up with Airtel and which was supposed to accelerate our customers' franchisee and increase the reach also. And LRS also talked about 200 million kind of numbers targeted.
But when you look at Y -o-Y, our customer addition momentum has slowed down and so as cross -selling, I believe from 3.8% to 3.2% and 3.2% to 3.1%. Can you throw some light on that? And second is, you said AI is a transformative year this

year 2026, but we see insurance, AMC, healthcare, etc all sitting in parent, broking, distribution, lending, sitting in your company. So how does this work AI strategy in terms of synergies, cost reduction, cross -sell. Shouldn't it be a common stack and come and outcomes and how do you achieve that?
Rajeev Jain: Yes. So Kuntal, 4.7 million new customer acquisition after last 2 years of record 15 million and 16 million, even I'm a little surprised at time. Thank God there is a population in India. As much in a lighter vein, as on a serious point, I think we build distribution which is able to generate that kind of top of funnel. Mind you in the private sector, there will be only two - three players and we are much younger, who are above 100 million franchise.
So and we can see a clear road map this year, we'll probably end at 120 million. So that's just one. This will be the run rate Kuntal between 14 million and 16 million plus/minus is how you should pencil the number. We are working on strategic partnerships and so on and so forth. So there's a lot of dry powder that is being still being built to ensure that we can generate this momentum.
So whether it is just let me give you a texture on this as to one is strategic partnerships. Second is you could you could not take a CD loan approval on the app. You could always say than earlier, the approval that used to be 5% because the risk engine used to be distinct from that of w hat runs at the store.
Now it was a very complex technically very complex architecture, which took us if I may say so a few years to build. We've taken 18 months to build that out when it struck us that this can be a large engine that not everybody wants to buy and insta EMI card.
Some people may just want to take it a phone loan for a phone and so on and so forth. It has just gone live on the right around 15% of the customers, we foresee that this could give us 2 million to 3 million new customers a year who would take the approval on the app exactly for the same product, walk into the store and out in out in – Sorry, so we are continuing to invest in top of the funnel to make sure that it remains active and energized. On the second one, Kuntal, the way the group is organized it, it's a federal structure. We allow companies to be independent. We allow companies to make their own decisions. Some of the companies, which have larger profit pool are significantly and profit pool leads to investment pool.
Investment pool leads to ability to deploy, as I just presented in AGM, 150 people we dedicated on January 1 to AI.
Not too many companies would have the profit pool to deploy that level of talent on a given day. So -- but we are there to assist group companies and we are assisting them

as they travel through their journey on AI. But we will lead the way is what I can reasonably tell you. Does that answer Ku

ntal partially mostly?
Kuntal Shah: Partially but common unified super app was what I think makes sense from tech perspective?
Rajeev Jain: Okay. So let me make the point, if you're an Apple now, if you go to share market on the app, you are seeing very tightly integrated. And in the next 3 months, it would have completely -- you would be able to see a portfolio on a static basis in the app.
BALIC has gone live on our app. See, our app to that extent will be the -- is the super

app, if I may say so, because it will have ending this year 90 million customers. It has a distribution infrastructure. And in the process of working with the respective companies, we are elevating the standards. If that is what you mean indirectly, let me make that point. It has helped elevate BFSL as they didn't have this infrastructure of this scale.
With BALIC over the last 9 months, you've done the same thing. So we are working company by company. We've got an open architecture on home loans as well -- if you go to our app, you will actually see that we offer 5 home loan companies, not just group company, you've got open architecture.
So it is -- I don't I never use the word super app, but my ambition or our ambition as a firm in 2020 was always that. But I always told people, you don't make super app, you become super app. I think there is a distinct difference. You can't say I want to be super app. You have to do a set of things over a long period of time. So like government services has just gone live. You can access a whole host of government services, I think ending July.
Ending July, a whole host of government services, you can access on the app. Now that's really what Alibaba and when we look here in 2020, we never talked about it, that's what we looked at.
That Alipay was offering a whole host of government services integrated. So Abha ID to -- sorry, with ONDC we're now doing 30,000 orders a month on ONDC. So I think -- we will become Super App one day if we stay at it..
Kuntal Shah: So Rajeev, Does it mean you will tie up with more fintech, which are a lot of customers in payments and moving money from....
Rajeev Jain: No, no.
Kuntal Shah: More profit pools and nothing like that because you have...

Rajeev Jain: No. No such thing. We remain focused on financial.
Moderator: Our next question is from the line of Abhishek M. from HSBC.
Abhishek M.: Good to have you back, Rajeev. So the first one is going back to SME. Can you give some colour on the book, how much of it is unsecured, how much of it is professional loans? And is -- are those the parts where you're seeing basically maximum stress
Also, what are the credit actions you have taken?
So any examples you can give that will help us understand what's happening. And the third is just -- is it going to remain slow or there are subsegments or some other segments there which can accelerate -- which you can accelerate going forward?
Rajeev Jain: As I said, Abhishek, at this point in time, it will remain slow. I think, as I said, 17 industries we track, 13 are showing slowdown and 3 are showing contraction and the credit supply has got to. So it's virtually a perfect storm in a way, and it's come let me make the third order point, that it's come a little too suddenly.
So that itself doesn't prepare you for it. But it is what it is, thankfully, we are reasonably diverse. In that, let me tell you, to the point you asked a rightful question that -- just go to Investor deck MSME portfolio is 60. Just go to – INR 50,000 crores. In that, principally, doctors is INR 15,000 crores.
Even there, we are seeing pressure. Let me tell you. So this segment did not trouble us even in COVID actually. I mean they went slow, but they never. This segment is also suddenly troubled at INR 52,000 crore s out of that -- what you see on panel 46, the INR 15,000 crore s is doctors. It's virtually a $

2 billion business. We run that for
15 years. It has been always been 99% current. -- kind of portfolio. So -- but that problem is smaller than MSME. Let me make that point.
The BL problem is a little more pronounced. But what we are doing is, as I said, early MOB from bo unce to 3 MOB to 6 MOB to 9 MOB. And that is not just for I will reinforce the point. That is not just for SME for across businesses since February, I would say we are going hammer and tongs. And we don't care about what does that mean to growth. We are -- we have to just -- this is what has to go all lines, 3 MOB, 6 MOB, 9 MOB and 12 MOB has to go below pre -COVID.
Abhishek Murarka: Okay. How much would be the total unsecured in this book? In the INR 50,000...
Rajeev Jain: Entirely unsecured balance.
Abhishek Murarka: The entirely...

Rajeev Jain: The mortgage, sit’s in mortgage and so on and so forth. If you see in the panel, you see BFL mortgages 27,000 crores, so on and so forth. So the classification is exactly

as it is.
Abhishek Murarka: Sir, the other observation I had is that since it is mostly unsecured, typically when you see an unsecured GS2, GS3 provisioning, it jumps from 40% - 50% in GS2 to around 70% - 80% because a lot of it flows forward. But in MSME, it's 42% going to 49%. So there's not much provision buildup that's happened in the book when it's flowed forward from GS2 to GS3. So is it safe to say that, that buildup will happen given that most of the forward flows are unsecured.
Sandeep Jain: Abhishek that's what I was trying to clarify earlier as well because the number of customers who have been -- or amount of customers who have been restructured from Stage 1 and have been accordingly classified as Stage 3 ha ve actually pulled on the provisioning of Stage 3. These customers have higher probability of revival. And that's the reason why those customers are choos en for restructuring
Rajeev Jain: That is exactly it.
Abhishek Murarka: Understood.
Rajeev Jain: Yes.
Abhishek Murarka: Okay. Got it. Got it.
Moderator: Mr. Abhishek.
Abhishek Murarka: The second question is on -- yes, the second question is on growth. So if I put all the comments together. So, A, BHFL has also indicated slightly slower growth this year. Obviously, MSME is slowing, two - three wheelers will remain slow. Sir, are there any other segments where you're looking to pick up slack? Or do you think FY26 by nature is going to be a slow year? And then you get back to your medium -term growth trajectory in FY27. So FY26, you will probably underachieve or be lower than that growth trajectory. Sir, how are you thinking about it.
Rajeev Jain: I would think about one more q uarter, Abhishek, before we give you a very clear view. Ri ght now, I would hold between 23 -24%. But we would have -- also have a clearer view as we complete Q2. So just hold your breath e for Q2. And number…
Abhishek Murarka: Sure.
Rajeev Jain: Though, numbers plus minus happens all the time . We are not talking about any big change. But you guys are used to guidance now on decimal. So I'm talking percentage. I have to manage expectations. So we'll…

Abhishek Murarka: Sure. Okay. Okay.
Moderator: The next question comes from the line of Chintan from Autonomous.
Chintan: Hi. Good evening. Thanks for taking my question. Sir, can I come back on the NII? Like if I see this quarter, 4.8% growth in NII, 5.9% growth in AUM. So implicitly, it's a 10 -basis -point NIM decline. You highlighted this mutual fund investment, is that the liquidity buffer which has gone down 20% that's been parked in that the mutual fund investment that's causing this NIM decline? And how long will you hold that on the book?
Sandeep Jain: Yes. You're right on Chintan. I think the liquidity buffers were deployed more in terms of mutual funds in the last quarter. And the mutual fund income goes

and sits
in a separate line item, which is net gain on fair value change. Adjusted for that, NIM was largely flattish on a Q -o-Q basis.
Chintan: And how long will you hold this position? This is a duration of six months' timeline, sir?
Sandeep Jain: I think that was specific for quarter, because as the rates were coming down, the mutual fund returns were far, far better compared to government securities. So we moved money from government securities to mutual funds, locked those gains. And then we have moved back the investment into government securities and T -bills, which is what we normally do.
Chintan: So, Sandeep, why should this go back up? Because if it becomes liquidity buffer again, it'll go into G -Sec, which is also lower NIM – lower N II – lower NIM. So why should there be a – is it just a denominator...
Sandeep Jain: It'll go into the interest income line, right? What you see as NIM…
Chintan: Okay. Understood. Understood.
Sandeep Jain: Some has interest cost, right? So they go into interest cost.
Chintan: Yes. Yes. Yes. Just a line item.
Sandeep Jain: Cost is always sitting there.
Chintan: Yes.
Sandeep Jain: Some sitting somewhere else.

Chintan: Then the second one was on MSME. You gave some numbers, 2.5 went to 11 and then came down to INR 7000 crores. What were you talking about? Are these monthly disbursements you're talking about on MSME?
Rajeev Jain: Yes. Of business loans as published in Bureau. Yes.
Chintan: Monthly disbursements, okay. And can you -- do you have a view on why this has happened that because we haven't heard any of the other kind of banks talk about it. You're talking about it as a clear pain point not just for yourself but also the industry. So just wondering if you have some visibility on like is it the customer group that NBFC target versus banks? Or is it something specific that is -- that you are seeing?
Rajeev Jain: Look, business loans we've done for 18 years. We have seen other than one lender in the private bank space who has done this consistently. We are the only two lenders who have done this consistently over the last 18 years. This is a business which is two steps forward, one step backward, two steps forward, one step backward. That is how the nature of the business is.
So there's nothi ng to read in the business. We -- did we -- is it a little bit of over - exuberance? And this segment takes, unfortunately, let me make that point. This segment does take what is offered. It is, as I use the word politely, that it is as financial literate as it gets. So it is leverage that you should read as a principal driver. So, but it's come a little too suddenly.
Chintan: Okay. Currently.
Rajeev Jain: It didn't come slowly; it came a little too suddenly is the only point I would make. We are also a little surprised by it.
Chintan: I mean, it's primarily unsecured. So I suppose that's why banks aren't talking about it. But like, what do you see as the turning point then? Like, what causes it to kind of improve? Because the slowdown…
Rajeev Jain: Improve…
Chintan: That you talked about on the macro is very broad based.
Rajeev Jain: Yes.
Chintan: We can see it in a lot of economic indicators. And it is quite -- it's already slowed down quite a lot. So…
Rajeev Jain: Yes.

Chintan: I'm just wondering incrementally, how does this evolve over the next six months, nine months?
Rajeev Jain: I think, as I said, Chintan, earlier, we are just focusing on early MOB. As the portfolio churns, this will improve. That is the only way. And that's why I said, this is likely to grow probably single -digit.
Chintan: Yes.
Rajeev Jain: AUM may grow 15% odd, as Sidhant is saying, but in terms of disbursement growth, we are going to be flat stroke lower for the rest of the year.
Chintan: Okay. And the final one, perhaps, for Sandeep, could you just give us some se

nse of
how much of the rate cut has passed through the liability side already and some colour on the asset side as well? But asset is slightly easier. Liability is where I would like some colour .
Sandeep Jain: Yes. So the liability side, very clearly, NCD has seen almost 90 -basis -point of improvement in rates. We are borrowing NCD at 8% corridor. We are now borrowing between 7% and 7.1% mostly. That's one. So clear pass -through has come in, but that's for incremental, right? So old books, sit's at old rate only. Banks…
Chintan: Yes.
Sandeep Jain: We have 85% of the bank mon eys on external benchmark rate. That has seen transmission, as we speak today, full transmission of 100 -basis -point. And we balance 15% of bank mon eys are on MCLR, where partial transmission so far has come. CPs get repriced very quickly. Its market driven instrument. It all depends on liquidity position, etc. We have seen 80 -basis -point, 90 -basis -point improvement in CP rates as well in the recent times.
So pass -through have started coming in liabilities, but because the liability book also needs to churn, the overall improvement that we have seen in quarter one is 20 basis points. The pass one assets also is moving in tandem. So all the customers who are variable in nature, if they are linked to repo or external benchmark, they have seen the full pass -through.
If the customers are linked to Bajaj FRR, they are seeing the pass -through as the cost of fund for the company is easing out, which is how banks transmit MCLR cuts as

well. As a result of that, the margin for quarter one remain broadly same as quarter four -- quarter one remain more broadly as quarter one -- quarter four.

Chintan: Okay. So the NIM improvement is now driven by the better liability transmission as we go forward.
Rajeev Jain: Yes. Yes. Yes. Just to reinforce the point. That's why the decision even on slowing down deposits so that whatever gains we can accrue.
Sandeep Jain: In fact, that's an important one. I forgot to make that point. Deposits, we were oroginating almost INR 1,400 crores, INR 1,500 crores of deposits on a monthly basis.
Rajeev Jain: Retail deposits.
Sandeep Jain: Retail deposits. We were paying probably 70 - 80 basis points higher than the moneys that we are borrowing through a combination of bank and NCDs. We have priced now retail deposit exactly the same price as the NCD bank money is for us. As a result, the volumes have come down for now. It's at one -third the volume where we were earlier.
But we are quite happy at this point in time because the idea is also to ensure that we proactively take care of NIM pricing as well for the customers. In that context, bringing down deposit at this point in time seems a rightful option for us to pursue.
The number has come down on a contribution basis from 20% to 19% on a consolidated balance sheet. This will go down to probably 16% by end of this year.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: I stepped away from my desk for a couple of minutes. So let me know if any of my questions is a repetition. I can look up the record. So 2 things I want to understand first a clarification. Rajeev sir, you said AUM growth guidance of 23% - 24% versus 24%, 25% that we guided last quarter. So is it factoring in the lower guidance given by Bajaj Housing Finance yesterday.
Rajeev Jain: I was seeing you guys at decimal; we move a percentage like. Don't read anything into it, wait until Q2 end. We'll also have greater -- right now, as Sandeep likes to say, it's not guidance, it's assessment. The assessment is what we published in as part of Q4 holds.
Abhijit Tibrewal: Got it. Look, sir, the reason -- the only reason why I was asking is -- in the past, we have seen that whenever certain segments have shown stress like what you're seeing in the MSME and two-wheel

er , we have consciously slowed down, which we have shared -- so I mean, are there other levers in other product segments that we can flex to deliver on the assessment that we made in the last quarter?

Rajeev Jain: I think earlier also question was asked. I mean gold loan is adding net INR 2,000 crores of AUM on a quarter now. Let me make a point. Auto still adding. And so there are the LAP, CV tractor, affordable home loans we're building that's bringing to add INR 75 crores - INR 80 crores of volume per month.
So we have -- see, in the last 3 years, I just want to reiterate that in the last 3 years, we launched all that that we wanted to launch. And now the entire focus is on optimizing and ensuring that they start to deliver the goal with which they were set up, which is to generate diversification and to deliver profitability.
So no more investments are being given to any of the new lines of business. We have given them enough investment capital, now they are deliver goods and which they are all committed to or at least are committing to deliver.
I have some of them sitting in front of me that’s why I am making the point, so we have enough firepower to be able to generate the AUM growth. We have to balance it with profit growth. That's the only point Abhijit I would make to you.
Abhijit Tibrewal: Got it, sir. Sir, the second question I had was about this working capital loans, fresh business loans. I think you yourself acknowledged that every such MSME business owner, right, typically gives out these files to 3 - 4 lenders. You have heard from multiple DSAs in the past that there was a time and not very long back, where -- I mean, if I w ere to just quote them, right. “ iski topi uske sar ”.
So what I'm trying to understand is now that you acknowledge that this storm was sudden and which is where we are slowing down, I'm just thinking aloud here that if everyone starts rationing credit in business loan slash working capital loans. Do you think that we might again kind of get into some kind of a credit cycle in this segment? But the reason I asked is we saw that in all unsecured -- all other unsecured

segment s earlier. Be it credit cards, b e microfinance?
Rajeev Jain: No. The only difference I would make , this is a customer between INR 7 crores to INR 15 crores of turnover. -- he is not the credit card, and it is not the consumption loan customer. I think it's just extremely important for you to note that. He had the ability to borrow, let's say, INR 60 lakhs, INR 70 lakhs and pay INR 60, INR 70 lakhs.
Okay, this is an average -- this is not an average self -employed customer. This is a INR 7 crores to INR 15 crores plus/minus customer, who can overleverage at times, but only not fall. So the flow rates will not be like if you are alluding, let me make that point clearly, it's not like S TPL conversation, okay? It's a much better customer quality. That's the nature of the customer.

That's why we are offering. We don't offer restructuring in our consumption loans because if he flow he flows, here is a business person who needs to tie over. And that's why we're offering restructuring options. We used to do earlier, used to do lesser now we're doing more.
So -- and we have a latitude are able to be able to do so. And we need to help that customer because he's a good customer. So it's very different from your -- the past what we've seen STP L or credit card customer or a PL customer.
Abhijit Tibrewal: Got it, sir. And then just a related question because you spoke about leverage, even building up in this customer segment where you said, I mean, turnover is between INR 7 crores to INR 17 crores, just trying to understand -- so just trying to understand, I mean we saw that in a small ticket earlier, right?
And now even businesses with higher turnover kind of showing that over -leveraging stress.

So if all of this is because of a weak macro -economic slowdown, what is it telling us now about the health of the MSME segment in India?
Rajeev Jain: As I said, it's come a little too suddenly Abhijit. -- wait for 1 more quarter, we'll have a lot greater clarity is all I would say. I think we've discussed MSME as a next year frontier today, quite a lot -- so it's not that amplified to be given that much time. It is an issue but not I mean, our bar is very high. We are watching, let me tell you, just let me make 1 point that I've not made so far.
We are watching off -us data on these customers. That's not necessarily giving you a good picture is the only point I would leave you with -- but it's a bias sample. It's a Bias Sample. I'm looking at those who are bouncing how is their performing.
So to be fair, while I made that point earlier, it's a Bi as Sample. The Bi as Sample is not stating a good story we should do it on portfolio to see -- no, I was just going into a -- if you have a point to make, you can make on full portfolio…
Management: So we just add to what Rajeev has been saying, and I know that we've discussed MSME a lot. So 2 things, as you -- as we've talked about, macro is shrinking, 13 out of the 17 industry segments are shrinking. Credit supply, even when you look at credit deployment reports of RBI across these industries are shrinking , as a result of that, what could be tending to happen is these businesses are facing a higher working capital cycle requirement.
At the same time, given the stress that has been coming through with their repayments, banks are slowing down lending to them, particularly in the unsecured space. So it has created a perfect storm.

We just need to ride through this, as Rajeev said, continue to watch the vintages, continue to take action in terms of people who are demonstrating leverage levels or affordability levels in terms of their cash flows or debt servicing capabilities and take corrective action.
Rajeev Jain: Are we done for the day?
Moderator: Yes. That would be our last question for today. I would now like to hand the conference over to Mr. Ajit Kumar for closing comments. Over to you, sir.
Ajit Kumar: Thank you, Rajeev sir, Sandeep and Bajaj Finance team. Do you want to make any closing comments before you we conclude?
Rajeev Jain: Good night is the only closing comment – it's been a long day. Thank you all.
Moderator: Thank you. On behalf of Bajaj Finance Limited, that concludes this conference. Thank you all for joining us, you may now disconnect your lines.

Call: Dec 2025

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Dear Sir/Madam,
Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter and half year ended 30 September 2025
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations
In furtherance of our letter dated 23 October 2025, the transcript of Q 2 FY2026 investors conference call held on 10 November 2025 at 6:30 p.m. IST has been uploaded on the website of the Company at https://www.aboutbajajfinserv.com/finance -investor -relations -quarterly -earnings -call
Also, enclosed is the transcript (pdf) as attachment for ease of reference.
Kindly take the above on record.
Thanking you,
For Bajaj Finance Limited
R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Encl.: As above

Bajaj Finance Limited
Q2 FY '26 Earnings Conference Call
November 10 , 202 5

MANAGEMENT : MR. RAJEEV JAIN – VICE CHAIRMAN AND MANAGING DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF OPERATING OFFICER AND CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED

MODERATOR : MR. ANUJ SINGLA – JP MORGAN

Moderator: Ladies and gentlemen, good evening, and welcome to Bajaj Finance Limited Q2 FY '26 Earnings Conference Call co -hosted by JP Morgan. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately. Please note that this call and your questions will be recorded and the recording will be made publicly available. By participa ting in this event, you consent to such recording , distribution and publication.
All participant lines are in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you do need assistance during this conference call, please signal an operator by pressing star then zero on your to uch-tone phone.
I'll now hand the conference over to Mr. Anuj Singla from JP Morgan. Thank you, and over to you, sir.
Anuj Singla: Thank you, N eerav. Good evening, everyone. This is Anuj Singla from JP Morgan. Thank you very much for joining us for the Bajaj Finance Q2 FY '26 Earnings Call. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Jain, Vice Chairman and Managing Director; Mr. Sandeep Jain, COO and CFO; and other senior members of the management team.
On behalf of JPMorgan, I would like to thank Bajaj Finance management for giving u s the opportunity to host them.
I now invite Mr. Rajeev Jain for his opening remarks, post which we will open the floor for Q&A. With that, over to you, Rajeev sir.
Rajeev Jain: Good evening a ll of you, the investor deck for Q2 FY '26 has already been uploaded on our website. I hope you had a chance to go through the same. I'll quickly focus on key updates for the quarter before we move to Q&A.
Overall, good quarter across key metrics of AUM growth, opex to NTI and profitability. ROA and ROE remained steady. Q2 credit cost was elevated. We expect full year credit cost to be at the upper end of guided range of 1.85% to 1.95% now.
In terms of grow th drivers, if I move to panel number 47 actually -- so I'll keep moving panels, so be with me. Assets under management grew 24% to INR 462,261 crores, led by se cular growth across businesses.
New lines of businesses, namely gold loans, new car loans, CV, tractor are growing in a healthy manner and contributed to 3% of overall AUM growth in Q2. MSME growth, which we have flagged in last quarter, moderated to 18% as part of our risk -first approac h to ensure portfolio resilience and long -term sustainability.
The captive 2 -wheeler and 3 -wheeler finance business is getting phased out as per the plan, strengthening overall asset quality trends from FY'27 onwards perspective. It now only contributes to 1.5 % of overall AUM.

Customer franchise, a key driver of our growth momentum for future years, expanded to cross 110 million to end at 110.64 million. We added 4.13 million new customers in Q2 alone. We now expect to add 16 to 17 million new customers in FY '26.
In general, from a growth standpoint, if I look at the outlook, the company has decided to take a prudent and balanced stance on AUM growth for FY '26. And we now think the growth will be in the region of 22 -23% as compared to our earlier assessment of 24 -25% due to a set of risk actions that we have taken in MSME business, and the revised assessment provided by BHF L on its AUM growth for FY '26.
So we now would circle up our guidance to 22 - 23% growth for full year versus 24 -25% that we had pencilled in January'2 5, when we talked about. In terms of cost of funds and liquidity, cost of funds continue to improve, improved by 27 basis poi nts in Q2 and came in at 7.52%.
For FY '26, we expect cost of funds to be in the region of overall full year to be between 7.5% to 7.55%. NIM came in flat, in line with Q1. Deposit book, which contribute s to 18% of the overall consolidated borrowing grew by 5% year -on-year.
For FY '26, in gen

eral, as you saw in the trends in Q1 as well, the company has adopted a measured stance on its deposit program with higher focus on delivering cost of funds efficiencies to the businesses. And we'll share greater detail on deposits busine ss as part of LRS that we'll publish for FY '26.
In terms of operating efficiencies, company continued to deliver efficiencies. Opex to NTI improved to 32.6% as against 33.2% in Q2 last year. AI implementation across each line of business continues to move forward and should start to reflect in cost and productivity benefits over the next 12 -18 months. In general, we remain very, very excited about the FinAI transformation.
On risk and credit quality, loan loss to average AUF came in at 2.05% compared to 2.02% in Q1 from a sequential standpoint. Credit costs principally remained elevated in Q2. However, the good news is that the vintage metrics when we look at the portfolio a cross 3 MOB, 6 MOB, 9

MOB are s howing significant improvement.
As a result, we expect full year credit cost to come within 1.85% to 1.95% for FY'26, and we expect significant improvements in credit costs for FY'27. On credit cost, let me just give you a double -click on it to give you some texture. So MSME business remains under watch and company has taken significant risk actions.
We have virtually cut MSME business by 25% in our unsecured MSME volumes. We now expect MSME business to grow in the current full fiscal by 10 -12% only. The captive 2 - and 3 - wheeler business continues to -- which contributes to 1.5% of AUM, but accounts for 9% of the overall loan loss also continues to run down. That should also lead to significant improvement in loan loss to average AUM metric i n second half of the year and also in FY'27.

GNPA and NNPA came in at 124 basis points and 60 basis points. In general, let me just flag that on a first quarter to second quarter, the number goes up or moves up sequentially because of number of -- a high number of days between Q1 and Q2. So you will see that even in last year as well. So the number moves anywhere between 15 to 18 basis points...
Sandeep Jain: 18 to 20...
Rajeev Jain: 18 to 20 basis points as Sandeep is correcting me, which is really how it is for the last 2 -3 years, if you look at the trends. On portfolio credit quality, the management assessment for rural B2C and MFI has been improved from yellow to green, as you can see it in the numbers itself in the portfolio quality panel.
Lastly, but most importantly, I would like to just reemphasize the point. You're aware of it as long-term investors that we principally remain a risk -first company. Let me now switch over to FinAI transformation. Soon, we'll start to publish metrics as well. We are 8th-9th month into implementation of FinAI transformation for us as a firm.
It remains central to our long -term vision, and we are on track to become a future -ready AI financial services company over the next, I would say, 15 -18 months. It's underway across each line of our business and should start to reflect in cost and productivity benefits and for consumers as they experience Bajaj Finance over the next 12 -18 months.
We, as senior management are now spending virtually over the last 8 -9 months, 12 -15% o f our time on FinAI transformation. We have identified as a firm as part of our BPR process, 123 impact areas -- high-impact areas across business and functions with 80 of them, which will pla n to go live by end of Feb '26.
So lots of action happening on FinAI . Some of the capabilities are already live like B2B businesses. I'll give you some texture, 442 AI voice bots are now live. They contributed INR 2,000 crores of origination in Q2 alone. Its 5 AI conversational bots, text bots are live for EMI card, extended warranty, personal loans, health insurance and life insurance. The conversion rates in general are quite encouraging.
We fores

ee that all our communication by March '26 would have a BOT in it, depending on the affinity product that we principally see. So, so far, 5 have gone live. The pace will now increase very rapidly as we get into the second half of the year. 85% of customer service resolutions in Q2 was resolved via AI -powered servi ce bots. In B2B, where we moved a lot of volume in these 40 days, 42% of loan applications in terms of quality checks was performed by AI.
We booked in the process 6.5 lakh loan applications in a single day with zero compromise on operational and compliance risk. So we're continuing to perfect, perfect, perfect. This number is at 42%, eventually has to go to 85 -90%. So good work done, but there's lots of work to be done as we move forward.
In terms of content generation, 42% of our digital banners, if you go to our asset and 100% of videos, if you experience, are now principally AI generated. We're also using AI for significant

enhancement or enrichment of data variables in terms of using audio recordings to extract meaningful variables. And we are quite excited about the kind of data breadth and depth that it would really improve as we deploy this capability across our voice eco system.
We're also -- one of the areas that we are very excited about on FinAI is deploying face recognition technology. We're going to test with 300 points of sales , service and gold loan branches to identify existing customer and create a WOW experience when they walk into th ese branches or points of sale.
That's something that will go live between now and December, and should help significantly transform the experience. So that's really on FinAI . I've so far covered consolidated financials and company. I've talked about FinAI .

Let me now jump over to subsidiaries. BHFL has already published its results. They had a stable quarter with AUM growth of 24% despite heightened competitive intensity, I would say, and significantly higher -than-expected portfolio attrition. They still del ivered a PAT growth of 18% and ROA of 2.3%.
Asset quality for BHFL remained very healthy at 26 basis points GNPA and NNPA of 12 basis points. BFSL, which is the other subsidiary, a bit smaller, saw 40% growth in AUM and profits were up by 27%. It added 94,000 customers in Q2.
Very quickly, just before I open up the floor for Q&A, I thought I'd just provide 2 more updates. One update is on management. As we made a set of announcements in Q4 FY'25 on -- regarding the management structure. The Board of Directors at its meeting hel d today has approved the elevation of Mr. Manish Jain as the fo urth Deputy CEO of the company.
Manish, in addition to his current role as Managing Director of BFSL, will also now be responsible for company's loans against security business, commercial lending business and the deposit business. So the company would now have 4 Deputy CEOs and 3 Chief Operating Officers as what we call executive management group running the firm.
Just before I finish, I thought I'd just give you a quick update on the festive performance. Clearly, the structural reforms in income tax and GST by the government has lifted customer sentiment and spurt consumption, led to a very strong season. We've already done a press release where the company disbursed a record 6.3 million loans, up 27% in volume and 29% in value over last year. This is a 37 -day, right, Manish? 30, 30...
Manish Jain: Yes, 35 days.
Rajeev Jain: 35-day period. It's Navratri to Bhai Dooj or 35 -day peak kick -off of the festival and end of the festival season. Overall, festive period disbursements were 7.4 million loans we did and a 26% increase year -on-year and added 2.3 million new customers during this period with 52% new to credit at par with previous years.

So that's really end of my opening remarks. We are pretty confident of delivering sustainable growth, managin

g risk proactively and leveraging technology and AI to create long -term shareholder and s takeholder value for everybody.
And happy to take questions now. Anuj, over to you.
Moderator: Thank you, Raj eev. We will now begin the question and answer session. First question is from the line of Kunal Shah from Citigroup.
Kunal Shah: Rajeev, so firstly, with respect to growth, you indicated mortgages and SME growing slightly slower. But again, at the same point in time, festive appears to be quite strong and everyone seems to be quite constructive on the growth. So are there any other segments which you would be worried about in terms of like pulling back on the growth side because new businesses are also scaling up well? Or it is only on account of these 2 product segments that we are revising the guidance lower?
Rajeev Jain: Both these contribute to 31% and 14%, 45% of the balance sheet, right? They contribute to 45% of the balance sheet. And so in a way, your point is absolutely right that the other businesses are picking up the slack. We are just the guidance reduction to co ntribution of these businesses, and their slower growth is meaningfully being made up by other lines of businesses, Kunal, as you can reflect on. So we remain quite excited. It's other businesses, whether it's gold loans, car loans, rest of th e -- LAP, business growing quite healthily.
Kunal Shah: Okay. And in fact, now rural B2C would also start given that now it's starting into green, so that will also contribute to the overall growth?
Rajeev Jain: That's correct.
Kunal Shah: Okay. And secondly, with respect to asset quality, so stage 3, it's moving up. Would it be fair to assume that larger part of this flow is from stage 2, maybe net number is quite small. But including that otherwise, when we look at it, like maybe the GS3 i ncrease is all across the segments, when you look at it, all the product segments have seen a significant increase. So that's largely the -- only the flow -through, which is there?
Sandeep Jain: Yes. Kunal, your assessment is absolutely right...
Rajeev Jain: Together. I'll hand it over to Sandeep.
Sandeep Jain: Yes. So I think if you look at even last year quarter 2, you would see that the GNPA sequentially goes up. This is peculiar -- there's a peculiar situation that you have 231 days month in quarter 2. And since we have recognition of stage 3 and GNPA on a nu mber of days, the customers who are at the edge, which is 88, 89 days overdue, goes and process 90 days position on -- in the September quarter.

So as a result versus a normal quarter where you see 3 months of GNPA flowing in, et c., you see in quarter 2, 1 additional month of GNPA. That creates like 18 to 20 basis points of additional GNPA formation in the quarter. Now having said so, on a Y -o-Y basis also, the number is higher.
Rajeev Jain: And correspondingly, just to -- correspondingly, there is a benefit that appears because of fewer number of days in fourth quarter.
Sandeep Jain: Fourth quarter...
Rajeev Jain: In fourth quarter.
Sandeep Jain: Correct.
Rajeev Jain: So just to level the point.
Sandeep Jain: Correct. Having said so, the number has gone up between, say, last year same time to now. Last year same time was 1.06% of GNPA. Currently, it's at 1.24%. Out of this 18 basis points, the captive 2 -wheeler 3 -wheeler financing business, which is on rundown mode, contributes to about 12 basis points of additional GNPA formation.
And the MSME, which is what we called out in Q1 as well, has contribution of another 6 basis points. So these are the 2 business to call out. Other than that, all other businesses have held their performance on a Y -o-Y basis and sequential quarter basis as well.
Rajeev Jain: So sequentially is purely number of days, Kunal? Yes. And year -on-year, it is principally on account of 2 -wheeler and MSME.
Sandeep Jain: And the last

point on that is -- to the point that you're making on stage 2 to stage 3. The overall formation of stage 2 and stage 3 put together was just about INR162 crores for the quarter, one of the lowest that we have seen in a very, very long time.
Moderator: Next question is from the line of Jay from Nirmal Bang.
Jay: Sir, my first question would...
Moderator: Jay, sorry to interrupt you. Can you please speak through the handset?
Jay: Am I audible sir now?
Rajeev Jain: Better, much better.
Jay: Sir, my first question would be on the MFI lending. Sir, we see there is a 217% growth year -on-year on that book. So do we expect that the pain in the industry has peaked out or it is plateauing? Sir, some comments on that? And my second question is on tra ctor financing. So can you give the split between used and new for the thing?

Rajeev Jain: So we are too small in MFI. Balance sheet is only INR 1750-odd crores. So we're not the right people to comment on whether the worst is over for MFI or not. I think that's the first point. We are focused on our portfolio. As you can see at this juncture, the portfolio based on the disclosure we provided is at 9 9...
Sandeep Jain: 9.22%...
Rajeev Jain: 99.22% current. So we continue to tread carefully, knowing fully well as to what's happening in the industry. Tractor, again, the book is very, very small. That's point one. Total book is INR 1,000 crores, so not material. But on a more important basis, we have -- as we started the business, we were very clear as to what the mix is to be.
The mix is to be 75% new and 25% used. That's the mix, and that's a mix with which we are building out the business. So our portfolio modelling says that for us to deliver minimum hurdle rate of return on equity in the tractor finance business, we'll need a 75 -25 mix, and that's really what we are going with.
Jay: Okay. Understood. And sir, do we have a partnership with the OEMs? Or does -- how does the partnership with the OEM work here...
Rajeev Jain: Like in a typical B2B business, this is a B2B business. We work closely -- they are mostly very regionally dominated players. We work with all of them. I mean we are not pan -India as yet. We are in -- Harjeet , in how...
Harjeet Toor : 400 towns.
Rajeev Jain: We are in 400 towns in India at this point in time. So -- and predominantly South and West...
Harjeet Toor : We're actually North and West...
Rajeev Jain: North and west, sorry, dominated. So which is building out, it's too small as yet, but promising.
Jay: Okay. And sir, last question on MSME lending. Sir, we see GNPA growing up significantly. Is it because of the regional issue -- regional rainfall issues, which were highlighted by the peers ?
Rajeev Jain: As we had outlined, we are seeing in last -- first quarter, we talked about it that we are seeing incipient stress. It's across the board. It's not regional in nature. And as I've said in my opening remarks, we have cut business by 25 %-odd and hoping that the worst is behind us by between March and June, and it can be in a growth mode from there on.
Moderator: Next question is from the line of Sucrit Patil from Eyesight Fintrade.
Sucrit Patil: I have 2 questions. The first is it's a forward looking question. As more fintechs and NBFCs

scale up across India, what is Bajaj Finance doing to build a strong edge, not just through AUM or app downloads, but something more deeper, like a way of working or thinking that grows over the time and makes your comp etitors hard to copy your model?

Rajeev Jain: I mean we could spend 1 hour on this question, quite honestly. But on a more serious note, we have, for the last 3 years have published a long -range document. Long -range planning document demonstrates how we're thinking about the company, the business, the diversity of its businesses, the way we see franchise growi ng, size growing, our amb

ition.
So I would request you to look at the document, which provides reasonable coverage. And if you see it -- rather than on a 1 -year basis, if you see the pattern over 3 years since we started to publish long -range plan, you will get -- you will connect the do ts much better.
We are anyway headed into our fourth release of long -range plan, which will be published on 5th of December this year because we have an Investor Day. So we would welcome you to come and join us for the BFS Investor Day, where I'll be sharing what our long -range plan is. But we remain qui te excited is what I would say.
We are building business. Last point I would make, we are building businesses with a 10 -15 year view. We are very clear we want to deliver the short -term, medium -term and the long term, all 3 at the same point in time. I think that's the principal differentiation, if you ask me, sustainably for the past, present, and I would hope for the future as well.
Sucrit Patil: My final question, again, a forward -looking one, is about margins and cost planning. As growth picks up and costs go up, whether it is tech, compliance or collections or any other things, how do you manage to keep the profits line -- profits in line withou t cutting any corner? Are there any smart ways you have built into your systems, or you will be implementing that will help you stay efficient even when things are getting costlier?
Rajeev Jain: No. So at a fundamental level, process automation, technology leadership -- technology leadership at an underlying level, followed by process automation, followed by now FinAI will allow us to continue to generate velocity on one hand, benefit from scale on the other and ensure costs keep going down. All 3 will happen. And that's why we are a big believer in technology. It's early adoption on one hand and do it as what -- we are quite excited about it.
We've remained excited about -- we started to use cloud way back in 2007. We use data very extensively between '14 and '20. We built a 75 million app franchise. We do think it's now very close to being Amazon of financial services i n India in terms of experience.
And we think we want to pioneer AI and financial services in this part of the world. So all that for what - for scale, velocity, controllership and eventually lower opex to NIM. So we see technology is playing a multifaceted role across the value chain.
Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Just 2 questions that I had. First is in addition to what we have already shared on the MSME segment, if you can give some more colour . What I'm trying to understand is, I remember in the first quarter earnings call, we had shared that we expect about another INR 150 crores of loan restructuring in the second quarter. I think this quarter, we have done about INR 288 crores.

So I mean, was the asset quality experience in MSME much more pronounced than what we were earlier expecting? And then I also heard Rajeev sir earlier say on the call that maybe by March and June next year is where we are expecting based on incipient stres s to settle down a few quarters almost into, so how much restructuring are we expecting in the MSME business in the coming quarters? And like I asked, if you can give some more colour on...
Rajeev Jain: We're mostly done with restructuring, Abhijit. We're mostly done with restructuring. It is used as a tool to enable good customers to assist them. So in terms of restructuring that you will see over the next few quarters, our number will very, very low, an d's that's just one point I want to make. Sandeep wants to add.
Sandeep Jain: Yes, the other point that I want to make, I think it's in the interest of all the participants on the call. I think we don't want the discussion to get hijacked by MSME discussion the way it happened last quarter. Just to rei

terate the point, we are on top of it. We have taken corrective actions. We believe that the problem is manageable.
We've also provided guidance in terms of growth, credit cost and so on and so forth. Nothing is alarming as such. So I would request that we focus on other areas, important areas than just focusing on MSME as a segment.

Rajeev Jain: And actions have been outlined t o all the investors. And as Sandeep said, it's not changing the overall credit cost guidance in any given manner. So -- and that's the power of a diversified business that there are pluses and there are minuses. Net -net, as building a sustainable business for long term, it helps us and it helps investors in the process.
Abhijit Tibrewal: Got it. And then the only other question I had was, I mean, maybe 15 days that the festive season has got over in India, while we have already given out a festive season update. If you could give some colour on whether this momentum is sustaining or there's thing that...
Rajeev Jain: So momentum is sustaining...
Abhijit Tibrewal: You now, kind of...
Rajeev Jain: Yes, momentum, Abhijit is -- yes, yes. I think we're surprised by the -- given that the festive season was strong, but I would say, in general, the consumption patterns look quite promising. is what I would say, based on our understanding of the products t hat we finance.
Abhijit Tibrewal: Got it. And sir, would you also agree that, I mean, this momentum has sustained across most of the product segments where we are present, including consumer durable, auto finance, other segments...
Rajeev Jain: Answer is yes. Answer is yes. Except I would just add...
Abhijit Tibrewal: This is useful. Thank you, sir. I wish you...

Rajeev Jain: Abhijit, just to be fair, I would just add, we are very dominant in electronics, so we can -- what we say is happening to the market. We can say that confidently. I'm not so sure I can say that for auto, auto being new cars and so on and so forth. We are g rowing on a small base. So I can say it's strong f or us, but our base is smaller.
So I just want to flag that point. In electronics or any of the consumption loans, we are pretty dominant. So we can say that what's happening with us or what we are driving does lead to denominator expansion.
Moderator: Next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on the quarter. Just strictly on...
Moderator: Piran sorry to interrupt you, but we are missing your audio.
Rajeev Jain: Dropped, you dropped.
Piran Engineer: Okay. Is this better now?
Rajeev Jain: Better now. Yes.
Piran Engineer: Yes, yes. No. So just wanted to get some sense on how things stand in rural unsecured, rural B2C in terms of -- you used to give this data on how many customers are 3PL and above and how that has been higher than history. Is the fundamentals also improving just in terms of overall leverage?
Rajeev Jain: The answer is -- and principally, that was -- Piran, it's a fair question. Across businesses that we are in, we have cut 3PL to prior to '19 - '20. It has meant I would say, a reasonable growth dilution, but it is one single univariate variable that's helping improve portfolio performance, I would say. So let's say, if you take rural B2C, number is below 1%...
Management: Less than 1%.
Rajeev Jain: Les than 1%, is what somebody with 2PL would be. In urban, it would be 4% -- 3% or 4%? 4.8%. So we have cut business.
Management: 4.8%.
Rajeev Jain: 4.8%. So we have cut business. This number used to be 13% and a year ago, 13% and 3%. So I can go business by business. But as we concluded that it's an important demonstrable variable - - metric of prudence, we've gone hammer and tongs after it. And it's s howing benefit.
Piran Engineer: Okay. And this is on incremental or it is on your book? Like 4%...
Rajeev Jain: Since February, whatever you're originating is

on these numbers. So it's incremental, but the book churns, you know that, right? So our behavioralized maturity of the book is 20 to 23

months. So to that extent, the book churns pretty rapidly. What we track is not just -- we track vintage performance.
What we are heartened by is the 3 months on books, 6 months on books and 9 months on books. So if you take February onwards, as I said, we started to take very drastic actions across portfolios. We were taking even earlier, but it was much more drastic fro m February. We're seeing 3 MOB, 6 MOB, 9 MOB, now virtually 9 MOB is coming, improved significantly. So it's just a matter of time that the whole portfolio churns.
Sandeep Jain: And talking about rural B2C, after a long time, we have now revised the management assessment from yellow that it was tagged for close to about 2 years to green. We are reasonably confident

with the kind of change management that we have done in the busine ss, the granularity with which we are building the rural B2C business and the significant improvement that we have seen in the vintage performance in the last couple of quarters. We are quite excited to rebuild the business and grow it faster .

Piran Engineer: Got it. Got it. And just secondly, you had mentioned captive 2 -wheelers, which is 1.5% of the book is 9% of loan losses. So it's 9% of this INR 2,200 crore s credit cost number?

Rajeev Jain: Answer is yes, correct.

Piran Engineer: And what would -- so the non -captive would be how much? Just want to get a sense of what's the difference...

Rajeev Jain: Equal size -- now, equal size virtually. As you can see on Panel 47.

Piran Engineer: That I know, I mean in credit cost.

Rajeev Jain: That if you see the number at -- if you go to -- we have separated it in the portfolio quality, that book, of course, is growing a lot more faster. Just go to portfolio quality, I think 98% current. Is it 97%? Just give me 1 second. That's 97.8% current. W e are very clear it has to be at lower than -- it has to be at 1/3 of the loss of our captive. We are very clear. That's the choice we made.

Piran Engineer: Okay. That puts some context. Fair enough.

Sandeep Jain: And Piran, to the question that you're asking on open market 2 -wheeler financing, while the vintage will have to still play out based on the number available so far, 1.5 -2% balance sheet contribution, the same is th e contribution for loan losses.

Eventually, it will probably be, let's say, 1.5x of the portfolio contribution because the business generally operates at higher credit cost compared to what we deliver at the organization level, but will be significantly better compared to what we are obs erving at this point, I mean, captive 2-wheeler financing business.

Moderator: Next question is from the line of Ashish Sharma from Oaklane Capital Management.

Ashish Sharma: Yes. Just one question on credit cost. So have we given the guidance for FY'27? So given that now we'll be closer to the upper end of the guidance at 1.95%, but you seem to be confident about the credit cost outcome outlook for FY'27. Have you given a numb er for that? What would be the normalized credit costs?

Sandeep Jain : So we are not giving an absolute guidance at this point in time, Ashish. But very clearly, direction of the travel suggests that we should see a much lower credit cost in FY '27. If the trajectory that we are seeing today should continue for the next year, we should definitely see a significant improvement in the credit cost ratio.

The second piece, which is also important to highlight is the point that we discussed that 8% of the loan losses were contributed by just about 1.5% contribution of the captive 2 wheeler financing business. That will also become very, very insignificant as we get into next year. That again will provide, I would say, tailwind to the overall credit cost number for

the next year.

Third piece is we have taken significant provisionings in the MSME business in the current year on account of the issue that we are observing. Hopefully, as we get into next year, God willing, we should definitely see improvement out there as well. That ag ain should provide tailwind to the overall credit cost performance. So my hunch would be that -- yes.

Rajeev Jain : The gold loan business, the new car financing business are much lower risk business. So -- and their contribution in the overall balance sheet is growing. So that should also be another element of tailwind to the business.

Sandeep Jain: And my hunch would be that while the range currently is 185 to 195 for the current year, and we are inching towards probably the upper end of the range for the current year, the number should be mu ch lower as we get into FY'27.

And of course, if the first half was 202 and 2 05 for Q1 and Q2 for even 195, the numbers have to show significant improvement in Q3 and Q4. We believe that itself will provide a massive tailwind to FY '27 guidance. But we'll give their guidance sometime in quarter 4 slash quarter 1 of next year.

Ashish Sharma: Just reconfirming one thing in terms of the MSME guidance of 10 -12%, do you think given the current scenario, the number – 10-12% is a very conservative guidance or is a realistic number?

Rajeev Jain: For the current year, right?

Ashish Sharma: Yes.

Rajeev Jain: Yes, it's realistic.

Ashish Sharma: Sure, sure, perfect. That's helpful. Thank you, sir, and all the best for the next quarter. Thank you.

Sandeep Jain: The last point probably, Ashish, on that, as an organization, we have never shied away from cutting business. Wherever we find an issue with risk, we are more than happy to take cuts, and that's the power of diversified business model that we cut a part of the business where we don't find the credit to be acceptable, but at the same time, work with other businesses where the credit performance continues to remain very solid and use those businesses to build the balance sheet.
Moderator: Next question is from the line of Priyanshu Ahuja from IIFL Capital.
Viral: This is Viral here from IIFL Capital. Just 2 questions from my end. Sandeep, first one for you. On the cost of fund guidance, I see that we have lowered our cost of fund guidance for the full year by around 5 basis points. Does this set up the stage for, s ay, from here on 5 to 10 bps kind of a margin expansion in the...
Sandeep Jain: I would love to have that, Viral. But I think the best assumption that we have at this point in time suggests that we will rather hold the NIM at the current level. Idea is to pass on the incremental benefit to customers. We have seen already 27 basis poin t improvement, and we have passed on the entire benefit to the customers even in the current quarter, and that's a result, NIM came in flat versus Q1.
Idea would be that work with improving the overall cost of fund environment as far as Bajaj Finance is concerned and use that opportunity to pass on the benefit to the customers and maintain the NIM at current level.
Viral: And just as a clarification, Sandeep, in this guidance on cost of fund, you have taken only 100 bps of rate cut, right, not say any additional incremental that will come in?
Sandeep Jain: Yes. We are not privy to any further rate cut that is being discussed or has been announced formally or informally. So we have taken only 100 basis points. Having said so, even if there's a rate cut either in December or February, given that it will be too close to the year -end, it won't have any material impact on the cost of funds for us as an organization. So you can assume that even with that, the 755 to 760 guardrail probably will remain same only.
Rajeev Jain: Benefit will flow in next year, not in the current year.
Viral: Got it. But there will be a benefit then, righ

t? Once there is a cost of fund...
Rajeev Jain: Yes, there will be. Of course. Of course.
Viral: Of course. And second question, Rajeev, for you. On the gold loan piece, more so from, say, a medium -term perspective, I think we have executed there fantastically as to how we have kind of scaled up the book. I think incrementally, a lot of players are po ssibly looking at how we have been able to achieve this in a market that had long been just, say, duopoly or maybe 3 players at max.
Now fundamentally, how do you see this, say, over a 2 - to 3-year horizon with the entry or the plans that so many other so -called large NBFCs have to get into this segment, assuming, say, 2

scenarios. Again, gold loan prices continue going up or secondly, if they don't go up, then how do you see this basically market evolving as such?
Rajeev Jain: Three scenarios, right? It goes up further, good. Remains flat, good. Goes down, we have seen in COVID, it went up to INR 55,000 per 10 grams and went down to INR 45,000, you land up doing fire sale. That's the nature of the business. So adjusted for that scenario, which, let's say, if I was for a moment, leave aside, I would say -- I would bet that this portfolio could be between -- we'll end this year with around -- we are INR 12,000 crores.
We'll end at around INR 16,000 odd crores, plus/minus. I -- and we are significantly -- we've just signed up a significant expansion in the business. It should be between INR 27,000 crores to INR 30,000 crores business by March '27. So we are raring to principally -- Sidhaant is supportive. Yes, so we have signed up.
We are -- we think we're reasonably -- and when I say reasonably perfected the model, perfecting the model is not just about aggregating assets. We track leading competitors in this business and the ROEs they generate. We are generating very similar ROEs a s they are generating in the business. To us, the metric is not just scale. Metric is the level of profitability because that is the purpose of building this business.
And so we are satisfied with the fact that the business is generating ROEs in line with leading competitors. And thus, we can expand. So -- and you see structural expansion. You will see from now till March '27, virtually 900 more branches coming through. You would see instead of 500 of our existing branches get converted into gold loan branches because there is a second order point.
As FinAI gets deployed, branch branches will be rendered surplus, quite honestly. The staffing will become free to do other things rather than doing some of the work that they're doing today. It's a fact. It will happen in the next 15 -18 months, which is connected to the point on FinAI that I was making to you.
So 2 things are coming together. So a cost centre will become profit centre , look at it another

way. And two, a category which is pretty durable, low risk -- adjusted for the third scenario. Adjusted for always the third scenario, it's a commodity business to that extent, we are quite excited about it.
Viral: And just on that. Even in the second...
Moderator: Thank you. I request you to come back for a follow -up question, please.
Rajeev Jain: Okay. It's okay. Let him -- sorry, go ahead, go ahead. And after this, you stop, Viral. Go ahead, go ahead, go ahead.
Viral: Sure. So just on the second scenario, you mentioned that, say, assuming the gold prices don't go up or even go down, then in that scenario, how do you think that the market will grow, right? Because...

Rajeev Jain: Yes, I will tell you. No, it's a good point.
Viral: Volume growth is hardly low …
Rajeev Jain: I should have covered that at a fundamental level, see, one of the key modes that we've developed is apart from generating efficiencies per branch, which technically one has benchmarked and learned, 40 -45% of the business is coming from existing customer

s. Actually, coming digitally,
40-45% of the monthly disbursals that we do now, we do INR 1,700 crores to INR 1,800 crores disbursals a month are coming from the app. That's really where they're coming from.
So it's a moat that we have created, which gives us high degree of confidence in being able to continue to sustain momentum. And mind you, 75 million customers are sitting on the app, 45 - odd million are MAU. I don't have branch coverage. So as I multiply t he branch coverage, the number will, in general, automatically multiply. So it's a coverage issue rather than a franchise momentum issue or the digital infrastructure issue. So we are at this juncture very comfortable.
Moderator: Ladies and gentlemen, we'll take the last 2 questions. Next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: Quickly, if you can help, I mean, the softness in other operating income, is it -- I mean, lower recoveries from written off account? Or is it on the lower marketing fees and all? That's one.
And in FY '27 credit guidance, I understand that, I mean, of cou rse, the captive 2 -wheeler going out and gold and new vehicle increasing.
But is there some risk? I mean, now your customer franchise is close to INR 12 crores, you go further deeper, then each of the business lines where you are, probably you are going to a more of a bit of a slightly at the margin riskier customer. So I mean, is that understanding wrong? Or I mean -- or will you see some impact from t hat part because you are going perhaps deeper in each of the product segment?
Sandeep Jain: I'll take the first question. The other operating income, as you rightly called out, is on account of flattening of the bad debt recovery number. As we have seen the COVID period write -offs getting cleaned up, through recovery process over the last 3 years , the overall bad debt recovery number has started to plateau out. And that's why the other operating income has not seen the kind of growth that we have seen in the past. So that has...
Rajeev Jain: No, but we had also guided that in the current year...
Sandeep Jain: That's overall fee and other income put together. We are guided for the full year that between the NII and NTI, the entire fee revenue pool that we generate, combination of the fees and charges, plus sale on assi gnments and so on and so forth.
All put together, we will see 13% to 15% growth in the current year. I think so far, we are holding up to the guidance, and that's how the numbers are speaking about itself. As regard the other operating income, it's mainly on account of plateauing of the bad debt recovery number.

Rajeev Jain: The second question was going down the curve; we keep reiterating that is risk first. That's one part. But the second important part is continue to manage risk at a nuance. As our scale grows, as our complexity grows, so does our understanding improve? So we do not believe that we will grow at the cost of increasing risk.
And the franchise is very, very large. We are 13% of number of loans in India on a monthly basis, but we are only 4% of the balances. So we can just continue to pick and choose what we feel comfortable with from a risk standpoint and from a margin standpoi nt and continue to grow for a foreseeable period.
The gap is actually -- it's 4% and 13%. It's a 9% gap. That's the share of wallet of the customer that we would like to target over the medium term. It links to the earlier point the gentleman was asking, I think that was Abhijit or -- that where is the di fferentiation. Differen tiation is in continued mining.

The differentiation is between 4% and 13%. 4% of balance -- 4% market share, 4%, 4.5% market share of retail and 13% of customer wallet. So number of loans to AUM, that's the difference, and that's what we'll deliver.
Moderator: Participants, we'll take the last question from the line of Marukh Adajan

iya from Nuvama
Wealth.
Marukh Adajaniya : You transparently laid out all the SME -related issues. And I guess you were the first to flag it off even in the first quarter. But most other lenders don't seem to be flagging any issue. So you would say it's a ticket size issue or it's something that the sector will eventually have to catch up with?
Rajeev Jain: I have no view on the sector. I'm a bigger believer in micro than macro. I had made the point even earlier that while macro has a role to play given our size and scale and breadth, but risk is a choice that you make, what you want to do and what you don't want to d o. So I have no view on others.
I have view only on our book. Only thing I can reemphasize is that we are not seeing it to be a regional issue. We are seeing it as an across -the-board issue. We do MSME lending in 2,000 cities and towns in India and spans across North to South and East to West. So -- and we are working hard to mitigate that is really what I would say.
I would just counsel, just a last point that you guys should ask, take bureau's help in giving you deeper and better understanding of the data that may be of greater help. So we are seeing pressures on our base definitely.
Moderator: Thank you very much. I now hand the conference over to the management for closing comments.
Rajeev Jain: Nothing. Thank you. Good night. I thought you're referring to Anuj. Thank you so much. Thank you JP Morgan. Thank you, Anuj.

Anuj Singla: Thank you, Rajeev. Thank you Bajaj Finance team for the opportunity.

Call: Feb 2026

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Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 December 2025

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 14 January 2026 , the transcript of Q 3 FY2026 investors conference call held on 3 February 2026 at 6: 00 p.m. IST has been uploaded on the website of the Company at https://www.aboutbajajfinserv.com/finance -investor -relations -quarterly -earnings -call

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Kindly take the above on record.

Thanking you,
For Bajaj Finance Limited
R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in
Encl.: As above

Bajaj Finance Limited
Q3 FY '26 Earnings Conference Call
February 03, 2026

MANAGEMENT : MR. RAJEEV JAIN – VICE CHAIRMAN AND MANAGING
DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF OPERATING OFFICER AND
CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED

MODERATOR : MR. SUBRAMANIAN IYER – MORGAN STANLEY

Bajaj Finance Limited
February 03, 2026

Moderator: Ladies and gentlemen, good evening, and welcome to Bajaj Finance Limited Q3 FY '26 Earnings Call hosted by Morgan Stanley. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately. For importa nt disclosures, please see the Morgan Stanley disclosure website at www.morganstanley.com/researchdisclosures .

Please note that this call and your questions will be recorded and may in certain circumstances be distributed to clients and/or made publicly available. By participating in this event, you consent to such recording, distribution and publication. I will no w hand the conference over to Mr. Subramanian Iyer with Morgan Stanley. Thank you, and over to you, sir.

Subramanian Iy er: Thank you, Emily. Good evening, everyone. This is Subramanian Iyer from Morgan Stanley. Thank you very
much for joining us for the Bajaj Finance Q3 FY'26 Earnings Call. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Jain, Vice Chairman and Mana ging Director; Mr. Sandeep Jain, COO and CFO; and other senior members of the management team.

On behalf of Morgan Stanley, I would like to thank Bajaj Finance management for giving us the opportunity to host them. I now invite Mr. Rajeev Jain for his opening remarks, post which we'll open the floor for Q&A. With that, over to you, Rajeev.

Rajeev Jain: Thank you, Subbu. Thank you, Morgan Stanley, for hosting this call. I have with me in the room, Sandeep Jain, the three Deputy CEOs and the other two Chief Operating Officers. Good evening. Welcome, everybody, to the earnings call. The investor -- I'll be referring to the investor deck, which has been uploaded on our website. I hope you had a chance to go through the same. I'll focus on key updates for the quarter before we move to Q&A. So , I hope to take 15 -odd minutes. I'll cover 8 -10 panels very quickly.

Overall, from a commentary standpoint, I would just say I'm on Panel 4 that the core performance of the company, eliminating one-time charges of new labor code and the accelerated ECL provision that we've taken in Q3 remained pretty strong. So let me cover that. There'll be a follow -through panel that I'll cover after that. So the core performance remained pretty strong across all key m etrics, namely AUM growth.

AUM grew by INR 23,622 crores. Op ex to NTI came in at 32.8%. Core profit growth came in at 23% growth and PAT, which, as I said, grew by 23% as well. ROE at a core operating level before the one -time accelerated ECL provision and one-time charge -off new labor code came in at 19.6%. Net NPA came in at 47 basis points. The one-timers in the P&L are principally two that we've actually taken.

Firstly, to enhance balance sheet resilience amidst a volatile global economic environment, the company has further strengthened its provisioning framework by implementing a minimum loss given default floor across all lines of our businesses. And we'll cov er that in detail as I cover through the presentation or part of Q&A. I must make an important point that it's purely done as a proactive and voluntary measure by the company. And it's a permanent change to further bulletproof our balance sheet and the res ilience of the firm.

And going forward as well, the company will continue to apply the defined LGD floors as we've determined for the future as well. So, one, it's one-time. And two, it will have some level of impact as we -- small, annualized impact as well as we get into next fiscal. The company's principal ly taken -- let me just cover the INR 1,406 crores provision that was made on an accelerated basis. The Stage 1 PCR as a result of this moved from 74 basis points to 98 basis points.

So that's -- I mean, you know virtually 1% of the assets are now in Stage 1 as you acquired, which is the point I was referring to earlier that would have an annualized impact as well as we get into future years as well. Stage 2 PCR ha ve been increased from -- 30.1% to close to 37% and Stage 3 has moved from 52% to 61%. As I said, these are -- these changes are principally permanent in nature and strengthen the balance sheet, create further resiliency to the business model and to the firm amid st the volatil e global environment that we think we are principally in.

The second impact is the one-time exceptional charge of INR 265 crores that we have taken towards increasing gradually liability on account of the new labor code released by the Government of India on 21st November. This will also have an annualized impact as we get into next fiscal. We'l l cover that based on the Q&A. The annualized impact is expected to be between INR 100 crores to INR 125 crores annually.

These items you know principally had an impact on -- of course, on both AUM and profit numbers. I'm on Panel 5, which talks on the left -hand side about the before accelerated charges and on the right -hand side about the after accelerated charges. I've covered Panel 5 clearly. I can give -- so -- and what we are more focused on principally

is the core operating performance. These two are one -time charges that we have taken, given, as I explained, one is gratuity related and another being voluntary in nature.

This takes me to the third important event in the quarter, which is gain on sale of BHFL shares. This is another exceptional item that is figuring in the financials of Q3. It's recognized in the stand -alone P&L statement of BFL. On a consolidated basis, it has a -- it's below the line item. As part of MPS compliance, 2% of BHFL stake was sold by Block sale and as a result, the BHFL shareholding by BFL in BHFL now stands at 86.7%. The resulting gain was INR 1,416 crores and has been recognized in stand -alone financials as an exceptional item.

Let me now jump to the more routine metrics that we principally talk about, which is Panel 6. As a result of the INR 1,4 16 crores, you will see two lines. There's a change. You will see on top the reported number, which is 22%, the core growth number, which is 2 2%. The INR 1,4 16 crores also gets knocked off from the AUM, and that's why you see two numbers there. We are focused on core operating performance. Core operating AUM was up 22%. New loans booked were up 15%.

We booked a record 14 million loans in Q3 versus 12 million loans that we did in last year Q3. Customer franchise, just we added 4.76 million customers. We are virtually adding between 4.2 million to 4.5 million new customers every quarter. We now expect 1 7 to 18 million customers to be added to the franchise in FY '26. It will be on back of 17 million customers we added in the previous fiscal as well. The overall franchise stood at 115 million. We are well on course to cross 120 million franchise in the cu rrent year.

The cross -sell franchise continued to expand and stood at 74 million. Geographic presence, as I've made a point in the past that we have mostly peaked out. It's deepening rather than broadening , that's happening, more products in geography rather than new geographies, as you can continue to see, also is resulting in operating leverage as a firm. Active distribution, 241,000 is where we are present in. Liquidity buffer stood at INR 15,100 crores. Cost of funds came in at 7.45%.

It is an improvement of 7 basis points sequentially and COF is expected to be -- we had outlined at the beginning of the year from a guidance standpoint, the number to be between 7.55% to 7.65%. We're likely to be between 7.55% to 7.6 0% in terms of cost of funds as we exit the year. The deposit book, as we had outlined, as part of the strategy in the current year to optimize that deposits growth will b

e slower. Deposits contributed 17% of consolidated borrowing as of December '25.

In terms of outlook, in terms of operating efficiencies, just on that from an outlook standpoint, given that we are in -- the year is virtually coming to an end, overall, we've taken a view that the top line growth or AUM growth will gravitate between 22% and 23%, but more likely to be 22% on a full year basis. Given the actions that we have taken in the MSME business, that's something that you'll see, which has grown in this -- in quarter 3 only by 11%.

We think it will still take us two to three more quarters before we are back to 20s growth in that business. So based on the conscious decision that the company has taken to slow it down, we will have some level of impact. And the second order impact is on account of the captive 2 -wheeler financing book, which is winding down. Based on both these, we think the overall full year growth will be between 22% to 23%. Operating efficiencies continue to deliver benefit, net interest income grew by 21%. NIMs were s teady. That's an important point.

NTI grew by 19%. Op ex to NTI continued to improve, came in at 32.8%. The AI implementation , for the first time, we have now started to cover metrics on AI, which I'll cover in a few panels down the line. We've now started to metricize AI , it is moving to what I would call gear two in the company where from innovation, we are now tracking implementation and the benefits that it's delivering to the business.

And we thought that time has come post second LRS or the Investor Day that we did , that we'll start to publish AI benefit metrics to the street. Full -time employees stood at 69,000, virtually 70,000, including all the three companies. Fixed -term contract folks stood at 78,000. Let me just go to credit cost, which has been an important metric of profit growth or the direction of the business came in at INR 3,625 crores.

The core metric came in at INR 2,043 crores, a growth of 9%. So , as I said, we are tracking core because INR 1,406 crores is principally a voluntary decision that we've taken. Year -on-year basis, loan losses and provisions grew by 9%. Annualized number came in at 1.91%. After a while we've seen a sub 2% number. And we think from here on, the number will continue to slide down as we get into next fiscal as well.

In Q3, point number 17 is important. The Stage 2 and 3 on a net basis was down INR 93 crores. The formation had been slowly going down, but there was a decrease after a while in the current quarter came in at INR 93 crores. Stage 2 decreased by INR 287 crores and Stage 3 incr ease of INR 194 crores, net -net leading to a decrease of INR 93 crores.

The vintage credit performance, which is what we've been tracking since February this year, has across 3MOB, 6MOB and 9MOB and that's what gives us significant confidence as we get into next fiscal from a credit cost optimism standpoint that we are in a good corner as a firm from a credit cost standpoint. GNPA and NNPA, principally an outcome metric , stood at 121 basis points and 47 basis points. Pre -provision profit grew by 19%. That's a core metric in that sense.

And PBT grew by -- as I've already covered that by 23% adjusted for one -timers, it actually de -grew by 6%. ROA came in at 4.6% at a core level, ROE came in at 19.6% and capital adequacy came in at 21.45%. Let me just quickly shift now to the FINAI transformation. I'm on Panel 9. This is the first attempt that we're making to start to democratize AI implementation -- that we are doing to the investors.

The way you should read it is -- at a starting level, there's data for AI, then there is product and service discovery, then there's customer engagement, then there is what are we doing at point of sale and branches, what

are we doing
for customer onboardi ng. So , it's a full life cycle of a customer, as I've been saying to everybody that -- we are not testing AI. We are deploying AI across the board, across life cycle.

These are a few metrics we thought which are relevant and important, which demonstrate that how AI is beginning to change the business. So , voice to text conversion of all customer interactions that we do -- AI listened to 20 million calls and converted voice to text and gave us data. Text to data conversion happened for 5.2 lakh customers. And as a result of that, we generated 100,000 new of fers on which we did not have information earlier.

So how you're seeing it move is that the first capability did not exist in Q1 and Q2. It just got deployed. So , we'll be able to listen to 100 million calls next year, and we'll be able to convert voice to text as we move forward , in the beginning for sales, then for service and then for DMS.

Similarly, in terms of 100% of videos are now generated by us using AI, 100% of banners are generated using AI, 2.7 lakh videos were generated, 1.2 lakh banners were generated. At customer engagement level, we have 11 AI text BOTs that are live that engage with the customer. So rather than sending dumb SMSs for 11 products now, we have an AI text BOT , which allows you to engage and interact and respond s to your queries. The company has 26 products. All 26 will be live between April and May'26.

So, there will be no communication that we'll be sending , which will not have a -- whether service or sales, which will not have a conversational BOT embedded in it. At branch and point of sale, existing customer face match that we're doing, we did 46 million face matches to ensure this is the same customer , if it's an ETB customer who had actually principally come in, giving us much better control over identity.

Customer onboarding in terms of document -- ensuring that auto fill of document happens, whether it's PAN card or Aadhaar. There are 43 such documents that the company has now mapped, which an image extracts with a 95% - 96% accuracy and populates data in our platforms, delivering significant productivity for our employees. Just on

Panel 7, auto quality check of documents is now 41%. We intend -- we believe that as we sharpen the model, it will take us to between 85% and 90% over a period of next 15 -odd mo nths.

The loan disbursements through AI call center came in at INR 1,600 -odd crores. Data converting -- data from those calls led to another INR 325 crores of volumes. So , this is just our first attempt. On technology development, we are clearly seeing between 25% - 45% efficiencies emerging in terms of the development process depending on if it's a legacy platform, then the benefit is much lower or rather, I would say, none. But if it's a digital infrastructure, then the efficiencies can be as high as 45% - 47%. So significant work is being done.

On Panel 11, it will just give you a texture on where we are principally headed over the next six months. We are investing very deep in Agents. We believe that the company would have 800+ autonomous agents across sales, operations, HR, IT, risk and DMS in the next fiscal. That's one of the things we are most excited about. The second thing we're excited about is Consumer AI, which will be on app and web , you will see AI injection, AI summaries start to emerge between May and June 2026 .

We are building an altogether new Consumer AI platform in addition to the current 82 million app installs that we have. We expect that by May -June '27, we'll have an altogether new Consumer AI platform for us as a firm, which may allow the same 100 million customers , to go into classic mode or AI mode. So , it will not be another platform. It will allow the customer to

choose an option between an AI platform or a classic platform.

Data intelligence, we are continuing -- we're investing very deeply in data annotation across voice, data, text, images and structured data to improve our intelligence on the consumer significantly so that the velocity of the business can improve. So that' s really on FINAI. We'll continue to provide update on a quarterly basis from here on, to you , as to how we are transforming the business.

BHFL has already done its results yesterday. They've had a very good quarter. AUM grew 23% and despite very high competitive intensity and higher portfolio attrition and the PAT growth was 21% and ROE was 2.3%. Asset quality for them remained quite healthy at 27 basis points and NNPA of 11 basis points.

BFSL had a very good quarter. AUM grew 63%, profits grew 74%, and they added 104,000 customers in the quarter and delivered an ROE of 13%.

Lastly, I'll just make a point , some of you were there for the Annual Investor Day , I would just request you all to go through our annual investor day deck, which covers in detail as to what on a rolling basis is our ambition as a firm, which is to be a customer -centric company serving all needs of the customer. We foresee that we will be a 200 million customer company in the next 3 to 4 years' time. The market share of current franchise or the future franchise is very, very large. We want to have a larger and larger share of that customer's wallet.

We want to be clearly a technology leader in financial services in India. And you can see that conversation leading to the earlier FINAI point that I was making. And we want to clearly be the lowest risk business in India. In a way, it demonstrates the bal ance sheet resilience action that we have taken is coming in from these three , they are all connected. They are showing up in Q3 financials in that manner.

And you will continue to see acceleration of these three areas as we progress well into FY '27. I'm 21 minutes into it. I think that's really all from me, and we are happy to take questions .

Just before Sub bu opens it up for questions, last point, which I usually do, which is on Panel 58, 59 , 60 and 61, other than business and professional loans, we are principally all green. In general, we are quite optimistic about the credit cost outlook as we step into FY '27 , is how I would conclude and happy to take questions.

Moderator: Our first question today comes from Viral Shah with IIFL Capital Services Limited.

Viral Shah: Hi, thank you for the opportunity for letting me ask the question. So , Rajeev first with regards to the ECL provisioning, I'm sure I think there will be -- this will be the one thing that people are going to ask.

But I was wanting to check and get a sense of the structural change that you mentioned in your commentary. What we are seeing is that there is an increase in Stage 1 and 2 PCR. So , does this mean that your steady state credit cost could look higher than what otherwise it would have been? And if yes, then basically what would be your say on guidance for FY '27? And secondly, if you can just comment with regards to your growth outlook more for

FY '27? That's two questions.

Rajeev Jain: I'll give the easier one first. The first one requires a little longer explanation. We'll provide FY '27 guidance along with Q4 results, which is normally what we do every year. So, we'll provide that guidance along with Q4 results. I'd rather let Sandeep give an answer I've already spoken for 25 minutes. Answer is same, so don't worry.

Sandeep Jain: Yes. So , I think as Rajeev called out, these are the actions that we have taken on a voluntary basis. We looked at all the products in the company , and their current coverage ratios. We looked at where we want the coverage ratio to be as we go along from here. Rather than making a provisioning in one of the stages, we ensure that it follows the p

rocess. We redefine the loss given default metric by defining a f loor across businesses and ensure that the y are uniformly applied across all the stag es.

I'll give you an example. So , for example for a business, we define LGD floor at 80%, which means the moment a customer goes into NPA, we would have at least 80% provisioning coverage done. The ECL for Stage 1, Stage 2 gets calculated as a combination of probably the default, exposure default and LGD. We'll ensure that the LGD even for Stage 1 and Stage 2, i s revised to 80% to ensure that it also reflects the rightful provisioning at that level as well. So , it has been done on a holistic basis across all businesses by redefining the LG D floor. That's point number one.

Point number two, yes, this will have a cascading impact because as the balance sheet grows, we will have additional impact coming on account of higher coverage ratios that we want to incrementally maintain. However, I would say that those numbers will not be significant in nature.

All goes well in the next year based on the estimates that we have done, the number could range between INR 300 crores to INR 400 crores of additional provisioning, which will ensure that not only are we taking action in the current year, we are also conti nuing to take the similar action as we go along from here. The incremental impact will not be significant. It will be spread across the year, which is over the quarter and we will ensure that the resilience point that Rajeev referred to is continue d to be maintained as we go along from here.

Viral Shah: Got it. That's very clear.

Rajeev Jain: We could have taken a view to do an overlay, given the environment, global environment, not local environment, we took a view to do a permanent provisioning change. I think it's an extremely important point that I must make. Over and above and creating a f loor that at a design level that this is what -- because, look, ECL models need 10 - year data to be built. I mean at the end of the day, that's really how -- and logically should not have events, which is both are not true. So , after considerab le thought process we have taken this decision and it's permanent in nature.

Sandeep Jain: And as the Board and committee approved the change, I think they were also very clear in communication that we should make permanent change and continue to follow it on a go -forward basis. They would not like to have a judgment coming into play, which coul d have been the case had we created this in the form of overlay. I think that's the point.

Viral Shah: Got it. And just an additional thing over here. So , I understand that this is a decision by the Board to do this. But is there any, I would say, timeline wherein they will periodically want to re -evaluate whether this is the new normal could we say a year or two, three years down the line or this is cast in stone?

Rajeev Jain: I want to correct you, this is by management, point number one. Two, fully supported and ratified by the Board. Three, we've taken a view that this is how we'll run for two to three years and then take a view. Your question is correct.

Viral Shah: Got it. Very clear, Rajeev.

Rajeev Jain: And guidance we will give along with Q4.

Moderator: The next question comes from Abhijit Tibrewal with Motilal Oswal.

Abhijit Tibrewal: Yes, good evening. And thank you for taking my question. Just two things. One is, Rajeev, you just explained this was a management decision, which was fully supported and ratified by the Board.

But just trying to understand, I mean, why this decision now and you spoke about this decision being taken in the context of global uncertainty. I mean if you look at it, right, I mean, yesterday, we concluded the U.S. tariff deal, right? I mean so to t

hat extent, things might actually start looking better from here.

If we think about it last two to three years, India on the retail side of lending, right, has seen a credit cycle in almost every other retail product, but for home loans, LAP and maybe gold loans. So , what is it that really prompted this? While I appreciate the fact that it just gives more resilience to your balance sheet. But the fact that we are now looking at higher LGDs on each of the products, what was the rationale behind doing it and doing it now?

Sandeep Jain: So, Abhijit as you would recollect, the recent times have been extremely volatile, not only in terms of just the external environment, also in terms of how the credit quality in general has behaved for various players. We have seen issues coming in and going from unsecured business to MFI to MSME and so on and so forth. We want to ensure -- we want to use this opportunity to ensure that the balance sheet and the P&L are shockproof.

And one of the ways of doing that is to create a permanent change in ECL model and ensure that we are more than adequately covered from a provisioning perspective. And that's the call that we have taken in the current quarter. This could have been done in quar ter 4, could have been done in previous quarter, could have been done one year down the line. Whenever we would have done, the same question would have been asked why now.

They can never b e answered for a why now. I think as we found the last few quarters to be highly volatile and given that we were not aware about what's happening, what's going to happen last evening, we were quite clear that given the volatile macro -economic and global environment that we were living in, it was important for us to protect ourselves with additional provisioning.

Rajeev Jain: I'll just make added point from -- so that the question is in addition to why now to the direction of travel on credit costs, okay . We foresee that the number next year as we enter could be anywhere between 165 to 175 basis points, that's the number, including the permanent provisions that we're talking about. That's the direction that we are principally headed in.

You will see that now it could be 165, 170, 175, but I'm just giving you a direction, but that is where -- and I made the point in the past many times that I'm chasing as a firm FY19-20 metric . That is really where we used to be. Next year, it will be 4x that size. And as a result, the several cuts in the business and so on and so forth that the firm has taken over the last 12 months to ensure that credit is our business.

And if we get that right and it must reflect in the annualized number that we are talking about. So just break this to, what we've done now, including the permanent change the number would look between 165 and 175 basis points at this juncture is how we think about it.

Sandeep Jain: I think on a lighter note, Rajeev, there could not be a better occasion to communicate and give the message to Deputy CEO 's and CRO than making them accountable on our earnings call.

Rajeev Jain: We will deliver that.

Sandeep Jain: Yes. I want to say that...

Abhijit Tibrewal: And then just a follow -up on that. I mean, this quarter, maybe it was just a coincidence that, I mean, we sold a
stake in BHFL and like we had seen in the consolidated that comes below the line. Given that, over the course of time, you will have to kind of keep reducing your stake in BHFL to meet the MPS, can we expect that rather than that accreting to your net worth, it will predominantly be u tilized for further improving the value chain?

Sandeep Jain: We were expecting that this question will be raised regarding the timing of the provisioning. I think as I recollect
same time last year, I think this was

quarter 2 earnings call when we had done IPO of BHFL, the same question
was asked, why not utilize the gain -- exceptional gain in terms of making incremental provision? I had noted on the point. I'm not saying that the points are correlated, but this was a point a sked last time as well.

We did have a gain of INR 1,416 crores, and we did make a provision through a floor introduction for LGD of INR 1,406 crores in the current quarter. And I think I'll stop here. I think the most important thing is as we get more opportunities in future in w hatever ways and means, we would like to further enhance our provisioning resiliency from a balance sheet perspective to again ensure that we are shockproof and resilient as a business model.

Abhijit Tibrewal: I just wanted to squeeze in one last question on business. On the MSME side, I mean, you've explained for the
last couple of quarters that whatever we've been seeing in unsecured MSME is predominantly because of customer overhead really. Was there some pro blem or some customer cohorts which were also impacted by tariffs and which could get better now that this U.S. tariff reduction got announced yesterday? What I'm trying to understand is some...

Rajeev Jain: We saw some -- not material. So , it is yet to play through. And we are mostly -- as I was making a point that over the next two quarters, we think we'll be done. But as you're looking at the 3 MOB, 6 MOB, 9 MOB of the MSME business, we think by June quarter or so, that business should al so be back in -- between July and September quarter, that business should also be back in the 20s growth.

Sandeep Jain: Yes, if I may just add on the MSME point, I think we had called out this last quarter as well that looking at the portfolio, looking at the information at industry level, leverage, location, bureau and so on and so forth, we have taken a set of policy acti ons on underwriting and credit policy, which led to about 25% -30% reduction in volume. We are clear that until the time that we see full revival of the portfolio, we call it incipient stress, but we have to see full revival of the portfolio. Early readings are looking good. See would like to continue to hold the credit policy as tight as possible. Maybe sometime in Q1 -Q2 next year as we see full revival, we are more than happy to grow the business again.

Moderator: Our next question comes from Piran Engineer with CLSA.

Piran Engineer: Congrats and thanks for the extra slides on FINAI. Before my question, just to confirm, when you say the stake
sale gain in the consol financials is below the line, so it's part of the net worth. It just directly goes into the net worth, is it? Sandeep?

Sandeep Jain: Yes, Piran, you're right. It goes and directly sits in the reserves. It doesn't come in the P&L at all.

Piran Engineer: And the full INR 1,400 crores or is there a tax impact?

Sandeep Jain: The entire amount net of tax goes and sits in the reserve line. And it's obvious, right? In the consolidated financial
statement, Bajaj Finance, Bajaj Housing Finance and Bajaj Financial Securities is one entity. I cannot make profit by selling myself. So that goes and fits in the reserve rightfully by accounting standard as well.

Piran Engineer: Yes. I mean it's like a re -valuation. But anyway, I don't want to argue on that. Secondly, now that you've put a floor on your LGDs in various segments, does this also mean you will accelerate the transition from this floor to 100% provision? Or in other words, would you accelerate your write -off policy also because of this?

Sandeep Jain: I think as regards write -off policy is concerned, Piran, we are -- which is reasonably prudent. We ensure that all
kinds of secured, unsecured loans get written off at six installments overdue, barring

mortgages, which has a very
long tail and some of the other businesses, which are -- which have a high amount of -- or high reliable value on the collateral front. So , barring those businesses, we do write -off at six months overdue. At this point in time, we have defined the floor that we find appropriate.

I'll give example for some of the business, we would have defined the floor at 75% -80%. For some other businesses which are secured in nature, have very strong collateral, the floor maybe 40% -50%. We'll keep revisiting it on an annual basis and wherever we feel appropriate to intervene and enhance the LGD coverage, we would probably take those actions. And whenever we take those actions, we'll call out as well.

Piran Engineer: Got it. And just secondly, your fee income growth of 30% Y -o-Y is pretty strong compared to what we've seen in
a very long time. And that too when the festive season was partly in 2Q, partly in 3Q. So how do we -- is there some one -off or is this the rate of growth that one should expect?

Rajeev Jain: Piran, this should gravitate closer to -- from the next fiscal gravitate closer to between 18% and 20%. It’s just normalizing is what we would say.

Sandeep Jain: There were one -timers in the last year, we had some INR 80 crores of gain sitting in the other operating income
on account of sale of written -off portfolios. We don't have any such gains in the current quarter. In fact, if at all, there was one -timers, the one-timers were sitting in the last year same time rather than the current quarter.

Piran Engineer: No, Sandeep, I'm referring only to the fee and commission line item, the INR 1,960 crore line item.

Sandeep Jain: There's no one -timer. This is core growth. Yes, core growth. And as Rajeev alluded to, as we get into FY '27 onwards, this number should be in the range of, say, 17% - 20% growth on a Y -o-Y basis.

Moderator: Our next question comes from Abhishek Murarka with HSBC.

Abhishek Murarka: Yes, good evening. And thanks for the opportunity. So , two questions. One, just on cost of funds, can you talk
about how much scope is there for it to come down further? There would be some back book repricing left or largely it's pass -through?

So, the second one was on vehicle finance specifically. Now your disbursement market share, etcetera, is quite low across used car, new car, tractors, all of that. Just from maybe two -year perspective, do you have like an AUM target in mind or size or scale i n mind or disbursement market share in mind, something from the point of view of how it can accelerate or grow from here?

And the second thing is broadly, if we look at vehicle finance across the industry, the ROAs are lower than what you make on a consol basis. So , if you're going to grow faster in vehicle finance, how do you propose to offset the ROA impact in the whole book from this? So just wanted to get some sense of your plans in that.

Rajeev Jain: No, no, the plan is very clear. If you actually go to the first nine months of growth in AUM, okay , I mean, MFI is small, but otherwise, our gold loan is, of course, growing at an industry level. We foresee businesses growing -- B2B business because given its size, would probably grow in mid -teens , but rest should all grow between 20%,

okay . It could be a lower end of 20% to a higher end of 20%. It could be -- barring aside gold loans and MFI would also normalize next year.

I think gold loans will continue to grow as long as the price holds. We are increasing distribution on a sustainable basis in gold loans. So , we foresee that continue to grow. But leaving aside gold loan, every business has nuances, we are very clear that we just grow them organically in the 20s. If we have strong tailwind on the P&L of that line of busines

s, it can grow faster. If it has headwinds on the P&L, it will grow slower. So , like new car finance margin is very, very fine. So , the business needs to grow what it can sustain.

If you see, it grew 26%. Overall, car loans grew 26%. Used car actually is not here, probably de -grew because credit was not holding. The new car grew 38% -39%. So , we have a long -term plan for each one of these lines of businesses. As I say, if in five years' time, they're not minimum $2 billion in size each, we wouldn't get into the business. But in addition, at a philosophy level, each business must deliver a sust ainable ROE that has been benchmarked within the firm to ensure that we can get capital alloc ation for that business.

So that discipline, we want to ensure. So now let me summarize the point . That means that new car financing next year would probably still grow in the early 30s. Used car may grow still slowly in the first half of the year, second half of the year should be better.

We are in now control of credit in used car. CV and tractor, they are small, but should grow 30%, 35%, 40%. As they generate profitability for each line, they get the capital allocation, they grow. That's our philosophical view from a capital allocation standpoint. Don't want to chase. If we chase, we have seen it leads to -- it is not necessarily beneficial to t he firm or to the business as well.

Abhishek Murarka: If you're targeting a profitability metric, it's more ROE than ROA.

Rajeev Jain: It is ROE and ROA both. I mean we give same amount of leverage to each business other than the mortgage business in the company. So just as a prudence of capital standpoint. So , I mean we can take this offline conversation, somebody may argue why and why not, but we give same amount of capital to each business at a leverage standpoint and also establish rightful benchmarks for ROA and ROE to ensure that they can go out and delive r it. That's all.

Moderator: Our next question comes from Shreya Shivani with Nomura.

Shreya Shivani: Yes, thank you for the opportunity. I have two questions. My first question is on the urban B2C or rural B2C these
two books, urban B2C rather. The growth here has come down to about 20% or so. Is there any competitive -- competition increase in this segme nt that we could highlight? Or any other color that we can give on this book?

My second question is on the gold book, which has been growing quite well. So , the branch count has crossed 1,200 I think, in this quarter. What is our plan for the next year? And yes, any details around the gold book going ahead?

Rajeev Jain: No, just I think just related to businesses, and I want to refer back to even Abhishek's point, I want you guys when
you get time , to refer to -- Panel 91 of the deck, you'll principally see what our market share is. And as I outlined, our overall market share across each one of these lines of businesses remain small.

So, whether you take urban B2C or rural B2C , to give you an answer, the personal loan market share is at 8%, whereas our franchise is at 30%. Similarly, for Abhishek's question, his question was absolutely right and my answer was correct that I have a 1% market share. Now I can go to 4% because my franchise is doing 36%, okay . My BF L franchise annually of the cars loans done in the country gets 36% of the loans. Our share is only 1%. So , opportunity is tremendous. It must make rightful economic sense for that line of business to do so.

And we actually think the customer -centric strategy that we have outlined would deliver that. Principally, look the biggest issue in financial services anywhere in the world , remains cost of acquisition. We have 120 million franchise. As we integrate AI transformation, as we take digital transformation deeper, as we deliver discovery much better on the web, we have a franchise to be able to mine, farm, deliver lower credit costs. That'

s really the
overall customer -centric strategy. It leads to whatever mark et share we get to.

We don't have a problem of growth, 8% number a year ago was 7%. It was in '19 -'20, 9%, okay . It was at 9%, went down to 7%, it's back at 8%. It must meet the hurdle rate of risk and the profitability for us as a firm to grow volumes. That's the point, and I should have mentioned that even as part of Abhishek's question.

It's there in 91. So , there's nothing in urban B2C. We are pretty comfortable with the mid -20s and the late 20s growth stance depending on how we're seeing credit move. It's not a franchise problem at all. I hope that answers your question.

Shreya Shivani: Yes, just a follow -up. So , you're saying that pre -COVID till now -- from 2019 till now, our market share probably
in this segment has been in this range only, under 10%, right?

Rajeev Jain: Yes. Yes. That's correct. Between 7% and 10% is what i t gravitated around. Mind you, Shivani, if I may make a point, we know the competitive intensity in '19 -'20, and we know the competitive intensity now. I would say it's 3x of the entire public sector banking ecosystem didn't participate in urban B2C, rural B2C at all, I may say so, or was much smaller participant. It is the largest personal loan lender in In dia in terms of market share is SBI today and so on and so forth.

So, the competitive intensity has magnified significantly, not just across personal loans, across each one of these lines of businesses. We've continued to grow. That's one part, continue to maintain market share, second part and continue to ensure that we su stain the return on assets and return on equity. I think that's the most important part because growing balance sheet in our business is not a problem. Growing profitability on a sustainable basis while we grow is really where the proof of the pudding is.

Shreya Shivani: So, then that probably explains the revision in the LGD floors. Would that be correct? What you were talking about the 3x increase in competitive intensity out there?

Rajeev Jain: Partially, it's true. I mean if there is only one red flag that I would have is that the overall consumer leverage remains an area of concern. It's not directly attributable Shivani, I would just make a point. But if there is only one red flag that I continue to have is that consumer leverage continues to remain an area of concern.

Thankfully, on a year -on-year basis, as far as the bureau data shows, it's not grown. It's flat. I think after a while, it's flat on an aggregate basis. We'll wait for March numbers to come by June or so. But it seems at this point of time on a year -on-year basis for first eight months, consumer leverage is flat. So that's a good sign. But that's a red flag that I continue to have. It's indirect. I want to make sure that the point is not mingled .

Sandeep Jain: Just on the LGD piece, I think as you see Slide #54, where we have provided provisioning coverage ratio by business. We've already taken the urban B2C to 80% provision coverage ratio. So , to the point that you were asking on LGD, we've already taken at 80%. Even if there's a worsening that we see in the market, ECL keeps going up. We may not see impact in our portfolio because of the actions that we have taken. We are done, I would say, at 80% PCR ratio.

Shreya Shivani: Got it, sir. Sir, just my question on the gold loan. What will be the strategy for next year, if you're going to share
now? Or will you share it in fourth quarter?

Rajeev Jain: Sustained distribution expansion, that's one part. We will continue to expand. We foresee business continue to grow strongly. But gold prices have -- so we will do what is in our control, which is distribution expansion. As AI transformation happens, our ex isting bra

nches will continue -- but customers have no need to walk in. As I've said in the past that 3% of the franchise used to walk in, given what we've delivered on app and the digital transformation and now on the BOT , less than 0.6% is walking in.

Our existing branches will continue to morph into gold loan branches. That's one part. Two, we will continue to expand on a sustainable basis, our gold loan branches. That's the second part. So -- and if this business is directly related to distribution, an d we now know how to do this business well, I would say, the benchmark ROE and ROA metrics are in line with what the best in the industry are delivering.

Then we just want to make sure we grow distribution in a sustainable manner, which we are committed to. So , could it grow at the same rate of the current year? Could be. Could it grow a little slower? Could be. I mean, it's a little volatile right now, that -- I mean, from USD 5,500 to USD 4,500 in one week, it makes it even hard for me to do a budget planning session.

Moderator: Our final question today comes from Chintan Joshi with Autonomous.

Chintan Joshi: Hi. Thank you for taking my question. Can I come back on the ECL? Perhaps an academic point, but why was LGD different in Stage 1 and Stage 2? I would have thought it would be the PD that would be different and not the LGD. And presumably, that means that like a future credit cycle might look different. If you had the last three years and the next three years, it might -- the trajectory might look different on the credit cost.

And I know you said it jokingly, the 165 -175 basis point credit loss guidance, but the analysts have occupational hazard of picking that up. Is that kind of more like a business outlook because things are looking better? Or is there something more tangible that you are seeing in the business?

Rajeev Jain: Yes. I mean I've used the word quite optimistic if you see in my investor deck as well. So , we are quite optimistic.
And as I said, we are looking for the last 12 months on 3 MOB, 6 MOB and 9 MOB metrics. That's one part. The second part, which is important for -- you may say what also gives you the confidence on 165 to 175 is also our AF portfo lio, which is 1% of the balance sheet, but still 8% - 9% of the credit cost, in the third quarter would be

down to INR 1,700 crores of balance sheet by S eptember.

If there's no balance sheet, there's no credit cost. So , it's 1.14% of the -- let me just get my numbers right, 1.14% of the balance sheet and 9% of the credit cost and 14% of the GNPA in absolute numbers. This balance sheet will be done and over with by September. It will be left with INR 1,700 crores. I mean even as we exit March, it will be left with INR 4,200 -odd crores.

So that is a natural watch that's happening. In addition, the core businesses, we are tracking 3, 6, 9 MOB gives us quite a high degree of confidence in being able to do. So , environment I don't know about environment. Quite honestly, I am not that much of a macro person. I am a micro person. I think we control who we give unless and until it's an event. Event is different, okay , COVID was an event. Demonitization was an event. Non -event, I would like to believe we control what we choose to do, and that's h ow we would like to continue to run the firm.

And to your point on LGD, understanding is absolutely right. The LGD that we apply applies across all stages uniformly. So , when I give an example of 80% as a number, that 80% not only applies for Stage 3, it applies to Stage 2 and Stage 1 as well. What moves the provisioning number in Stage 1 and 2 is the probability of default and exposure at the time of default.

These are all calculated using data based on a complicated model that risk team runs for doing development of EC

L models. However, the LGD rates whether it is Stage 1, Stage 2 or entry into Stage 3 remains exactly the same across businesses by business lin es.

Chintan Joshi: Yes. I might have misunderstood you then before. And perhaps one last one on LRS since we didn't get a chance
to question on that. What were the main deltas for you, both positive and negatives as you did your LRS and -- to the last year? On the LRS, what were the main delta, positives or negatives?

Rajeev Jain: Sorry, what is the main Delta effect?

Chintan Joshi: The differences like -- as you compare the two LRS, you went through the exercise, what did you think was more
positive? And what did you think was less positive or negative?

Rajeev Jain: So, all LRS in general or any management strategy is on a continuum, okay . It's on a continuum. At a design level,
acceleration of AI is on a continuum. If you are 4, you're going to take it to 7, okay . That's one part.

The big thing which will define the company over the next three to five years is the customer -centric strategy that we have principally outlined because that gives us INR 5 lakh to whatever, INR 11 lakh, INR 12 lakh crore balance sheet outlook, point number one, gives us existing customers easy to do business with, wheth er sell or cross -sell, gives us Op ex benefits and gives us credit cost benefit.

So as much as we've been focused on hunting on the continuum and farming, we increased the weight of farming as virtually from -- I would say, we were 60 -40 hunting farming. We'll probably go to 40 -60 hunting farming in the next three to four years. That's because as you get to 200 million customers, as our data said, India is only 302 million households. And by FY '30, we foresee we'll be doing 100 million loans a year and we would have had 200 million franchise.

That's 20% of active households in India, we would have ever lend to at a point in time by FY '30. And they have a large wallet share. That means you just got to do more with them. That would have been a good 22 -23 years of a strategy running, which is 60 -40 acquire, cross -sell. It goes to cross -sell and acquire for the next probably 10 years . That's the big fundamental shift is what I would like to make to you. It will all be transient.

It will happen over a period of three to four years because I don't want, as one of the analysts said earlier, saying we have a habit of picking it up. We are not going from hunting to farming. We were hunting and farming. We

are hunting and farming on the continuum. We're just slowly gravitating to more -- to what the needs of the business are and shift the mix, nothing else. So that's what is the takeaway from LRS, yes -- end customer.

Chintan Joshi: There is plenty to unpick there, but we don't have the time.

Moderator: Those are all the questions we have time for today. And so , I'll hand the call back to Mr. Subramanian Iyer for conclusion remarks.

Subramanian Iyer: Thank you, Raj eev. Thank you, Sandeep. Any closing remarks from your side?

Rajeev Jain: No. Thank you. I would just say focus on core operating performance remains strong, and we are quite excited about the medium term is what I would say, just as a closing remark. Thank you. Thank you, Morgan Stanley.

Moderator: Thank you. On behalf of Morgan Stanley, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

Bajaj Finance Limited
Q4 FY'26 Earnings Conference Call
April 29, 202 6

MANAGEMENT : MR. RAJEEV JAIN – VICE CHAIRMAN AND MANAGING DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF OPERATING OFFICER AND CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – JM FINANCIAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Finance Limited Q4 FY '26 Earnings Conference Call, h osted by JM Financial Limited. As a reminder, all participant lines will be in the liste n only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch note phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Ajit Kumar, Executive Director, JM Financial Limited. Thank you, and over to you, Mr. Kumar.
Ajit Kumar: Thank you, N eerav. Good evening, everyone. This is Ajit Kumar from JM Financial. Welcome to Q4 FY '26 Earnings Call of Bajaj Finance Limited. On behalf of JM Financial, I would like to thank Bajaj Finance management for giving us the opportunity to host them. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Jain, Vice Chairman and Managing Director; Mr. Sandeep Jain, Chief Operating Officer and Chief Financial Officer; and other senior members of the management team.
I now invite Mr. Rajeev Jain for his opening remarks, post which we will open the floor for Q&A. Over to you, Rajeev.
Rajeev Jain: Thank you, Ajit. Thank you, JM. Good evening or good morning, depending on the geography that you're in, and welcome to BFL Q4 earnings call. The investor deck for Q4 has been uploaded on our website. I hope you had an opportunity to go through the same. I'll focus on key updates for Q4, year gone by, and management assessment before open the floor for Q&A. I expect to take between 20 to 25 -odd minutes.
Let me just quickly jump to panel number 4. Let me just clarify and it's given in yellow there that these numbers are before onetime actions and a set of presentation changes. Overall, I would say, from a company standpoint, it was a pretty strong quarter across all key metrics of volume, new cus tomer addition, AUM growth, credit cost, profit growth, return on assets and return on equity.
During the quarter, the company crossed the milestone of INR 5 lakh crore s AUM.

It's a proud moment for us as a company to end the quarter at approximately INR 510,000 crores. In Q4, AUM grew by 22.4% and PAT grew by 26.7%. In Q4, AUM grew by a record INR 25,500 -odd crores. We booked 12.9 million loans and added 3.93 million new customers to the franchise. Overall, the customer franchise as of FY '26, March stood at 119.3 million customers.
Let me now go to Panel 5. It's a little busy slid e. There are set of one -timers pertaining to Q4 FY '25 and Q4 FY '26.

The principal objective of this panel is to provide a simplified reconciliation of core financial performance with that of reported numbers. That's the objective. Let me start, first of all, with Q4 FY '25 last year. In Q4 last year, the company had recorded an additional ECL provision of INR 359 crores. Also in Q4 FY '25, the company had recorded a tax benefit of INR 348 crores. That's Q4 last year.
In Q4 this year, the company has taken an additional ECL provision of INR 142 crores towards management and macroeconomic overlay. That's point number one. Two, the company has also revised disclosure of recoveries against written -off loans. This was earlier presented under other operating income. It will henceforth effective Q4 FY'26 will be reported under loan losses and provisions as a net number. This has no impact on PBT and PAT for the quarter, but changes the ratios. It principally leads to redefining 2 key metrics, which are important for investors and for us as management, which is opex to NTI and loan loss to average AR.
As a result of this change, the opex to NTI is increasing from 33.2%, which is what it has come in to 33.8% as

a result of this reporting change. And loan loss to average
AR is reducing from 1.75% to 1.65% , this is really how we will report going forward as a company. The analysts will have to adjust the numbers to reflect this.
I will summarize once again, this panel principally is intended to help clearly depict the core profitability, which has seen a growth of 26% on PBT, as you can see, and 27% for PAT. I'll quickly cover the key points on Panel 6, 7 and 8. I'll only cover the high points. As I already said, AUM crossed INR 5 lakh crores. The growth was pretty secular across all businesses. The gold loan portfolio continued to witness strong momentum. It grew by 115%. The business now contributes to 3.5% overall AUM. We foresee gol d loan portfolio to probably cross 5 -odd percent of total AUM by FY'27.
Other lines of businesses also continue to grow in a healthy manner. That's covered in Panel 67 later in the slides. MSME continue to see muted growth. It grew by 6% only on account of a set of proactive risk actions that we have been taking since Q2 FY '26. We expect that it should come back to double -digit growth or the company growth momentum between Q2 and Q3 of FY '27. Cost of funds improved by 4 basis points in Q4 and came in at 7.41%. NIM remained steady.
Deposit book came in at INR 68,533 crores. It contributed to 16% of consolidated borrowings. Opex to NTI, going back to the earlier point that I made, came in at 33.8% in Q4 as against 33.6%. These are new numbers. Otherwise, it came in at 33.2% an improvement of 10 basis points vers us Q4 last year. There was a marginal increase sequentially, primarily due to , I'm talking sequential on account of cost of new Labour Code and accelerated gold loan branch expansion.

AI implementation continues to accelerate across the length and the breadth of the company, and I'll cover that shortly. Full -time employees stood at 71,613 employees. We added just a tad below 1,800 employees in Q4, 50% of them were actually in gold loan and MFI. Loan loss to average AUM as what investors have been used to came in at 175 basis points or 1.75% as against 1.97% in same period last year or Q4 FY25.
Stage 2 and Stage 3 assets, just to give you a texture on credit quality, have sequentially reduced by INR 430 -odd crores. We've seen continued improvement on this metric through FY26 over the last 3 quarters. The vintage credit performance, which does not show up in loan loss to average AUM across 3 MOB,

6 MOB, 9 MOB continues to reflect significant improvemen t in credit quality and gives me reasonably high degree of optimism about credit cost outlook for FY27.
I'll also cover 2 key points, which will further reflect our confidence on credit cost outlook for next fiscal, which I'll cover in a moment, but GNPA, NNPA came in at 1.01% and NNPA came in at 41 basis points. Provision coverage ratio was at 60% as again st 54% same time last year. The point that I made on credit quality, a reasonable amount of credit cost in the previous year came in from the MSME lines of business, which, as I said, we've already taken proactive reduction by close to 30%.
That's why it grew by 6% in full year where the company grew by 22.5%. It should be back in growth mode. And I think in our assessment, the worst is behind us by June '26. The captive 2 -wheeler and 3 -wheeler business, which now contributes to less than 1% of AUM, but even in Q4 accounted for 13% of GNPA and 5% of overall credit cost in Q4. This book will principally just wind down to less than INR 1,500 -odd crores by September '26, it will lead to further improvement in GNPA and should result in lower credit cost for FY27. Let me now just cover FinAI transformation. There are 5 panels. They may seem heavy, but I want to spend just a moment to make a point that why we'r e providing reasonable amount of coverage on Fin

AI transformation that there's a principal difference between deploying use cases and transformation.
Fundamentally, transformation is about reshaping the business model and in general, covers all aspects of business. I just want to highlight that we are doing transformation, and we are not just doing use case deployment. That's why we are presenting the expanse of the work company is doing on AI. So that's just one point I want to leave.
We expect FY27 to be probably the busiest year from a FinAI transformation in terms of outcomes, inputs and outputs as a firm and significant amount of time, effort and energy of management team over the last 15 -18 months is going into it. And should start to reflect in terms of the way consumer and employees experience us as a company in FY27.

Just to give you some texture on the transformation work, I'm on Panel 9. The company -- I mean, the biggest part of AI is about whether you have the talent or not. We have 203 people in the firm who are dedicated as the AI unit. We are expanding that to 363-odd resources by June '27. So we continue to expand the AI resourcing to ensure it can meet our aspirations and ambitions of becoming an FinAI firm.
The step number 1 in FinAI transformation clearly is about Data for AI, 52 million voice -to-data conversion happened, around 2.3 million text -to-data conversion happened and leading to significantly better insights on engagements or conversations with cus tomers. AI -generated digital banners and videos are enabling faster and cost -efficient marketing and discovery infrastructure.
Almost 100% of our videos are now AI -generated. On customer engagement, 27 AI, voice and text BOT’s are now live and all customer engagement is going into BOT interface by June '26. By June '26, any communication across any channel by us as a firm, whether for sales, service, DMS would have a text AI BOT in it. So across 32 different lines of businesses that we run, plus a whole host of services.
And we send, as I've said in the past, 260 -odd million pieces of communication on a monthly basis. All of them will have a bot embedded in it. On customer onboarding, AI -based data extraction, auto fill application, product level scans, label scans, auto QC are increasingly reducing manual effort, improving controllership and straight -through processing.
There are a whole host of numbers I've given here . The idea is to all the way between Panel 9, 10 and 13, there are numbers that you can see here . As I said, the intent is to principally give you a texture that how we are structurally going process by process and asking a question, why can AI not be deployed in these processes rather than why it can be deployed.
The most important dimension, I'm on Panel 12 is we'll start to deploy agentic platforms from an architecture and road map standpoint. In FY27, we expect to deploy 600 -plus autonomous agents and across operations, DMS, HR, technology and risk. That's really on AI. We can take more questions. I don't want to take more

time talking about it.
Let me just quickly go to full year performance. That's Panel 20. At a core -to-core level, it was a strong year for the company across all key metrics. And I think I'm reasonably confident that we are getting back into a strong growth momentum across all key metrics as a firm. We crossed 2 milestones, as I said, INR 5 lakh crores AUM and 50 million new loans. The year so far has started off pretty well. It's likely for the first time, we've never done 5 million loans in a month.

I mean, while the West Asia conflict is going on one hand, when we look at the consumer momentum on the ground, it's very likely we'll cross 5 million -plus loans in the month. Our last peak was 4.6 -odd million loans, and that was in festival period.

So clearly, the company continues to generate momentum.
Overall, last year, we booked 52.5 million loans and added 17.5 million new customers on a full year basis. AUM, I talked about grew 22%. PAT grew 24%, ROA , and opex to NTI I talked about it, showed an improvement of 36 basis points despite rapid expansion of gold loan branches, reasonable expansion of MFI branches by the firm last year.
So that's really on the full year performance. You guys anyway track it, so I don't have to cover that. Let me cover what is important as to how do we see the outlook to be. Just on the previous year gone by , the Board of Directors have recommended a dividend to shareholders of INR 6 per equity share.
So that's a 600% dividend. It's broadly in line with the dividend last year as we had outlined that part of the dilution that we do in BHFL will be shared with the shareholders. So , we've in that spirit, continue to stay on course of that as well. So that's really last year. Let me now go to important panel as to how do we see the management assessment to be from a next fiscal standpoint.
As I said, the year so far seems to have started pretty well. We are well on course to cross 5 million loans in a single month as a firm. I'm on Panel 28. Of course, I must just flag that the FY27 assessment is based on expectations of easing geopolitical tensions and macro stability. That -- I'm sure , it's understood, but I thought it's important I make the point yet again that it's contingent upon easing geopolitical tensions and macro stability.
Subject to that, the first point is on transformation making the business AI ready. I have already talked about it. We will see significant acceleration and deployment of AI use cases across revenue, cost, customer engagement, underwriting, controllership , security as a firm. In terms of customer franchise, we continue to be confident of adding 15 - 17 million new customers in FY27.
In terms of AUM, we're confident of a 20% to 24% AUM growth, aided by new businesses that we've launched in the last few years as they begin to scale. Even last year, they contributed 3% of the total growth. Rather 3.5% of total growth even in the previous fiscal. And as we gain greater confidence, our market share in those businesses and their contribution to the business should grow.
NIM, we expect marginal moderation. It's a little bit contingent on how interest rates play out, caused by geopolitical tensions. On opex to NTI, we expect to see continued improvement of 25 to 40 basis points from current levels. On credit cost,

this is a new credit cost metric, which, as I said we just reported a 165 basis points or 1.65% credit cost to AUM, the revised metric.
We expect this to continue to trend down. The reasons I talked about earlier, which is winding down of 2 -wheeler portfolio and in the MSME business being out of the woods by June '26. In terms of profitability, we are pretty optimistic about the profit growth. ROA came in as of fourth quarter at 4.6%. We continue to guide for 4.4% to 4.6%.
Return on equity came in at 20% in the current quarter, we continue to guide for 19% to 20%. And GNPA and NNPA, we expect them to remain range bound and well within our long -term guidance. I think that's really all I have to cover. Just quickly on BHFL, co mpany has already reported its performance.

They had a good quarter on disbursements, AUM, asset quality, opex and profit, their disbursements and AUM growth remained strong at 23%. Their loan approvals are up a record 37%, opex to NTI continued to improve for them, came in at 19.2% as against 21.8% . I'm sure Atul has shared what his long -term view on where he foresees opex to NTI to get to, to be a pre -eminent mortgage company in this country.

PBT for them in Q4 grew by 20% and PAT excluding onetime reversals, grew by 20% and asset quality cont

inue to remain very, very healthy with GNPA and NNPA at 27 and 11 basis point s respectiv ely. BFSL though small, continue s to grow, delivered a 77% growth in AUM and their profits were up 50%.

We added 124,000 new customers in Q4 and delivered an ROE of 10.5%. So that's really on BFL Q4 and its subsidiaries, the management guidance for FY27. Just the last point, which I did not cover, I should have covered in terms of portfolio quality across Panel 70 onwards, continue to all be in green are seeing sequential improvements across all portfolios.

Only business loan and professional loans is yellow, which I've articulated twice over the last 20 minutes on how we foresee that this should turn. This will not turn green in a quarter because the denominator also has a role to play as it starts to grow b y Q2 or Q3, we will start to see this turn to green. That's really the quarter gone by, year gone by and our guidance or management assessment for next year.

We are happy to take questions with management.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi, Rajeev, hi Sandeep. Thanks for taking my question. So just to get this whole guidance of credit costs very clear, if you don't mind, can I refer to the press release where you've given a summary of consolidated financial results?

Rajeev Jain: Please.

Abhishek Murarka: Yes, so there, your number is gross loan provisions of INR 2,126 crores and then INR 260 crores of recovery. So the net loan provision is INR 1,866 crores. That INR 1,866 crores works out to 165 bps in 4Q. And against that, you're guiding for 145 to 160 bps next year, full year. Is that the right understanding? Yes, that is perfect, right?

Rajeev Jain: Yes.

Abhishek Murarka: And just the annual number, INR 7,934 that works out to 175. So on an annual basis, 175 goes down to 145 to 160?

Rajeev Jain: That's perfect.

Abhishek Murarka: Perfect. Okay. So now in this 145 to 160, as you said this takes into account the de - escalation of geopolitical issues. So here, you have not accounted for any kind of adverse impact of this geopolitical issues, right?

Rajeev Jain: No.

Abhishek Murarka: If anything comes up second half or something, then this may go up depending on how things play out in?

Rajeev Jain: Yes. The important point, however, you finish Abhishek?

Abhishek Murarka: No. That is it. Please go ahead.

Rajeev Jain: I would just say the more important point or a meta point in this is we are entering the year on credit costs with tailwinds. Headwind over headwind virtually would consume twice the fuel. Thankfully, we are entering the year with tailwinds. We have momen tum. We can navigate even if the environment weaken. I think that's how I am looking at the business at this point in time.

Sandeep Jain: So I think what Rajeev is trying to say is some level of conservatism in terms of doing the number crunching and giving a guidance of 145 to 160 has been done. We have to wait and see how situation evolves eventually.

Rajeev Jain : No, I'm also making a point that we have tailwinds on credit cost. We don't have headwinds. So that itself is a big help.

Moderator: Thank you. Abhishek, I will request you to come back for a follow -up question. Next question is from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Yes. Thank you for the opportunity. My question is on the long -term guidance of ROA probably inching towards 4.3 - 4.7 percentage. I mean for FY27, I understand you've given the explanation on opex and probably that will be the bigger driver.

But if you can help us get into the details of this 4.3 to 4.7 over the longer term that

you've spoken about?
Also for FY27, as per the, the basic math that I was picking up, you may need a little bit more NIM expansion to achieve the ROA guidance for FY27. Is my understanding correct or not? Please let us know. Yes.
Rajeev Jain: Sorry, just repeat the last point.
Shreya Shivani: So for FY27 also, as per my math, you will need a NIM expansion also or at least a NIM stable flat NIM or an expanding NIM to achieve the ROA guidance for FY27?
Rajeev Jain: Yes. Okay. Got it. See, the answer is to the second part is, no. See, look, if you go back to -- if you go to Panel 35, which is a 19 -year long snapshot, feels like -- doesn't feel like that long actually, 19 years. If you see since FY20 , forget FY21, but even if you take FY18, '19, 4.2%, 4.1%, FY22, 4.2%, FY23, 5.3%, 5.1%, 4.6% , 4.3%.
I think numbers speak for themselves. I'll add a dimension of ROE. ROE guidance of 20 to 22 last 6 years, adjusted for COVID speaks for themselves and during this period, as you can see from a balance sheet standpoint, the balance sheet moved from INR115,0 00 crores to now INR510,000 crores.
So it should give you confidence that we can continue to sustain the ROA, at times by expanding margins, at times by reducing cost, at times by reducing credit cost.
These are the 3 principal levers either 4 levers rather, growth, margin expansion, operat ing expense and credit costs, depending on how -- what the environment is, what is the state of the business. We orchestrate these 4 to deliver an outcome of 4.3% to 4.7% ROA and 20% to 22% ROE to investors on a long -term basis.
Sandeep Jain: Yes. And just to help you with the math on 4.6%, the guidance metric for the next year on ROA. And that's the reason why Rajeev when he presented the financial statement and numbers, he said, look at the core financial performance. If you look at core fin ancial performance for last year, the ROA came in at 4.6%. And the guidance that we are giving for next year is 4.4% to 4.6%.
I don't think that there will be a need for NIM expansion in the next year to be able to deliver that. We have to ensure that we grow nicely, which is where the 22% to 24% guidance has been given. And we have to ensure that we remain reasonably anchored on the operating performance of the company, which is opex to NTI as a metric and loan loss to credit -- loan loss to average AR. As we deliver that, I think there is enough and more headroom available in the ROA profile of the company.
Moderator: Thank you very much. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. So on the growth guidance, 22% to 24% apart from SME, which is almost bottomed out, we have started to see the sequential growth and we will get into double digits. Ex of that when we and the newer businesses, where do we see we would be able to grow at a pace faster than the overall AUM growth? And which segments do you still believe could continue to lag, so particularly on our core segments as well. If you can highlight that, that wo uld be helpful? Yes.
Sandeep Jain: Yes. So Kunal, the idea would be to maintain the portfolio mix. I think that's very, very dear to us. That gives us the right balance of risk and profitability. So that's going to be the agenda for next year as well. Having said so, I think when you look at current year number of 22.4% of AUM growth, this is impacted by two things: one, the captive 2 -wheeler 3 -wheeler financing business has seen an attrition of 60%. That's almost INR6,500 crores of attrition that we have recorded in the curren t year on account of winding down of captive business. That's one.
Second, MSME, the growth used to be 25%, 28%, 30%, has been brought down to 6%. These 2 business, one, the impact of captive dial down will be much, much lesser in the next year. MSME should start to come back into s

ome growth momentum to double -digit num ber from second half onwards. These 2 things should provide tailwind on the overall growth number.
Having said so, there are a few businesses which are in nature, like gold loan

financing, tractors, CV and so on and so forth. They may grow faster than rest of the business because of very, very low base. Of course, gold is not -- no longer a low base it' s INR18,000 crores in the balance sheet. But given that we are taking a growth stance in that business of doubling down on our branch presence in that business in the next year, we are reasonably hopeful that, that should lead the overall growth profile of the company for the next year as well.
And Rajeev did make a point that the current contribution of gold loan is about 3.5% of the balance sheet. All goes well, which should start to look towards 5% kind of number in the next year as well. So these are some of the business where we see there co uld be an additional growth potential. Having said so, we find secular growth opportunity across all businesses, and our market share in most of the businesses continues to remain small, allowing us significant headroom for growth perspective.
Rajeev Jain: Just the last point I'll make, Kunal, if you plot Panel 63 of composition of our balance sheet over a period of even last 5 years, you will not see material movement at all actually. So you will see very little movement. Number one, the base of each one o f them is very large. I mean there are moments like gold loans that come once in a while. Otherwise, you will see a reasonable secular growth and a reasonably diversified portfolio.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Yes, hi, team. Congrats on the really strong set of numbers. I'll try to squeeze in two questions, if you don't mind. Firstly, can you just share some portfolio cuts or what you're seeing in the environment that gives you the confidence to pick up on MSME growth? That's my first question. Second question is in new consumer products like car loans, gold loans, etcetera, how many -- like what percentage of our business comes from existing customers and how many from new customers?
Rajeev Jain: Yes. So Piran, if you recall, in Q3, I made a point that I'm not necessarily a very big believer in macro. We are a micro business. You'll find it in transcript of last quarter.
At a design level, MSME is a very, very large sector. You just have to pick w hat you can digest from a risk standpoint. And that's really what we're doing.
Even at this point of time, as we speak, based on our assessment, we have pruned business INR100 -odd crores. We monthly do around -- we used to do INR1,800 crores. We brought it down to INR1,400 crores. We have further taken cuts in the current month based on our understanding.
But as I mentioned, the guidance next year is based on stabilized -- stable environment and geopolitical environment and macro stability. We are very clear about from a micro standpoint, from a location, businesses and underwriting as to what will deliver growth. So I think that's just first part of your -- the answer to your MSME point. And it's a reasonable takeaway for us that our business is -- we know, but that you always remember our business is micro, not macro. I think that's point one. The second point you had asked on.
Sandeep Jain: Contribution of new -- existing customers for new business.
Rajeev Jain: For new businesses, it's a metric that we drive. So let's say, if you take 2 -wheeler as an example, okay? It's a new business, 3 years old, the open architecture 2 - wheeler business. The new customer performs better than -- sorry, ETV performs significantl y better than NTB. 50% of the 2 -wheeler customers that we bring to the table is an ETV customer.
Between 4

3% to 45% of new car financing customers that we bring to the table every month, that's a INR450 -odd crores of -- INR450 crores to INR500 crores of volumes we do every month comes from ETV. As I shared as part of our annual investor outlook, the 5 -year outlook that business by business, the 120 million franchise, principally has very high wallet share across each line of business that we are in. I gave an example of new car finance.
New car finance and used car finance, 35% of all new car finance and used car finance as per bureau data principally comes from this 120 million customers,

okay? Personal loan, our market share is between 8.5% and 9%. At the India level, the number is 40% -- 45% of personal loans takers in India come from our 120 million franchise.

So I can go on business by business. Risk and wallet and operating leverage, all 3 require us to focus on this metric across all our 32 lines of businesses. And we track it very diligently and ensure that we deliver the mix that we have planned for.

Moderator: Next question is from the line of Kuntal Shah from Oaklane Capital.

Kuntal Shah: I have 2 questions. One is what kind of capex or investment we are going into AI infra? Can you give some color and what kind of ROI and payback you are envisaging? And secondly is when it will start impacting the P&L via either cost saving or some kind o f faster turnaround or whatever the metrics you are taking...?

Rajeev Jain: Kuntal, yes, so benefits, as I said, consumers and employees both should experience in the current year what AI does for them. So that's one part. As I said, SMS or bots being the simplest example. Walking into 3,000 stores or 2,700 across branch -- gold loan branches, customer service branches and in -stores, we will deploy close to 2,700 cameras, customer identification, reduce friction, which means faster turnaround, which means lower cost. I mean, so better customer experience on one side an d lower cost on the other.

AI call center agent is one -third of the cost, straight. That's the -- so we, at a point in time, had 5,000 outbound voice agents. That number itself, we have brought down, step number one in terms of optimization. And two, 30% of them are now AI voice ag ents. That's one -third of the cost, straight, line by line. Now in terms of overall capex, first question to Sandeep, is do we publish capex, or we don't?

Sandeep Jain: We don't.

Rajeev Jain: We don't. Otherwise, it will become a new added metric. And we anyway publish hundreds of metrics, one more metric will get added. So please excuse us on that. But we are not -- but let me make a point. We are not pulling back any stops in investing whatev er it takes in being front of the seat and center.

I talked about the talent expansion. It's not easy to get AI talent. Principally, there's no concept of AI talent. These are existing machine learning folks who are actually being trained. They're training themselves, and we are helping them with use cases to convert into AI researchers or AI talent. That's really what we're doing.

What they need is compute, which is not that easily available. What they need is sponsorship, which is not that easily available and what they need is use cases, which is not that easily available. We are delivering those 3 to them.

So I think overall, I would say -- and I'll hand it over to Anurag for a moment, he's jumping to speak that it is probably one of the most exciting part of the work that we're doing after a long, long time. So I'll just now hand over to Anurag for him to expand on it.

Anurag Chottani : Yes Kuntal, Rajeev covered a lot of use cases. I must also say, we are parallelly investing deeply on the security and the compliance infrastructure as well. So you're aware that RBI has released a FREE -AI

framework. So we have consumed and we are in process o f implementing the explainability, auditability and the transparency what the FREE -AI report talks about. And parallelly, a lot of investments going into the security architecture as well apart from building the new set of capabilities , what Rajeev talked about it.

Rajeev Jain: You will experience, Kuntal, as consumers, on the app very soon, AI summaries will start to appear because there is 120,000 Figmas that we've created over the last 5 years. They need summarization, if you simplify the conversation. So just give us 3, 4 mo nths and you'll start to see very soon -- we have 71,000 employees. So far, we used to train using PPTs. I spent 33 years working. They'll all transitioning by end of May to Copilots. They'll all use Copilots for -- which is NLP -based infrastru cture to get trained. So that's the level of transformation process by process that we are actually in the process of implementing. We are not planning. We are in the process of implementing.

Anurag Chottani : And just as an added point. Last year, we processed -- on peak of Diwali on a single day, we processed like 600,000 loans, which without AI, we were like 100,000 loans -- we had capacity to process only 100,000 loans on a single day. So you might see next Diwali, like we'll process close to 1 million loan accounts on a single day as

against the numbers that I just mentioned.
Moderator: Next question is from the line of Viral Shah from IIFL Capital.
Viral Shah: I have 2 questions more connected to each other. So first thing is when I look at the PCR coverage across Stage 1 and 2, especially, I think even versus the last quarter, you have further shored it up in this quarter. And correct me if I'm wrong, now this is basically at almost highest levels that we have seen in our history barring the COVID periods.
Do you -- like over here, is there any cushion that has been built up and through the course of next year, you will see some of that unwinding basically, or does your PCR levels remain over here next year or does it reduce?
And the connected question to this is the credit cost guidance, Rajeev, you mentioned basically of 1.45% to 1.6%. Does this -- the change versus 165 to 175 basis points in the last quarter you guided for FY27, is this purely because of the change in the p resentation of the recoveries?

Rajeev Jain: No. No.
Sandeep Jain: So I think your assessment is correct versus 165 to 175 that Rajeev -- that becomes 145 to 170 because of the change in the presentation. Your assessment is correct on that. As regard the ECL provisioning across Stage 1, Stage 2, Stage 3, this is a bottoms -up exercise that we do every year. We are moving from yearly exercise to quarterly exercise. T hese are bottoms -up calculation done by product, where we are ensuring that we remain true to the model.
The idea is to focus on resiliency of the balance sheet and the provision coverage ratio. I have reason to believe the numbers should remain in this corridor. We get opportunity, we will further up the NPA on provision coverage ratio to ensure that we are bullet proofing the balance sheet from any kind of potential impact that one could witness maybe 3, 5, 7, 10 years down the line.
So resiliency and bullet proofing of the balance sheet are the 2 most important parameters that we also look at when we do a complete remodeling of ECL. All the places where we can identify items for making more provisions to credit cushioning, we do keep doing those activities.
Moderator: Next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Two or three questions. The first one is, how do we split the opex into cost of acquisition and cost of collections? What would be these two as a proportion of the opex? Second is in terms of risk management, how m

any people do we have on rolls for collec tion? And how many feet on street of the collection agencies we have?
Third is when I do a back calculation basis, our growth and the ROA metric, just a rough calculation, the profit growth would be upwards of 35% versus the 22% AUM growth. Is that a fair assessment? We are looking at 35%, 40% kind of growth levels in profi t in FY'27?
Rajeev Jain: Shubhranshu, I need AI for all the 3 questions. They're all 3 different. But on a lighter vein, Sandeep?
Sandeep Jain: Yes. So on the opex side, I think the results sheet carries additional breakups in terms of expenditure that we incur. Of course, the sourcing cost, to the extent it is variable in nature, gets accounted as EIR in the interest income line. So that's not separately identifiable. But the recovery commission and the cost that we incur for collecting money from the customers and doing DMS debt management services is shown as fees and commission expenditure separately in the results sheet. I won't repeat the num ber, but those numbers are there for everyone to consume.
As regard the profit growth for the next year, 22% to 24% growth in AUM should lead to a little better growth in profitability because if we are supposed to deliver

operating efficiency growth of 25% to 40% that Rajeev has talked about, if we see improvement in -- basis points. If we see improvement in loan loss to average AR as a metric in the next year, even with a marginal moderation that we are talking about from NIM perspective, which is also documented as part of the assessment

for next year.
There is a possibility that the P&L growth may be faster for the next year than the balance sheet growth. I don't think that I've done a math internally which suggests a 35% number to me, but I'll be more than happy to be positively surprised if the number were to come. As Rajeev said, we'll probably need AI to be able to deliver that.
Rajeev Jain: But we have tailwinds. I made the point earlier. I would just make a point, Shubhranshu, we have tailwinds subject to geopolitical stability, we should be in good place.
Moderator: Next question is from the line of Omkar from Shree Investments.
Omkar: So in the Investor meet, which you do every year, you have guided that it's not about the question of growth, but how quickly you can compound. So given the state of the current balance sheet size, you have guided for 22% to 24% for the current financial year. But like how does it compare with your overall long -term guidance of around 17% to 19%, 20% kind of growth?
Sandeep Jain: I think the long -term guidance that we give at this point in time is between 22% and 24%, 25% kind of corridor. And based on the current performance that we have delivered and the momentum that we see across businesses, we are reasonably confident that 20 % to 24% should be achievable for next year. And I think it's year -by-year, right? So long -term commitment continues to remain to be anchored at 20% plus number '22, '23, '24. For the next year, 22% and 24%, and then build on top of it in the future.
Rajeev Jain: I'll just make a point that, look, for INR100,000 crore addition in balance sheet, the growth in total or market share growth in total credit, if you take the denominator as total credit in India. So gross bank credit plus NBFC credit minus bank lending t o NBFC. That's net total credit in India, okay? Our market share would have moved from 225 basis points to 250 basis points. If India total credit grew by 12%, we have grown by 22%, okay?
We should largely be growing 2x. I would say, given our relative market share, not our absolute size, given our relative market share, we should be as a firm aspiring to grow 2x of what the system growth is so that we can meet our ambition to be among the top 5, 6 financial services lenders in this country over a

period of next
5 to 7 years' time. So that's the way I would approach this, and we continue to approach it that way.

Absolutely it looks big, INR100,000 crore addition. Market share growth, 25 basis points. So I think there is -- and as I said earlier, the franchise has very large wallet share as we deliver on customer centricity that I talked about in our Annual Invest or conference on our Annual Investor Day, we are investing very deep on customer centricity, Overlay on that AI transformation.
Take customer centricity and AI transformation, the compounding should become easier, I would say, okay? Actually, I would say it will become easier rather than harder. The absolute size makes it look harder. But as we take the customer centricity, which i s focused on customer wallet and AI transformation, we are doing all this to make compounding easier. The principal compounding to me is what is the return on equity.
I think we continue to hold at a INR100 invested in us, principally generates a 20%, 22%, INR22, fixed deposits give you 7%, we are giving you INR20. And we are giving that for the last 10, 11 years. And we believe that we can continue to compound sharehol der value in terms of return on equity for a long, long period of time.
Moderator: Next question is from the line of Bharat Shah from BCS Capital Ideas.
Bharat Shah: Delighted to see the good results. I just had one broad question. If we see the evolution of Bajaj Finance and if we see the period prior to COVID, and I draw distinction for the period after COVID. So generally out of the 4 levers, the growth of the asse ts, the margin, the cost intensity or cost diminution and the credit cost, these 4 levers leading to ROA and in terms degrading leading to ROE.
So if I see prior to COVID generally every element plays like a good nod in the overall symphony and therefore there was a rising crescendo. Typically, the yields and cost of the funds were managed to give typically a good or rising kind of NIM. The growth has always been very focused and strongly delivered vertical -- by vertically business segment by segment.

And therefore, given good usage of technology we delivered even the cost metrics very efficiently over the period of time. And given our very strong discipline on credit cost management that also played a perfect part to the symphony. Even if there was som e one note, out of the 4 notes, which might be playing a little jarring note at a particular point, overall symphony in terms of return on asset and return on equity, typically tended to be buoyant and in our favour.
Post -COVID, that equation has been a little more middling type where generally, the final symphony outcome in form of ROE is still healthy by miles compared to any benchmark anywhere. But compared to our own benchmark, the crescendo has not been rising, b ut kind of, so to say, undulating one up and down type.

Due to finally with the AI in play with a lot of attenuating factors hopefully behind us. Now are we really poised in a way where all the notes kind of combined together to produce a rising crescendo rather than kind of even or at times falling crescendo that we saw. Instead of that, on a more long -term basis, we are slated for the rising crescendo.
Rajeev Jain: Okay, your observation is correct. I think first point. Point number two, I think pre - COVID to now, Bharat, company is 4x, INR140,000 crores balance sheet, 3.5x. We are INR510,000 crores. That's point number two. But through this period, the return on ass ets have grown. Through this period, if you take only 2 measures of return on assets and return on equity have remained and I'm on Panel 35, we were at FY19, 22.5%. We had just raised FY20, 20.2% and we have remained between 19% and 20%. So tha t's point 2.
Now come to post -C

OVID. Now COVID was a big shock. Shock led to post, and as an operating manager, I'm speaking, post -COVID, there was a massive boom. That boom we leveraged by principally expanding lines of businesses, expanding locations very rapidly, i nvesting very deep in digital transformation, these 3, expanding in the process teams, high ROA, high ROE, if you have pulled ROE in FY23 went to a peak of 23.5%.
You know, good times lead to what I would call, and I'm being as objective and fair doing my performance assessment of last 5 and pre -COVID, lead to some level of what I would call in boom cycles, you take a set of decisions, which necessarily are, should be more calibrated is how I would respond. I think in the last 18 months, we've calibrated those responses, okay?
And to summarize the point, you should see us from here on in a reasonable cruise mode. Sandeep made a point in the passing. At a design level, I have made that point to various investors that at INR510,000 crores, we are by far the largest. We are a very important player in terms of even overall credit in the country. It's our fiduciary responsibility to ensure we are highly resilient, can take any shocks.
We are, Sandeep made a point on bullet proofing the balance sheet. We will be a bulletproof business. While delivering as a firm a 20%, 22% ROE and a 22% to 24% balance sheet growth. We think that we should be from here on in a lot more cruise mode. So th at's really how I would summarize my response, Bharat, to all the way to pre -COVID. I must tell you on a more, in a lighter way, I have management team sitting here, senior members of the management team. I keep reminding them I want to FY20, I want to go back to FY20 credit costs. And they used to laugh at me. Now they are all delivering. The 3 MOB, 6 MOB, 9 MOB lower than FY20.
And as I said, the balance sheet is 3.5x. So I think it's about what we decide to do rather than what happens. I think we will decide what we want to do. We will, last

point I'll make, we are from a, what does resiliency and bullet proofing means that the profit growth principally should be higher than balance sheet growth.
And every incremental dollar of the differential in terms of growth goes to strengthening the balance sheet because we're just living in continuous crisis. I mean, let me spend one moment, 1 year, 3 crisis. We started the year, we all have short memory. We started last year with Indo -Pakistan war for 4 days. We had tariff for 4, 5 months. And we had February, March, full March of Iran -U.S. war.

How does one model that? And we have continued to still be operating manager.
We have to remain open for business. So the best way is to just keep bullet proofing
the business. It needs tremendous agility, I would say, for all firms, for all operating
man agers, tremendous agility because this is an environment that we are, we have
to all become used to living in. And our management team here, we are committed
to do that. I hope that gives you, and we can do a side conversation, longer one.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question.
I'll now hand the conference over to Mr. Ajit Kumar for closing comments.
Ajit Kumar: Thank you, Rajeev, Sandeep and Bajaj Finance team. Do you want to make any
closing comments before you conclude?
Rajeev Jain: No. Thank you is the only closing comment.
Sandeep Jain: Thank you.
Rajeev Jain: Thank you. Wish us luck. Wish the world luck. Thank you. Thank you all.
Moderator: Thank you very much. On behalf of JM Financial Limited, that concludes this
conference. Thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: May 2026

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Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 March 202 6
Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations
In furtherance of our letter dated 13 April 2026 , the transcript of Q 4 FY2026 investors conference call held on 29 A pril 2026 at 6: 00 p.m. IST has been uploaded on the website of the Company at https://www.aboutbajajfinserv.com/finance -investor -relations -quarterly -earnings -call
Also, enclosed is the transcript (pdf) as attachment for ease of reference.
Kindly take the above on record.
Thanking you,
For Bajaj Finance Limited

R. Vijay
Company Secretary
Email ID: investor.service@bajajfinserv.in

Encl.: As above

Bajaj Finance Limited
Q4 FY'26 Earnings Conference Call
April 29, 202 6

MANAGEMENT : MR. RAJEEV JAIN – VICE CHAIRMAN AND MANAGING
DIRECTOR – BAJAJ FINANCE LIMITED
MR. SANDEEP JAIN – CHIEF OPERATING OFFICER AND
CHIEF FINANCIAL OFFICER – BAJAJ FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – JM FINANCIAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Finance Limited Q4 FY '26 Earnings Conference Call, h osted by JM Financial Limited. As a reminder, all participant lines will be in the liste n only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch note phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Ajit Kumar, Executive Director, JM Financial Limited. Thank you, and over to you, Mr. Kumar.
Ajit Kumar: Thank you, N eerav. Good evening, everyone. This is Ajit Kumar from JM Financial. Welcome to Q4 FY '26 Earnings Call of Bajaj Finance Limited. On behalf of JM Financial, I would like to thank Bajaj Finance management for giving us the opportunity to host them. To discuss the earnings, I'm pleased to welcome Mr. Rajeev Jain, Vice Chairman and Managing Director; Mr. Sandeep Jain, Chief Operating Officer and Chief Financial Officer; and other senior members of the management team.
I now invite Mr. Rajeev Jain for his opening remarks, post which we will open the floor for Q&A. Over to you, Rajeev.
Rajeev Jain: Thank you, Ajit. Thank you, JM. Good evening or good morning, depending on the geography that you're in, and welcome to BFL Q4 earnings call. The investor deck for Q4 has been uploaded on our website. I hope you had an opportunity to go through the same. I'll focus on key updates for Q4, year gone by, and management assessment before open the floor for Q&A. I expect to take between 20 to 25 -odd minutes.
Let me just quickly jump to panel number 4. Let me just clarify and it's given in yellow there that these numbers are before onetime actions and a set of presentation changes. Overall, I would say, from a company standpoint, it was a pretty strong quarter across all key metrics of volume, new cus tomer addition, AUM growth, credit cost, profit growth, return on assets and return on equity.
During the quarter, the company crossed the milestone of INR 5 lakh crore s AUM. It's a proud moment for us as a company to end the quarter at approximately INR 510,000 crores. In Q4, AUM grew by 22.4% and PAT grew by 26.7%. In Q4, AUM grew by a record INR 25,500 -odd crores. We booked 12.9 million loans and added 3.93 million new customers to the franchise. Overall, the customer franchise as of FY '26, March stood at 119.3 million customers.
Let me now go to Panel 5. It's a little busy slid e. There are set of one -timers pertaining to Q4 FY '25 and Q4 FY '26.

The principal objective of this panel is to provide a simplified reconciliation of core financial performance with that of reported numbers. That's the objective. Let me start, first of all, with Q4 FY '25 last year. In Q4 last year, the company had recorded an additional ECL provision of INR 359 crores. Also in Q4 FY '25, the company had recorded a tax benefit of INR 348 crores. That's Q4 last year.
In Q4 this year, the company has taken an additional ECL provision of INR 142 crores towards management and macroeconomic overlay. That's point number one. Two, the company has also revised disclosure of recoveries against written - off loans. This was earlier presented under other operating income. It will henceforth effective Q4 FY'26 will be reported under loan losses and provisions as a net number. This has no impact on PBT and PAT for the quarter, but changes the ratios. It principally leads to redefining 2 key metrics, which are important for

investors and for us as management, which is opex to NTI and loan loss to average AR.
As a result of this change, the opex to NTI is increasing from 33.2%, which is what it has come in to 33.8% as

a result of this reporting change. And loan loss to average
AR is reducing from 1.75% to 1.65% , this is really how we will report going forward as a company. The analysts will have to adjust the numbers to reflect this.
I will summarize once again, this panel principally is intended to help clearly depict the core profitability, which has seen a growth of 26% on PBT, as you can see, and 27% for PAT. I'll quickly cover the key points on Panel 6, 7 and 8. I'll only cover the high points. As I already said, AUM crossed INR 5 lakh crores. The growth was pretty secular across all businesses. The gold loan portfolio continued to witness strong momentum. It grew by 115%. The business now contributes to 3.5% overall AUM. We foresee gol d loan portfolio to probably cross 5 -odd percent of total AUM by FY'27.
Other lines of businesses also continue to grow in a healthy manner. That's covered in Panel 67 later in the slides. MSME continue to see muted growth. It grew by 6% only on account of a set of proactive risk actions that we have been taking since Q2 FY '26. We expect that it should come back to double -digit growth or the company growth momentum between Q2 and Q3 of FY '27. Cost of funds improved by 4 basis points in Q4 and came in at 7.41%. NIM remained steady.
Deposit book came in at INR 68,533 crores. It contributed to 16% of consolidated borrowings. Opex to NTI, going back to the earlier point that I made, came in at 33.8% in Q4 as against 33.6%. These are new numbers. Otherwise, it came in at 33.2% an improvement of 10 basis points vers us Q4 last year. There was a marginal increase sequentially, primarily due to , I'm talking sequential on account of cost of new Labour Code and accelerated gold loan branch expansion.

AI implementation continues to accelerate across the length and the breadth of the company, and I'll cover that shortly. Full -time employees stood at 71,613 employees. We added just a tad below 1,800 employees in Q4, 50% of them were actually in gold loan and MFI. Loan loss to average AUM as what investors have been used to came in at 175 basis points or 1.75% as against 1.97% in same period last year or Q4 FY25.
Stage 2 and Stage 3 assets, just to give you a texture on credit quality, have sequentially reduced by INR 430 -odd crores. We've seen continued improvement on this metric through FY26 over the last 3 quarters. The vintage credit performance, which does not show up in loan loss to average AUM across 3 MOB, 6 MOB, 9 MOB continues to reflect significant improvemen t in credit quality and gives me reasonably high degree of optimism about credit cost outlook for FY27.
I'll also cover 2 key points, which will further reflect our confidence on credit cost outlook for next fiscal, which I'll cover in a moment, but GNPA, NNPA came in at 1.01% and NNPA came in at 41 basis points. Provision coverage ratio was at 60% as again st 54% same time last year. The point that I made on credit quality, a reasonable amount of credit cost in the previous year came in from the MSME lines of business, which, as I said, we've already taken proactive reduction by close to 30%.
That's why it grew by 6% in full year where the company grew by 22.5%. It should be back in growth mode. And I think in our assessment, the worst is behind us by June '26. The captive 2 -wheeler and 3 -wheeler business, which now contributes to less than 1% of AUM, but even in Q4 accounted for 13% of GNPA and 5% of overall credit cost in Q4. This book will principally just wind down to less than INR 1,500 -odd crores by September '26, it will lead to further improvement in GNPA and should result in lower credit cost for FY27. Let me now just cover FinAI transformation. There are 5 panels. They may seem heavy, but I want to spend just a moment to make a point that why we'r e providing reasonable amount of coverage on Fin

AI transformation that there's a principal difference between deploying use cases and transformation.
Fundamentally, transformation is about reshaping the business model and in general, covers all aspects of business. I just want to highlight that we are doing

transformation, and we are not just doing use case deployment. That's why we are presenting the expanse of the work company is doing on AI. So that's just one point I want to leave.

We expect FY27 to be probably the busiest year from a FinAI transformation in terms of outcomes, inputs and outputs as a firm and significant amount of time, effort and energy of management team over the last 15 -18 months is going into it. And should start to reflect in terms of the way consumer and employees experience us as a company in FY27.

Just to give you some texture on the transformation work, I'm on Panel 9. The company -- I mean, the biggest part of AI is about whether you have the talent or not. We have 203 people in the firm who are dedicated as the AI unit. We are expanding that to 363-odd resources by June '27. So we continue to expand the AI resourcing to ensure it can meet our aspirations and ambitions of becoming an FinAI firm.

The step number 1 in FinAI transformation clearly is about Data for AI, 52 million voice -to-data conversion happened, around 2.3 million text -to-data conversion happened and leading to significantly better insights on engagements or conversations with cus tomers. AI -generated digital banners and videos are enabling faster and cost -efficient marketing and discovery infrastructure.

Almost 100% of our videos are now AI -generated. On customer engagement, 27 AI, voice and text BOT’s are now live and all customer engagement is going into BOT interface by June '26. By June '26, any communication across any channel by us as a firm, whether for sales, service, DMS would have a text AI BOT in it. So across 32 different lines of businesses that we run, plus a whole host of services.

And we send, as I've said in the past, 260 -odd million pieces of communication on a monthly basis. All of them will have a bot embedded in it. On customer onboarding, AI -based data extraction, auto fill application, product level scans, label scans, auto QC are increasingly reducing manual effort, improving controllership and straight -through processing.

There are a whole host of numbers I've given here . The idea is to all the way between Panel 9, 10 and 13, there are numbers that you can see here . As I said, the intent is to principally give you a texture that how we are structurally going process by process and asking a question, why can AI not be deployed in these processes rather than why it can be deployed.

The most important dimension, I'm on Panel 12 is we'll start to deploy agentic platforms from an architecture and road map standpoint. In FY27, we expect to deploy 600 -plus autonomous agents and across operations, DMS, HR, technology and risk. That's really on AI. We can take more questions. I don't want to take more time talking about it.

Let me just quickly go to full year performance. That's Panel 20. At a core -to-core level, it was a strong year for the company across all key metrics. And I think I'm reasonably confident that we are getting back into a strong growth momentum across all key metrics as a firm. We crossed 2 milestones, as I said, INR 5 lakh crores AUM and 50 million new loans. The year so far has started off pretty well. It's likely for the first time, we've never done 5 million loans in a month.

I mean, while the West Asia conflict is going on one hand, when we look at the consumer momentum on the ground, it's very likely we'll cross 5 million -plus loans in the month. Our last peak was 4.6 -odd million loans, and that was in festival period.

So clearly, the company continues to generate momentum.

Overall, last year, we booked 52.5 million loans and added 17.5 million new customers on a full year basis. AUM, I talked about grew 22%. PAT grew 24%, ROA , and opex to NTI I talked about it, showed an improvement of 36 basis points despite rapid expansion of gold loan branches, reasonable expansion of MFI branches by the firm last year.

So that's really on the full year performance. You guys anyway track it, so I don't

have to cover that. Let me cover what is important as to how do we see the outlook to be. Just on the previous year gone by , the Board of Directors have recommended a dividend to shareholders of INR 6 per equity share.
So that's a 600% dividend. It's broadly in line with the dividend last year as we had outlined that part of the dilution that we do in BHFL will be shared with the shareholders. So , we've in that spirit, continue to stay on course of that as well. So that's really last year. Let me now go to important panel as to how do we see the management assessment to be from a next fiscal standpoint.
As I said, the year so far seems to have started pretty well. We are well on course to cross 5 million loans in a single month as a firm. I'm on Panel 28. Of course, I must just flag that the FY27 assessment is based on expectations of easing geopolitical tensions and macro stability. That -- I'm sure , it's understood, but I thought it's important I make the point yet again that it's contingent upon easing geopolitical tensions and macro stability.
Subject to that, the first point is on transformation making the business AI ready. I have already talked about it. We will see significant acceleration and deployment of AI use cases across revenue, cost, customer engagement, underwriting, controllership , security as a firm. In terms of customer franchise, we continue to be confident of adding 15 - 17 million new customers in FY27.
In terms of AUM, we're confident of a 20% to 24% AUM growth, aided by new businesses that we've launched in the last few years as they begin to scale. Even last year, they contributed 3% of the total growth. Rather 3.5% of total growth even in the previous fiscal. And as we gain greater confidence, our market share in those businesses and their contribution to the business should grow.
NIM, we expect marginal moderation. It's a little bit contingent on how interest rates play out, caused by geopolitical tensions. On opex to NTI, we expect to see continued improvement of 25 to 40 basis points from current levels. On credit cost,

this is a new credit cost metric, which, as I said we just reported a 165 basis points or 1.65% credit cost to AUM, the revised metric.
We expect this to continue to trend down. The reasons I talked about earlier, which is winding down of 2 -wheeler portfolio and in the MSME business being out of the woods by June '26. In terms of profitability, we are pretty optimistic about the profit growth. ROA came in as of fourth quarter at 4.6%. We continue to guide for 4.4% to 4.6%.
Return on equity came in at 20% in the current quarter, we continue to guide for 19% to 20%. And GNPA and NNPA, we expect them to remain range bound and well within our long -term guidance. I think that's really all I have to cover. Just quickly on BHFL, co mpany has already reported its performance.
They had a good quarter on disbursements, AUM, asset quality, opex and profit, their disbursements and AUM growth remained strong at 23%. Their loan approvals are up a record 37%, opex to NTI continued to improve for them, came in at 19.2% as against 21.8% . I'm sure Atul has shared what his long -term view on where he foresees opex to NTI to get to, to be a pre -eminent mortgage company in this country.
PBT for them in Q4 grew by 20% and PAT excluding onetime reversals, grew by 20% and asset quality cont

inue to remain very, very healthy with GNPA and NNPA at 27 and 11 basis point s respectiv ely. BFSL though small, continue s to grow, delivered a 77% growth in AUM and their profits were up 50%.
We added 124,000 new customers in Q4 and delivered an ROE of 10.5%. So that's really on BFL Q4 and its subsidiaries, the management guidance for FY27. Just the last point, which I did not cover, I should have covered in terms of portfolio quality across Panel 70 onwards, continue to all be in green are seeing sequential improvements across all portfolios.
Only business loan and professional loans is yellow, which I've articulated twice over the last 20 minutes on how we foresee that this should turn. This will not turn green in a quarter because the denominator also has a role to play as it starts to grow b y Q2 or Q3, we will start to see this turn to green. That's really the quarter gone by, year gone by and our guidance or management assessment for next year.
We are happy to take questions with management.
Moderator: Thank you very much. We will now begin with the question and answer session. The

first question is from the line of Abhishek Murarka from HSBC. Please go ahead.
Abhishek Murarka: Hi, Rajeev, hi Sandeep. Thanks for taking my question. So just to get this whole guidance of credit costs very clear, if you don't mind, can I refer to the press release where you've given a summary of consolidated financial results?

Rajeev Jain: Please.
Abhishek Murarka: Yes, so there, your number is gross loan provisions of INR 2,126 crores and then INR 260 crores of recovery. So the net loan provision is INR 1,866 crores. That INR 1,866 crores works out to 165 bps in 4Q. And against that, you're guiding for 145 to 160 bps next year, full year. Is that the right understanding? Yes, that is perfect, right?
Rajeev Jain: Yes.
Abhishek Murarka: And just the annual number, INR 7,934 that works out to 175. So on an annual basis, 175 goes down to 145 to 160?
Rajeev Jain: That's perfect.
Abhishek Murarka: Perfect. Okay. So now in this 145 to 160, as you said this takes into account the de - escalation of geopolitical issues. So here, you have not accounted for any kind of adverse impact of this geopolitical issues, right?
Rajeev Jain: No.
Abhishek Murarka: If anything comes up second half or something, then this may go up depending on how things play out in?
Rajeev Jain: Yes. The important point, however, you finish Abhishek?
Abhishek Murarka: No. That is it. Please go ahead.
Rajeev Jain: I would just say the more important point or a meta point in this is we are entering the year on credit costs with tailwinds. Headwind over headwind virtually would consume twice the fuel. Thankfully, we are entering the year with tailwinds. We have momen tum. We can navigate even if the environment weaken. I think that's how I am looking at the business at this point in time.
Sandeep Jain: So I think what Rajeev is trying to say is some level of conservatism in terms of doing the number crunching and giving a guidance of 145 to 160 has been done. We have to wait and see how situation evolves eventually.
Rajeev Jain : No, I'm also making a point that we have tailwinds on credit cost. We don't have headwinds. So that itself is a big help.
Moderator: Thank you. Abhishek, I will request you to come back for a follow -up question. Next question is from the line of Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani: Yes. Thank you for the opportunity. My question is on the long -term guidance of ROA probably inching towards 4.3 - 4.7 percentage. I mean for FY27, I understand you've given the explanation on opex and probably that will be the bigger driver.

But if you can help us get into the details of this 4.3 to 4.7 over the longer term that

you've spoken about?
Also for FY27, as per the, the basic math that I was picking up, you may need a little bit more NIM expansion to achieve the ROA guidance for FY27. Is my understanding correct or not? Please let us know. Yes.
Rajeev Jain: Sorry, just repeat the last point.
Shreya Shivani: So for FY27 also, as per my math, you will need a NIM expansion also or at least a NIM stable flat NIM or an expanding NIM to achieve the ROA guidance for FY27?
Rajeev Jain: Yes. Okay. Got it. See, the answer is to the second part is, no. See, look, if you go back to -- if you go to Panel 35, which is a 19 -year long snapshot, feels like -- doesn't feel like that long actually, 19 years. If you see since FY20 , forget FY21, but even if you take FY18, '19, 4.2%, 4.1%, FY22, 4.2%, FY23, 5.3%, 5.1%, 4.6% , 4.3%.
I think numbers speak for themselves. I'll add a dimension of ROE. ROE guidance of 20 to 22 last 6 years, adjusted for COVID speaks for themselves and during this period, as you can see from a balance sheet standpoint, the balance sheet moved from INR115,0 00 crores to now INR510,000 crores.
So it should give you confidence that we can continue to sustain the ROA, at times by expanding margins, at times by reducing cost, at times by reducing credit cost.

These are the 3 principal levers either 4 levers rather, growth, margin expansion, operat ing expense and credit costs, depending on how -- what the environment is, what is the state of the business. We orchestrate these 4 to deliver an outcome of 4.3% to 4.7% ROA and 20% to 22% ROE to investors on a long -term basis.

Sandeep Jain: Yes. And just to help you with the math on 4.6%, the guidance metric for the next year on ROA. And that's the reason why Rajeev when he presented the financial statement and numbers, he said, look at the core financial performance. If you look at core fin ancial performance for last year, the ROA came in at 4.6%. And the guidance that we are giving for next year is 4.4% to 4.6%.

I don't think that there will be a need for NIM expansion in the next year to be able to deliver that. We have to ensure that we grow nicely, which is where the 22% to 24% guidance has been given. And we have to ensure that we remain reasonably anchored on the operating performance of the company, which is opex to NTI as a metric and loan loss to credit -- loan loss to average AR. As we deliver that, I think there is enough and more headroom available in the ROA profile of the company.

Moderator: Thank you very much. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. So on the growth guidance, 22% to 24% apart from SME, which is almost bottomed out, we have started to see the sequential growth and we will get into double digits. Ex of that when we and the newer businesses, where do we see we would be able to grow at a pace faster than the overall AUM growth? And which segments do you still believe could continue to lag, so particularly on our core segments as well. If you can highlight that, that wo uld be helpful? Yes.

Sandeep Jain: Yes. So Kunal, the idea would be to maintain the portfolio mix. I think that's very, very dear to us. That gives us the right balance of risk and profitability. So that's going to be the agenda for next year as well. Having said so, I think when you look at current year number of 22.4% of AUM growth, this is impacted by two things: one, the captive 2 -wheeler 3 -wheeler financing business has seen an attrition of 60%. That's almost INR6,500 crores of attrition that we have recorded in the curren t year on account of winding down of captive business. That's one.

Second, MSME, the growth used to be 25%, 28%, 30%, has been brought down to 6%. These 2 business, one, the impact of captive dial down will be much, much lesser in the next year. MSME should start to come back into s

ome growth
momentum to double -digit num ber from second half onwards. These 2 things should provide tailwind on the overall growth number.

Having said so, there are a few businesses which are in nature, like gold loan financing, tractors, CV and so on and so forth. They may grow faster than rest of the business because of very, very low base. Of course, gold is not -- no longer a low base it' s INR18,000 crores in the balance sheet. But given that we are taking a growth stance in that business of doubling down on our branch presence in that business in the next year, we are reasonably hopeful that, that should lead the overall growth profile of the company for the next year as well.

And Rajeev did make a point that the current contribution of gold loan is about 3.5% of the balance sheet. All goes well, which should start to look towards 5% kind of number in the next year as well. So these are some of the business where we see there co uld be an additional growth potential. Having said so, we find secular growth opportunity across all businesses, and our market share in most of the businesses continues to remain small, allowing us significant headroom for growth perspective.

Rajeev Jain: Just the last point I'll make, Kunal, if you plot Panel 63 of composition of our balance sheet over a period of even last 5 years, you will not see material movement at all actually. So you will see very little movement. Number one, the base of each one o f them is very large. I mean there are moments like gold loans that come once in a while. Otherwise, you will see a reasonable secular growth and a reasonably diversified portfolio.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Yes, hi, team. Congrats on the really strong set of numbers. I'll try to squeeze in two questions, if you don't mind. Firstly, can you just share some portfolio cuts or what you're seeing in the environment that gives you the confidence to pick up on MSME growth? That's my first question. Second question is in new consumer products like car loans, gold loans, etcetera, how many -- like what percentage of our business comes from existing customers and how many from new customers?
Rajeev Jain: Yes. So Piran, if you recall, in Q3, I made a point that I'm not necessarily a very big believer in macro. We are a micro business. You'll find it in transcript of last quarter.
At a design level, MSME is a very, very large sector. You just have to pick w hat you can digest from a risk standpoint. And that's really what we're doing.
Even at this point of time, as we speak, based on our assessment, we have pruned business INR100 -odd crores. We monthly do around -- we used to do INR1,800 crores. We brought it down to INR1,400 crores. We have further taken cuts in the current month based on our understanding.
But as I mentioned, the guidance next year is based on stabilized -- stable environment and geopolitical environment and macro stability. We are very clear about from a micro standpoint, from a location, businesses and underwriting as to what will deliver growth. So I think that's just first part of your -- the answer to your MSME point. And it's a reasonable takeaway for us that our business is -- we know, but that you always remember our business is micro, not macro. I think that's point one. The second point you had asked on.
Sandeep Jain: Contribution of new -- existing customers for new business.
Rajeev Jain: For new businesses, it's a metric that we drive. So let's say, if you take 2 -wheeler as an example, okay? It's a new business, 3 years old, the open architecture 2 - wheeler business. The new customer performs better than -- sorry, ETV performs significantl y better than NTB. 50% of the 2 -wheeler customers that we bring to the table is an ETV customer.
Between 4

3% to 45% of new car financing customers that we bring to the table every month, that's a INR450 -odd crores of -- INR450 crores to INR500 crores of volumes we do every month comes from ETV. As I shared as part of our annual investor outlook, the 5 -year outlook that business by business, the 120 million franchise, principally has very high wallet share across each line of business that we are in. I gave an example of new car finance.
New car finance and used car finance, 35% of all new car finance and used car finance as per bureau data principally comes from this 120 million customers,

okay? Personal loan, our market share is between 8.5% and 9%. At the India level, the number is 40% -- 45% of personal loans takers in India come from our 120 million franchise.
So I can go on business by business. Risk and wallet and operating leverage, all 3 require us to focus on this metric across all our 32 lines of businesses. And we track it very diligently and ensure that we deliver the mix that we have planned for.
Moderator: Next question is from the line of Kuntal Shah from Oaklane Capital.
Kuntal Shah: I have 2 questions. One is what kind of capex or investment we are going into AI infra? Can you give some color and what kind of ROI and payback you are envisaging? And secondly is when it will start impacting the P&L via either cost saving or some kind o f faster turnaround or whatever the metrics you are taking...?
Rajeev Jain: Kuntal, yes, so benefits, as I said, consumers and employees both should experience in the current year what AI does for them. So that's one part. As I said, SMS or bots being the simplest example. Walking into 3,000 stores or 2,700 across branch -- gold loan branches, customer service branches and in -stores, we will deploy close to 2,700 cameras, customer identification, reduce friction, which means faster turnaround, which means lower cost. I mean, so better customer experience on one side an d lower cost on the other.
AI call center agent is one -third of the cost, straight. That's the -- so we, at a point in time, had 5,000 outbound voice agents. That number itself, we have brought down, step number one in terms of optimization. And two, 30% of them are now AI voice ag ents. That's one -third of the cost, straight, line by line. Now in terms of overall capex, first question to Sandeep, is do we publish capex, or we don't?

Sandeep Jain: We don't.
Rajeev Jain: We don't. Otherwise, it will become a new added metric. And we anyway publish hundreds of metrics, one more metric will get added. So please excuse us on that.
But we are not -- but let me make a point. We are not pulling back any stops in investing whatev er it takes in being front of the seat and center.
I talked about the talent expansion. It's not easy to get AI talent. Principally, there's no concept of AI talent. These are existing machine learning folks who are actually being trained. They're training themselves, and we are helping them with use cases to convert into AI researchers or AI talent. That's really what we're doing.
What they need is compute, which is not that easily available. What they need is sponsorship, which is not that easily available and what they need is use cases, which is not that easily available. We are delivering those 3 to them.

So I think overall, I would say -- and I'll hand it over to Anurag for a moment, he's jumping to speak that it is probably one of the most exciting part of the work that we're doing after a long, long time. So I'll just now hand over to Anurag for him to expand on it.
Anurag Chottani : Yes Kuntal, Rajeev covered a lot of use cases. I must also say, we are parallelly investing deeply on the security and the compliance infrastructure as well. So you're aware that RBI has released a FREE -AI

framework. So we have consumed
and we are in process o f implementing the explainability, auditability and the transparency what the FREE -AI report talks about. And parallelly, a lot of investments going into the security architecture as well apart from building the new set of capabilities , what Rajeev talked about it.
Rajeev Jain: You will experience, Kuntal, as consumers, on the app very soon, AI summaries will start to appear because there is 120,000 Figmas that we've created over the last 5 years. They need summarization, if you simplify the conversation. So just give us 3, 4 mo nths and you'll start to see very soon -- we have 71,000 employees. So far, we used to train using PPTs. I spent 33 years working. They'll all transitioning by end of May to Copilots. They'll all use Copilots for -- which is NLP -based infrastru cture to get trained. So that's the level of transformation process by process that we are actually in the process of implementing. We are not planning. We are in the process of implementing.
Anurag Chottani : And just as an added point. Last year, we processed -- on peak of Diwali on a single day, we processed like 600,000 loans, which without AI, we were like 100,000 loans -- we had capacity to process only 100,000 loans on a single day. So you might see next Diwali, like we'll process close to 1 million loan accounts on a single day as against the numbers that I just mentioned.
Moderator: Next question is from the line of Viral Shah from IIFL Capital.
Viral Shah: I have 2 questions more connected to each other. So first thing is when I look at the PCR coverage across Stage 1 and 2, especially, I think even versus the last quarter, you have further shored it up in this quarter. And correct me if I'm wrong, now this is basically at almost highest levels that we have seen in our history barring the COVID periods.
Do you -- like over here, is there any cushion that has been built up and through the course of next year, you will see some of that unwinding basically, or does your PCR levels remain over here next year or does it reduce?
And the connected question to this is the credit cost guidance, Rajeev, you mentioned basically of 1.45% to 1.6%. Does this -- the change versus 165 to 175 basis points in the last quarter you guided for FY27, is this purely because of the change in the p resentation of the recoveries?

Rajeev Jain: No. No.
Sandeep Jain: So I think your assessment is correct versus 165 to 175 that Rajeev -- that becomes 145 to 170 because of the change in the presentation. Your assessment is correct on that. As regard the ECL provisioning across Stage 1, Stage 2, Stage 3, this is a bottoms -up exercise that we do every year. We are moving from yearly exercise to

quarterly exercise. T hese are bottoms -up calculation done by product, where we are ensuring that we remain true to the model.
The idea is to focus on resiliency of the balance sheet and the provision coverage ratio. I have reason to believe the numbers should remain in this corridor. We get opportunity, we will further up the NPA on provision coverage ratio to ensure that we are bullet proofing the balance sheet from any kind of potential impact that one could witness maybe 3, 5, 7, 10 years down the line.
So resiliency and bullet proofing of the balance sheet are the 2 most important parameters that we also look at when we do a complete remodeling of ECL. All the places where we can identify items for making more provisions to credit cushioning, we do keep doing those activities.
Moderator: Next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Two or three questions. The first one is, how do we split the opex into cost of acquisition and cost of collections? What would be these two as a proportion of the opex? Second is in terms of risk management, how m

any people do we have on
rolls for collec tion? And how many feet on street of the collection agencies we have?
Third is when I do a back calculation basis, our growth and the ROA metric, just a rough calculation, the profit growth would be upwards of 35% versus the 22% AUM growth. Is that a fair assessment? We are looking at 35%, 40% kind of growth levels in profi t in FY'27?
Rajeev Jain: Shubhranshu, I need AI for all the 3 questions. They're all 3 different. But on a lighter vein, Sandeep?
Sandeep Jain: Yes. So on the opex side, I think the results sheet carries additional breakups in terms of expenditure that we incur. Of course, the sourcing cost, to the extent it is variable in nature, gets accounted as EIR in the interest income line. So that's not separately identifiable. But the recovery commission and the cost that we incur for collecting money from the customers and doing DMS debt management services is shown as fees and commission expenditure separately in the results sheet. I won't repeat the num ber, but those numbers are there for everyone to consume.
As regard the profit growth for the next year, 22% to 24% growth in AUM should lead to a little better growth in profitability because if we are supposed to deliver

operating efficiency growth of 25% to 40% that Rajeev has talked about, if we see improvement in -- basis points. If we see improvement in loan loss to average AR as a metric in the next year, even with a marginal moderation that we are talking about from NIM perspective, which is also documented as part of the assessment for next year.
There is a possibility that the P&L growth may be faster for the next year than the balance sheet growth. I don't think that I've done a math internally which suggests a 35% number to me, but I'll be more than happy to be positively surprised if the number were to come. As Rajeev said, we'll probably need AI to be able to deliver that.
Rajeev Jain: But we have tailwinds. I made the point earlier. I would just make a point, Shubhranshu, we have tailwinds subject to geopolitical stability, we should be in good place.
Moderator: Next question is from the line of Omkar from Shree Investments.
Omkar: So in the Investor meet, which you do every year, you have guided that it's not about the question of growth, but how quickly you can compound. So given the state of the current balance sheet size, you have guided for 22% to 24% for the current financial year. But like how does it compare with your overall long -term guidance of around 17% to 19%, 20% kind of growth?
Sandeep Jain: I think the long -term guidance that we give at this point in time is between 22% and 24%, 25% kind of corridor. And based on the current performance that we have delivered and the momentum that we see across businesses, we are reasonably confident that 20 % to 24% should be achievable for next year. And I think it's year - by-year, right? So long -term commitment continues to remain to be anchored at 20% plus number '22, '23, '24. For the next year, 22% and 24%, and then build on top of it in the future.
Rajeev Jain: I'll just make a point that, look, for INR100,000 crore addition in balance sheet, the growth in total or market share growth in total credit, if you take the denominator

as total credit in India. So gross bank credit plus NBFC credit minus bank lending t o NBFC. That's net total credit in India, okay? Our market share would have moved from 225 basis points to 250 basis points. If India total credit grew by 12%, we have grown by 22%, okay?
We should largely be growing 2x. I would say, given our relative market share, not our absolute size, given our relative market share, we should be as a firm aspiring to grow 2x of what the system growth is so that we can meet our ambition to be among the top 5, 6 financial services lenders in this country over a

period of next
5 to 7 years' time. So that's the way I would approach this, and we continue to approach it that way.

Absolutely it looks big, INR100,000 crore addition. Market share growth, 25 basis points. So I think there is -- and as I said earlier, the franchise has very large wallet share as we deliver on customer centricity that I talked about in our Annual Invest or conference on our Annual Investor Day, we are investing very deep on customer centricity, Overlay on that AI transformation.
Take customer centricity and AI transformation, the compounding should become easier, I would say, okay? Actually, I would say it will become easier rather than harder. The absolute size makes it look harder. But as we take the customer centricity, which i s focused on customer wallet and AI transformation, we are doing all this to make compounding easier. The principal compounding to me is what is the return on equity.
I think we continue to hold at a INR100 invested in us, principally generates a 20%, 22%, INR22, fixed deposits give you 7%, we are giving you INR20. And we are giving that for the last 10, 11 years. And we believe that we can continue to compound sharehol der value in terms of return on equity for a long, long period of time.
Moderator: Next question is from the line of Bharat Shah from BCS Capital Ideas.
Bharat Shah: Delighted to see the good results. I just had one broad question. If we see the evolution of Bajaj Finance and if we see the period prior to COVID, and I draw distinction for the period after COVID. So generally out of the 4 levers, the growth of the asse ts, the margin, the cost intensity or cost diminution and the credit cost, these 4 levers leading to ROA and in terms degrading leading to ROE.
So if I see prior to COVID generally every element plays like a good nod in the overall symphony and therefore there was a rising crescendo. Typically, the yields and cost of the funds were managed to give typically a good or rising kind of NIM. The growth has always been very focused and strongly delivered vertical -- by vertically business segment by segment.
And therefore, given good usage of technology we delivered even the cost metrics very efficiently over the period of time. And given our very strong discipline on credit cost management that also played a perfect part to the symphony. Even if there was som e one note, out of the 4 notes, which might be playing a little jarring note at a particular point, overall symphony in terms of return on asset and return on equity, typically tended to be buoyant and in our favour.
Post -COVID, that equation has been a little more middling type where generally, the final symphony outcome in form of ROE is still healthy by miles compared to any benchmark anywhere. But compared to our own benchmark, the crescendo has not been rising, b ut kind of, so to say, undulating one up and down type.

Due to finally with the AI in play with a lot of attenuating factors hopefully behind us. Now are we really poised in a way where all the notes kind of combined together to produce a rising crescendo rather than kind of even or at times falling crescendo that we saw. Instead of that, on a more long -term basis, we are slated for the rising crescendo.
Rajeev Jain: Okay, your observation is correct. I think first point. Point number two, I think pre - COVID to now, Bharat, company is 4x, INR140,000 crores balance sheet, 3.5x. We are INR510,000 crores. That's point number two. But through this period, the return on ass ets have grown. Through this period, if you take only 2 measures of return

on assets and return on equity have remained and I'm on Panel 35, we were at FY19, 22.5%. We had just raised FY20, 20.2% and we have remained between 19% and 20%. So tha t's point 2.
Now come to post -C

OVID. Now COVID was a big shock. Shock led to post, and as an operating manager, I'm speaking, post -COVID, there was a massive boom. That boom we leveraged by principally expanding lines of businesses, expanding locations very rapidly, i nvesting very deep in digital transformation, these 3, expanding in the process teams, high ROA, high ROE, if you have pulled ROE in FY23 went to a peak of 23.5%.
You know, good times lead to what I would call, and I'm being as objective and fair doing my performance assessment of last 5 and pre -COVID, lead to some level of what I would call in boom cycles, you take a set of decisions, which necessarily are, should be more calibrated is how I would respond. I think in the last 18 months, we've calibrated those responses, okay?
And to summarize the point, you should see us from here on in a reasonable cruise mode. Sandeep made a point in the passing. At a design level, I have made that point to various investors that at INR510,000 crores, we are by far the largest. We are a very important player in terms of even overall credit in the country. It's our fiduciary responsibility to ensure we are highly resilient, can take any shocks.
We are, Sandeep made a point on bullet proofing the balance sheet. We will be a bulletproof business. While delivering as a firm a 20%, 22% ROE and a 22% to 24% balance sheet growth. We think that we should be from here on in a lot more cruise mode. So th at's really how I would summarize my response, Bharat, to all the way to pre -COVID. I must tell you on a more, in a lighter way, I have management team sitting here, senior members of the management team. I keep reminding them I want to FY20, I want to go back to FY20 credit costs. And they used to laugh at me. Now they are all delivering. The 3 MOB, 6 MOB, 9 MOB lower than FY20.
And as I said, the balance sheet is 3.5x. So I think it's about what we decide to do rather than what happens. I think we will decide what we want to do. We will, last

point I'll make, we are from a, what does resiliency and bullet proofing means that the profit growth principally should be higher than balance sheet growth.
And every incremental dollar of the differential in terms of growth goes to strengthening the balance sheet because we're just living in continuous crisis. I mean, let me spend one moment, 1 year, 3 crisis. We started the year, we all have short memory. We started last year with Indo -Pakistan war for 4 days. We had tariff for 4, 5 months. And we had February, March, full March of Iran -U.S. war.
How does one model that? And we have continued to still be operating manager.
We have to remain open for business. So the best way is to just keep bullet proofing the business. It needs tremendous agility, I would say, for all firms, for all operating man agers, tremendous agility because this is an environment that we are, we have to all become used to living in. And our management team here, we are committed to do that. I hope that gives you, and we can do a side conversation, longer one.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. Ajit Kumar for closing comments.
Ajit Kumar: Thank you, Rajeev, Sandeep and Bajaj Finance team. Do you want to make any closing comments before you conclude?
Rajeev Jain: No. Thank you is the only closing comment.
Sandeep Jain: Thank you.
Rajeev Jain: Thank you. Wish us luck. Wish the world luck. Thank you. Thank you all.
Moderator: Thank you very much. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Thank you.